

Grasim Industries Ltd. (GRASIM)

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Call: Aug 2022

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Symbol: GRASIM

Dear Sirs,

Sub: Transcript of Q 1 FY-23 Earnings Conference Call

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q 1 FY-23 Earnings Conference Call held on 12th August 2022 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q1fy23.pdf>.

Thanking you ,

Yours sincerely,
For Grasim Industries Limited

Sailesh Daga
Company Secretary
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Encl: as above

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"Grasim Industries Limited
Q1FY23 Earnings Conference Call "

August 12, 2022

MANAGEMENT : MR. H. K. AGARWAL - MANAGING DIRECTOR ,
GRASIM INDUSTRIES LIMITED
MR. JAYANT DHOBLEY - CEO OF GLOBAL
CHEMICALS AND BUSINESS HEAD OF VFY AND
INSULATORS , GRASIM INDUSTRIES LIMITED
MR. JAYANT DUA - CEO OF CHEMICAL DIVISION ,
GRASIM INDUSTRIES LIMITED
MR. RAKSHIT HARGAVE - CEO OF PAINTS ,
GRASIM INDUSTRIES LIMITED
MR. ASHISH ADUKIA - CFO , GRASIM INDUSTRIES
LIMITED
MR. PAVAN JAIN, INCOMING CFO (15-08-2022) ,
GRASIM INDUSTRIES LIMITED
MR. SAKET SAH - HEAD INVESTOR RELATIONS ,
GRASIM INDUSTRIES LIMITED
Grasim Industries Limited
August 12, 2022

Page 2 of 9

Moderator: Ladies and gentlemen, good day and welcome to Q1 FY23 Earnings Conference Call of Grasim Industries Limited. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Saket Sah, Head Investor Relations and Head of ESG Reporting. Thank you, and over to you, sir .

Saket Sah: Hello. Good afternoon, everyone. Let me just introduce you to the management team over here. We have Mr. H. K. Agarwal, the Managing Director. We have Mr. Jayant Dhobley, CEO of Global Chemicals and Business Head of VFY and Insulators; Mr. Jayant Dua, CEO of Chemical Division; we have Mr. Rakshit Hargave, CEO of Paints; we have Mr. Ashish Adukia, CFO; and we have Mr. Pavan Jain, the Incoming CFO of the company.

Let me just pass on the call to Mr. Pavan Jain for his remarks.

Pavan Jain: Thank you, Saket. Good afternoon to all the participants. It is my pleasure to speak to you all as the incoming CFO of the company. I've been part of the management team of Grasim for more than 20 years and have handled corporate finance, mandatory risk management and other related matters of the company. I'll be now closely associated with the investor's community. This month marks the completion of 75 years of the company's incorporation and more importantly , the birth of our beloved nation.

As we start on our next phase of growth journey, the company is well positioned to take a leaf out from its legacy and reflect the same. As you are aware, the company has sowed seeds of the two new businesses, namely paints and B2B e-commerce. I would like to reiterate the newly added paints business will be an engine of growth to the existing portfolio of businesses. The B2B e-commerce foray is again a high growth business with less capital-intensive need . Both these businesses complement the existing lines of businesses within the Grasim umbrella, catering to large market and adding new set of customers. We started FY 23 on a very strong note with record EBITDA generation at the

consolidated and standalone level during the first quarter.

Let me now share some key highlights from our businesses. Our Chlor-Alkali and textile businesses reported highest ever quarterly EBITDA, driven by better relation and sales volume. The VSF business reported a double-digit growth in the sales volume during the quarter on the back of strong domestic demand. The ongoing expansion in chemicals business are progressing well with BB Puram phase two, likely to be commissioned by Q4FY23, and the epoxy capacity of 123KTPA at Vilayat will be commissioned by Q1FY24. The 50KTPA ECH capacity also at Vilayat will get commissioned by Q1 FY25.

As we had promised in the previous quarter, we are sharing the CAPEX spend guidance for FY 23, which stand at INR 3,117 crore for the existing lines of businesses. The CAPEX for paints and B2B will be in addition to this. In the paints business, we are currently focused on the timely execution of our capacities. The civil work has commenced at four of the total six sites.

I'll briefly touch upon the key operational and financial highlights for the quarter. The VSF business reported strong sales volume growth of 10% Q-o-Q and 76% Y-o-Y to 197KT on back of India centric demand. The recently commissioned 600TPD VSF plant at Vilayat has contributed 51KT to this quarter's sales volume. The global textiles demand is currently on the weak footing given the lockdown imposed in major cities in China and reduced ordering by the U.S. and European retailers. On the pricing front, the cotton prices peaked in May '22 and have softened thereafter. Just to remind you, the global cotton prices had gone up 2.5x in the time period of 25 months ending May '22. The VSF business reported revenue of INR 3,728 crore and EBITDA of INR 406 crore for Q1 FY23. The VFY business reported revenue of INR 583 crore and EBITDA of INR 94 crore for this quarter.

Grasim Industries Limited
August 12, 2022

Page 3 of 9 Moving to Chlor business, the business reported best quarterly EBITDA, driven by highest ever ECU realization of 53,560 per tonne on the bank of multiple tailwinds like strong global caustic soda prices, weak INR, and a stable demand environment. The global caustic soda prices averaged higher at \$769 per MT in Q1 FY23 against \$719 per MT in Q4 FY22, driven by factors like supply chain disruption and higher energy prices. Chlorine realization remained in the negative territory with weakness in certain Chlor users industries

like dyes
and pigments.

On the other hand, the demand for our captive chlorine VAPs increased Y-o-Y by 32% in Q1FY23 from 28% Q1 FY22 on the back of higher sales of Chlorometane and water treatment and other sanitation products. In addition to the captive chlorine integration percentage, we also wish to share the total chlorine integration percentage, including the pipeline sales to our dedicated customers, which stands at 60%. The advanced material business reported a sequential improvement in financial performance on the back of better realization and some easing of cost pressure.

As highlighted earlier, the company reported strong quarter one FY 23 financial performance, driven by multiple factors despite cost pressures. The consolidated revenue for the quarter are up 41% Y-o-Y to INR 28,042 crore and EBITDA is up by 10% Y-o-Y to INR 5,233 crore. While at the standalone level, revenue is up by 93% Y-o-Y, INR 7,253 crore and EBITDA is up by 69% Y-o-Y at INR 1,364 crore. On the ESG front, the company is working in a focused manner and making continuous progress. The company has adopted task force for climate related financial disclosures that is TCFD framework in FY 22 to reflect its commitment to improve the quality of ESG disclosures. Taking cognizant of our ESG-related work, which is in line with the global standards, the company has been included in the FT SE4 good index.

I would like to reiterate that given our strong balance sheet and strong portfolio mix of cash flow businesses, we are well positioned to harness the potential of our new businesses. I would like to wish you a very Happy Independence Day in advance and now hand over back to the operator for Q&A.

Moderator: We have a first question from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: Congratulations on very good set of numbers. So, I have two, three related questions on VSF and then one on chemical. So, I'll start with VSF, sir, in your presentation, you have mentioned that our China VSF prices have improved almost 14% sequentially. So, they are on spot basis. So just wanted to understand because our blended realization this quarter for the VSF division has also improved by almost INR10 a kilo, if you can share how much of this price increase in the China or in the international market is already being captured this quarter and further to that, whether we have taken any price in Q2 as well? So, this is one.

Second on the VSF side is, sir, whenever we will operate our capacities at the optimum levels at around 824,000 tonnes, how much pulp is already integrated and how much we are more planning to integrate, if you can share your thought process on the same? Sir, the third question on the VSF side is our specialty volumes is down sequentially. So last quarter we did something around 44,750. This quarter, our specialty volumes is almost around 37,500. So, any particular reason for the same, has the premiums narrowed down and we decided to switch towards more of the grey VSF production? So, these are the three questions on the VSF side.

H. K. Agarwal: First question on price increase in China in the Q1, and also corresponding increase in our India realization also. So yes, these are related to some extent because VSF is the international product and all the markets are connected in many ways. China being the largest producer and consumer of VSF has big influence on the international price. So we have to be in line with what is happening in the biggest market. Now since end of last quarter or even in June itself, the prices started correcting in China also. So, if you are monitoring, then you will notice that VSF prices have softened in China also. In India we

Grasim Industries Limited

August 12, 2022

Page 4 of 9 have to adjust little bit, but not to the same extent, because we also don't increase to the same extent as price increase happens in China. So that was on the prices.

And also the cotton prices have influence on the all other fibers prices. So cotton prices in forward have come down significantly. And they will also have some influence on the VSF demand and prices to some extent, not a large, but because VSF price did not increase in the same proportion as cotton prices. Coming to specialty volume, yes, there were some reduction in the first quarter compared to previous quarter. Some products are seasonal. So that one is one aspect. Second to some extent we had more demand for standard VSF in India. So we had adjusted our product mix to cater to the India demand. And in international market, there were some more competitive situation or some demand adjustment of inventory adjustment at our customer's place. So, in the export market of specialty, there were some reduction in the volume. So, this was on the specialty thing.

And going forward, there will be some adjustment period because now recessionary fears are prevailing in Europe and with the cotton uncertainty and volatility, the international retail and brands are sitting on huge inventory because of supply chain disturbance. And they are now trying to optimize their inventory levels and optimizing the new orders to the value chain. So, this adjustment period will last this quarter and perhaps some more. So, we have to sit through this adjustment period and then the normalcy should return to the value chain in textile industry. That is on the specialty.

So, we are now almost 35% integrated with our captive. And we have lined up long term supply arrangement with our regular suppliers. We have also developed some new sources and there were some disturbance in the pulp supply because of the force majeure reason at one of our suppliers plant there was a fire and at another place there was serious flooding and the storm. So, there was some disturbance in the site, but now things are getting back to normal. So, we are working in the long term how to increase this pulp integration, but this is a long-term issue and immediately we are fine with the current arrangement.

Nirav Jimudia: Okay. Based on what you just mentioned is it safe to assume that probably out of the RMB 1,800 price increase, which have happened in China and probably some corrections over there some portion or maximum portion of that is already being captured in Q1 and probably we haven't taken any price hike after our Q1 numbers?

H. K. Agarwal: Yes. It's like, it doesn't happen exactly RMB 1,800 in China. So, we have also exact corresponding thing, it doesn't work out like this. But more or less, we cannot expect price increase in the current environment because in China, the correction is quite severe.

Nirav Jimudia: Got it. Sir one more question on the VSF side is in the presentation, in the openings slide,

where you mentioned that we are debottlenecking our VSF capacities and we are intend to spend something around INR 587 crore. So, from 824,000 tonnes, which is our current capacity, how much addition we are intending to plan and how much time it'll take to complete this debottlenecking.

H. K. Agarwal : This entire amount is not for the debottlenecking most of it is part of the residual CAPEX commitments for our Vilayat expansion, which has already happened and stabilized. And in July we achieved 100% of the nameplate capacity for the expansion. But there are some commitments which are not directly related with the fiber production, but ancillary is like environment related items or gas recovery systems, etc., they are pending. So, I think almost INR 350 crore of INR 400 crore is on those accounts. And the debot

tlenecking is small, very light capital light thing. And we expect to get something around 80TPD for investment of about INR 200 crore or so. So, this is not backed on the debottlenecking and production also is not expected to increase a lot compared to current capacity, this is our normal thing. We keep doing these things where we can find opportunity to improve production from existing assets, we try to maximize that. So, this is not going to be a big game changer like Vilayat expansion.

Nirav Jimudia: Got it. One last question, if I can ask on chemical side, and then again I'll jump back on the queue. Sir, our Annual Report mentioned that we are planning to add something around 390 megawatts of renewable capacities for our chemical business. So similarly, if you can say or Grasim Industries Limited
August 12, 2022

Page 5 of 9 explain us that when ever we will hit the peak production for our chemical business, predominantly caustic side, how our mix of power would look like, let's say, in terms of our own captive thermal, in terms of our own captive renewable? And how much then we have to be reliant on the outside power for sufficing our power requirements?

Jayant Dua: Okay. So, I think what the report mentions is our long-term plan whereas you know in renewable, we really have to look at from an aspect of majority of regulatory aspect, which are still unfolding. Our desire output, yes, we are looking at reaching renewable to some where around 30% of our total requirement. Now the mix will continuously keep on changing as the regulatory environment unfolds in front of us. So, I think it'll be very difficult for us today to really quantify what will be the final mix. I think maybe over the next two or three quarters as the regulatory environment becomes more clearer in terms of how renewable play will happen, then we will be able to get a much clearer picture of that. But from a desired aspect, we've said about 30% is what we are looking at.

Nirav Jimudia: 30% by 2025.

Jayant Dua: Again, I'm not getting into a timeframe the reason is very clear, it'll be all a function of how regulations come across. Post regulation then you have to look at it from how you want to complete the whole picture. So, it might be 2025, it could be 2030, it could be '27. I think we'll keep the timeframe very nebulous as of now.

Ashish Adukia : As a target, we've taken that we would like to achieve 30% by '25.

Moderator: We have our next question from the line of Navin Sahadeo from Edelweiss. Please go ahead.

Navin Sahadeo: And once again heartiest congratulations on such a record high profitability. My questions were about the margins as we see at least in the near-term perspective. So, as you said, prices have been trending down. So, if I just look at some of the VSF prices in China from RMB 15,500, they've gone down to almost RMB 14,500 or so, especially off later as in from let's say mid-July to now as we speak. But we don't see that kind of a similar decline in the pulp spot prices. So, wanted to understand that, is it fair to say at least from a near-term perspective that the peak margins are probably behind and at least for the next one, two quarters VSF may see some sort of softness in the margins?

H. K. Agarwal: So yes, you are very up to date on the international prices of VSF, you got on at 14,500 and 15,500 so this is the reality, and we cannot go against the tide. So, this time pulp prices are important, pulp prices are not reducing in the extent, but we believe that if the VSF market show so much of softness and pulp prices also will have to adjust. It's a matter of time. And there have been some different regions for pulp market, like supply related i

issues were

more, there were some post measure situations at major merchant pulp suppliers. And as they get resolved and the VSF market softens, then pulp prices should also respond to some extent. But here other things are other than also there have been other inputs which have gone up very high, like caustic, sulphur, coal, and those are in the adjustment more to some extent like sulphur prices have come down, cold prices are also trending down. So, margins will remain under pressure. It will not be same, like we enjoyed in some favorable quarters, but yes, this adjustment has to play out.

Navin Sahadeo: Fair and appreciate, but for chemicals then, because your press release also says like June exit is at \$650 versus the average of \$760 odd, which we recorded for the quarter. So similar trend in chemicals also of a sequential margin decline is expected or there, the cost relief is probably much more enhanced. The decline in margins may not be that severe. How should we look at those?

Jayant Dua: I think, particularly in the Chlor-Alkali being electrolyzer, we are largely dependent on power as our largest source of cost. While we have seen on the fuel side energy prices getting soft, particularly on the crude side, but we haven't seen that material change yet on the coal. The expectation is as talking about how the world is moving along, we could see that. So that will have a material being on our cost side front on us. On the international
Grasim Industries Limited
August 12, 2022

Page 6 of 9 front, I think the entire prices, which shot up had couple of global events of the Ukraine, the entire supply chain becoming very, very distraught and tight. And also the COVID impact in China, now COVID impact in China has reduced, China started producing a lot more material and started giving it to international market. And yes, you're right at this point of time, currently we are seeing a declining trend in the international market, but the volatility is so much that at this point of time, I think it'd be very difficult to predict on the caustic side what could be the margin decline for the quarter. The trend looks that it'll be tapering downwards, but to quantify becomes a very difficult challenge at this point of time.

Navin Sahadeo: Yes. Appreciate it. Just my last question on the CAPEX bit, two parts to it. Of course, you've given a very nice breakup to the overall CAPEX total that we are planning to spend this year is over INR 3,100 odd crore. How much should we pencil in including paints as well as the B2B e-commerce for '23 and '24?

Ashish Aduki: Yes, see it's very difficult for a paint ongoing project to give year-by-year guidance because it depends at what stage it is. There is land acquisition then followed by environmental clearance. Then you order for equipments, a lot of equipment are actually imported. So, there's lead time to that. And these are big spends, right? So, if something spills over to next year, it'll be a wrong guidance to give. So, we've given you a guidance of INR 10,000 crore project cost for paints and likewise for B2B as well as a total cost. So, it will be spread over that period. Till now we have spent about as we've mentioned INR 825 crore till June end and quarter one was INR 212 crore. And if you see quarter-on-quarter figure, it's not obviously evenly spread. So, it's difficult to say what that breakup would be. But of course, it'll be -- from now on it'll be front loaded because we've started ordering for equipment, etc. The construction is started in full swing in almost four sites.

Navin Sahadeo: Okay. But safe to assume that a chunk of it, like regardless of the guidance, but a significant chunk may come in per se, let's say, second half of '23 and '24?

Ashish Aduki: Absolutely right. I think that is good to assume because, given our target that we've given for commissioning of the capacities.

Moderator: Now we have a next question from the line of Prateek Kumar from Jefferies. Please. Go ahead.

Prateek Kumar: Yes, my first question is on VSF segment, we have operated utilized capacity at close to 95% this quarter. So you mentioned that in June, we operated 100%. So next leg of expansion in terms of brownfield, I'm not talking about debottlenecking, but a major brownfield expansion maybe lined up again in parallel with the paint CAPEX which we're already executing?

Ashish Aduki: You're talking about caustic expansion.

Prateek Kumar: VSF expansion.

H. K. Agarwal : Yes. We would love to do that, Prateek, but for the time being that is not immediately on the drawing board. So, we have to see and at the same time we have to optimize and balance the CAPEX, debt equity, debt EBITDA and other new businesses. And this is a capital allocation challenge/strategy. So, yes, but sure we are aware of this situation, and we are continuing to develop our market and at the appropriate time, definitely we will draw the plans.

Prateek Kumar: And in general, I mean we operated like at 95% and for the full year, we should assume now we should have like an 95% utilization for VSF capacity of 824,000 for the segment.

H. K. Agarwal : Yes, we would love to do that, but there may be some in between headwinds, like we had this pulp supply situation, which affected production at some of our plants for few days or weeks or something like that. But barring such an unforeseen situation or some severe market thing, because we are living in such volatile conditions. So, if things remain normal, Grasim Industries Limited
August 12, 2022

Page 7 of 9 then yes, we have been always operating in high 90s or like above 90s. So that is our attempt and target for sure.

Prateek Kumar: Sure, sir. And on CAPEX, one more follow up. So, like we have given for paint INR 10,000 crore, to be at INR 2,000 crore for B2B, but for other ongoing businesses, I mean, while you mentioned that this is a capital allocation question, but over FY 23 to FY25, what kind of CAPEX which we may want to do over FY 23, '25, and maybe what is the kind of net debt to EBITDA we may want to achieve?

H. K. Agarwal: For a particular business, your question is...

Pavan Jain: Other than paints, you are talking of other than paints in B2B?

Prateek Kumar: No. So, I mean, frankly, I mean, by FY 23, CAPEX number was not announced till now because it was not approved as was suggested in last call, but it appears like a bit high to us at least. So, like standalone CAPEX if we see over next three years, besides the CAPEX on paints and B2B, what kind of CAPEX we might be doing over, I mean, like VSF, chemical and other businesses?

Ashish Adukia: Sure. I think, let me first explain the CAPEX that we've given out for this year. I think in terms of guidance, we'll continue to give the annual CAPEX rather than trying to give next two, three-year guidance. But you asked about this year guidance. Now Mr. H. K. Agarwal highlighted the three categories of CAPEX that we have in VSF, which is debottlenecking a small portion, the spillover of Vilayat expansion. And then the balance is modernization and maintenance CAPEX now modernization and maintenance CAPEX also includes some of the projects that we are going to take up, which are not going to be a recurring CAPEX. It'll be one time, for example, in the past, we've talked about carbon absorption plant, etc., to be put up in all our four sites of VSF. So those are large CAPEX, but that will not recur after once it has been put. So therefore, that figure is slightly on the higher side.

In chemicals, you have eight sites and in all those sites you keep putting up either Chlor - Alkali, which we have announced, then there are VAP projects, chloromethane, etc., that we have already announced, like ECH. Then the third is power, both renewable as well as in some places where it is critical you need to put up something to enhance the capacity. So, we are doing that. So those are the three categories in the main strategic CAPEX, and then there is maintenance CAPEX. So, these are the things that are forming part of the INR 3,000 odd crore that you've seen.

Prateek Kumar: Annual maintenance CAPEX is how much?

Ashish Adukia: See, I think it varies, like I said, that environment related CAPEX may not be recurring once you put up a particular type of equipment, but somewhere around INR 1,000 crore to INR 1,500 crore that range you can assume for Grasim.

Prateek Kumar: So, we are anticipating a very large CAPEX in FY 24 for paints, because we are assuming that in FY 25, we should launch our product. And we have like INR 1,000 - INR 1,500 crore

basic CAPEX, which we should have anyway. So next year also pretty much we should have like an INR 6,000 crore kind of CAPEX for Grasim standalone operations?

Ashish Adukia: So early for us to comment when the Board approves the numbers, we will definitely share with you. Directionally, yes, there will be large paints CAPEX next year along with other CAPEX.

Moderator: We have a question from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: Sir, first question is on taking on this VSF margin with in this quarter value added product was relatively low and you said that one of the factors was also seasonality softer. So, going ahead if we improve this value added product, so how much can it, I mean, give support to our profitability?

Grasim Industries Limited

August 12, 2022

Page 8 of 9

H. K. Agarwal: VAP accounts for roughly 20% of our total sales in this quarter and our attempt is to always increase the VAP, volume and percentage share in our total product mix and VAP normally on an average on a premium in terms of pricing about 20-15% over normal standard price. But still, it'll take time. It is not that we can increase the VAP volume, or VAP share overnight. It is a very slow process because approvals by the brands and then value chain and all these things. And then there is a competition it is not that VAPs are without any competition. So, it is a long process and we have been working on developing VAPs and directionally we will continue to increase VAP. So, the effect will be slow, but it will be slow and steady.

Bharat Sheth: Okay. But some extent, I mean, in quarter-over-quarter, this quarter, particularly our volume was low vis-à-vis Q4. So again, to last year normal this year there will be some addition will be there.

H. K. Agarwal: Yes. This year we are seeing lot of volatility in international markets, VAPs are also like from Grasim point of view almost 50% domestic, 50% export oriented and international markets are seen more headwinds in overall textile business. So difficult to say with specific thing that how much will be the increase or what will be the volume this year.

Bharat Sheth: Okay. Coming on the chlorine, I mean, chemical side in Chlor-Alkali we say that prices are declining, but I understand this year, I mean, in this quarter, our captive consumption has increased. So, chlorine, which used to contribute little negative margin. So how do we see the current year?

Jayant Dua: See our caustic integration is largely our internal

consumption is on caustic side chlorine is

all, which is either used in our own labs or produced in metochloric acid outside to our ancillary or sent out to the market. And chlorine at this point of time is trending on negative, has been for the last two or three quarters now. And interestingly, our chlorine integration, if I look at as a sum of all three is 60 odd percent today. And 40% is what we call is a merchant sale of chlorine. So, chlorine prices you've got segments like pigments and dye stuff, which are impacted because of the European situation where a large export happens. Also, so there are some positives which happen in some industries of pulp and paper has gone up because of the school opening where pigment and dye stuff went down, water seasonality is there. So, in monsoon you will see large more of sanitization product sales go up post monsoon, they start coming down.

So that's a continuous business operation cycle, but currently I think the way we look at it is 60% chlorine integration internal, 40% is merchant sale. Currently chlorine is running negative and the trend is at the moment that it continues to run negative because of the entire chlorine demand, which probably needs to pick up more than what it is today.

Moderator: We have a next question from the line of Vihang Subramanian from Zaaba Capital. Please go ahead.

Vihang Subramanian: Apologies if it's being asked before I just got disconnected in the middle. So, on the paint side of the business, just wanted to understand on a broad strategy perspective, what would be the strategy there? Like, because I mean, given that we have already two large

incumbents, like would our strategy be based on pricing?

Ashish Adukia: Rakshit you are on the call, would you like to take?

Rakshit Hargave: Yes, I am on the call and I would like to answer that, obviously, when we have thought to enter this market, we have a specific plan, but you would appreciate that at the moment, we would not want to share anything about it and it is confidential. But the team is obviously confidently working on it. I hope that is enough.

Vihang Subramanian: I mean, any details you could give, which would be like helpful I would be like appreciate.

Grasim Industries Limited
August 12, 2022

Page 9 of 9 Rakshit Hargave: I would really want to avoid any forward-looking statement on our strategy in terms of what we are going to do to keep it very proper, but obviously we have a plan and it is well thought out.

Vihang Subramanian: Sure. And just from a timeline perspective, like if I understand correctly, FY 25 is when we would be looking at some kind of revenues come through, is it?

Rakshit Hargave: Yes. Like we disclosed last time, the last quarter of next FY.

Vihang Subramanian: Right. So Q4FY24 then. Okay.

Rakshit Hargave: Yes.

Moderator: I would now like to hand the conference over to Mr. Ashish Adukia for closing comments. Over to you, sir.

Ashish Adukia: Yes, sure. Before the closing comment, I just want to clarify one comment I mentioned on renewable. So renewable our target is 25% by FY 30 and not 30% by FY25. So, apologies for that confusion. So, this is my last call. And as I hand over to Pavan I wish him all the luck. I've had great three years. We did some good strategic improvements. We launched not launched, but we incubated paints. We sold fertilizer. We are in the process of incubating B2B e-commerce. We've stepped up the dividend. So hopefully we've made you happy. And we are always here to listen to you and see how we can improve and address your concerns. So, thanks a lot.

Moderator: On behalf of Grasim Industries Limited that concludes this conference. Thank you for joining us

and you may now disconnect your lines.

Call: Nov 2022

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Ref No. GIL/CFD/SEC/23/131 /SE 16th November 2022

BSE Limited
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Fort, Mumbai - 400 001
Scrip Code: 500300
The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: GRASIM

Dear Sirs,

Sub: Transcript of Q 2 FY-23 Earnings Conference Call

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015, please find attached transcript of the Q 2 FY-23 Earnings Conference Call held on 14th November 2022 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q2fy23.pdf>.

Thanking you,

Yours sincerely,
For Grasim Industries Limited

Sailesh Daga
Company Secretary
FCS - 4164

Encl: as above

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"Grasim Industries Limited Q2 FY23 Earnings
Conference Call "

November 14 , 2022

MANAGEMENT : MR. H K AGARWAL – MANAGING DIRECTOR , GRASIM
INDUSTRIES LIMITED
MR. PAVAN JAIN – CFO, GRASIM INDUSTRIES
LIMITED
MR. JAYANT DUA – CHIEF EXECUTIVE OFFICER ,
CHEMICAL DIVISION , GRASIM INDUSTRIES LIMITED
MR. RAKSHIT HARGAVE – CEO (PAINTS BUSINESS),
GRASIM INDUSTRIES LIMITED

Grasim Industries Limited
November 14, 2022

Page 2 of 16

Moderator : Ladies and Gentlemen , Good day and welcome to the Grasim Industries Limited Q2 FY23 Earnings Conference Call. We have with us today Mr. H K Agarwal – Managing Director, Grasim Industries Limited, Mr. Pavan Jain – CFO, Grasim Industries Limited, Mr. Jayant Dua – Chief Executive Officer, Chemical Division, Grasim Industries Limited, Mr. Rakshit Hargave – CEO, Paint Business, Grasim Industries Limited.

As a reminder , all participants are in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference , please press '*' and then '0' on your touchtone telephone . Please note this conference is being recorded.

It is now my pleasure to introduce your host and I would now like to hand the conference over to Mr. Pavan Jain – CFO. Thank you and over to you, Sir.

Pavan Jain : Good evening and very warm welcome to all of you to this earnings call of Grasim Industries for Q2 FY23. As you all know the global macro environment is passing through difficult times , we are witnessing inflation levels especially in the developed economies not seen in the decades , tightening of monetary policies by Central Bank across countries is leading to recessionary market conditions in many parts of the world. The ripple effects of the ongoing Ukraine -Russia war and COVID induced lockdowns by China are adding to the challenging situation across the world. On the positive side the Indian economy is showing resilience supported by the domestic consumption and expected to be the fastest growing large economy.

Coming to the company level key initiative , as said earlier Grasim is investing for building its new growth engines in the form of two new high growth businesses namely Paints and B2B ecommerce. With our grit, we are on track for commissioning our first paint plant by Q4 FY24 and remaining plants by FY25 in a phased manner. Construction is in progress at 5 of the total 6 sites for the paint business. The statutory approval is expected to be in hand soon for the remaining one plant. Other activities for the launch of the business are progressing parallelly. Progress on the B2B ecommerce business is also on track for commercial launch of minimum viable product -1 that is MVP -1 by Q2 FY24. Product categories to be covered by the platform includes cement, steel, doors , windows, kitchen , electrical, paints, sanitary ware, plumbing and tiles. The leadership team hiring is ongoing and expected to be in place by Q4 this year. Simultaneously technology partners for the platform are being finalized.

In our existing businesses the board has approved an additional Capex of Rs. 565 crore out of which approx. 382 crore is expected to be spent in the current financial year and the remaining will be rolled over to the next year. The additional Capex is mainly towards investment and purchase for chemical business for chlorine VAPs expansion and debottlenecking in our pulp plant at Harihar that will take the capacity of the pulp to 260 TPD making the Harihar unit a fully integrated VSF

Grasim Industries Limited
November 14, 2022

plant. The debottlenecking will marginally increase the pulp integration by 2% taking it to approx. 37%.

On the ESG front in line with our commitment to cut carbon emissions the chemical business now sources about 10% of its power requirement from renewable power which will increase to 14% by Q1 FY24. Advance material business is implementing a plan for sourcing 100% of its power requirement from renewable energy by Q1 FY24. The textile business has increased the share of renewable power to 15.7% in H1 FY23 if we compare it with FY20 which are 0.8% it is a significant increase. VSF business has consecutively for three years maintained its leadership position in Canopy's

Hot Button Report 2022 by securing the highest category that is dark green shirt. Grasim focused approach to our sustainability initiatives has led to a substantial improvement in Standard & Poor DJSI score at 88 percentile for FY22 compared to 76 percentile of previous year.

I will now briefly touch upon the key operational and financial highlights for the quarter. This quarter has not been good for MMCF industry globally and we have been no exception to this. VSF business reported revenue of Rs. 3,241 crore and EBITDA of Rs. 212 crore, EBITDA is declined by 59% YoY. The decline in EBITDA is majorly because of lower demand due to subdued market conditions in the developed economies on account of inflationary recession and the increase in the cost of key inputs such as pulp, caustic soda and coal. The high cost of caustic soda is reflected and offset by the higher profit of the chemical business of the company. The VSF sales volume dropped by 14% on QoQ basis due to demand slowdown and cheaper imports from Indonesia and China. Grey VSF September '22 exit prices were down by 9% compared to June exit prices.

Cotton prices declined by 24% in comparison of quarter end exit prices. Considering the prevailing demand conditions in the VSF business the company has rationalized the capacity utilization at approx 70% for VSF phases. The VFY business reported a strong performance for increased sales volume recording a growth of 31% YoY, higher consumer demand in the domestic markets supported by the festivals and wedding season has augured well for the VFY business. On the positive side the chemical business reported yet another quarter of robust performance recording an EBITDA of Rs. 609 crores in Q2 FY23 on the back of higher caustic soda sales volume which increase by 17% with a stable demand environment and better ECU realizations.

International caustic prices have declined on QoQ basis due to increased availability on account of easing of supply chain disruptions. ECU for Q2 FY23 stood at 49,503 per MT which is an 89% increase on YoY basis, but an 8% decline on QoQ basis in line with the global trend. Over supply and low downstream demand impacted chlorine realizations which continues to be in the negative territory. The total chlorine integration percentage including pipeline sales to our dedicated customers now stands at 61% which was 56% in Q2 FY22. Reaping the benefits of

Grasim Industries Limited

November 14, 2022

being a conglomerate on a standalone level revenues for Q2 FY23 stood at Rs. 6,745 crores which is an increase of 37% YoY and the quarterly EBITDA of Rs. 1,712 crores and PAT before exceptional item at Rs. 1,052 crore are 14% and 11% up on YoY basis. Here I would also like to say that both EBITDA and PAT for the quarter at standalone level the highest ever quarterly number for the company.

Consolidated revenue for quarter is up by 22% YoY at Rs. 27,486 crore led by robust revenue growth of both key subsidiaries that is Aditya Birla Capital and UltraTech Cement. Consolidated EBITDA at Rs. 3,783 crore was down by 12% YoY mainly due to cost pressure at UltraTech Cement. As of 30th September 2022, the company continued to be at zero debt with a net surplus of about Rs. 230 crore with the large growth investment plans the company is well positioned to participate in the high growth trajectory of the country.

I would like now to hand over the call back to the operator for Q&A. Thanks a lot to all of you for joining this call today.

Moderator : Thank you very much. Ladies and gentlemen we will now begin the question-and-answer session. The first question is from the line of Sumangal Nevatia with Kotak Securities. Please go ahead.

Sumangal Nevatia : My first question is with respect to the increase in C apex so there is 380 odd crore increase this year both under the head of existing capacity increase, so if you can

just explain what is the

capacity increase and debottlenecking incrementally happening with this C apex both in VSF and chemical I mean there were some discussion in opening remarks, but if you could just elaborate

on that it would be very helpful?

Pavan Jain : The new C apex proposal approved by the board are for two main projects. One is expansion of our pulp capacity which we have a pulp plant at Harihar . So, from 210 TPD current capacity it will be increased to 260 TPD with this our Harihar VSF plant will be fully integrated in the sense we will have full pulp requirement made by our own pulp plant so that is one part. The second part is we are acquiring a large land at Vilayat location to take care of our plans for the value-added product expansion in the chemical business. See currently , our Vilayat land is almost fully utilized and we will need the new land parcel for the plans under our VAPs business. So, these are the two major projects. The capacities will take time to come up the spending will start happening from this year, but like VSF the pulp plant will take about two years to this 50 TPD increase.

Sumangal Nevatia : Sir for the chemical division 250 crore, 260 crore kind of a increase in FY23 it is entirely the land acquisition which we are building?

Grasim Industries Limited

November 14, 2022

Page 5 of 16

Pavan Jain : Yes, The land is at Vilayat , currently land parcel is fully utilized and we will acquire this land for all our future expansion requirements.

Sumangal Nevatia : And for the VSF for the pulp what is the total expenditure I mean 100 odd crore I see an increase in FY23, but what would be the total expenditure towards this increase in capacity for pulp?

Pavan Jain : Out of which current year spending will be about Rs. 85 crore, Rs. 90 crore.

Sumangal Nevatia : And total you said sir?

Pavan Jain : 227 crore.

Sumangal Nevatia : My second question is more from a longer-term perspective on the VSF versus cotton prices and if we see last 6 months VSF prices are outperforming cotton in the downfall, but before that VSF prices under performance the cotton rally for a period of 18 months to 24 months, so going forward if you could just share some perspective as to how should we see the normalized trend between cotton and VSF and our expectation for VSF prices in the coming quarters?

H. K. Agarwal : Cotton and VSF prices are directionally correlated they generally move in the same direction, but the extent of increase in one does not necessarily reflect in the same increase in the other.

So, as you said last one and half years cotton prices was rising much faster or much more compared to VSF. So, VSF has its own dynamics of capacity and demand and cotton has its own dynamic. This time cotton prices have corrected much sharply, but VSF prices have not corrected to that same extent. So, a similar situation is expected to continue. We do not expect VSF prices to correct in the same proportion or same extent as cotton prices. Cotton is more speculative, more volatile.

Sumangal Nevatia : So, can we conclude that the demand supply prospect and the market balance prospect of VSF currently which is appearing to be much stronger than the cotton market?

H. K. Agarwal : See this is not just the demand supply situation, but also a play of market expectation. So, now everybody , the brands are expecting the prices to be volatile what they are having and their inventory of garments, so they are not releasing orders and people are expecting prices to go down more or remain soft and in this high interest regime people are very careful in building up inventories rather inventory correction is happening. So, there are many factors in saying it is not just simple demand and supply alone.

Moderator : Thank you. We have the next question from the line of Navin Sahadeo with Nuvama Institutional Equities . Please go ahead.

Grasim

Industries Limited

November 14, 2022

Page 6 of 16

Navin Sahadeo : Just talking out the previous question about VSF while your presentation and of course even the global data suggested that VSF prices are on a decline, but is the understanding correct that for us the net realizations are actually slightly higher sequentially?

H. K. Agarwal : Sequentially the realization is mostly flat . Internationally prices have come down, but Indian rupee depreciation has also helped to nullify that, but the international prices and the general tendency of the prices is towards softening.

Navin Sahadeo : So, even then we have outperformed largely I mean the realizations for us has outperformed the global prices largely because of currency depreciation is that the correct understanding ?

H. K. Agarwal : Yes.

Navin Sahadeo : And just on this I think the current spot prices are much weaker than even the exit prices which presentation phase were down by about 4 odd percent, so is it again safe to really expect that of course medium term can be good, but the immediate quarter which is let us say the December quarter can be further margin compression sequentially because the way the spot prices are?

H. K. Agarwal : This is a very reasonable expectation and interpretation of the current situation.

Navin Sahadeo : My second question was on the paint segment and this was more to get like conviction or confidence in that business since it is a new business for us, so when you say that the pilot plant has started, can you give more color as to what exactly does it mean are we doing a test marketing in certain regions or what exactly does this mean what is the capacity of this pilot project and when we say Q4 commercial production Q4 FY24 the commercial production is expected to start what would that capacity be?

Rakshit Hargave : As far as the pilot plant is considered obviously it is a small plant expected to make test quantities because launching for the first time we would want to validate all the products in the market and as far as the first factory that we are talking about going online in December '23 as we had disclosed that we are setting up 1.3 billion milli liter per annum capacity the first factory would be in the range of about 200 to 220 odd million liter per annum.

Navin Sahadeo : But are we then also saying that we will be starting appointing dealers and the brand roll out also happens now to see the test success of it or how exactly do we get confidence on this ?

Rakshit Hargave : Like we had said that the launch can only happen once when the actual factory is commercialized so it will follow the timelines likewise.

Navin Sahadeo : But when you say pilot project as in we are going to check the viability of the project is dropped that's what you say ?

Grasim Industries Limited
November 14, 2022

Page 7 of 16

Rakshit Hargave : No, the pilot plant is for testing the product performance on validity it is for that purpose it has got nothing to do with the commercialization.

Moderator : Thank you. We have next question from the line of Pinakin Parekh with JPMorgan . Please go ahead.

Pinakin Parekh : Sir, my first question is on the CAPEX so the press release mentioned CAPEX roughly of 6,700 crores versus first half spent of 1,500 crore so that implies second half of roughly 5,200 crores.

Now Grasim standalone was net cash balance sheet of just 500 crores, so in the second half of the year would it be fair to say that there could be additional borrowings to fund this CAPEX or will basically Grasim run down is the existing treasury operations to fund the second half CAPEX ?

Pavan Jain : So, that will depend upon the speed of spending, but we will look at the opportunities if I mean , if there are good opportunities to borrow we will do borrowing and if the current volatility in the interest rates are good enough to liquidate some part of the treasury we

will do that. So, net -net

we do not expect to be net zero debt by year end. We will have some net debt on the balance sheet by year end.

Pinakin Parekh : So sir just trying to understand that the second half CAPEX implies more than a tripling of the first half CAPEX so in terms of the spending what are the downside risk to this actual to the budgeted program because this is a very sharp step up in spending that the company proposes?

Pavan Jain : There is a possibility of some slowdown in the spending, but there may not be any material difference see what happens now generally the approvals and ordering etcetera take place in mostly Q1 and Q2 the actual work starts now in the second half.

Pinakin Parekh : And sir just a clarification on the paint business so the pilot plant is scheduled sometime this year and the first plant gets commissioned in Q4 FY24 in terms of the launching of the brand for the paints business and the marketing and the brand building should we expect that to happen after the first plant is commissioned so that would be more like FY25 or would that start in the next two quarters before the first plant gets commissioned just trying to understanding the sequencing of that part of the launch?

Rakshit Hargave : Yes so if I might add the brand launch can only happen with the product launch which will start with the factory and we will adhere to that schedule.

Pinakin Parekh : So, it is fair to say it will happen only after the first plant get commissioned in the fourth quarter FY24?

Rakshit Hargave : Yes.
Grasim Industries Limited
November 14, 2022

Page 8 of 16

Moderator : Thank you. We have the next question from the line of Neerav Gemodia with Anvil Research . Please go ahead.

Neerav Gemodia : I have a question on the chemicals sir your presentation says that we have been able to increase our VAP production substantially because of commissioning of CMS capacity which happened in October 2021, so if you can just let us know what is the capacity utilization of the CMS plant in Q2 FY23 and along with that if you can help us explain what was the increase in the EBITDA of VAP in H1 FY23 versus H1 FY22 even if a percentage margin would help?

Jayant Dua : The CMS plant was actually a verticals start up . I think we have reached 85% capacity within the first quarter of its launch which was October. So, by December or January of the production

we were able to reach about 85% mark and we have been hovering at that capacity utilizations ever since depending upon market reaction between 90% to 80% is what we want that prior to your first question. The second one in terms of the differential and your margin of VAP give me a minute and I will just put the data out. See at the end of the day we got about let us say we have got about 20% odd or 20% to 30% odd jump on our EBITDA on the VAP side because the VAP side actually runs into multiple products. It is actually by around 20% to 30% why I set it up for a simple reason that chlorine has been highly impacted in the Quarter 2 on its negative pricing.

Neerav Gemodia : But sir when we transfer the chlorine from the caustic to the VAP side that happens on a transfer pricing I believe so because in Q2 we have seen chlorine prices going as high as negative up to Rs. 9, Rs. 10 also, so would not that have been captured in the incremental VAP profits?

Jayant Dua : Your point is absolutely fair see what happens is the caustic is running on higher realization in the market. Everybody has been producing caustic at the cost of chlorine being sold at a high negatives or else you might be in a situation where you are transferring the market price the chlorine negative price to your products. So, are the others doing at the same level and there has been a lot of intensity and compensation on the chlorine derivative side with that of chlorine. So, both of them have seen a subdued margin compared to Q1

Neerav Gemodia : So, what you mentioned is as compared to last H1 this H1 we have seen actually 20% to 30% decline in VAPs profit this is what we have been trying to say?

Jayant Dua : While our volumes have gone up, our margins have come down, but it gets more than adequately compensated with the caustic prices. Today we are going between the two, three of them.

Neerav Gemodia : The second question is on the epoxy as well as the ECH C apex, so if you can just let us know the timeline of the commissioning of both the projects. What is the total C apex for both of them and how much we have spent till date and now related question is because you have mentioned that we have seen the specialty share of epoxy share going up in the overall portfolio this quarter,

Grasim Industries Limited
November 14, 2022

Page 9 of 16

so if you can just help us explain what is our current share of specialty epoxy in our overall epoxy sales and once our new capacities would be commissioned how that mix would look like?

Jayant Dua : Let me give you the commissioning time of the epoxy and ECH separately. For epoxy it will be Q1 of FY24 and for ECH it will be Q1 of FY25 that is what the timelines are see at the moment largely both the plants are just at the moment closing on their negotiations for capital equipment could not a lot of material amount of C apex has been spent and as Mr. Jain was saying largely the C apex front will come in the H2 part is when the true ordering will be happened. Here you are mostly closing the negotiation and the technology climax.

Neerav Gemodia : Sir but if you can just run up on the total C apex that needs to be spent on both the projects cumulatively that would be helpful?

Pavan Jain : So, epoxy of the total spending of the doubling of the capacity would be about Rs. 360 crore and ECH would be somewhere around 454 crores.

Neerav Gemodia : And sir my question on the specialty epoxy if you can just give some understanding on the same that would be helpful?

Jayant Dua : The specialty part of epoxy is doing very well it is in the range of 30%, 35% as October.

Neerav Gemodia : And is it safe to assume that once we double our capacity that mix would continue to remain at those levels or that mix would see an upward take once those incremental capacities would be in place?

Jayant Dua : I think it is a question a little premature to answer at this moment logically yes the pick would be on the positive side, but very difficult to put a number or a figure today on it.

Moderator : Thank you. We have next question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar : My first question is a book keeping question data on VFY segment revenue and EBITDA for the quarter?

Pavan Jain : See we are not giving separately numbers of VFY, EBITDA and revenue, etc., but as I told you the VFY volumes are doing well, VFY volumes are up by 31% this quarter on YoY basis and the cost increase in the VFY we have been able to pass on because of the good demand condition.

Prateek Kumar : So, this quarter onwards you will not be giving VFY data because the last quarter we were giving the data?

Pavan Jain : I do not think we have separately given in VFY data.

Grasim Industries Limited
November 14, 2022

Page 10 of 16

Prateek Kumar : So, we were giving every quarter this data since ever?

Pavan Jain : We will possibly share that I think let us recheck that. So, the VFY business on the directionally

let me share with you the VFY business has done well during this quarter their EBITDA is up and the volumes are up the prices they are able to pass on the cost increase in the realization s.
Prateek Kumar : My second question is on like on C apex so second half if hypothetically if we see some lower Capex versus projected C apex of over 5,000 crore could that impact the timeline for first plant of paints in 4Q FY24 or it could be rela

ted to some other projects?

Pavan Jain : No, the paints we have already told you the first plant will be commissioned in Q4 next year so that we are on track. For the existing businesses especially on the modernization and normal maintenance CAPEX there may be some slowdown or some delays and which actually rolled on to the next year, but there may not be a large difference between what we have already projected versus actual.

Prateek Kumar : And one question on VSF profitability the profitability have slipped to be low Rs. 15 per kg this quarter closure to Rs. 10 per kg so this seems to be the second lowest or third lowest kind of profitability in many quarters leaving aside the COVID quarter of Q1 21, how should we like sort of look at this profitability let us say beyond Q3 which expected , we look at the profitability in the segment?

H.K. Agarwal : See VSF profitability is expected to remain under pressure for the time being because input prices remained elevated and in line with the cotton are sentiments are depressed and is also affected by continuous lockdown in China and slow down in demand in Europe and USA which are the major textile consuming countries centers. So, for the time being VSF margins will most likely remain subdued.

Moderator : Thank you. We have the next question from the line of Vipul Shah with Sumangal Investment . Please go ahead.

Vipul Shah : So, my question is how do we calculate ECU per ton means only chlorine is included in the bio product means 1 ton of caustic soda produces how much chlorine?

Jayant Dua s: So, ECU is calculated as a function of the caustic both liquid and solid also chlorine and then hydrochloric acid and the formula for chlorine production is 1 ton of cost is between 0.8 -0.9 tonne of chlorine.

Vipul Shah : So, there we are carrying negative carry as on today?

Grasim Industries Limited

November 14, 2022

Page 11 of 16

Jayant Dua : Calculate it on your own if one ton produces close to 0.9 and that is running in positive and one is running at Rs. 9 to Rs. 10 negative as stated in our page that you can figure out.

Vipul Shah : My second question is we are totally self-sufficient as far as pulp is concerned for our VSF business or we have to purchase any pulp from the market?

H.K. Agarwal : So, we do have to purchase pulp from the market . Our integration is in the range of about 35% and we have long term arrangement with our JV's demand supplier and we have formula based pricing so we do have to purchase pulp from outside to that extent about to that.

Vipul Shah : So, only 35% we are integrated?

H.K. Agarwal : Yes.

Pavan Jain: I would like to add see we have our pulp JV one of the JV plant is paper grade pulp they manufacture paper grade pulp. So, we also sell that paper grade pulp in the market and at the same time we buy the DG grade our VSF grade pulp. So, if we add that then our integration goes to about 45%. So, we have a kind of hedging when we have the paper grade pulp which goes to the market and we buy the VSF grade pulp.

Vipul Shah : Any plan to increase our pulp integration our medium term?

H.K. Agarwal : We are doing a small debottlenecking at Haridhar, but of course it is a small thing and then we are working on plans for circularity where we will have plans to use cotton garments, but it is still sometime away, but that is the way to increase or reduce the need for virgin pulps.

Moderator : Thank you. We have the next question from the line of Aasim Bharde with Dam Capital Advisors. Please go ahead.

Aasim Bharde : Just one question wanted an update on your tie up with Lubrizol to manufacture CPVC resin, the tie up was announced in late 2020 and the first phase was supposed to start by end 2022, so what is the status on this one?

Jayant Dua : So, there was a change at management at Lubrizol that has led to a delay so there was about 12 months to 18 months where the new management

settled down and now things are back on track

and we expect that about 24 months the execution will be kind of over at their end that is the communication we have received from that.

Aasim Bharde : 24 months from today right?

Jayant Dua : Yes.

Grasim Industries Limited

November 14, 2022

Page 12 of 16

Aasim Bharde : And that would be for the first phase or the entire plant?

Jayant Dua : The first phase we are only talking first phase.

Aasim Bharde : And just lastly we are not spending anything over here this entirely their capital?

Jayant Dua : There is no capital burden on Grasim at all for this particular project.

Moderator : Thank you. We have a next question from the line of Jiten Doshi with Enam Asset Management. Please go ahead.

Jiten Doshi : I would like to ask you about your paint business what is the capitalized loss that you are projecting just before commencement what sort of interest losses would you capitalize prior to commencement?

Pavan Jain : The interest till the plant commissioning will be capitalized I do not have readily numbers at the moment. Rakshit do you have that interest stabilize number readily with you.

Rakshit Hargave : No, I do not have it readily available.

Pavan Jain : We can share with you separately.

Jiten Doshi : And sir I wanted to ask you that at full capacity what do you really estimate the paint business turnover because we are putting this Capex with some calculation, so roughly going by whatever Capex that you are putting in what should be your output in terms of top line at full capacity?

Rakshit Hargave : The way I would want to answer this question is that we have declared that we are setting up 1.3 billion liters capacity and you would know what is the percentage utilization capacity utilization in major paint company and then it becomes a function of pricing. So, I do not think that I want to disclose anything on how would pricing in the market develop once we come in and after a few years, but I think the answer lies in putting those docs together. So, we would not want to share in terms of what has been our assumptions on our business plan at the moment, but these are how the building blocks will look like.

Jiten Doshi : So, I assume that there will be some sort of a calculation which will be a return on capital employed number that I am looking for not really your strategy in terms of how you are going to price etcetera I am just saying what sort of return on capital employed can we expect let us say in year 3 not in year 1?

Rakshit Hargave : So, the way we are looking at is I would put is we are looking towards keeping the EBITDA losses to a reasonable amount and to become a profitable business as soon as possible.

Grasim Industries Limited

November 14, 2022

Page 13 of 16

Jiten Doshi : Just to get it would that full capacity would you be doing a 3x of gross block or what number can we factor in from the gross asset base?

Rakshit Hargave : I think Pavan maybe we could engage separately in terms of clearing these queries with whatever number we can share with them.

Pavan Jain : So, as of now it is very uncertain to give any kind of numbers of year 3 or year 4 or year 5. So, I mean we are still aware from the actual the product coming to the market and how for example input prices will behave and all that. So, it is note that year 1, year 2, year 3 kind of story we are in paints for the long haul. So, I think let us come to a stage where we can give you some kind of numbers on the paints business.

Moderator : Thank you. We have the next question from the line of Shalini Vasant from DSP Mutual Fund . Please go ahead.

Vivek : My question if we do a rough -cut mathematics the net debt goes up to about 2,000 crores as at March 23 . I just want to know whether that number is correct or is there a debt EBITDA guidance that you have for longer period of time as you undertake this last Capex that is question number

one and question number two is whether there is any working capital release that you anticipate in the second half given that fact that prices have come down and supply chain constraints have become less?

Pavan Jain : So, on the net debt -to-EBITDA see at the peak of the Capex once we are done with the paints Capex everything then we may have 2.7 - 3 kind of net debt to EBITDA that is our current estimate, but it will all depend upon how I mean the profitability plans out over the years that is one part and the second question was about.

Vivek : On the working capital release whether there is supply chain constraints have come down any working capital lease we have spent?

Pavan Jain : We do not want any large amount we are already working in VSF business for example on negative working capital basis and some kind of inventory built up is possible because of the demand slowdown in VSF business for example. So, not any large working capital release is expected in the current year. We are actually already doing a negative working capital level in our two businesses one in textile and VSF.

Moderator : Thank you. We have next question from the line of Neerav Gemodia with Anvil Research. Please go ahead.

Neerav Gemodia : Sir, my question is on the chemical side so I have two questions on the same sir you mentioned that we have been increasing our C apex and chemical size for increasing the capacities of the
Grasim Industries Limited
November 14, 2022

Page 14 of 16

VAPs, so once this land is purchased and we keep on adding those products on that infrastructure how much our chlorine integration would go up on the increased capacity of caustic soda?

Jayant Dua : I think we announced earlier last year in one of our calls that we are expanding our capacity from 1,000 tons to 1,400 tons at Vilayat . This purchase will only come used for the chlorine consumption of Vilayat plant. So, Vilayat plant at full capacity utilization let us say at a 90% capacity utilization of 1,400 and with this new land we will be able to reach I cannot give an exact number because to meet your time between 70%, 75%, 77% of total chlorine consumption.

Neerav Gemodia : And this includes our pipeline sales also?

Jayant Du a: Yes this includes the pipeline sales also this is the way our chlorine integration definition.

Neerav Gemodia : When we see our VAP sales I think from 2016 to 2023 if we see the chlorine integration I think it has almost double. So, from 1,62,000 a run rate of almost 3,30,000 tons, so once we come up with a new products at land what you mentioned is it fair to assume that the margins on a per kg basis would be higher for the new products vis -a-vis the existing basket of products we manufacture?

Jayant Du a: We still not go into any guidance of that at this point of time I think as and when we formulate our plans and put it up to the board the approvals will come through I think this will be a more pertinent question at that point of time because otherwise what we will be sharing would be our own internal discussion rather than approved discussion plan. We come to that question when we come to those approval stages.

Neerav Gemodia : And sir one more question if you allow and if you can share with you, so what was the average coal cost for us in Q2 FY23 vis -a-vis Q4 of FY22 so if we take Q4 of FY22 as a base what was the call cost for us in Q2 of FY23 for the chemical business even a percentage increase or a decrease would help us sir?

Jayant Dua : So, I would not know the coal cost because at the end of the day we look at this from a gross calorific value and its consumption, but from a Q4 of last year to Q2 of this year my estimate would be that would have the coal cost have kind of jumped by a year -on-year basis about 130% to 142% depending upon the country and if look at from a quarter -to-quarter it is between 6% to 10%. It

is a fairly high volatile scenario on the coal front as of now.

Neerav Gemodia : And sir small clarification on the VSF sales and the EBI TDA what you mentioned in your opening remarks so what you mentioned is Rs. 3,241 crores of sales and an operating profit of Rs. 210 crores this is what you mentioned in your opening remarks right?

Pavan Jain : Yes.

Grasim Industries Limited
November 14, 2022

Page 15 of 16

Moderator : Thank you. We have the next question from the line of Sean Ungerer with Chronux Research . Please go ahead.

Sean Ungerer : Just some questions focused around the VSF business in terms of the comments you made earlier about the VSF capacity having to be rationalized I think you said around 73% I am just confirming that number and secondly I guess you already sort of answered this, but more confirmation that its going to be lackluster for couple of quarters given your comments around margins being subdued that is my first question?

Pavan Jain : The current capacity utilizations are rationalized at about 70% and we expect the demands to be back sometimes maybe in next couple of quarters till then we will continue to monitor the situation and we will align the production levels accordingly.

Sean Ungerer : And just looking to current full year capacity that is coming around 824,000 tons with some planned C apex in general modernizations and anything else that capacity is going to increase further and its about when and how much?

H.K. Agarwal : There are small increases in the specialty products which is about 13,000 tons, but these are like third generation of VSF fibre and that is all about the capacity increase. There is not much capacity increase in the normal VSF. It is already debottlenecking.

Sean Ungerer : And then your comments around DP or dissolving with top integration into the VSF business earlier I think you said it is around 35%, is that pre or post the current debottlenecking that you got planned?

H.K. Agarwal : It is at full capacity.

Sean Ungerer : So, once the debottlenecking is done you get 35% integration is that you are saying?

Pavan Jain : Yes at the current capacity level it is about 35% integration and we are increasing the capacity as we shared at one of our Indian plant that will take the integration to about 37% of the capacity.

Moderator : Thank you. We have the next question from the line of Abhimanyu Kasliwal with Choice India Limited. Please go ahead.

Abhimanyu Kasliwal : Most of my questions have been answered so I just had two specific queries number one what is regarding your platform business the B2B business, what can you expect how do we forecast this business, will this be a game change in terms of revenues in terms of margins what is the company's expectation and my second question sir is the other income I have noticed that the pattern that is at September quarter there is a substantial jump up, is this the case or is it that the Grasim Industries Limited
November 14, 2022

Page 16 of 16

past three September for some reason it has just jumped up, how do we forecast the other income, what is the reason so these are my two questions?

Pavan Jain : First one is about the B2B platform. So, the B2B ecommerce platform is expected to be high growth business in terms of revenue and since it is a ecommerce business the margins are not going to be very large margins, but the top line could be very significant and our aim is to be one of the largest ecom players in B2B segments especially in the building material segment. So, that is the B2B ecommerce segment.

Abhimanyu Kasliwal : So, to interrupt would it be like an India Mart for building material is it a correct way to look at it?

Pavan Jain : Yes India Mart does I think industrial products we are on building material segment and we have the ecosystem for the building material business in the group. So, we have large kind of customers who are buying

buying cement from us or now they will be buying paint from us. So, the same ecosystem will be available for the B2B platform business.

Abhimanyu Kasliwal : So, we are expecting easy runs on the board from this one hopefully?

Pavan Jain : My next question is about your other income; see other income in Q2 will be significantly higher every quarter because we get the dividend from our subsidiaries and other investments. So, the large dividend income comes from UltraTech. So, for example, in this quarter about Rs. 628 crore has come from dividend or from UltraTech.

Moderator : Thank you. Ladies and gentlemen we have reached the end of the question -and-answer session and I would like to turn the conference back over to Mr. Pavan Jain for closing remarks. Over to you, Sir.

Pavan Jain : Thank you all for joining us for this call today and we will meet next quarter again.

Moderator : Thank you very much sir. Ladies and gentlemen on behalf of Grasim Industries Limited concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

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Ref No. GIL/CFD/SEC /23/172/SE 16th February 2023

BSE Limited
Dalal Street,
Phiroze Jeejeebhoy Towers,
Fort, Mumbai - 400 001
Scrip Code: 500300
The National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: GRASIM

Dear Sirs,

Sub: Transcript of Q 3 FY-23 Earnings Conference Call

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015, please find attached transcript of the Q 3 FY-23 Earnings Conference Call held on 14th February 2023 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q3fy23.pdf>

Thanking you ,

Yours sincerely,
For Grasim Industries Limited

Sailesh Kumar Daga
Company Secretary
FCS - 4164

Encl: as above

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"Grasim Industries Q3 & 9M FY-23 Earnings
Conference Call"

February 14, 2023

MANAGEMENT : MR. H.K. AGARWAL – MANAGING DIRECTOR ,
GRASIM INDUSTRIES LIMITED
MR. PAVAN KUMAR JAIN – CHIEF FINANCIAL
OFFICER , GRASIM INDUSTRIES LIMITED
MR. JAYANT DHOBLE Y – BUSINESS HEAD & CEO
(CHEMICALS , FASHION YARN & INSULATORS),
GRASIM INDUSTRIES LIMITED
MR. JAYANT DUA – CEO (CHLOR -ALKALI BUSINESS),
GRASIM INDUSTRIES LIMITED
MR. RAKSHIT HARGAVE – CEO (PAINTS BUSINESS),
GRASIM INDUSTRIES LIMITED

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the website on 14 th February 2023 will prevail.

Grasim Industries Limited
February 14, 2023

Page 2 of 16

Moderator : Ladies and gentlemen good morning and welcome to the Q3 FY23 Earnings Conference Call Grasim Industries .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Panchmatia – Head (Investor Relations). Thank you and over to you sir.

Ankit Panchmatia : Thank you Rutuja. Good afternoon to all the participants joining Grasim Industries Q3 and nine-month FY23 Earnings Call.

First and foremost , safe harbor. This conference call may contain certain forward -looking statements about the Company which are based on the beliefs , opinions and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and related risks and uncertainties that are difficult to predict .

From the management side we will be hearing from Mr. H .K. Agarwal – Managing Director and Mr. Pavan Jain – Chief Financial Officer. Also joining the call , we have a leadership team from key businesses , Mr. Jayant Dhobley – Business Head and CEO Chemicals , Fashion Yarn and Insulators, Mr. Jayant Dua – CEO of Chlor-Alkali Business and Mr . Rakshit Hargave – CEO of Paints.

So, without taking much time I hand over the call to Mr. Pavan Jain for his Opening Remarks , overall Financial Performance and brief Overview of Business Performance , post which we will open up for the Q &A. Over to you sir.

Pavan Jain : Thank you Ankit and good afternoon , everyone. We welcome you all to our Quarter 3 Earnings Call. I hope you had the chance to go through our Investors Presentation and Press Release uploaded on stock exchanges and Company website. The Investor Presentation gives a comprehensive insight on the Company 's quarterly results.

To start with I would like to state that the Financial Year '22-23 is a momentous year for us as the Company completed 75 years of its glorious existence . Despite multiple headwinds in the domestic as well as international markets and demand slowdown , this quarter would be the third consecutive quarter where our consolidated revenue on trailing 12 months is trending above milestone of Rs . 1 lakh crore which could be a prelude to where we would be ending our financial

Grasim Industries Limited
February 14, 2023

Page 3 of 16

year '23. The key to this resilient performance is our well diversified business model which

provides much required stability across various business cycles.

Over 75 years of its existence Grasim has been able to build global scale businesses through continuous innovation, investments in capacity building and new high growth opportunities. We have demonstrated revenue and PAT growth of 15% CAGR on consolidated level since FY20. At the standalone level the Company has achieved an even better growth rate of 18% revenue at revenue and 34% CAGR for PAT since FY20. We are very excited to start a new phase of growth journey through our investments in two new high growth businesses that is Paints and B2B e-commerce and innovation led growth in our existing core businesses. Each of these businesses are leading players in their respective segments, which aligns to our strategy to be a market leader in every business we invest or operate in. We constantly work on providing the market with new products through innovation aimed at providing better customer experience and adopting sustainable manufacturing processes. We continue to rethink, revisit and reengineer our manufacturing processes for operational excellence to remain most competitive in respective businesses.

esses.

Aligning with the industry We are now classifying our erstwhile chemical advanced material business which is epoxy polymers and curing agents' business as specialty chemicals. In the era where CFOs are rethinking on capital allocation strategies in order to remain agile as well as focus on long term value, Grasim has well defined metrics and strong internal ROI benchmarks to assess evaluate critical and non-critical investments. That our core and established businesses continue to generate free cash flow across business cycles is a testament to the sales. We have committed to creating large-scale new businesses, leveraging our financial strength and consistent cash flow generation. As you are well aware, Grasim is investing in two new high growth businesses. For that we have announced a Rs. 10,000 crore allocation to decorative paints business which would establish us as a strong #2 player in terms of capacity once all the capacities are operational by FY25 end.

Happy to share that plant's construction of paints is progressing well across our six sites which would establish our reach on pan India level. The brand identity, design advertising and launch portfolio are progressing as per schedule. The CAPEX spend is also progressing on expected lines with total investments of more than 1,800 crores till date. Commercial launch is on schedule in Q4 FY24 as per plan. For B2B e-commerce plan, we are happy to share while the full-scale rollout is expected from H1 FY24 in a phased manner across different geographies, the pilot operations have begun in the current quarter.

On the sustainability front Grasim's strategy has been appreciated by one of the globally recognized ESG expert that is MSCI with a rating upgrade by 1 notch to BBB. The Company is committed on its long-term sustainability strategy and have taken various initiatives in this regard across businesses as detailed in our presentation.

Grasim Industries Limited

February 14, 2023

Page 4 of 16

Coming to operational and financial highlights for the quarter :

The consolidated revenue for the quarter is up by 17% YOY at Rs. 28,638 crores led by robust revenue growth of both key subsidiaries UltraTech Cement and Aditya Birla Capital.

Consolidated EBITDA at Rs. 3,834 crores is down by 7% mainly due to inflationary cost pressures at UltraTech as well as at standalone businesses. Standalone revenues grew by 7% YOY for Q3 FY23 at Rs. 6,196 crores and EBITDA stood at Rs. 580 crores and PAT Rs. 257 crores.

This quarter witnessed ripple effects of global demand slowdown. As you all know globally, we are viewing recessionary market conditions because of the prolonged geopolitical issues, COVID induced lockdowns by China added to the challenging situation across the world. While India centric demand was stable, the overall demand was affected by decline in exports led demand across value chain partners. Putting some context to this, Indian textile exports registered its 6th consecutive de-growth over July to December 2022 timeframe. On nine months basis for FY23 the industry export in rupee terms has registered a de-growth of 10% YOY. With lifting of COVID led lockdowns in China and further improvements in the demand sentiments there are signs of recovery as we speak. However, the volatility and inflationary pressures continue to impact the margins. During the quarter China continued to operate its plants at utilization rates which were below breakeven levels impact the realization trends across geographies including India.

Viscose industry faced challenges globally and India was no exception. Our viscose business reported revenue of Rs. 3,182 crores and EBITDA at Rs. 63 crores recorded a de-growth of 84% YOY basis. The decline in EBITDA is majorly because of the lower demand due to subdued market conditions in the developed economies, inflationary pressure

s resulting in the cost

increase of key imports such as pulp, caustic soda and energy. A further 19% decline in global cotton prices on QoQ basis impacted VSF prices adversely. Gre y VSF December 22 exit prices at \$1.53 per kg were down by 15% compared to September exit prices of \$1.81. Average prices of fiber for the quarter stood at \$1.59 per kg. However, as the current rates are unsustainable for majority of the players there are signs of bottoming out of the prices. Our VSF sales volume drop by 3% on YoY basis due to demand slowdown and low-price exports by Indonesia to India at zero import duty in India. The viscose filament yarn is sported a stable performance though volumes were lower by 11% YoY, improvement in realization more than offset the increase in the cost.

The chemical business continued its earnings momentum by reporting revenue growth of 10% YoY at Rs. 2,582 crore and EBITDA stood at Rs. 488 crore in Q3 FY23. The global supply chain disruptions are now easing up leading to decline in international caustic prices on YoY basis at \$720 per MT CFR Sea in Q3 FY22 and \$694 per MT in Q3 FY23.

Grasim Industries Limited

February 14, 2023

Page 5 of 16

However, caustic prices increased on QoQ basis by 5%. ECU for Q3 FY23 stood at Rs. 46,689 per MT up 10% YoY, but 6% decline on QoQ basis due to higher negative chlorine realizations. Overall, chlorine integration including pipeline sales to our ancillaries stood at 60% for the quarter compared to 56 % in the corresponding quarter last year.

The textiles business which constitutes niche sustainable category products primarily in the premium segment continues to report stable performance. The business reported its highest ever 9 months revenue of Rs. 1, 773 crore, textile business revenue for the current quarter was Rs. 561 crore which is higher by 19% on YoY basis and the EBITDA was stable at Rs. 49 crores for the quarter.

Coming to balance sheet :

As of 31st December 2022, net debt for the standalone balance sheet was Rs. 485 crore excluding our investments in the high growth new businesses the existing businesses continue to deliver free cash flow.

With this, I would like to now hand over the call back to the operator for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Navin Sahadeo from Nuvama Institutional Equities . Please go ahead.

Navin Sahadeo : Sir my first question was regarding this VSF and in the press release as well as in the presentation you have mentioned cheap imports coming in from Indonesia, so is this a recent phenomenon I mean if you could just help us understand this because if I am not wrong the anti -dumping duty was removed way back in August 21 sometime and please help me understand if this is correct or is there any agreement or anything recent ? I am just trying to understand because never in the past have you mentioned this factor to be so critical and impacting our realizations?

H.K Agarwal : So, imports from Indonesia started picking up from Q1 of this year and they have now gone to the tune of almost 250 tons per day in Q3. So, the main reason for this pickup of imports from Indonesia is like the traditional export markets phase demand slowdown and they found India market relatively better so that was one reason and India offers them zero duty because of FTA with India . So, they become more competitive in India so it became double attractive. So, yes this is a situation it was removed in August 21 and after that they were careful not to start import immediately because then post ADD there will be reviews so they did not want to be caught on the wrong foot and at that time the sea freight situation was also working to our advantage because the freight rates were almost 20 cents per kg, but now with the normalization of international supply chain and shipping industry the freight

rates have come down to 5 cents, 6

cents per kg so that is also adding the exports from anywhere to India. So, these are some of the factors, but now with the situation DGTR . Commerce Ministry has recommended ADD on Indonesian VSF imports to Finance Ministry the matter is pending with the Finance Ministry

Grasim Industries Limited

February 14, 2023

Page 6 of 16

and Finance Ministry has one month to make the final decision. So, we are actively awaiting the decision from the Finance Ministry on this thing.

Navin Sahadeo : Exactly that is what my next question was going to be because I did read about like representation being made, but what are the chances here you think of this anti -dumping duty coming back?

H.K Agarwal : So, we have a strong case and that is why DGTR found it appropriate to recommend the restoration of anti -dumping on Indonesian imports. There was an ADD on imports from China also in the previous five years ADD period, but this time China has been ADD on Chinese imports have not been recommended. So, there is a merit and we believe that merit should be

also considered by Finance Ministry, but then we never know how the final decision is made because there are many considerations and the value chain also makes representations to Finance Ministry so very difficult to have any 100% feeling, but we are working trying our best.

Navin Sahadeo : I am just going to ask one related question here when the imports when come from Indonesia for a base category let us say the grey standard VSF category how much is the rate difference I am just trying to understand if that becomes because of the ADD is not levied then does this become more like a train which can stick around for a while what is the difference?

H.K Agarwal : The difference is like they will always try to price imports lower than our domestic price at any time. So, they know our domestic price and accordingly they offer their prices because they have to make it attractive. So, that is a normal thinking and more or less it follows the international prices, but they have been trying to get market share in India so they are giving aggressive prices, they have been giving aggressive prices. So, we have to contain with that and adjust our pricing accordingly. We cannot also lose market share beyond a point to any imports.

Navin Sahadeo : The exporter there would be the lending entity because Aditya Birla group entity is also there, so just trying to understand is it the Aditya Birla group entity which is also exporting or is it largely lending?

Pavan Jain : No, it is neither lending nor Aditya Birla Group entity. In Indonesia there are four VSF players and one of them is Sateri Group which has large VSF capacity in China as well as in Indonesia. So, mostly the imports from Indonesia are coming from Asia Pacific region which is part of Sateri Group the Chinese VSF player.

Moderator : Thank you. The next question is from the line of Abhimanyu Kasliwal from Choice India Limited. Please go ahead.

Abhimanyu Kasliwal : Sir I really wanted to speak specifically which relates to the paints investments that we are in I mean less than 20% roughly 1,800 crore, 1,900 crores and they are planning to do up to 10,000 crores by the end of FY25 if I have understood things correctly . Now my point sir is that now
Grasim Industries Limited
February 14, 2023

Page 7 of 16

we are hoping to be the second largest number to paint player, so what kind of revenues and margins are we looking at by 26, 27, 28 I mean I am sure internally the Company must be having some outlook plan which will help us also forecast, any rough idea, any rough numbers if you could provide that would be very helpful?

Rakshit Hargave : So, I would want to repeat the reply that I gave last time that while we have our internal plans which suggest there would be in that frame of time, but we would not want to be sharing interna

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number s of forecasting, anything in advance to the market, but obviously internally we have it worked out and there are projections.

Abhimanyu Kasliwal : But since we are hoping like if you want to be number two at least you can give a rough idea . Number two player we are looking by FY28, FY29 because we know what the number one looks and we know what the number three looks, so we will be able to kind of figure out, but by what . I am hoping to and what kind of margins are we hoping to attain by that time, and the y are number two?

Rakshit Hargave : Like we have said that we would want to be a profitable Company in the near term and then the margins will take their own place as per market, but really for me to comment on actual margins and projections as you would understand in terms of revenues would not be the ask for the moment.

Abhimanyu Kasliwal : One more question last question in the B2B ecommerce business regarding that if you can provide some kind of numbers again hoping to see what happens in 24, 25, 26 atmospherically I have looked up on it as this being like the IndiaMART for B2B. IndiaMART is B2B, but we will be better because we have got a very large network etcetera, so if you could give some guidance on the B2B business?

Pavan Jain : See we have given the broad estimates for the total building material market in the country which is roughly \$100 billion annually. So, that is the total market size of the building materials in the country and the digital penetration is about less than 2% currently. So, with the markets opportunity is big and let us say if over the period of next two, three years the market the digital penetration grows to let us say 10% then the digital on ecommerce business will be about \$10 billion. So, that is the market opportunity. Now how fast we are able to penetrate and since this is a new business for us of course we have the required ecosystem available, but then it will depend upon how it plans out. So, if you look at the three -year opportunity this is about \$10 billion you can estimate what could be our share kind of thing.

Abhimanyu Kasliwal : But sir would you like to from your end would you like to tell us something to incrementally understand the outlook or the opportunities better for the paints or for the ecommerce business, anything additional if you could tell us that will be very helpful?

Grasim Industries Limited
February 14, 2023

Rakshit Hargave : I think this is not the right time to come out with our numbers , etc., as we reach the launching time and we are actually in the market with our products and with our platform , etc., everything that will be the time possibly we can share some guidance for the numbers.

Abhimanyu Kasliwal : But sir are you getting the kind of feedback from the market in terms of what we are working towards, any kind of positive sentiments and so on and so forth?

Pavan Jain : No, of course we are in the market, we do take the feedback from the channel partners in both these kinds of businesses that the required preparatory work is being done for both of these businesses. We do take feedback from the market places as to what is required to make these businesses successful in the medium to long term.

Abhimanyu Kasliwal : We just leave it at that the outlook is positive and we are working towards it, am I correct in my reading sir?

Rakshit Hargave Yes.

Moderator : Thank you. The next question is from the line of Nirav Ginodia from Annual Research. Please go ahead.

Nirav Ginodia : I have two questions to ask so one of the fiber sir and one on the chemical, so first on the fiber like this quarter we have seen a volume of roughly around 1,53,000 tons and if we see the specialty volumes there were around 30,000, so if you can just walk us through like what could be the utilization levels going for because last quarter you have already guided that this q

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would be a subdued volumes, but when can we see again the pickup in the VSF volumes one, second sir on the specialty fiber side when can we reach those 45,000 tons of volumes which we used to do earlier and it is safe to assume that whatever the EBITDA profits we have reported this quarter is predominantly from the VFY and probably VSF would have made the losses and if that is the case probably has the premium between our specialty VSF and the grey VSF have also shrink in this quarter because of which even on the same amount of specialty volumes sequentially we would have reported the losses on the VSF side?

H.K Agarwal : So, first question is when will the capacity utilization or volumes pick up. So, as we reported the Q3 our capacity utilization was 71-72% and because the market to turn for worse in Q2 and we produce more than we could sell so there was inventory buildup in Q2, but in Q3 we had inventory reduction to some extent and now we are seeing some signs of demand revival. We do not know how sustainable it will be, but we are definitely seeing pick up in our sales volume. Two, three things have happened one DGTR has made the recommendation to Finance Ministry for ADD although it is not a final decision, but the market people apprehend that it might happen. So, they also want to avoid imports then textile ministry has come up with the Indian Standards or VSF on imports for the entire VSF in India, but quality control order will be effective from end of March. So, that has also kind of put some dampener on the imports, but then these are

Grasim Industries Limited

February 14, 2023

temporary measures, but the textile industry seems to believe that the prices have bottomed out so that is why the buying had started again. So, Q4 we believe that capacity utilization should be in the mid -80s or high 80s. Now, on specialty volume got impacted because most of the specialty goes for export finally from even Indian value chain whether it is spinners or fabrics and since the market in Europe and UK and USA was impacted badly because of brands were saddled with high inventory so that segment got impacted much severely. So, that will take some time specialty volume pick up will be little bit slower than the pickup in grey volume and on the margins during this quarter our margin on specialty volume was better than past partly because the grey prices went down too much. So, pickup in the volume the grey prices should also pick up in due course than the margins will come back to normal. Actually, this quarter the specialty margin over grey was much better than normal.

Nirav Ginodia : But this is safe to assume that then the VSF business would have reported losses this quarter?

H.K Agarwal : Yes, we have made it in our communication also that VSF business reported negative EBITDA and mostly this profit is because of VFY business. VFY business was much more stable because there was no such aggressive exports from any country , mostly VFY comes from China and it is much stable and prices are maintained. So, yes your assessment is right, but Q4 hopefully should be better than Q3 of VSF also.

Nirav Ginodia : Sir just wanted to understand on the caustic soda business so what was the mix of power in Q3 like how much we got through our captive generation how much was through grid and what was the renewable share in Q3 FY23 out of your total power?

Jayant Dua : So, let us say out of our total power if you look at it and if you look at the guidance which has been given in the press note also. By the end of FY26 we will be at 27% of our total mix, what was the requirement and I am not talking about the quarter because you should look at the holistic picture rather than just looking at a quarter number. If you look at it from if you go back a year

we were hardly 1% to 2% mix on a lower base which will go to 27% by FY25 and a much larger base of 1.5-

million -ton caustic. So, what we are doing is that carbon footprint rather than going up with our capacities actually coming down. At this point of time, I think we have already commissioned our Karnataka unit which is running at about 75% to 80% on green power, our Gujarat units will go up to about 30% on green energy followed by a couple of projects which are already being done. So, overall taking us to I do not recall the exact number of units which will be, but it will be close to 100 megawatts of renewable power by FY25 we will be actually being using over there. Total requirement will be about 400 little plus so 100 odd megawatt will be of renewable .

Nirav Ginodia : Sir and a related question on the chlorine derivative side I think we have mentioned some of the capacities also over there, so like out of current capacity of 8,91,000 tons what were the utilization levels in FY22 and in 9 months of FY23 if you can share?

Grasim Industries Limited

February 14, 2023

Page 10 of 16

Jayant Dua : The capacity utilization actually varies and when you talk about chlorine derivatives and I think it is a good idea that you ask this question. You see cut across multiple segment so there is an industrial segment, there is a water segment, there is a disinfection segment, there is a pharma segment, there is an agro segment. Now each of these segments have a different growth rate particularly with respect to their market. Now with the China COVID situation and the slowdown in Europe couple of segments has actually taken a larger hit as compared to the other. So, if I talk of a broad number as per overall capacity utilization will be approximately 75%, 76% on all the total put together, but when you look at some of the different segmental related like if you look at the pharma segment the products which cater to the capacity utilization will be well into 85. We look out for dyestuff segment will be much lower. So, overall, about 74%, 75%. It is kind of flattish that we have not lost anything compared to last year, but yes I think the old textile chain segment which is gone down in a negative growth rate has not let us grow beyond a point of time. We kind of capital employed.

Nirav Ginodia : And sir this 2,73,000 tons of incremental capacities we are putting up that predominantly includes ECH, MCA and CTC so rest of the products does not qualify under this 2,73,000 tons of volumes?

Jayant Dua : The products which have come under 2,71,000 are the ECH, you are also correct at MCAA, you are also talking about CTC which is at Gujarat and you are also talking about the new facility of Chloromethane and CTC at one of our units in South India.

Nirav Ginodia : So, this MCA would be predominantly that food grade MCA we will be produced?

Jayant Dua : It is largely pharma grade.

Nirav Ginodia : And all those technology tie-ups and everything is done?

Jayant Dua : See a large part of pharma base is already a customer with multiple product, but we have to go through a product qualification route every time because they have their own regulations and once the plant starts producing we will start going there, but we do not see any challenge either in terms of a quality or in the process of getting the approval, necessary timeline will obviously take this because that is the process which you have to go through.

Nirav Ginodia : So, epichlorohydrin when it would be commissioned because you have mentioned the timeline of Q4 FY26 so for all of this three products if you can share just the timeline in terms of the capacities coming up that would be helpful?

Jayant Dua : Epichlorohydrin is a 50 KT plant which will come up by the end of FY24 or FY25. Again, why I am giving a band because there is a China and European factor which gets dependent on it because the supply chain while they have improved significantly. The factory working particularly in Europe and China is still no

t back to 100% in some of the engineering course. So,

Grasim Industries Limited

February 14, 2023

Page 11 of 16

that is what is going to happen on the epichlorohydrin . We expect that by the end of middle of the next financial year MCAA will be fully operation and we are looking at CTC coming up in FY25 because we have to take the regulatory approvals before we are going to start the construction practice.

Moderator: Thank you. The next question is from the line of Prateek from Jefferies. Please go ahead.

Prateek : So, you mentioned about this increase in imports from Indonesia so what would be the total import mix in VSF now in overall market?

H.K Agarwal : So, import mix in the overall market is about 15%.

Prateek : So, that has remained largely similar numbers because we are not like letting go our volumes by

reducing prices, the market seems to have largely remain....

H.K Agarwal : So, if we allow the imports to come restricted then there are lot of other complications from the business point of view. So, we have to take a calibrated decision on pricing, on how much to do and how many customers we can sacrifice for the time being.

Prateek : And on products this quarter their production seems lower while the sales is higher like on absolute basis, so next quarter as we say that utilization will increase by around 10%, 15%, but sales can be lower as the inventory gets managed and still be like 10% down year -on-year.

H.K Agarwal : So, we will increase production only if we are able to sell we are not going to produce just for building up the inventory.

Prateek : So, a material increase over quarter -on-quarter in terms of volume so that also implies that we are looking off like taken a maybe a Rs. 15 cut in pricing last quarter. We could be like reintroducing better prices in like this quarter.

H.K Agarwal : Pricing is a dynamic thing we normally follow monthly pricing, but it is in line with the international price and the various sectors like what is the landed cost, what is the offer for imports etcetera, exchange rate also plays a factor and there are some other business factor like what is the yarn price internationally yarn price in India etcetera. So, pricing is dynamic thing, but normally international price has been stable lately. So, we believe that prices should remain stable for the remaining part of the quarter.

Prateek : And what would be the VSF segment revenue and EBITDA for the quarter?

H.K Agarwal : So, I cannot give you specific numbers for this thing, but I believe that it will be better than Q3 because the volume will be better even if at the same price the revenue will be better and EBITDA should be better because there will be some operational leverage and then some raw

Grasim Industries Limited

February 14, 2023

Page 12 of 16

material cost also however trending downward inventory pipeline, but there will be some positive effect on the cost side also.

Prateek : I meant VFY segment revenue and EBITDA for third quarter VFY revenue and EBITDA for third quarter?

Pavan Jain : See I think we do not have VFY separately numbers you can connect with Ankit, but as we have said in the press release if you go through the VSF EBITDA for the quarter was negative and overall, for the segment we have positive EBITDA. So, VFY has given the good numbers of offsetting the loss of VSF also.

Prateek : And sir on CAPEX we were like sort of targeting including CAPEX we are targeting I think around 5,000, 6,000 crore kind of CAPEX for this year and we have in presentation we have mentioned around only 1,400 or so which have incurred now for X of paint, so what is the target for this year FY23 including paints?

Pavan Jain : So, other than paint sales we have given the numbers for 9 months which are about Rs. 1,400. We expect maybe around 1,000 in Q4 which includes some large lined up CAPEX outflows, for example, land at Vilayat

, etc., other than paints I mean the expectation is that some part of the CAPEX outflow budgeted for the current year may spill over to the next year.

Rakshit Hargave : So, for paints our executions are as per plan. It is just that we realize that some of the materials that we had probably budgeted were coming in the bit too soon. So, we have just time the order accordingly so that we get them at the right time otherwise there is no change.

Prateek : So, what is the CAPEX number for FY23 for paints?

Rakshit Hargave : So, it is very difficult to give exact, but we can estimate maybe about Rs. 500 crore in Q4 for paints.

Prateek : So, total cumulative CAPEX for the Company in standalone business is 2,500 plus 1,500 or so, 2,000 crores that is the number?

Pavan Jain : So, the total should be about 2,500 crore, paint 2,000 crore and maybe 2,200 crore so in the other businesses.

Moderator : Thank you. The next question is from the line of Mudit Agarwal from Motilal Oswal Financial Services. Please go ahead.

Mudit Agarwal : I just want to know the effective tax rate for this quarter because we have opted for the new tax regime in the current quarter, so what was the effective tax rate for the Q3 quarter?

Grasim Industries Limited

February 14, 2023

Page 13 of 16

Pavan Jain : See the tax rate is to be calculated not for the quarter, but for the full year. So, the provision has been made based on the effective tax rate likely for the full year. So, for this quarter if you look at the numbers in the results we have in fact reversed provisions made in the previous quarter and there is a reversal of tax provision in this quarter.

Mudit Agarwal : So, can you quantify how much is the reversal because of in the new regime?

Pavan Jain : See the new regime tax rate is 25.17%. So, broadly the effective tax rate for the full year is likely to be around that level.

Mudit Agarwal : Sir second question can you throw some light on the key input cost in VFY business mainly pulp how it is trending now and if any correction we have seen by when the same will be reflected in our cost, I want to understand the time lag of these benefits?

H.K Agarwal : The pulp is a long delivery item because we have to import pulp from South Africa, Canada and Sweden. So, takes about 60 days shipment and then we have continuous shipment. Now because of this capacity utilization was lower we had pulp already in the pipeline which we could not stop. So, there is some inventory buildup and of lately since October the pulp prices have shown some decline in trend. So, we have for the time being a situation of pulp inventory with relatively higher cost, but this will get processed by end of this quarterly hopefully and prices have shown some decline, but of last two, three weeks they have been stable around \$900 per ton and our purchasing long term formula also used to be price based on previous quarter. So, when the pulp prices were rising we would have an advantage because that rise will take effect up to 3 months, but in the declining trend it works against us. So, we have change this formula from the previous quarter to the previous month. So, from January our price is what based on invoicing, is based on what was the price in the previous month that is December for example. So, now the new supplies are coming at previous month so that will be more current. So, I hope this answers your question.

Moderator : Thank you. The next question is from the line of Ajit Motwani from PinPoint Asset Management . Please go ahead.

Ajit Motwani : Just wanted to know in terms of operating rates for Chinese players have they not started improving in the sense that we just had end of Chinese New Year and the markets have opened up there, so have you seen this cost operating rates for China improving of late?

H.K Agarwal : So, Chinese industry operating rate had gone down as low as 56%, 57%. Now they are operating

at about 65%. So, yes there is an improvement partly after Chinese New Year and after the COVID restrictions have been removed. So, there seems to be better off take in China for VSF and that is supported by this increase in the operating rate.

Ajit Motwani : Have the prices started moving up?

Grasim Industries Limited

February 14, 2023

Page 14 of 16

H.K Agarwal : They are marginally moved up, but now they are just stable not moving very rapidly or not moving very substantially , very-very marginal. So, they are stable around 13,000 RMB.

Ajit Motwani : So, if I look at the way you are saying the prices are stable like in your presentation highlight that our or let us say the rates are still 4% lower than the quarterly average and the benefit of RM is yet to come in, so the benefit that we are seeing in margins will largely be driven by higher volumes which is operating revenue mix for the next couple of quarters?

H.K Agarwal : Yes, but our margins will mostly be driven by the selling price and the input cost not so much by the volume.

Ajit Motwani : Secondly and I was looking at our CAPEX numbers X paints about 1,800 odd crores yet to be spent say about 2,000 crore there in and on the paints business you mentioned about 1,800 crores from the 10,000 crore number so that is also like 8,200 so total the two businesses put together is about 10,000 crores, so for FY24 is it fair to assume that given the fact that we are looking at starting our plants by FY25 on the paint side half of this 10,000 crore will be the targeted CAPEX number for FY24?

Rakshit Hargave : So, yes for FY24 the CAPEX spent would be more substantial inching towards the total of 10,000, but not towards that, but you could expect the number in the range of 4,000 to 4,500.

Ajit Motwani : Our standalone EBITDA is subdued today at 500 crores we were lot better couple of quarters ahead, so given the kind of trajectory you are looking at of cash flows from the standalone business, what sort of peak debt we should look at for the standalone business, the slides mentions today is about 500 net debt is what we have we are at in December, so how should the debt move over next say 6 to 8 quarters?

Pavan Jain : See it will all depend upon our existing businesses performance over the next 6 to 8 quarters, but the large CAPEX plans we would do the borrowing for especially for the paint business. So, as we have shared earlier also our target is to keep net debt to EBITDA level below 3.5 kind of numbers, but we have committed the CAPEX and how the existing businesses perform over next 6 to 8 quarters that will be resulting the actual net debt to EBITDA.

Moderator : Thank you. The next question is from the line of Ronald Siyoni from Sharekhan Limited. Please go ahead.

Ronald Siyoni : I had just one question with respect to quarter and VSF prices like since I think from Quarter 4 of FY21 we had seen run up in cotton prices which eventually after more than year it came down, but during the same time we had also seen flattish VSF prices, but now cotton prices reacted negatively there was a direct correlation with respect to falling of VSF prices, so if you can

explain the reasons behind the same there were different reasons with respect to cotton moving
Grasim Industries Limited
February 14, 2023

Page 15 of 16

up and also now different reasons for VSF prices to come down rather than cotton prices getting corrected, so just wanted to know more about this correlation for the past two years?

H.K Agarwal : So, the cotton and VSF prices are not correlated with a very high coefficient. So, when the cotton prices went to say \$3.5, VSF price did not go in that direction so much. So, it was kind of flatish or it went up, but very marginally and even when the cotton prices crashed 40% since its peak VSF prices have not crashed to that extent. So, yes the direction most of the time is similar, but

the extent of movement are much different.

Ronald Siyoni : So, we can safely assume that there is not much correlation to be seen in the future also we should expect from both these prices?

H.K Agarwal : I am saying this thing based on say 10 years data analysis. So, the correlation is not very high. There is correlation, but it is not very high.

Moderator : Thank you. The next question is from the line of Navin Sahadeo from Nuvama Institutional Equities. Please go ahead.

Navin Sahadeo : Sir my question in VSF of course globally there is always been a cycle. I am sure they have seen it all, but in the Indian context we have always had this monopoly advantage we could still like price it better or bargain better with all this thing, but with this Indonesian imports now coming in I think the monopoly situation has got challenge, so then is it fair to say that until unless the government acts in terms of some sort of an anti-dumping duty which is what the presentation already is until that happens is it fair to say that now like the margins may not be as superior as in the past, but more like range bound and lot dependent on the global demand-supply, will that be a fair assessment of this historically monopoly business?

H.K. Agarwal: I want to challenge your some statement that we have been monopoly. See what is the meaning of monopoly we have to understand it better. So, just being one producer does not mean that it is monopoly because imports were always open even when there is an ADD, it does not mean that people cannot import. So, people can always import and especially for export thing the ADD or even basic custom duty is not applicable and there is so much overcapacity in countries like Indonesia or China. China is sitting on 35% capacity overhang; Indonesia is sitting on almost 100% overhang over their respective domestic demand and domestic capacity and they were always free to export and Indians spinners were free to import and they were importing also and even when ADD was there, our prices were never unfair because then there is always a thing that the full value chain has to survive and prosper. So, in the last 10 years from say 2012 to 2021 when this 10 years there was ADD in India VSF imports the domestic value chain spinners, the weavers they grew almost 3x. So, if the prices were monopoly stake are unreasonable the value chain would not have grown. We rather invested in the development of value chain and grew the pie. So, I would you to correct your understanding about the VSF and Grasim being only producer in India, we have more responsibility because we are the only producer in India
Grasim Industries Limited
February 14, 2023

Page 16 of 16

for this important raw material. So, please calibrate your understanding about our thing and if you need some more information please let us connect one on one we will share with you and this is what we have shared with the Commerce Ministry, with the Textile Ministry because even for this application of ADD there was so much hue and cry from some vested interest importers or the Grasim is monopolistic and we prove to the satisfaction of Commerce Ministry, Textile Ministry in front of the textile value chain or those people who were talking like this and they agreed and admitted that yes Grasim has been most responsible player in textile industry in India.

Navin Sahadeo : Just two small question other income sequentially or compared to like past quarters slightly on the higher side at 103 crore despite like decrease in the treasury per se, so is there any one-off in the other income per se or that also is probably the wrong way to look at it?

Pavan Jain : No there is not any one-off kind of thing it is largely because of the higher yields on the treasury income and of course the treasury size is also little higher compared to Q3 last year. There is no one off item any special one-off item.

Mo

derator : Thank you. Ladies and gentlemen, due to time constraints that was the last question. Thank you senior management. On behalf of Grasim that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

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Dear Sir /Madam ,

Sub: Transcript of Conference Call on Audited Standalone and Consolidated Financial Results of the Company for the financial year ended 31st March 2023

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Earnings Conference Call held on 26th May 2023 on Audited Standalone and Consolidated Financial Results of the Company for the financial year ended 31st March 2023 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q4fy23.pdf>

Thanking you ,

Yours sincerely,
For Grasim Industries Limited

Sailesh Kumar Daga
Company Secretary
FCS - 4164

Encl: as above

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"Grasim Industries Limited Q 4 & FY23 Earnings
Conference Call"

May 26 , 2023

MANAGEMENT : MR. H K AGARWAL – MANAGING DIRECTOR ,
GRASIM INDUSTRIES LIMITED
MR. PAVAN JAIN – CHIEF FINANCIAL OFFICE R,
GRASIM INDUSTRIES LIMITED
MR. HIMANSHU KAPANIA - BUSINESS HEAD,
PAINTS BUSINESS , GRASIM INDUSTRIES LIMITED
MR. JAYANT DHOBLEY – BUSINESS HEAD & CEO ,
CHEMICALS , FASHION , YARN & INSULATORS
BUSINESS , GRASIM INDUSTRIES LIMITED
MR. RAKSHIT HARGAVE – CEO ,
PAINT BUSINESS , GRASIM INDUSTRIES LIMITED

Disclaimer: E&OE - This transcript is edited for readability purposes , factual and verbatim errors. In case of discrepancy, the audio recording uploaded on the website on 26th May 2023 will prevail.

Grasim Industries Limited
May 26,2023

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Grasim Industries Q4 and FY '23 Year-ended Conference Call.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone .

Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Panchmatia, Head, Investor Relations. Thank you, and over to you, sir.

Ankit Panchmatia : Yes. Thank you, Tanvi. Thank you all, and good afternoon to everyone for joining us today to discuss Grasim Financial Results for Quarter 4 and full Financial Year -Ended 31st March 2023.

Thus, everyone got chance to look at the financial statements and quarterly presentation uploaded on the exchanges and also available on our website.

As you are aware, we don't provide specific Earnings Guidance. Anything said on this call, which reflects our outlook for the future or which could be constructed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. The same is also highlighted in the last slide of our presentation. Additionally, for reference purposes, the recording and the transcript would be available on the site.

We welcome our leadership team on this call to discuss and share key updates on our financial results, business and segment -wise performance. We have with us today Mr. H. K. Agarwal – Managing Director; and Mr. Pavan Jain – Chief Financial Officer. Also joining the call, we have leadership team from key businesses. We have Mr. Himanshu Kapania – Business Head, Paints division; Mr. Jayant Dhobley – Business Head, Chemicals, Fashion, Yarn & Insulators business; and Mr. Rakshit Hargave – CEO of Paints business.

I now hand over the call to Mr. Pavan Jain for his opening remarks, post which we will open the call for Q&A. Over to you, sir.

Pavan Jain : Thank you, Ankit, and good afternoon, everyone. We welcome you to discuss our annual performance as well as Quarter 4 Results Discussion .

First, I would like to give some highlights on our annual numbers, and then we would cover key aspects for the quarterly performance.

As you are aware, the macro global environment of our businesses has been very volatile in the year gone by due to various factors such as energy prices and inflation rates shooting up globally,
Grasim Industries Limited

May 26,2023

Page 3 of 17

demand slowdown across global markets, supply chain disruptions, et cetera. The results for financial year '23 are to be seen in this background.

Despite the challenging macro environment, FY '23 is a momentous year for Grasim. We have achieved various milestones and we hope to continue this momentum in FY '24. We have constantly demonstrated growth on Y-o-Y basis and achieved highest ever consolidated revenue of over Rs. 1 lakh crore in this year. The CAGR in consolidated revenue and EBITDA over FY '20 to FY '23 stood at 16% annually. The consolidated level, UltraTech, Aditya Birla Capital, and Aditya Birla Renewables have added to the strong growth of the underlying standalone businesses.

A key point to highlight is the reported PAT, vis-à-vis the comparable PAT of the previous period. The standalone as well as consolidated PAT for last financial year, that is FY '22, needs to be adjusted for the exceptional items, tax-related write-backs and profit from discontinued operations accounted in the last year. Working of these adjustments have been shared in our presentation.

Also costs in the current year are elevated due to the initial costs of our high-growth new businesses, which impact the overall profitability. On a standalone basis as well we have achieved the highest

ever revenue for FY '23 of Rs. 26,840 crore. Standalone EBITDA for the year stood more than Rs. 4,200 crore. Over the same period of FY '20 to FY '23, the standalone revenue recorded a growth rate of 19% CAGR and 18% PAT. Furthermore, over the past decade, we have multiplied revenue by 5.6x, and the EBITDA have multiplied by 4.2x.

The growth under dynamic macroeconomic conditions clearly demonstrate driving forces of the unified approach of 5 pillars of our strategy, namely "Leadership Across Businesses, Constant Product and Process Innovation", increase our sustainability quotient, capital allocation to build high-growth businesses and constantly work for and maintain cost leadership."

The highest ever revenue at standalone level is largely driven by strong growth in two large segments, which is Viscose and Chemicals. Viscose business achieved the highest ever sales volumes during the year on the back of strong domestic demand. Chemicals also posted its best ever year on the back of stable demand and historically high realizations.

Textile business has achieved this highest ever revenue again, largely driven by linen business. Linen Club, which is India's premium linen brand has been increasing its presence across India with 210, exclusive brand outlets versus 186 in FY '21 and 168 in FY '22. The presence across MBOs also increased now to over 8,000 touch points. The premium fabric brands under Soktas and Giza House are other scalable opportunities on the retail side. Furthermore, on the brand side, we would like to highlight that there are multiple brands, which we have created across various categories of Viscose, Chemical and will be now doing so for Paints.

Grasim Industries Limited

May 26,2023

Page 4 of 17

In Viscose, we were able to create the full demand positioning. Liva as a premium sustainable under consciously fashion category. Liva is also associated through co-branding with some of the finest brands across the world. There are also well-established brands like UltraTech and Aditya Birla Capital, which are created by our key subsidiaries, which play big in your life.

Responsible corporate has been key motive where Grasim continues to work and amplify its efforts through its sustainability goals and agenda. Given the complex and intensive manufacturing processes, we highlight Grasim has been able to make a sizable impact in FY '23. We have been able to reduce freshwater consumption intensity by 15% compared to FY '22. The GHG emissions intensity has been also reduced by 6% compared to baseline year of FY '19. This is despite the increased capacities over the same period and contribution from renewable energy improved by 3 percentage points from 5% in FY '22 to 8% in FY '23.

On the innovation side, we continue to provide market with differentiated sustainable solutions to drive its goals to our conscious fashion. For instance, there has been continuous progress on developing MMCF, that is manmade cellulose and fiber from the textile waste. Commercial production of Liva Reviva, Viscose from 30% textile waste was achieved on one of the large use of lines. Likewise, commercial production of lyocell fiber was achieved with up to 31% of raw material being textile waste.

Now coming to Performance of Quarter 4 of the year :

Consolidated revenue stood at its highest level of Rs. 33,462 crore, recording a growth of 16% Y-o-Y. Revenue from significant subsidiaries, UltraTech and Aditya Birla Capital grew by 20% and 23%, respectively. We believe that our key subsidiaries are direct beneficiaries of India's

expanding infrastructure, growing financialization and growing demand for renewable energy. Consolidated EBITDA stood at Rs. 4,873 crore, recorded a growth of 5% Y-o-Y, largely due to performance from UltraTech and Aditya Birla Capital. Standalone businesses revenue was up by 7% at Rs. 6,646 crore compared to Rs. 6,196 crore in Q3 of this year.

Standalone EBITDA

decreased 6% Q-on-Q to Rs. 542 crore compared to Rs. 580 crore in previous quarter.

At segmental level, Viscose has sequentially recovered at a faster pace, and we have exited the quarter at the quarter high level. The effective Q4 EBITDA was impacted by exceptionally subdued conditions of Q3, which continued in the initial period of current quarter. However, there remains a continuous improvement month-over-month in the quarter gone by.

Utilization levels are near to highest levels. Demand recovery has also resulted in China inventory reaching below the 3-year average of 23 days, which reflects well balanced demand-supply situation currently. Viscose revenue during the current quarter grew by 18% Q-o-Q to Rs. 3,760 crore, while combined EBITDA for the VSF and VFY businesses put together showcased

Grasim Industries Limited

May 26, 2023

Page 5 of 17

sharp sequential recovery due to VSF now reverting back to the profitability compared to EBITDA loss in Q3.

The global caustic market remains oversupplied due to higher operating rates and lower demand. On similar lines, Indian chlor-alkali market also remained oversupplied due to incremental capacity. The CFR SEA prices of caustic soda corrected by 25% Q-o-Q and 28% Y-o-Y during the Quarter 4, and these are the lowest prices since September 2021. While the impact of the same could come with a lag, the current quarter revenue decreased by 4% Y-o-Y to Rs. 2,397 crore, compared to Rs. 2,487 crore in Q4 FY '22.

The mix has further changed in favor of the chlorine derivatives with an increased revenue contribution of 100 bps Q-o-Q and Y-o-Y. To further enhance our focus on chlorine derivatives, we have acquired the required land at Vilayat, adjacent to our existing plant for setting up manufacturing facilities in due course. In the next 3 years, chlorine integration would be 72% compared to 60% for FY '23. Contribution from the specialty chemicals segment improved based on improved demand and softening raw material prices.

Revenue performance from textile remained stable at Rs. 520 crore for this quarter, recording a growth of 8% Y-o-Y, largely driven by strong underlying demand from the wool and linen businesses. However, the profitability for the current quarter was impacted due to exceptional rise in the flax prices, which is the raw material for our linen business.

The B2B e-commerce opportunity is big and scalable. We aim to be a meaningful player in due course of time in the segment of marketplace for building materials. We are on track to launch full-scale operations into FY '24, beginning from cities in the state of Maharashtra and MP and plan to cover major parts of the country in due course.

The excitement is at peak with regards to launch our Paints businesses, which is now just three quarters away. The segment is big whereby it can accommodate multiple players where we aim to be a second largest player in Indian organized decorative paint market. The CAPEX spend is also progressing on expected lines and would be at peak of its requirements in the current and next year. Simultaneously, activities for business plan implementation are also progressing well for commercial launch in Q4 FY '24.

Coming to the balance sheet:

The CAPEX for FY 2023 was largely towards chemicals and Paints. Next year, there would be accelerated CAPEX, which would be undertaken for future accelerated growth of the company. To fund the same, the company has already entered into long-term loan agreements of Rs. 5,000 crore. As of 31st March 2023, company's standalone net debt stood at Rs. 1,780 crore. Excluding our investments in the high-growth businesses, the existing businesses continue to remain free

Grasim Industries Limited

May 26, 2023

Page 6 of 17

cash flow positive. We will share the CAPEX plan for the current financial year, that is FY '24, once the same is finalized and approved by the Board.

roved by the Board.

I would stop here on the update side and would like to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Sir, my first question was on the Viscose segment, wherein Slide 17 of your presentation says

that price movement for gray VSF is up 4% quarter -on-quarter and even the March exit is nearly 2% better as compared to the average for Q4. But when I do the same arithmetic for the reported revenues and the volumes, sequentially, I see a drop of almost 5%. So, if you could just help us understand the reconciliation as to are we missing anything in this particular point here?

Hari Agarwal : Navin, this is H. K. Agarwal. The slide, what you're referring is the China index price. Grey VSF reported by CCF China agency which publishes weekly information on various fibers. So, in China, it is Q-on-Q, but many times, this price is not reflected exactly in the same way in all the markets. So, there were many things happening and in Indian market or in export market because of various other macro factors this did not reflect in the same day. Actually, you are right in your analysis that there is a slight reduction in the price realization in the Quarter 4. So, your analysis is right in that sense.

Navin Sahadeo : So, obviously, my question then would be, in the current quarter also, do we continue to see that pinch, that lag versus global prices? Or it can then have the tendency to reverse back or come back to mean that much faster?

Hari Agarwal : In China also prices have corrected to some extent. And in India also, prices have moved to some extent, convergence. So, these are dynamic things. So, prices are now more or less in the similar direction, I'll say, for the time being, current period.

Navin Sahadeo : I just want to ask a slightly longer, I mean, horizon question here. Because I look at your EBITDA, let's say, Viscose EBITDA per kg from FY '03, okay, until '23. If I look at it, that average is more like over definitely Rs. 20, Rs. 25 per kg. I think currently, we are more averaging like Rs. 5 or Rs. 6 if I'm not wrong, for the latest quarter in that range of Rs. 5 to Rs. 7. So, when can we expect the like these average EBITDA per kg go back to those long -term average of, if not Rs. 20, at least Rs. 15, Rs. 17 from the current levels, please?

Hari Agarwal : See, it is going to take some time. I do n't want to sound very pessimistic or optimistic. Those levels have different era and the current era is very different. In those periods, we had import duty, we had antidumping duty in India. But China has not had so many players. The capacity has been added and so many things.

Grasim Industries Limited

May 26,2023

Page 7 of 17

But the current situation is distorted by another side of the equation that is cost inputs of viscose material, like pulp, caustic, sulfur, coal, all had gone up very high. So, slowly, slowly these things are getting corrected. So, that will help to restore the margins. And prices are also going to improve in due course. But currently, the macroeconomic factors, the demand and all these things are greatly disturbed. So, these are not normal times. So, we also work to get those kinds of margins back that will be wonderful. But I think it will be not practical to expect Rs. 25 kind of margin in immediate near future.

Navin Sahadeo : So, clearly, I think the removal of antidumping duty is having an impact on the domestic market and then, hence, profitability versus the past could see challenges to get back to the longer -term average.

Hari Agarwal : To some extent, yes, but then there were a lot of disturbances. Shipping rates were very high. Imports were expensive. Now shipping rates have come back to normal. So, many moving pieces in the whole game.

So, this is a very cyclical business. The cost, the prices move very fast. So, the cycles will continue to operate. And cotton prices also were very high until May last year and then cotton prices crashed. So, that affected all the fiber prices also. And in due course, cotton prices will also get back to normal levels. They will pull up all the fiber prices also. So, there are many factors influencing both price as well as the cost side, which determine the margin.

Pavan Jain : Just to add, Navin, you see, these are very, I mean, challenging times since the global developed markets have the negative consumer sentiments, I mean the inflation rates shooting up, affecting the consumer sentiments, et cetera. And you also have to see that all the Chinese players are currently making losses in VSF business. So, that situation cannot continue for long. And if you look at the numbers, I mean, even recently, at Q1 of FY '23, our margins were very good. I think we're in excess of Rs. 20 per kg.

So, the situations are very volatile currently. It is not that we will not achieve those numbers or I mean the current cycle is a kind of difficult cycle in the sense and then input prices are up and realizations are down. So, we have the double whammy kind of situation. We don't think that this is a permanent kind of situation.

Moderator : The next question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia : Just continuing with the earlier question. So, you rightly explained on the realization side for the VSF, but if you can just explain on the raw material side because we have seen the pulp prices correcting sharply from March onwards. So, if you can explain us what were the average pulp cost for us in Q4? And when can the benefit of this reduced pulp prices accrue to Grasim, that is

one? B, on the caustic soda side also because caustic soda prices have further corrected from
Grasim Industries Limited
May 26,2023

Page 8 of 17

March, April onwards. So, how does the contract for caustic soda happens for the VSF division within Grasim?

And third would be the premium for the value -added VSF. So, what I could find is that the premium from last 1 or 2 quarters have shrunk. It has further shrunk in Q4. So, was that one of the reason why the profits per kg had an impact in Q4? So, this is on the VSF side, sir.

Hari Agarwal : So, I'll touch the premium on V APs first. So, there were some reduction in the V APs premium but it is within the very small range. So, that is not really a big factor. But the main thing was the V AP demand was also impacted because of the global macro situation. Europe , America, all those vessels, the discretionary consumer spending has been impacted very severely. So, the V APs go in more expensive kind of garment. So, their demand was impacted by value brands. The premium on V APs was a little bit down, but not significantly. So, that is not matter of great concern. The caustic transfer prices are based on the market prices. So, we follow previous month's average market price, and that is the transfer price for the next coming months. And having done on a consistent basis for all the caustic transfer. So, that is market driven. So, we got the 1 -month lag from the current export pr ices. And yes, caustic prices are coming down. So, that is reflecting in the lower cost of production on the fiber side. That is true. Pulp side, see the highest pulp prices had gone to about \$1,200 per ton sometime last year. But now they are holding at a bout \$900. So, our cost of pulp is at \$900 now currently.

Nirav Jimudia: Correct. So, was it the same levels in Q4 also. So, from Q4 till now, the prices have not further fallen?

Hari Agarwal : No. See, we have some long -term agreements where we follow previous quarter's price. And those, we have now made some adjustment to reflect the current prices quicker than 1 quarter lag. So, c

urrently, Quarter 4 , I will say from now onwards, prices will re flect 1 month lag.

Nirav Jimudia: Sir, second is on the chemical side. So, if we see on the chemical profitability, I think our ECU was down close to Rs. 4.5. And similar is the fall in our profitability, if we do some reverse calculation. So, just wanted to understand the cost part. So, if you can just help us explain what was the average cost of power for us for the caustic business in Q4 and for FY '23? (so)And has that cost coming down because now the coal cost has fallen? Even if you can just help us explain our external power cost, w hat we purchased from the grid. Because I just wanted to understand from you that because the realizations have fallen, how much of the cost savings we can work with going forward based on our cost of power metrics?

Jayant Dhobley : So, maybe a couple of po ints, right? So, the biggest impact on profitability clearly has to do with the caustic price. So, earlier, Pavan Ji mentioned that the international prices have dropped by a

Grasim Industries Limited

May 26,2023

Page 9 of 17

significant amount, so has the domestic prices, right? And that's the main reason actually why the caustic profitability has dropped .

The second most important reason, it has dropped is actually lower demand in downstream chlorine industries. So, a lot of downstream chlorine industries are dependent on textiles, on agrochem, on aluminum refining, and all of these industries are actually slowing down, which is resulting in a higher negative chlorine. So, these are actually the two most significant factors for a drop in our caustic profitability.

The Power rate to be very honest with you is a marginal issue here. Our blended rate has not really changed much between the last several quarters. It's at a rate of maybe Rs. 7.3 to Rs. 7.5 per kilowatt hour. I think it would be somewhat more detail to get into wh at is captive, what is not because one of our value proposition to the market is we're a pan -India player, right? We're the only player in India that can supply caustic in the East, in the West, in the South, and each of these areas have their own coal cos t, they have their own transport cost. So, to look at power in isolation doesn't really give the full picture, right?

So, if you really want to understand our business, you have to understand that we serve caustic across multiple segments in all geographie s. We are a leader for example, in providing caustic to the mining segment in the East, right? And those are our more important profit drivers. I would say power cost, we'll manage.

We continue to focus on renewables and changes in that is actually not a s ignificant impact for us.

Moderator : The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar : My first question is on your paint segment. So, with now 25% of the CAPEX behind and like commodity costs, like general ly coming down globally. So, is this Rs. 10,000 crore of CAPEX plan, which we have for paint, is this the firm CAPEX ? Or is there some division which could be possible in December?

And a related question is on you have earlier, in like a couple of calls, t hat you indicated your peak net debt to EBITDA is 2.7 for the overall business, including potential losses in early years for paint segment. With the significantly slower improvement in standalone business, ongoing, is there a revised number which we can l ook at of peak net debt to EBITDA for ongoing CAPEX ?

Himanshu Kapania : This is Himanshu. There is no change in guidance as far as CAPEX of paint business is concerned. We maintain the same numbers. I'll hand it over to Pavan.

Grasim Industries Limited

May 26,2023

Page 10 of 17

Pavan Jain : Yes, so this net d ebt to EBITDA, you see it will depend upon the actual CAPEX spend and the EBITDA performance over the quarters. So, this 2.7 or whatever num

ber we have shared is not

a static number. But yes, the 31st March '23 is 0.4% is net debt to EBITDA, which, of cour se, will move up as the CAPEX spending goes up and we borrow for CAPEX going forward.

Prateek Kumar : Ballpark, but it should ideally be higher from here, right, from 2.7 because the profitability has on an ongoing business seems significantly more subdued and prolonged.

Pavan Jain : So, right now, if you say yes, today, it looks like that, yes, it will go up. But we don't know after 2 quarters how the business will perform. So, suppose VSF and our chemical businesses are back to normal levels, then i t may not change significantly.

Prateek Kumar : On other segment question, VSF and Chemical . So, both the segments have clearly seen a decline in cost environment. And VSF has also, as you said, the improvement in pricing also and demand internationally. So, both of these segments should have seen like sort of a bottom profitability in this quarter or like next. I mean, going forward. I mean so VSF seems like a bottom, but is the Chemical profitability should also reverse from here?

Pavan Jain : So, again, se e, I think that will depend upon how the global prices move, et cetera. See, what is in our control is the cost. So, what we are doing is that, see, we are increasingly sourcing more and more renewable power, which is cheaper power, wherever possible, we a re enhancing our power capacity. In Vilayat, we are enhancing our captive power plant capacity. So, on the cost front, we are doing various initiatives. Chlorine side, we are taking initiatives where we are increasing the chlorine integration level. So, all those things are there. One additional aspect is like phosphoric acid plant, which was not operational in the Q4 is now operational. So, possibly, yes, we can say that it is bottomed out. But everything again depends upon the global prices as well as the impact of the sale in the Indian markets.

Jayant Dhobley : Jayant Dhobley here, I want to add further on what Pavan Ji said. So, look, chemicals is a portfolio, right? For example, if you look at Quarter 4 of our specialty business, mainly based on epoxy r esins and hardener, actually doubled in profitability year -over-year, right? So, you can hardly call a bottom there, right? Similarly, if you look within caustic, we also have a large chlorine derivative portfolio. As Pavan Ji mentioned earlier, our phosph oric acid plant, we had to take a shutdown. That has restarted.

So, I think it would be somewhat difficult to predict a bottom or a top for the Chemical business given the portfolio impact that is there. I think what we can say is that demand continues to remain subdued broadly across the portfolio. There are certain bright spots in it, maybe there are certain less bright spots in it. But it's not correct to call a bottom, and it's also not correct to say that it's going to dramatically drop through. That's also not the case.

Grasim Industries Limited

May 26,2023

Page 11 of 17

Prateek Kumar : And in VSF case, is there an update on antidumping duty review by government?

Hari Agarwal : So, the DGTR has recommended imposing antidumping duty on import from Indonesia and China. But the finance minister did not accept or they did not act on that, so that recommendation lapsed after a 60-day period. So, as a matter of fact, as a result of that there is no antidumping duty on VSF currently.

Prateek Kumar : So, basically, it's not moving forward. Review is n ot moving forward. It's gone back to

Hari Agarwal : They will not do it immediately. And we also do not have any new information to submit immediately. So, the DGTR can only recommend. And then rest is somewhat a policy matter or where the Finance Ministr y looks at the thing. But the Ministry of Textile has introduced quality standards for VSF imports. So, for the time being, like until they certify all the exporters, those expor

ters cannot send VSF to India. So, that is kind of reducing the imports of VSF into India for the time being .

Moderator : The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Sir, first question is on the volumes of both the division. In the past, we've operated both the units at more than 95% utilization. This year, both the units are in the 80s. We're also having this expansion at the Chemical division. So, sir, from a volume growth and utilization point of view, any direction you would like to give for FY '24?

Hari Agarwal : So, for VSF, we are now operating at mid -90s. So, mid-90s, 93%, 94% capacity utilization. And we believe that we should be able to maintain that level going forward. But again, the market remains very uncertain, so many macro level uncertainties, all energy price, Ukraine -Russia war, China -U.S. issue, U.S. banking crisis. So, everything has some bearing on the textile market in general. So, we are all subject to all those things. But for the time being, we are operating at 90 - plus capacity level.

Jayant Dhobley : Coming to the Chemicals business, we have reported 89%. And by the way, I do believe that our utilization is still better than most of our peers. So, I think that is what you need to compare against. You mentioned about the new investments. So, I would just like to kind of remind you that the investments, for example, which are coming up in the next couple of quarters, frankly, relate to our epoxy business in Vilayat, which is not only completely utilized, but actually, we are making good profit.

There are some brownfield expansions coming. As we have reported, for example, on our BB Puram side, which is in the south of India, which is a market that is undersupplied from a caustic perspective. A lot of caustic moves from west to east. So, we don't really see utilization

Grasim Industries Limited

May 26,2023

Page 12 of 17

challenges due to demand side on caustic. Some of our investments actually are coming in our epoxy business.

But we do see that the end market for chlorine downstream industry need to pick up, and it will pick up because many of them supply to a lot of basic industries, such as dye intermediates, pharma, et cetera. So, we don't see a significant downside risk to our capacity utilization.

Sumangal Nevatia : Got it. Sir, second question is with respect to CAPEX . Now this year also, we spent somewhere around Rs. 2,000 -odd crore in the existing VSF and chemical business. I mean what sort of pending CAPEX for, I mean, these brownfield and debottlenecking is left, which would be spent in FY '24. In VSF, are we considering any upstream expansion, brownfield or anything, given we are reaching high utilization for the past expansions?

Hari Agarwal : So, the major part of VSF business CAPEX was completed with the completion of our Vilayat expansion. Now some investments are going on with the debottlenecking of our Excel lyocell fiber capacity that is coming and will be complete in the coming quarter, by the end of this quarter or mid of next quarter. So, that is not a big CAPEX anyway.

And then there are certain other environment related and cost improvement projects. Now as we are utilizing high capacity, we still will want to increase the productivity of our existing plants. We will try to produce certain assets harder. And we are also planning some capacity addition for lyocell fiber plant, but still, it is at the planning stage, but we will finalize our plants soon.

Jayant Dhobley : I just mentioned in the previous caller that the main CAPEX in the short term that is coming up is in fact our epoxy expansion in Vilayat. And next to that is our brownfield expansion for caustic at our BB Puram site. And then there are some other smaller projects in chlorine derivatives, whether that's polyaluminum chloride or monochloroacetic and those ty

pes.

Sumangal Nevatia : Sir, I missed the number, did you share any number?

Pavan Jain : No. We are still working out for numbers of all the businesses for the current financial year. So, as I mentioned in the opening remarks, we will come back to you with the numbers once the overall CAPEX number for the company level numbers are finalized.

Sumangal Nevatia : Sir, just one clarification. On the Paints division, this Rs. 7,500, which is approximately left, we said we 'll accelerate. So, this spending CAPEX will be spent over what period? Is it 2, 2.5 years?

Himanshu Kapania : So, we are on track on the project. We will consistently maintain that we've been launching our services in Quarter 4 , and we are on track of building our 6 plants. So, our initial guidance, we are on track on the initial guidance.

Grasim Industries Limited

May 26,2023

Page 13 of 17

Pavan Jain : So, the plants, all the plant CAPEX will be done for the Paints in next financial year and by FY '25. So, the major CAPEX will be done by the end of FY '25. The small leftover items may be carried forward in the next year. Otherwise, '24 and '25 will be the larger part will be completed .

Moderator : The next question is from the line of Shyam Sundar Sriram from Franklin Templeton. Please go ahead.

Shyam Sundar: My question is on paint. Given that Asian Paints is the more strong in West and the South region, from a go-to-market approach, how do we plan to take it up market region by region? Just any flavor that you can share. And to that end, have you started building our network and dealer empanelment as well? Any comments on the progress will be helpful.

Rakshit Hargave : So, this is Rakshit. Let me take this answer. So, we have obviously studied all competition, including the market leader, and we have a clear view of what are our key tasks, whether it is east, west, north and south. And as you would understand, like we are giving updates on our CAPEX progress. Obviously, the work in terms of meeting the trade, meeting the dealers trying to understand, collecting data, is also all going on track, in line with our proposed launch.

Moderator : The question is from the line of Sarfraz Bhimani from JPMorgan. Please go ahead.

Sarfraz Bhimani : So, my question was in continuation of the Paints discussion that we are having. So, first, clarification I wanted is in terms of CAPEX that you said. So, the plants' CAPEX will get done in FY '25, but we're launching the product in fourth quarter of FY '24. So, this means we will not have a pan-India or like a big entry per se. I mean can you please give some clarity on this side?

Himanshu Kapania : We'll repeat what we've been saying consistently. We are in the process of building 6 plants, which is a large capacity. And we will be starting our services around Quarter 4 and in a phased manner, we'll reach pan-India. But we will have sufficient capacity to reach Pan India as more and more plants get launched. We don't have to wait for all plants to be ready for a pan-India launch.

Sarfraz Bhimani : So, this pan-India launch would happen subsequently. So, any target that you have in mind, sir, for this? And any particular region as you were just talking to the previous participant that you already have all these discussions going on with dealer networks, etc etc. But any particular region that you're looking for first entrance?

Himanshu Kapania : No, specific region. We are a pan-India player. Our ambition remains pan-India. If whatever is realistically possible, we will move in a very systematic manner. There are no further guidance on specific geography at this stage.

Grasim Industries Limited

May 26, 2023

Page 14 of 17

Moderator : We have Shyam Sundar Sriram reconnected from Franklin Templeton. Please go ahead with your question.

Shyam Sundar : Sorry, I got disconnected. Just continuing on that paint question. We u

nderstand in the initial

couple of years, the paint business will need some amount of cash infusion. Now I have 2 parts of the question. As per our internal estimates, when do we expect EBITDA breakeven and cash breakeven for this business? Ballpark, can the Paints business be cash breakeven by F '26 or '27? Is that a fair understanding?

Secondly, the second part of the question, if you think of re-sensing the existing cash flows to the other businesses, how much maximum cash losses should we bake in from the Paints business from an outer bound perspective over a period of 2 years? If you can share some perspectives on these lines, that would be very helpful.

Himanshu Kapania : I think that's a very myopic way of looking at our overall Paints business. I think we would have to see the big picture. And I will take a minute to try to explain you the larger picture as far as the paint business is concerned. Just like Grasim is a very strong player in the textile market, we are intending to become a strong player in the building materials market. And I'm sure you must have seen the building material market, our overall sector is the second largest sector, which constitutes to about 9% GDP of the country. On an overall basis, it's about \$300 billion. And currently paint is about \$9 billion in size.

The building material industry is growing is doubling at about 7 to 8 years' time period. But paint is growing almost at 1.6x the building material industry. And with multiple changes entrenched on paint, our expectation is the market will continue to grow. And there is a sufficient gap in the market for a strong national player, which can persistently supply materials as well as make sure its presence is not only in urban but in rural markets.

So, we are very optimistic of our results, and we are not giving any guidance as regards specific cash losses. We believe that the market is ripe enough for a second player and large enough to be able to accommodate the capacity that we are building.

Shyam Sundar : Sir, essentially, you are saying we would be EBITDA, breakeven quite early on than I was saying. I mean that is what it comes out because the market is large enough for another player. It means that we would not have that much cash losses that is on my mind and breakeven could be much more nearer than what I would think at this point of time, correct? Is that a fair understanding?

Himanshu Kapania : I'll repeat what we have said persistently. Our theme is a profitable #2 player, and we will make every attempt to meet all the objectives and missions that we have started to build our business on.

Grasim Industries Limited

May 26, 2023

Page 15 of 17

Moderator : The next question is from the line of Mudit Agarwal from Motilal Oswal Financial Services.

Please go ahead.

Mudit Agarwal : Sir, just 1 question regarding the B2B e-commerce business, like we have about to launch full-fledged business in 2Q FY '24. Can you throw some light like what is the current status and what kind of revenue and profitability we are expecting for FY '24, just a broad-based number, sir?

Pavan Jain : So, in regards to plan is I think I referred in the opening remarks, we will launch the full scale, the platform in Q2 of this financial year, okay? But it will be in phases in the sense, in the first phase we will cover two states, which is MP and Maharashtra, based on the experience, we will scale it up. And then it will go for a pan-India launch in a phased manner.

As regards profitability, as we've, I think, initially shared, it's not going to be profitable in the year 1, I mean the gestating period for the business. But the opportunity is very large in the sense the total market for the building material is more than \$100 billion. The digital share today is less than 4%, there's a large opportunity. We have the kind of network available or the required strategy for the market

to tap through this B2B e-commerce store.

Mudit Agarwal : Just 1 book keeping question. Can you share the VFY EBITDA number absolute for the quarter?

Pavan Jain : VFY EBITDA, I don't think we give the VFY, VFS separate numbers. For the Viscose, I believe, total number, we have already shared.

Mudit Agarwal : Yes, yes. The VSF number is there.

Pavan Jain : I will repeat that VFS, which was a negative EBITDA in Q3 is now positive EBITDA in Q4.

Moderator : The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Just 2 quick questions. One is on the working capital side, I see a huge increase in inventories, not so much in the receivables, not so much in payables. So, is it a temporary thing? Or is it anything specific more got to do with increase in raw material prices? Or what could be the reason for almost Rs. 500 crore increase there?

Pavan Jain : So, Q4, there has been some demand slowdown, as we have said earlier also. So, the inventory buildup is a temporary situation. We hope that this should be back to normal in Q1 or Q2.

Navin Sahadeo : Understood. So, it's largely using finished goods inventory, which is just temporary.

Pavan Jain : Yes, temporary.

Grasim Industries Limited

May 26, 2023

Page 16 of 17

Navin Sahadeo : And second, I'm sorry, but there is so much more interest in Paints, so I couldn't help but ask this. Is it fair to assume that by Q4, we'll start seeing the buzz, be it advertisements, to make it more sound like a large nationwide player is coming. Is it fair to say that by Q4, we'll see a buzz around that? Or could it be before that as well?

Management : So, like we said that we will start rolling out our products in the market from Q4. And we will do what it takes at the right time in terms of creating the buzz. But obviously, our intent is to create a lot of pull in the market. And whatever it takes from all angles of sales and marketing will be done. But we will just start the products in Q4. So, we will have to time our activities accordingly.

Moderator : The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar : Just a couple of follow-up questions. Firstly, on B2B e-commerce. So, we are looking to have a website launched by 2024, which will serve customers in Maharashtra and MP. Is that correct?

Pavan Jain : No, it will be a universal website. It is not limited to the MP and Maharashtra, but our services, we will start in phases. So, in the Q2 of this year, we will start with MP and Maharashtra.

Prateek Kumar : Universal website. So, as in you are both vendor and customer, I mean, both sides of that platform.

Pavan Jain : Yes. We will have the customers and basically the vendors will be available and whoever wants the material will be able to get whatever the product categories we are offering. They will get all the details. The customer segments, as we have told earlier, will be the MSME contractors and the retailers.

Prateek Kumar : So, MSME customers and retailers would largely be located in Maharashtra and MP to start with and vendors, basically, the sellers could be anywhere in the country?

Pavan Jain : Yes, sellers will be. I mean, whoever can service them will be available on the platform.

Prateek Kumar : And you say that you have already started to launch things like customer support, logistics and

lending in these markets.

Pavan Jain : So, we have almost closed the suppliers kind of contracts in some categories. The service providers like logistics also, that is also going on. The final agreement will be reached somewhere in this quarter.

Prateek Kumar : So, it will also consume like CAPEX or working capital in a way?

Grasim Industries Limited

May 26, 2023

Page 17 of 17

Pavan Jain : CAPEX is not very large amount. See, of course, there is a CAPEX going on. Right now, we have partnered with

six technology partners already on board. They are executing the required technological solutions for the platform. So, there will be CAPEX, but the e-commerce business is not a CAPEX-oriented business, CAPEX intensive business. We will have the inventories only for the part where the servicing is kind of very, I mean, critical situation. Otherwise, inventories will be with the sellers only.

Prateek Kumar : And just 1 question on VSF demand and exit of FY '23, you said it has been stronger than the quarter exit. So, would it be possible to quantify the same? I mean, your like last quarter was a quarterly loss in VSF segment. Did it turn positive only in March month that way?

Pavan Jain : No, the demand isn't every month of the quarter, but then there is a lot of seasonality involved in VSF business in terms of demand also and like Chinese New Year and the seasons and the springs, all these things play a very important role. So, yes, demand was good in the fourth quarter. And currently, demand is a little bit weaker, but not too much difference. Not a big deal.

Prateek Kumar : But our volumes have actually increased more in the domestic segment as a domestic mix have increased to 91%.

Pavan Jain : Domestic, but some in export also.

Moderator : The next question is from the line of Rajesh Gajra, Informist Media. Please go ahead.

Rajesh Gajra : Can you please share the EBITDA margin, the total standalone EBITDA margin for the March quarter as well as the year-ago quarter and the previous quarter?

Pavan Jain : EBITDA margin for the March quarter, just a minute, so for this quarter, Q4 of this year is 8% at the overall company level.

Pavan Jain : For the whole year, year ago.

Rajesh Gajra : No, not the whole year. The March quarter of 2022.

Pavan Jain : Yes. Just a minute. So, for FY '22, '23 Q4, that is the quarter gone by, the total EBITDA margin is 8%. And for Q4 last year was 13%.

Rajesh Gajra : Q4, 13%. Okay.

Moderator : As there are no further questions, on behalf of Grasim Industries, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

Grasim Industries Limited

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Ref No. GIL/CFD/SEC/24/146/SE 14th August 202 3

BSE Limited

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Scrip Code: 500300

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1,

G Block, Bandra - Kurla Complex,

Bandra (East), Mumbai - 400 051

Symbol: GRASIM

Dear Sir/Madam,

Sub: Transcript of Conference Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30th June 2023

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Earnings Conference Call held on 10th August 2023 on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30th June 2023 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q1fy24.pdf>

Thanking you,

Yours sincerely,

For Grasim Industries Limited

Sailesh Kumar Daga

Company Secretary

FCS - 4164

Encl.: as above

Cc:

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Mumbai – 400098

"Grasim Industries Limited Q1FY'24 Earnings
Conference Call"

August 10, 2023

MANAGEMENT : MR. HARIKRISHNA AGARWAL – MANAGING DIRECTOR
MR. PAVAN JAIN – CHIEF FINANCIAL OFFICER
MR. HIMANSHU KAPANIA - BUSINESS HEAD, PAINTS
BUSINESS
MR. JAYANT DHOBLEY – BUSINESS HEAD, CHEMICALS ,
FASHION YARN & INSULATORS BUSINESS
MR. JAYANT DUA – CEO, CHLOR -ALKALI BUSINESS
MR. RAKSHIT HARGAVE – CEO, PAINT BUSINESS

Disclaimer: E&OE - This transcript is edited for readability purposes, factual and verbatim errors. In case of discrepancy, the audio recording uploaded on the website on 10th August 2023 will prevail.

Grasim Industries Limited
August 10, 2023

Page 2 of 18

Moderator : Ladies and gentlemen, good day, and welcome to the Q1FY'24 Earnings
Conference Call of Grasim Industries Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing "*" and then "0" on your
touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Panchmatia, Head, Investor Relations. Thank you,
and over to you, sir .

Ankit Panchmatia: Thank you, Jacob . Welcome everyone for joining us today for Grasim's Q1FY'24 Earnings Call.
Trust everyone got a chance to look at the financial statements and presentation uploaded on the
exchanges and also available on our website . For safe harbor, kindly refer to the cautionary
statement highlighted in the last slide of our presentation .

Today, we have with us Mr. Harikrishna Agarwal – Managing Director and Mr. Pavan Jain –
Chief Financial Officer. Also joining the call, we have Leadership team from key businesses. Mr.
Himanshu Kapania – Business Head, Paints; Mr. Jayant Dhobley – Business Head, Chemicals,
Fashion, Yarn & Insulators , Mr. Rakshit Hargave - CEO of Paints business and Mr. Jayant Dua
- CEO of Chlor -alkali business .

I would now welcome Mr. Pavan Jain for his opening comments . Post which we will open for
the Q&A. Over to you, sir.

Pavan Jain: Good afternoon everyone . It is a pleasure to share our quarter one performance with you .

First, I would like to give some highlights on the macro environment and then cover Financial
Performance of our Company for the quarter under discussion .

Globally , interest rates hikes continued with U.S . fed rates rising in July '23 by 25 bps to 5.25 -
5.50%. Though RBI seems to have paused the rate hike for the time being . Fed had guided that
the future interest rate decisions would depend on inflation data and the inflation in U.S . is
steady. The economy is growing at a faster than expected pace .

Consumer sentiments are also indicating positive signs of recovery for the second half of
calendar year '23. China's expected reopening led demand based on export growth and
consumption revival has somewhat disappointed global expectations . The subdued domestic
demand recovery has led China's focus on exports to keep the economic growing at desirable
levels . As the macro global environment continues to remain volatile , the realizations are
impacted across global businesses we operate in like viscose and chemicals .

Grasim Industries Limited
August 10, 2023

On the India front, we have been on strong footing and there have been multiple upgrades to GDP estimates. According to RBI, India's Q1FY'24 GDP growth is expected to be around 7.9%. Given the current expectations around growth, multiple agencies have pegged their estimates of India reaching the position of third largest dominant GDP by 2030. This is remarkable given its position of being among top 10 economies in 2010. Given majority of our revenues are from domestic markets, we remain confident of playing a n integral part in India's long-term growth story.

However, in the near-term, global slowdown has directly impacted India's exports of textiles, which degrew for the 12th consecutive month on Y-o-Y basis. During the June '23 quarter, textile exports are lower by 10% Y-o-Y and 9% Q-o-Q, which has impacted the textile value chain from mills to garment manufacturers. The domestic demand for textiles and apparels is also exhibiting some sluggishness due to delayed festive season, which is in the later part of the year. Cotton prices have also declined 41% Y-o-Y and 4% Q-o-Q which to an extent impacts

the demand for viscose as well.

The Chemical industry is witnessing similar global demand slow down impact, which has resulted in higher inventories. Weak demand from end user industries globally like textiles, packaging materials, constructions etc., especially in the developed countries is indicating subdued scenario in second half of calendar '23.

Despite these headwinds, our standalone businesses' performance has improved for the second quarter consecutively. The improvement was largely driven by a strong recovery in viscose business, partially offset by subdued performance in chemical and textile businesses. Y-o-Y performance comparisons are impacted due to unfavorable base impact compared to the peak of cyclicality in Q1 last year in respect of our VSF and Chemical business. Our continued focus on costs and improving efficiencies coupled with lower input prices have resulted in improved performance on Q-o-Q basis.

As already shared earlier, we are happy to share that we will be launching our two new businesses in the current financial year. The paints business will commence its commercial offering from Q4 FY'24. Of these six plants, at least two or more plants will be commissioned this year. Our long-term goal is to be second largest player in the Indian decorative paints market, which is growing at a healthy double-digit pace.

We have launched our full scale B2B e-commerce website this month under the name of "Birla PIVOT". Birla PIVOT is unique experience for MSMEs operating in construction business giving them one-stop shop solution from generation of quote to delivery and facilitating financing solutions.

Grasim Industries Limited
August 10, 2023

The platform is up and running in full scale across regions of Maharashtra, MP and Delhi. We have onboarded 130 plus brands and going forward, we will also explore private label products in select categories. Initial response to Birla PIVOT has been encouraging.

On the sustainability front, our efforts are well recognized in the industry and value chain. We constantly endeavor to reduce water consumption and emission and increase the share of renewable power. This would be driven by process efficiencies, new technology deployment and investment in renewable power capacities. We have improved our share of renewable power to 11% compared to 8% in last financial year. Additionally, we have been recognized as one of the most sustainable organization by two prestigious media publications, that is The Economic Times and Business World.

Now highlighting some of the key financial parameters of Q1FY'24.

Consolidated revenue grew by 11% Y-o-Y to ₹31,065 crore this quarter. Revenue from key subsidiaries UltraTech and Aditya Birla Capital grew by 17% and 26% respectively. The performance was moderated by degrowth of 14% at standalone level. Consolidated EBITDA degrew by 5% Y-o-Y to ₹4,981 crore, largely due to softening of realizations at standalone businesses as well as at Ultra Tech Cement.

Standalone businesses' revenue stood at ₹6,238 crore compared to ₹7,253 crore in the same period previous year. Standalone EBITDA degrew 42% Y-o-Y to ₹789 crore compared to ₹1,364 crore. The high base impact from historically high rates of key products namely VSF and caustic soda has led to this impact on profitability on Y-o-Y basis. EBITDA for the quarter is also net of pre-operative expenses of new businesses charge to P&L.

Globally, Viscose is the fastest growing sustainable fibre compared to cotton and polyester. Viscose continues to sequentially recover since Q2FY'23 with EBITDA for the quarter at ₹390 crore. The utilization level at 90% was impacted partially by the plant shutdown of almost a month due to fire at our Harihar unit.

International caustic prices or CFR SEA are on decline

ng trend from October '22 onwards. The rates were \$735 per ton in October '22 declined to \$395 per ton in June '23 which is a correction of 46 %. The quarterly average rates during the same period previous year stood at historic high level of \$769 per ton which makes Y-o-Y comparison unviable . High operating rates with missing demand recovery in Ch ina led to oversupply leading to global prices erosion . India imports albeit a t lower base increase further adding to the capacity additions from domestic players .
Grasim Industries Limited
August 10, 2023

Page 5 of 18

Our Chlor -Alkali business continues to maintain its market leadership posting volume growth of 5% Y-o-Y at 292 ,000 metric tons . However , the revenue for the quarter degrew by 21 % Y-o-Y to ■2,146 crore compared to ■2,733 crore in Q1 last year . The resulting revenue mix from caustic declined from 61 % to 55 % and chlorine derivatives ' revenue increased from 17 % to 20 % on Y-o-Y basis .

There remains a sharp focus on developing products around chlorine derivatives , partnership with Lubrizol is in the same direction , whereby the construction of Asia's largest CPVC resin plant at our Vilayat unit is expected to commence this year , and it would help to improve captive consumption of chlorine . Post completion of capacity expansion projects , the chlorine integration would be 72 % compared to current 61 %.

The Specialty Chemicals , which is our epoxy resi ns business , posted another stable quarter led by strong demand for specialized products in key user industries . The product mix improvement in favor of specialty products and correction in raw material prices resulted profitability in this segment growing nearly 2x Y-o-Y.

Delayed festive season coupled with elevated flakes prices impacted performance of our linen business in the textile segment , though wool segment performed well . Textile revenue degrew by 11% Y -o-Y to ■549 crore . Our focus has been to grow iconic brands like Linen Club , SÖKTA■ and Giza House . We have been ramping up our retail presence and the brands are now available at over 210 EBO s and over 8 ,000 MBO s offering k ey brands .

As we are making a large investment in new businesses for next phase of growth , the net d ebt as of 30th June '23 stood at ■3,515 crore . During this quarter , we have also participated in the preferential allotment by Aditya Birla Capital wherein we have invested ■1,000 crore . Excluding our investment in new businesses and the investment in Aditya Birla Capital , our existing businesses continue to generate free cash flows and we have generated ■256 crore for the quarter one o f FY'24 .

The Board has approved CAPEX spending of ■5,791 crore in FY'24 including ■4,283 crore for paints business . During the first quarter , we have spent ■1,380 crore towards CAPEX . We now open the floor for Q&A.

Grasim Industries Limited
August 10, 2023

Page 6 of 18

Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Sumangal Nevatia from Kotak Securities . Please go ahead.

Sumangal Nevatia: My first question is on the viscose business . So, clearly costs are dictating . So, if you can give detail which all areas we are seeing cost dictation ? And also, in the coming quarters as we can see prices are a bit of under pressure . What all some outlook on the cost for the coming quarters if you could share ?

Harikrishna Agarwal : So, on the first side , obviously , the main cost items where we have seen reduction are pulp prices , caustic prices and coal prices . So, all the important input prices have come down compared to last year significantly and also compared to the last quarter . So, that is a very positive trend . Looks like the input prices do not have much further room to go down , but we have to se

e . It all

depends on the macro level situation and especially in China . So, China now is going through very difficult phase . Today newspapers everybody read that China is going through deflationary pressure . So, we have to see how the government and the Chinese economy perform in the coming months and that will determine the input prices all over the world .

The realization also is i n the decline trend , and it depends on the pace of decline . Sometimes raw material prices decline faster . Sometime final product prices decline faster depending on the inventory levels , depending on the macro global sales trend etc., etc. So, these are the scenarios currently going through .

On the Chlor -Alkali side, caustic prices have come down significantly, but helps viscose fibr e price, but it again impacts us very badly on the Chlor -Alkali bottom line performance . Energy

prices , particularly in terms of coal , have come down recently . That should reflect in our performance in the coming months also , but then it will again depend on how severe is the winter , coming winter , and that will determine the coal prices going forward .

Sumangal Nevatia: So, I mean , as far as the spot rates are concerned for the various cost items , it is already largely reflected in 1Q results when you say there is not much further scope of reduction or there is some further inventory gains and you will see some benefits in the coming quarter ?

Harikrishna Agarwal : I think this is fairly reflected already . Yes, small things will keep moving , but that will not be very big .

Sumangal Nevatia: And so, the caustic business , sir, given the pressure on prices , coming quarter , should we expect margins also to trend in line with the price weakness or there are some offset available there?

Jayant Dua: So, this is Jayant Dua this side . So, we believe that caustic the way it is trending , you are nearly at the end phase of further reduction . There could be marginal changes which are obviously a function of local India movements and how the Indian consumption centre moves , but we believe

Grasim Industries Limited

August 10, 2023

Page 7 of 18

that largely it is more or less near is bottoming out . But yes, the trend as for this particular quarter will be lower as compared to the average of last quarter because the exit of last quarter is what we are seeing today as the new stabilization . So, yes, to your question will there be further margin erosion based on the exit of last quarter , it will be relative to , it will be equivalent to that , but from the average of last quarter , it will be a dip.

Sumangal Nevatia: Sir, my second question is with respect to CAPEX , for the Paint division , should we expect a large part of our ₹10,000 crore CAPEX to be concluded by FY'25 given that FY'24 also is a very significant CAPEX for the presentation ?

Pavan Jain: Yes. So, you can assume that . So, a large part of CAPEX will be done by FY'25 .

Sumangal Nevatia: And sir, the B2B ecommerce , there is low CAPEX what we are spending this year, is there any other indirect way of financing in terms of working capital etc., being absorbed in that business ?

Pavan Jain: No, there is no in that as of now I think and CAPEX is, see, it is not a CAPEX intensive business. We have spent on the technology side , and of course , we will have to continue to spend on technology . So, that is all for CAPEX .

Sumangal Nevatia: So, the peak of CAPEX will be this intensity only in a particular year or coming years FY'25 , '26 you see further increasing CAPEX from what we are spending in FY'24 ?

Pavan Jain: So, for the Board approved CAPEX numbers, if you look , this is I think one of the highest spending year , current financial year. For the next financial year, we will have while the pending CAPEX of Paints business for the next financial year

, we will have proposals to go to the Board

and get Board approval etc. So, for next financial year , it is very difficult to say about the numbers , but as of now , yes, this year looks like CAPEX heavy year.

Moderator: Thank you. The next question is from the line of Nirav Jimudia from Anvil Research . Please go ahead.

Nirav Jimudia: Sir, I have a few questions . So, one on the chemical side . Sir, if we see our ECU realizations in Q1, they have been far better than the other players ' reported numbers in the caustic chlorine division . So, just wanted to have your thoughts here that was there any specific reason for our ECU realizations higher than our peers ? If you can share your thoughts here?

Jayant Dua: So, I think the reason is that, I think , tactically , we played couple of moves better than some of our competitors . From a long term , if you say, was there any strategic shift? No, I think the difference was that our back , what we call our chlorine derivatives compared to Q4 of last year to Q1 of this year, our volumes have materially gone up . And other than that , it was , I guess , more day-to-day active management .

Grasim Industries Limited

August 10, 2023

Page 8 of 18

Nirav Jimudia: And sir, what proportion flakes forms in terms of our total sales volumes for caustic soda division ?

Jayant Dua: So, flakes form to the tune of around 20 % to 25% of our total caustic line production .

Nirav Jimudia: And has that proportion gone up this quarter ?

Jayant Dua: Yes, it has gone up , not significantly . Marginally gone up.

Nirav Jimudia: Sir, a related question to this , like when we are expanding our caustic soda capacities , does this newer capacities come at a lower power consumption per ton of production ? Because what we have seen for a lot of players that when we interacted , they say that it is possible to reduce the per ton consumption of power . So, that and whether it is possible to modify the equipments for the older capacities so that there also there is some scope of power reduction ?

Jayant Dua: So, you see the power reduction in any caustic plant is a function of the generation of the electrolyzers you buy . So, if you go towards generation 5, 6, you will be better off with compared

to your 4. So, all our new capacities which are coming are coming with the latest generation of electrolyzers. So, you will get a better power cost output compared to the older plants, but on the flip side of it, we have a very robust program of also upgrading our old membranes and electrolyzer which is the continuous process which happens.

Nirav Jimudia: And sir, is the cost, is the power reduction could be to an extent of 15 % to 20% with the installation of sixth generation membranes? Is there a...

Jayant Dua: No, it's not that material. It's not that material, because it's only about close to 40 odd units per stack which you get from one generation to another, but your real power cost reduction comes from how do you do your power buying or your power mix. It's not too material on the electrolyzer, while that's the largest consuming center, but your power cost saving comes from your power mix.

So, I think that's what it is, and I think the material difference that we have on our cost structure is that today on an expanded base, 14% of our power mix is on renewable side, which is significantly lower in cost compared to the current grid cost or the thermal power plant cost.

And also, on our as Mr. Agarwal was talking, the coal prices compared, we, I think are now buying. We have done better than the index values of the coal buying. So, our power cost mix is lower than the industry average.

Nirav Jimudia: So, sir, here if you can share what was our average power cost for Q1? And how much savings we could assume from Q2 onwards? Because last quarter you

mentioned that our average power cost was close to ₹7.5 a unit. So, if you can?

Grasim Industries Limited

August 10, 2023

Page 9 of 18

Jayant Dua: So, if you look at it for, I mean, we can go through the number. So, if you look at it, we are currently at approximately ₹7 odd rupees on power. So, that's the way it is we have said. It was ₹7.1. It has come down to ₹7, but in between the coal prices have actually significantly also at points of time gone up. Today, the biggest change is the way the grids are now increasing their price by levying off various assets. Coal price is lower. Power cost is flattish for us.

Nirav Jimudia: Sir, the second question is on the epoxy side. So, last time we mentioned that we are in a range of 15 % to 17 % EBITDA margins for the epoxy business. So, had that margins remain the same in Q1 FY'24 also? And if you can share your views in terms of the specialty volumes for our epoxy business, so how much they are out of our total sales volume, and your thoughts of venturing into the B2C business for epoxy, whenever we will be keep on ramping those LER capacities on commissioning and then later on going into the value-added products?

Jayant Dholey: Yes, so that was a lot of questions to ask at one point of time. So, I will answer the last one first. So, as of now, there is no immediate plan to enter into the B2C market. In fact, many of the large B2C players are our customers, right? And we do big volumes with them. Now over time that could change. As and when that changes, we will of course announce it, but as of now there are no plans. We value all our B2C relationships with globally marquee customers such as Henkel, Mapei, Sika etc. Then if you look at the actual margins, so, we are confronted with the situation where we have Free Trade agreements with many countries and an inverted duty structure in some of the base epoxy resin. For example, the Korean players like Kukdo, Kumho etc., can supply duty-free into India, and at the same time Europe has removed the GSP benefit for epoxy resins.

We have managed to overcome these headwinds by actually increasing our specialty share, the one that you have mentioned, and we are particularly strong in the wind sector. So, compared to previous quarters, we have improved our specialty margin.

I don't think we would like to disclose the exact number of the margin, but what I can disclose and confirm what was said earlier by our CFO Mr. Pavan Jain is that our profitability of epoxy has significantly improved. We have doubled over quarter-on-quarter basis, but I would not like to give the exact number of specialty sales and the segment-wise data.

Nirav Jimudia: You mentioned on a quarter-on-quarter we have doubled our epoxy profit?

Jayant Dholey: Yes.

Pavan Jain: Y-o-Y.

Jayant Dholey: Sorry, Y-o-Y basis.

Grasim Industries Limited

August 10, 2023

Page 10 of 18

Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: So, very happy to see the sequential improvement in margins despite realizations correcting the way they did. First question on VSF. So, I think this is again the second time that we are seeing that globally, the prices have gone up a little bit. That's what the presentation says, but our

blended realization again has been a little soft or down rather Q-o-Q. I am assuming could be the similar regions like last time because of , let's say , the importing , import duty or anti -dumping duty being abolished or some material coming in from other countries which has led to this impact . And the cost , of course , helped us post a significant improvement quarter -on-quarter. My question is that I believe , globally , there has been a further some drop in prices in July and

August . So, to that an extent , assuming that there is a further fall or a downslide in India prices , will margins hold at these levels because your pulp prices and c austic prices is going down further or you can see some directionally , some pressure on margins in the coming quarters on VSF?

Harikrishna Agarwal : Yes, you have summed up it almost correctly . So, there will be some pressure , but it is all very marginal . There are not big movements either way . So, yes, prices , the international prices have reduced since end of June , and we also have to follow that trend in India also , and there is some reduction in the raw material prices also , but everything moves . There are so many moving parts , and we have a pipeline in the transit of raw materials and all these things . So, there w ill be small difference whatever way it is , yes.

Navin Sahadeo: But largely , can we say that this is now the bottom , I mean , give or take few basis points here or there , but these margins are largely bottomed out ? Is it a safe thing to say ?

Harikrishna Agarwal : We would like to think so . Yes. And you never know . You know, there are always surprises from China or sometimes Europe like the things change so fast . Within one-month things can change . Global sentiments can change . Anything that happens has its effect on everything , but largely , yes, you are right .

Navin Sahadeo: So, just on this , since you mentioned China and the global factors , and recently , there were some news articles about spinning mills like seeing some shutdown or temporary closure in Tamil

Nadu or the textile hubs , so does that impact our volume outlook in any way ?

Harikrishna Agarwal : See, globally textile markets are not doing great including in India and not just in viscose, but across all kinds of products , all kind of things , whether it is cotton or polyester or linen or viscose. So, this is a global trend and exports from India have also declined Q-o-Q also and Y-o-Y also. So, everything is under a little bit of slow down .

Grasim Industries Limited

August 10, 2023

Page 11 of 18

Navin Sahadeo: So, there can be some hit on volumes is what you say from the current quarter like we did a pretty healthy utilization of (+90%). So, are we expecting some fall?

Harikrishna Agarwal : Yes, we are trying our best to maintain the volumes and also try to get more volume in export market . So, we try to maintain our volume as best as possible .

Navin Sahadeo: My second question was then on the chemicals business . Is there a delay in the CAPEX of Chlor - Alkali commissioning ? Because I think the capacity increased from 1.3 to 1.5 MTPA , which earlier was guided as Q3 '24. I think the latest presentation says Q1 '25.

Jayant Dua: So, there is actually , I mean , there is not a significant delay . There is a lot of delay because of the monsoon and all which has been factored in there , but the CAPEX are going as per the plans .

These capacities will come by Q1 '25, could be Q4 exit '24, but there has been a fair amount of monsoon delay which has got built into the system .

Navin Sahadeo: And since the specialty chemicals is just around the corner to double , I believe , capacity 123K TPA further getting added , I think , Q2 '24 again , as we speak , probably . So, what kind of delta can we expect broadly , if we can get some sense , how should we pencil in the commissioning of this specialty chemical segment ?

Jayant D hobley : When you say delta , you are asking me about the revenue ramp up curve ?

Navin Sahadeo: Some guidance as to like revenue will help broadly .

Jayant D hobley : So, look, we will be doubling our capacity , and as you can imagine , these are all batch process units , right ? So, there are multiple underlying SKU s that need to be tested , qualified etc. A typical ramp up curve from start o

f commissioning to reaching full , let's say operational capacity

after all the qualification steps is done is around 12 months , let us say . So, you can assume that we will make incremental steps of 20%, 25% per quarter over a year period . You know, worst case situation it could become five quarters . That would be a good underlying assumption .

Navin Sahadeo: And just on this margins front , similar to VSF, here also prices , correspond spot prices are lower versus the previous quarter , but I believe cost is also some probably steam left to get that . So, here also should we see margin stabilization or directionally some pressure can come?

Jayant Dua: The margin pro file won't significantly change . Of course, at that point I have to say that when a new factory comes on , we are more likely to increase our share of bas e and as compared to specialty , so the product mix will change , but the inherent margin profile of the business will not change . We drive o ur business by spread over raw materials in this particular type of business and sometimes t here may be a time lag because of timing of purchase versus timing of sales , but

that time lag also rarely exceeds the quarter given the length of our supply chain . So, the margin
Grasim Industries Limited
August 10, 2023

Page 12 of 18

profile won't change . The product mix will change because the newer capacities will probably first be consumed in base resin before we restore our base resin to specialty chemicals.

Navin Sahadeo: Just one last question . In the initial comments , Pavan sir said that the performance is net of the pre-operative expenses of these new businesses . So, just wanted to understand what kind of impact is there because of the B2B business or even the paint that we have probably started some trial runs as I know ? So, what kind of impact are we seeing since the last one or two quarters to help us understand that these numbers are including the impact of these , the operative expenses ?

Pavan Jain: So, not very significant number , Navin. But yes, I mean , I think we are not separately disclosing these numbers , but these numbers are not very significant considering our overall numbers .

Moderator: Thank you. The next question is from the line of Pratik Kumar from Jefferies . Please go ahead.

Prateek Kumar: My first question is on VSF business . So, from the product mix of domestic versus exports which are mentioned , it appears that domestic business was much weaker on a year -on-year basis versus international . So, is there dumping from the Southeast Asian countries increased significantly because of global environment or how should we see that ?

Harikrishna Agarwal : Well , the VSF Imports are not happening much currently , but what is happening is the lot of viscose yarn is coming from China at very low prices , and that is affecting the profitability of our customers big way , and that is creating pressure on everyone . And this is all because China , the consumption is less than the production of viscose fibre yarn and all that thing . So, China exports are also low to West U.S. and Europe . So, these are all trade flows happening , but as such, VSF Imports are not very high.

Prateek Kumar: So, because the yarn is getting still more, we are not able to push our product to , fibre product to our yarn customers , and that's why the domestic demand seems weaker now.

Harikrishna Agarwal : Domestic demand is anyway weaker even without this much import, but that import also then dampen on prices of yarn and the profitability of a spinner . And they evaluate which fibre to run , which product is profitable etc., etc.

Prateek Kumar: Other question is on new businesses . So, can you highlight how is the traction in the paint services business which you have started with your, I think , employees or friends a

nd family in

the paint segment ? How is the initial traction? What exactly we are doing there ?

Rakshit Hargave : So, the painting services business what we have started is a trial service where we are addressing painting services solutions within friends and families of Aditya Birla Group. So, obviously this is to develop and improve on certain standing and operating procedures that we have developed ,
Grasim Industries Limited
August 10, 2023

Page 13 of 18

and as we know that we don't have our products right now , we are using products from the market . So, this is to develop better SOPs and prepare service teams for the future .

Prateek Kumar: And your CAPEX this year your CAPEX spend is in the ₹4,200 crores over ₹2,600 crore which we did for last year . So, remaining is only , I guess , around ₹3,000 crores in this segment . So, all of it is expected to get incurred in FY'25 or some of it is like more like working capital related expenditure , so it can come as an operating kind of CAPEX later in the FY'26 or '27?

Rakshit Hargave : So, the overall CAPEX spent till 30th June is ₹3,638 crores . That's the right number . So, I think you are having a different number .

Pavan Jain: We are talking of cumulative. Your cumulative spend on the paint is ₹3,200 crores. ₹3,600 crores. Yes, and ₹4,283 planned for this year , balance of the ₹10,000 crore which is spent in '25.

Some small amount may spill over like the performance guarantees like remains etc. That may go to FY'26 , but largely , everything will be spent by FY'25 .

Prateek Kumar: And on B2B e-commerce now we have started this portal this quarter, so like initial expectation , what will be your gross revenues and like the kind of take rate revenues which we are looking at in the segment ? And will this segment be reported separately in our earnings or how should we look at it ?

Pavan Jain: I think this segment will not require separate disclosure considering the overall number , because this year I think only two quarters we will have the full-scale businesses in the B2B segment .

So, as far as separate disclosure of revenue etc ., if required , we will go by the numbers for the year whether it will require separate disclosure or not , but for the current year , we will have full - scale operations only for two quarters kind of two quarters plus some one month or something like that .

Prateek Kumar: But the segment would have like gross revenue which will get reported or just our take from the gross revenue ?

Pavan Jain: No, gross revenue , because the model is that...

Prateek Kumar: I was asking, so we will be reporting gross revenue in this segment and not the net revenue which we get as a take rate for the B2B e-commerce segment.

Pavan Jain: No, so we will report the gross revenue because the billing is by Grasim to the customers.

Prateek Kumar: So, you mention, in your opening remarks, we are looking at some private label products also in this segment. So, can you elaborate on this like you are looking at manufacturing contract management of tiles etc.

Grasim Industries Limited

August 10, 2023

Page 14 of 18

Pavan Jain: We are still in the, I mean, now not in the state of final disclosures in this regard. We are exploring different product categories, private label business. I think once we reach the finalities, we will come out with the disclosures. So, the idea of talking about this is that we will be looking at private label manufacturing and the idea is that that should help us in augmenting the margins.

Prateek Kumar: So, the last question on your debt. You have like ₹3500 crore debt as of 1Q '24. What is the peak debt we should look at in FY'24, '25 with the conclusion of the paint CAPEX?

Pavan Jain: FY'25 you are asking? It's about ₹10,000. FY'25? You are asking FY'24?

Prateek Kumar: Yes, during

the CAPEX of paint business, so what is the peak debt we should look at versus

₹3500 crore, 1Q?

Pavan Jain: See, peak debt, it will depend upon, I mean, how the existing businesses for cash flows and see, CAPEX part is certain, of course. But the debt requirement will be dependent upon how the cash flows are coming from the existing businesses, but of course, it looks like whatever CAPEX requirement is there, at least we will have to meet that largely by borrowing only.

Prateek Kumar: That is fair to assume it should be somewhere in the range of ₹8-10,000 crores on the...

Pavan Jain: Yes, the peak of the debt it could, gross debt could be that kind of level. But again, as I told you, the numbers will depend on how the cash flows are generated by the existing businesses and net debt, of course, will be lower. Net debt will be, we continue to hold about ₹3,000 crore plus is cash surplus. So, net debt, of course, will be lower.

Moderator: Thank you. The next question is from the line of Vipulkumar Shah from Sumangal Investments. Please go ahead.

Vipulkumar Shah: So, what will be our paint capacity at the end of this year when first phase of that business gets built?

Rakshit Hargave: So, we have announced the total capacity of 1.3 billion litres. By the end of this financial year, we will have a target of three units operational. So, the total capacity of those three units put together would be approximately 630 million litres. That is the full-scale capacity.

Moderator: Thank you. The next question is from the line of Shyam Sundar Sriram from Franklin Templeton. Please go ahead.

Shyam Sundar Sriram: The first question is on this Lubrizol CPVC plant per se. You did mention about it in your opening remarks. We assigned about 1 lakh metric ton of CPVC capacities that should begin by in this 2023. So, this ₹708 crore of chemicals CAPEX, does that include the CAPEX for Lubrizol

Grasim Industries Limited

August 10, 2023

Page 15 of 18

or that would come later? If so, how much one should expect per se there? And any sense if you can provide there?

Jayant Dua: So, if you look at when we made the Lubrizol announcement, first, two corrections. One is that the plant startup will happen in this financial year. The construction will start up. It's not planned startup. Construction will start up. So, which means construction will come to an end by FY'25 middle to end.

The second part was, if you looked at the announcement when we did with Lubrizol, this is a zero CAPEX investment for Grasim, and the entire 100% investment is being done by Lubrizol. So, there is no CAPEX impact on Grasim's balance sheet due to this particular plant coming up at the live site.

Shyam Sundar Sriram: So, this is essentially an operational which Grasim will lend their operational capabilities and provide the products.

Pavan Jain: Yes, we will supply the chlorine to them by pipeline, and we will do the operations part.

Jayant Dua: Operation management for them as well as the entire CAPEX sales is their responsibility. It does not impact us. So, we are actually protected from the vagaries of the market in this operation.

Shyam Sundar Sriram: So, therefore, you will be compensated for the Opex cost essentially.

Jayant Dua: We will be compensated for, we will not get into the disclosures of that cost, but will be compensated to the Opex cost plus our management fees, operation management fee.

Shyam Sundar Sriram: That's helpful. Sir, are there any more such products in the pipeline? How do we see the evolution here per se?

Jayant Dua: So, this is the first one which is being attempted, and I think as we proceed ahead, it will evolve

as we go along . Today very difficult to say anything beyond this .
Shyam Sundar Sriram: Sir, the other point is on capital allocation .

We had invested in Aditya Birla Capital sometime

back in June . Now just wanted to know are there any such investments planned in our holdings
per se over the next two years ? Any perspective that you can share on capital allocation ?

Pavan Jain: So, as you know, the only financial services sector is doing very well currently . So, the capital
requirement was higher at Aditya Birla Capital also . That is how we have done this ₹3,000 crore
equity raising in Aditya Birla Capital . We are of the view that for the time being at least for next
two, three years , that should meet the requirement . But I mean , as of now , there is no other plan
other than whatever we have already invested ₹1,000 crore .

Grasim Industries Limited

August 10, 2023

Page 16 of 18

Shyam Sundar Sriram: So, no other plan as in no other outside of the whatever CAPEX that we have outlined , nothing
else outside that from our visibility perspective .

Pavan Jain: Yes.

Moderator: Thank you. The next question is from the line of Mudit Agarwal from Motilal Oswal Financial
Services . Please go ahead.

Mudit Agarwal: Sir, my first question is that brands in retail preferences are changing towards more on the
sustainable product side . So, how they are collaborating with us on product development and
innovation ?

Harikrishna Agarwal : So, I assume you are referring to the viscose fibre.

Mudit Agarwal: Yes, sir.

Harikrishna Agarwal : Yes. So, there are a lot of work is happening on the sustainability , especially circularity where
the used garments or pre -consumer waste are converted back into textile , usable textile . So, we
have developed our capabilities for both mechanical recycling as well as chemical recycling of
used textiles or industrial textile waste .

We are also working very closely with some international brands where we use such raw material
along with our virgin raw material and supply the final fibre, which has almost 30 % recycled
content . And these are the initial stages for this trend , and we are well equipped to participate in
this one as the things will develop . And India is going to play important role in the entire
international global textile value chain . So, this is , I think , very encouraging for Indian textile
value chain also .

Mudit Agarwal: And sir, one bookkeeping question on that tax side . This quarter the tax rate comes at around
11.3%. So, is there any adjustment ? Or what was the effective tax rate for the quarter?

Pavan Jain: So, the effective tax rate is 12 % considering our existence whatever we have . So, we have
already shifted to the new tax regime , and this is the , I think , tax rate will have considering the
80M deduction for the dividend income etc., so that is the expected tax rate for the current year .

Moderator: Thank you. The next question is from the line of Nirav Jimudia from Anvil Research . Please go
ahead.

Nirav Jimudia: So, one question on the pulp prices . So, last quarter our average pulp prices were close to \$900
a ton . So, if you can share it for this quarter ? And what are the current rates for the pulp coming
to us in Q2 and ...?

Grasim Industries Limited

August 10, 2023

Page 17 of 18

Harikrishna Agarwal : So, pulp prices are generally dissolving grade pulp prices are normally expressed in terms of
CCF report . CCF reports pulp prices every week . So, currently , the hard wood dissolving grade
pulp prices are at \$840. Soft wood dissolving grade pulp is \$850. So, there has been some
reduction compared to previous months , and this is the current price .

Nirav Jimudia: And what was the average for Q1 FY'24 , sir?

Harikrishna Agarwal : See, I do not , no, see we have our formula for procurement of pulse where we use the previous
month 's pulp price for shipments , and this thing , and there is a long shipment time . So, it's a
continuous

thing . So, I will not be able to give you the average figure for the quarter for
purchasing . It will be very similar to the moving trend of average of the previous month .

Nirav Jimudia: Sir, one question on the chemical side . So, if you can share like out of our total caustic sales , is
there any proportion of contractual sales into there also ? Like out of , let's say, whatever we sell
in the domestic market , what is the mix in terms of our contractual and the spot sales ?

Jayant Dua: So, if you look at it , our entire flake sale is spot sales. So, that's straight away about 20 % , 22%
to 25 % , which is totally spot flakes is entirely there . On the caustic side, if you look at it ,
approximately , I will say our contractual sales would be a larger proportion to the amount of
around 60 % . On the liquid side , the balance 40% would be a combination of monthly contracts

and spot contracts . So, if I were to look at the entire business level , you would say our contract to contract ual will be a ratio of 60 :40.

Nirav Jimudia: So, some proportion of higher issue could be because of this contractual arrangements also which ...

Jayant Dua: So, clearly the flakes and the contactors , some of the long-term contracts are six months . So, they are factored in for the various whatever the market allows you to do that .

Nirav Jimudia: And sir, last question from my side is on the amount of power what we purchase from the grid because you mentioned that the gr id power has become costlier for most of the players in the industry . So, if you can share how much is the power that we purchase from the grid for our total Chemicals division ?

Jayant Dua: I think you got it . I think you didn't read it right . I said green power is cheaper than the grid power today . It's not more expensive , and actually green power also comes through the grid, but they are back -to-back contractor which we work . So, our today green power is 14 % . Overall , our own thermal power plants which run give us approximately 40 odd percent and the balance is what we are buying from gr id.

Grasim Industries Limited

August 10, 2023

Page 18 of 18

Nirav Jimudia: And sir , last question , if you allow . So, what is our capacity utilization for the VAPs division because I think we have some close to 891,000 tons of capacity there ?

Jayant Dua: The capacity utilization hovers between depending upon seasonality because VAPs sometimes actually have a large seasonality factor . For example , in the monsoon season , the polyaluminum chloride liquid sells much more , whereas CPW chlorinated paraffin wax which goes largely into construction comes down . So, if I were to look at a weigh ted average annually , we are somewhere we operate between 73 % to 75 % . That's where we are.

Moderator: Thank you. The next question is from the line of Ronald Siyoni from Sherekhan Limited . Please go ahead.

Ronald Siyoni: Sir, I wanted to just ask about your market share in the wake of if there is no anti-dumping duty, then if the competitors are increasing the capacities , how do we remain confident of maintaining our market share ?

Pavan Jain: Which business you are talking about , Ronald?

Ronald Siyoni: About viscose business .

Harikrishna Agarwal : So, currently , we have a market share of close to 95 % because the imports are not taking place so because BIS has introduced quality control order . So, the major sources of imports like Indonesia and China are not able to export , but we do plan to , we do expect to maintain our market share at high level even when this phase is gone . So, this will again depend on competitiveness and the relationship with the prices and services and all of that.

Ronald Siyoni: And in terms of your lyocell investments if you can elaborate on what kind of CAPEX would you incur on the capacities and per ton basis o

r what kind of returns you are expecting at the current rate of realizations in lyocell ?

Harikrishna Agarwal : Which investment you are talking ?

Ronald Siyoni: In lyocell capacities .

Harikrishna Agarwal : So, we are not making any new , big new investment in lyocell capacities immediately . So, we have existing lyocell capacities where we have done debottlenecking of existing lines with a very minimal CAPEX . So, those lines are working well , and the prices are quite stable and in line with the general market trend for all the fibres, and they are working well . So, we will inform the market when we have plans finalized and approved for the new capacity .

Moderator: Thank you. Due to time constraints , this was the last question . On behalf of Grasim Industries, that concludes this conference . Thank you for joining us and you may no w disconnect your lines.

Call: Nov 2023

Grasim Industries Limited

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Ref No. GIL/CFD/SEC/24/246SE 20th November 2023

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National Stock Exchange of India Limited

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G Block, Bandra - Kurla Complex,

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Symbol: GRASIM

Dear Sir/Madam,

Sub: Transcript of Conference Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30th September 2023

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Earnings Conference Call held on 15th November 2023 on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30th September 2023 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q2fy24.pdf>

Thanking you,

Yours sincerely,

For Grasim Industries Limited

Sailesh Kumar Daga

Company Secretary

FCS - 4164

Encl.: as above

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"Grasim Industries Limited
Q2 FY '24 Earnings Conference Call "
November 15, 2023

MANAGEMENT : MR. HARIKRISHNA AGARWAL – MANAGING DIRECTOR
MR. PAVAN JAIN – CHIEF FINANCIAL OFFICER
MR. HIMANSHU KAPANIA – BUSINESS HEAD , PAINTS
MR. JAYANT DHOBLEY – BUSINESS HEAD, CHEMICALS ,
FASHION YARN AND INSULATOR
MR. RAKSHIT HARGAVE – CHIEF EXECUTIVE OFFICER,
PAINTS

Disclaimer: E&OE - This transcript is edited for readability purposes, factual and verbatim errors. In case of discrepancy, the audio recording uploaded on the website on 15th November 2023 will prevail.

Grasim Industries Limited
November 15 , 2023

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY24 Earnings Conference Call of Grasim Industries Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit, Head, Investor Relations, from Grasim Industries Limited. Thank you and over to you, sir.

Ankit: Thank you. I wish everyone on the call a very happy and prosperous Samvat 2080. Thank you for joining us today to discuss Grasim Financial Results for second quarter of financial year 2024.

The financial statements and presentation are available on our website as well as on the website of stock exchanges. For safe harbor, kindly refer to the cautionary statement highlighted in the last slide of our presentation. Our leadership team is present today on this call to discuss our results.

We have with us Mr. H.K. Agarwal, Managing Director and Mr. Pavan Jain, Chief Financial Officer, Grasim Industries. Also joining the call, we have our business leadership team. We have Mr. Jayant Dhobley from Chemicals, Fashion Yarn and Insulator Business and Mr. Himanshu Kapania and Mr. Rakshit Hargave from Paints Business. I would now welcome Mr. Pavan Jain for his opening comments, post which we will open the floor for Q&A. Over to you, sir.

Pavan Jain: Good morning. Hope you all had a joyful and sparkling Diwali celebrations. We from Grasim Management wish everyone on the call a very happy and prosperous new Samvat.

It is a pleasure to be with you all for discussing our Q2 results on this call. First, I would give some highlights on macro and business environment and then would cover our financial performance for the quarter under discussion. Global economic activity and trade are witnessing

slowdown, although unevenly across geographies and sectors.

While in the US, economy is showing sign of resilience with tightness in labour market, better than expected Q3 GDP and stable domestic consumption, there exists tough economic scenario in Eurozone. It appears that China is again witnessing signs of slowdown. The latest reading of GDP showed that US economic activity rose by 4.9% while it is contracted by 0.1% in Germany and Eurozone and is estimated to have contracted in Japan and UK as well.

Tightening financial conditions in response to monetary actions to address still elevated inflation, persisting geopolitical tensions and growing geoeconomic fragmentation rendered the global outlook as fragile. In October -November 23, US Fed, ECB, BOE, BOJ and Bank of Canada held the rates and they did not announce any change. Fed's policy statement remained

Grasim Industries Limited
November 15, 2023

Page 3 of 17

hawkish as it reiterated that future rate hikes cannot be ruled out if inflation continues to remain elevated.

China's expected reopening boom based on export growth and consumption revival doesn't seem to have materialised on expected lines. As the macro-global environment continues to remain volatile, weakness is seen in realisations of global commodity segments in which we operate like viscose and chlor-alkali.

On the domestic front, RBI's policy kept status quo on both stance as well as on rates. Growth and inflation estimates were also retained at the same level of 6.5% and 5.4% respectively for financial year '24. India witnessed below normal rainfall in 2023 after a span of over four years of normal and above normal rains with a deficiency of 6% below LPA during this monsoon, though in the rain-fed agricultural region, also called as monsoon core zone, the rainfall received

was normal at 101% of LPA. During the quarter, most economic indicators showed signs of improvement. CPI inflation inched down. IIP saw an uptick in August 23 and September 23 after falling for two consecutive months. Sector-wise, both cement production and steel consumption recorded growth, while garments and chemicals witnessed negative growth, which could be largely attributed to lower growth in exports as these sectors have significant exports-led demand.

The ongoing festival season, which also coincides with the harvest time in rural areas, will be crucial. In the larger textile value chain, the pent-up demand seen in 2022 post-lifting of the lockdowns is witnessing normalizing trends in 2023. Additionally, the inventory trends are also normalizing, though focus of the majority of the brands remains on reducing inventories and moderating buys.

Coming to our financial performance for the quarter, the consolidated revenue grew by 10% Y-o-Y to ₹30,221 crores. Consolidated EBITDA grew by 14% Y-o-Y to ₹4,509 crores. The growth was driven by cement and financial services businesses, as both Ultra Tech Cement and Aditya Birla Capital posted robust results.

At standalone level, revenue grew by 4% to ₹6,442 crores and EBITDA grew by 21% Y-o-Y to ₹1,354 crores. The sales volumes in standalone businesses, Viscose and Caustic Soda, recorded growth of 24% and 3% respectively on Y-o-Y basis. The impact from global decline of prices, as well as the mismatch in demand supply, which resulted higher imports, had a direct impact on realizations for Viscose and Chlor-alkali businesses.

In Specialty Chemicals, our Epoxy business has recorded volume growth of 25% Y-o-Y and the expanded capacity of Epoxy is under commissioning and expected to be operational in Q3. We have announced our brand for paints business, which is Birla Opus as mother brand. Sub-branding and go-to-market strategy are progressing as per internal estimates. Also, as stated earlier on commercial launch, happy to share that the company has received consent to operate for three of the plants namely Panipat, Ludhiana and Chennai. Birla Pivot, which is B2B e-commerce business, was launched last quarter and it has crossed milestone of ₹100 crores in the quarter gone by, and now inching towards monthly revenue run rate (MRR) of ₹100 crores. As

Grasim Industries Limited
November 15, 2023

Page 4 of 17

highlighted earlier on private labels, we have launched Birla Pivot tiles, ceramic tiles and also exploring other categories like doors and plywood. The company is witnessing high healthy repeat rate from the direct buyers in certain segments.

In its transformational growth journey, Grasim is implementing its highest ever capital

expenditure plan. As you all would be aware, the board has approved fund -raise of ₹4,000 crores by way of rights issue in the board meeting held on 16, October 2023. Proceeds from the right issue would be used for ongoing capex and retiring debts as well as for general corporate purposes. At this point, we would not be able to share more details about right issue and request you to avoid questions specific on this. We would share additional details with all in the due course of time.

We now open floor for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Okay. Yes. Thank you for the opportunity, sir. Good to see VSF margins recovering on a Q -o-Q basis. My first question was on VSF that despite the fall sequentially in the realizations, margins have still improved a tad on a Q -o-Q basis. Now, if my observation is correct, since August, I think there has been almost like an 8% to 10% kind of a recovery in global VSF prices, especially China, if I'm not wrong. So does it mean that we can

expect further margin

improvement in Q3 or costs could, like, come back with the lag and there could not be much further improvement?

And just here on this, I would also like to request your views on more steady state margins for VSF in the sense, if I look at last 20 years, FY '03 to FY '23, the EBITDA per kg is roughly ₹25, ₹26 in VSF. Can we take that as a steady state number or in the current scheme of things, like more like ₹20, ₹21 is a fairly stable kind of a margin expectation over the medium term?

Thank you.

Harikrishna Agarwal : Good morning, Navin. Thank you for your detailed analysis on VSF profitability. So international prices for VSF have remained under pressure in Q2 also and currently. In China, there was some improvement in Q2 and prices have not improved that much, as you said, but they have been more steady. And of late ly, as published information will show that the prices are inching down a bit.

Having said that, the margin improvement in Q2 was, though the prices came down, but volume increased significantly. So that gives operational leverage as well as input prices also came down. Caustic soda was the main item, sulphur, coal and pulp to some extent. So these commodities now are very volatile. Caustic prices have started to stabilize and inch up. Pulp prices have also started to inch up. So difficult to predict really whether margins will remain steady. We hope that margins remain stable, but then it is anybody's guess about so many volatile factors. So this is the situation.

Grasim Industries Limited
November 15 , 2023

Page 5 of 17

Navin Sahadeo: Helpful. And on my second question, the view is basically about steady state margin. If I were, like I said, 20 -year average, seems like ₹25 a kilo. So if I were to take a view next four years, five years, because as you rightly said, commodities can be volatile in the interim, but if I were to take a slightly longer view, four years, five years, is it fair to assume that ₹25 a kilo can be an average profitability expectation or do you think because anti -dumping duty is no longer there?

Harikrishna Agarwal : You people are more knowledgeable about how to build scenarios and how to build profitability. It will not be fair for me to say that we all know the facts that anti -dumping duty is not there and what is the current situation. So you can build different scenarios. I would rather refrain from guiding you on which numbers, which out of the two numbers you have said. Like in the long run, yes, we also hope and we aspire that the long -term average should hold, but difficult to tell you whether it will turn out to be good in the next year, three years, four years, as you said. So in the long run, yes, we all remain optimistic.

Navin Sahadeo: Sure. And just one more question before I get back in the queue. The losses from the other new businesses, let me put it, which is I think B2B business or paint business, they have been, I think, quite sticky since the past few quarters. Rightfully so, they are new businesses. So I just wanted to understand because I believe EBITDA losses are more like ₹100-odd crores in the current quarter, maybe ₹115 crores to ₹120-odd crores from these new businesses, which were around ₹80 crores, ₹90 crores in the past one quarter or two quarters. So, would require a broad breakup of this? Is it more from the paints? Is it more from B2B? And then how should one look at these losses in the coming quarters? Thank you.

Pavan Jain: So, Navin, of course, the new businesses have their initial costs which are being charged to P&L. So obviously, the higher part is from the paints business. B2B is not a significant number. So I think once we reach a level where we need to separately disclose these numbers, we will report in our results. But as of now, I mean, the numbers are not very large. And yes, the higher part is from the paints business where I argue

e teams have been already hired in all the areas of the paints

business. So the cost which is not getting capitalized is being charged to P&L.

Navin Sahadeo: Understood, sir. Thank you. Thank you so much. I'll come back in queue for few more questions.

Moderator: Thank you. Our next question is from the line of Nilesch Saha from Julius Baer. Please go ahead.

Nilesch Saha: Yes, I think, I just want to thank the team for sharing more granular information about paints,

right? Especially, in this call and the last one, right? My question is slightly more long term,

right? I think, Grasim as a company serves two functions. First, that it is the holding company of various entities of the Birla Group. And second, it also has operating companies of its own, right? I'm just interested to understand how the management and the Board think about capital allocation in the long term because, we have paints that is going on. But in the comments, you mentioned also some other categories like tiles, plywood, right? Does the management, over time, you have seen also debt increase and now you're doing the rights issue. I know that you would not comment on the rights issue right now. But structurally, do you have a view on what kind of, sort of debt to equity you would like this company to be? And what kind of distribution

Grasim Industries Limited

November 15, 2023

Page 6 of 17

would you like your shareholders to have, right? From both the operating and the investment verticals of Grasim, the company? Thank you.

Pavan Jain: Yes. So, see, first of all, let me try to explain how the company works in the sense that we have at stand-alone level two core businesses, existing core businesses, which is our viscose and chemical businesses. And we have entered into two new businesses, which is paints, decorative paints and B2B e-commerce.

And apart from that, we have other businesses like textiles and insulators, etc. So these are the standalone businesses. Right now, the large capex plan is for the paints business. But we are continuing to invest in our core businesses as well. The capacity expansions have been recently completed in viscose business and also in the chemical business and chemical business still remaining some part of the capacity expansion capex will be completed in next financial year. So we are continuing to invest in the core businesses. We are investing in the paints business, large capex we have announced of ₹10,000 crores, part of which will be spent during current year and balance in the next financial year. In B2B e-commerce, there is no major capex. And as regards to your comment for the plywood and doors, etc, these are private label brands we are exploring. We have launched ceramic tiles, private label, but we are not manufacturing. We are not setting up any manufacturing capacity in our B2B business. We will have our contracted manufacturing arrangements with the vendors who can meet our requirement of quality and delivery timelines, etc. These are private label brands contracted for manufacturing from outside companies. So that is the status.

Regarding debt to equity, we have very strong balance sheet against our net worth of more than ₹50,000 crores. Our debt levels are only ₹8,000 crores. And debt to EBITDA also, we have very healthy levels. We don't expect this to cross about 3.5 times, even with the full capex of the paints business in the next financial year. Hope that clarifies your point.

Nilesch Saha: Anything you want to comment on distribution? See the meta point I'm asking, right? As management, I hope you guys also realize that Grasim, the company is undervalued, right? And there are certain questions that investors have for the company to really get the valuation that I think you would also feel that it should fairly trade at. And one of those are distribution. Any thoughts on that? Right.

Pavan Jain: So valuation

is how the market perceives. But yes, there are large holding company discount we can see as far as Grasim's valuation is concerned. I think the way we are operating; we are investing in our core businesses and the new businesses. As the share of the standalone numbers increase in the overall P&L of the company, the consolidated P&L of the company. We expect the valuation should be that should be reflected in the valuation.

Nilesch Saha: Okay, sir. Thank you so much. We appreciate your help here. Thanks.

Moderator: Thank you. Our next question is from the line of Sanjeev Kumar Singh from Motilal Oswal Financial Services. Please go ahead, sir.

Grasim Industries Limited

November 15, 2023

Page 7 of 17

Sanjeev Singh: Good morning, sir. I have two questions. First, on the VSF business. So there has been an improvement in utilisation rate in China. It's around 85%. Inventory levels are coming down. So which are the factors which you believe that is keeping the prices subdued in international

markets? It is due to better cost. So can you comment something on the spread for Chinese manufacturers? Or is the demand in the value chain is really weak? And secondly, how do we expect the demand -supply to be between the sector?

Harikrishna Agarwal: Sanjeev, will you repeat your second comment? I could not hear it clearly.

Sanjeev Singh: Sir, how do we expect the demand supply to be in the second half?

Harikrishna Agarwal: So international demand for textiles in general has been subdued for last four quarters or six quarters. The international brands have been straddled with huge inventory for multiple reasons. And they have been trying to correct their inventories by purchasing less. So when the brands purchase less, then the entire value chain also has less activity to work on. And that has been going on for quite some time. But still the inventory levels remain elevated, mainly because the sales have not been as robust as it used to be.

So that is a fact. And we all believe that it may take some more time. It is anybody's guess. Every time people say next two quarters, next two quarters, but then next two quarters, we still have been seeing the same situation. So stay with confidence. So how new geopolitical factors keep on coming to our surprises.

In China, the inventory levels have come down. I think that was because of the expectation of the demand in the holidays in China, etc. But now again, we see that the Chinese economy is showing some signs of slowdown. So we will have to wait for a clear trend to emerge, what is really happening on the ground level in China. The margins are impacted by or improved by depression in input prices in the last quarter.

And that trend is now a little bit uncertain in the same way, because some of the input prices have started to stabilize. But we have to see how the things are. There are so many pulls and counter pulls working. So difficult to predict with very confidence, much confidence.

Sanjeev Singh: Thank you, sir. Second question is on VFY. So as I believe that there has been some anti-dumping duties on VFY, which has been levied recently. And in the presentation also you have mentioned about pressure on VFY prices due to competition from China. So what were the impacts of margins, if you can comment? And has there been any improvement in the pricing scenario recently?

Jayant Dhobley: Hi, this is Jayant Dhobley. So there is only a DGTR step that has happened on VFY anti-dumping duty. It is not yet approved by subsequent ministries. So that is a work in progress. As far as Chinese imports are concerned, as you can imagine, domestic consumption in China is very low. And that is putting a lot of pressure on Chinese producers to export. And that combined with, you know, as Mr. Harikrishna Agarwal was mentioning earlier, lower textile demand in India during the festival season, at least less than what

was anticipated, has caused a downward

pressure on the filament yarn prices. So to summarize, there is only a DGTR recommendation..

Grasim Industries Limited

November 15, 2023

Page 8 of 17

There is not yet a final decision. China's domestic consumption is low, India's demand is low, and that is putting pressure on filament yarn prices.

Sanjeev Singh: Thanks a lot for your clarification.

Moderator: Thank you. Our next question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: Good morning, team. Sir, I have two questions. So one on the chemicals. Sir, in this quarter our ECU was ₹32 a kg and you mentioned that the chlorine demand was slightly weaker because the downstream of chlorine was not doing well. So if you can just help us walk through, how much was chlorine negative this quarter and what was peak Q1 of FY '24?

And along with it, if you can just clarify that, was there any change in the average power cost per unit this quarter for the caustic soda business? Because I could see that if you just break it down in terms of the cost of production, there was slightly increase in our cost of production for the chemical business. So was there any change in the average cost of power this quarter?

Jayant Dhobley: So actually, average cost of power has been favorable for us. So I can take that question straight away. The second is we break out ECU, but we do not break out the components of ECU in terms of what is our caustic and our chlorine price. And we, so it's unlikely that I will tell you what exactly the chlorine number is. And look, we are different from many of our local competitors. We are spread all over India, which means that we have different dynamics and different geography. And that makes our ECU picture more balanced over the Indian market than some of our competitors. So I think we are happy to give you only ECU numbers at this stage. I think it's, of course, worthwhile noting that, there are two main downstream industries of chlor-alkali. The first one is from the caustic industry is mostly at a global level textile, which you all know has been soft, not only on the viscose side, but also on the cotton side, particularly on the cotton side, which is a bigger demand driver for us. And downstream of chlorine, you

mostly get into products like agrochemicals, plasticizers, pharma intermediates, etc., which are also currently, not having a strong demand. You guys are tracking the chemical industry. You know, how the agrochemical players are doing in this industry today. And we are, of course, suppliers to this industry, right? So these are the two topics which are curtailing us on the demand side.

Power, as I mentioned earlier, is actually a favorable part for us. We have had a couple of operational issues in our chlorine derivative plants, which have resulted in some higher maintenance related costs and stuff like that in this particular quarter, which may point to, why you are seeing certain cost numbers to be on the higher side.

Nirav Jimudia: Got it. Sir, is it possible to quantify that one-time maintenance cost, which could not be repeated from next quarter?

Jayant Dhobley : No, I would not get into that.

Grasim Industries Limited
November 15, 2023

Page 9 of 17

Nirav Jimudia: Got it. And, sir, you mentioned that specialty business, which is epoxy, we have seen close to 25% volume growth on a Y-o-Y basis. So has that also helped in improving the absolute EBITDA also on a Y-o-Y basis, or the spreads have come down and that has helped us to maintain the Y-o-Y EBITDA numbers for the epoxy business?

Jayant Dhobley : So our epoxy profitability growth has been in line with volume.

Nirav Jimudia: Okay, so we could see 25% increase in the profitability also there.

Jayant Dhobley : So I will not answer further than what I just said.

Nirav Jimudia: But, sir, was this driven

even more by the mix of specialty volumes or it was because more of the commodity volumes were placed in this 25% volume growth?

Jayant Dhobley : No, so we classify our specialty business entirely as epoxy. So this should be entire epoxy volume.

Nirav Jimudia: Sir, on the VSF side, we could see...

Moderator: Sorry to interrupt, sir. May we request you to join the question queue for follow-up questions, please? As there are several participants waiting for their turn. Thank you. Our next question is from the line of Gaurav Nigam from Tunga Investments. Please go ahead, Sir.

Gaurav Nigam: Yes, sir, thank you for taking my question. Sir, I have one question to start with on the paint business and a conceptual question. As this business has two very important decision makers, one is the consumers and second is the influencers like dealers and contractors. When we think about Birla Opus as the new paints plant coming into market, it's a very conceptual level. What are the levels that this new brand has to influence these two important stakeholders?

Rakshit Hargave : So thank you for asking this question. And I would want to give a slightly generic answer that for influencing both the consumers and contractors, there are established practices in the market.

And we will also look at to do some new things, which you will come to know when we launch.

But obviously, we take both these consumer sets and these contractor influencer sets very, very seriously. And we have a very defined plan in terms of how to address that.

Gaurav Nigam: Got it. Okay. How should we think about the profit pool of the paint industry over the next two years, three years?

Rakshit Hargave : Well, if you take a look at, whatever other results are available in the public domain, but going ahead, we will not be in a position to comment because it is a factor of various things, including input prices and all, on which we don't really have a view.

Pavan Jain : It is very difficult to comment about industry numbers. I think you have all the numbers available of the listed companies. So how it will pan out for next two, three years, it is very difficult to say. I think we would refrain from making any statement there.

Grasim Industries Limited
November 15, 2023

Page 10 of 17

Gaurav Nigam: Got it. And just maybe last question on the same. When you think about this paint industry, right, sir, we have both one of the retail segment and one is the industrial segment. So when we are entering this segment, are we entering both or we are targeting only one of the two segments?

Rakshit Hargave : So, we have maintained that we are entering into the decorative segment. And that holds.

Gaurav Nigam: Okay, sir. Thank you. Thank you for answering my question, sir.

Moderator: Thank you. Our next question is from the line of Prateek Kumar from Jeffries. Please go ahead.

Prateek Kumar: Yes, good morning, sir. My first question is clarification on textile demand in India. So you had mentioned like VSF demand benefited from strong festive demand, probably in textiles. But for

VFY, we are saying that the demand is slow and that has also hurt the segment profitability and prices. So are these different segments which we serve for both these products?

Jayant Dhobley: Yes. So this is Jayant Dhobley. I'll take this question. So as you know, VFY is a filament yarn. And within that, you have multiple categories, pots spun, spool spun, continuous spun. The particular market, which has not been picking up really is the embroidery market, what you would call for occasions, right, which is a very different segment than, for example, where staple fibre goes and then it subsequently spun into yarns. So the VFY demand issue is mostly related to ethnic wear, which is used in the occasions, right, engagement, marriages, etc. That is where the demand gap is. The textile industry is not one monolithic hole,

right? Within the textile

industry, there are many segments. There are many price points. There are different consumer buying patterns. So once specific niche, which we have usually a good exposure is affected and that is ethnic wear for occasions. I hope that answers your question.

Prateek Kumar: Right. And this 24% volume growth in the segment of VSF this quarter, is it the industry growth also likewise? Or we have gained some share from imports, which were like sort of getting dumped into Indian markets like in the past few quarters?

Hari Krishna Agarwal: Yes. So there is definitely less imports on the VSF during the quarter. That is there. But the industry in India domestic textile value chain also had more activity, I think, in anticipation or in preparation for the festive season. Now how much real sales happen at the market level at consumer level, that data will come soon. But the textile value chain prepared for that expected festive sales. So, we have to see how the things continue in the current quarter. So there was more consumption in the quarter two.

Prateek Kumar: Okay. And regarding your new businesses for paints. So we are looking to start like three plants by Q4. So I mean, all these plants are expected to commission by March or is it like a staggered like commissioning? And as a result, also is the product launch, particularly also planned like by March or like slightly earlier in the paint segment.

And in the -- in your B2B e-commerce segment, you said you're reaching now quarterly -- monthly run rate of ₹100 crores in revenue. Are there any specific like target for FY'25 in terms of revenue in first year, full year of operations?

Grasim Industries Limited
November 15, 2023

Page 11 of 17

Rakshit Hargave: I would like to reiterate again what we shared in the last call, is that we will be launching our paints in Q4, so which is in the period January, February, March. And also, the three of our plants, which we have disclosed also in the report that you have in Ludhiana, Panipat and Cheyyar, they've got their CTO (consent to operate). So they are expected to become operational in Q4. And accordingly, it will happen.

Pavan Jain: Yes. So we are not saying which month, etc, we are saying in Q4, we will have all these three plants operational. And accordingly, we will also launch the product in the market. It depends. And in B2B, what we are saying is we are inching to our ₹100 crores monthly run rate, not that we have reached ₹100 crores monthly run rate.

Prateek Kumar: But any specific targets in this segment also, we have like for FY'25 as a full year of operations?

Pavan Jain: No, I don't think we can share any numbers of the targets, etc on this call. But of course, we have the -- when depend the plan is approved, we all -- have all the data when the business decision is taken. But it will all depend upon how the overall building material category works in the overall country. And how the people move from physical to digital that will help you in understanding the numbers for the future.

Prateek Kumar: Sure. And my last question, if I may. I know this Aditya Birla Renewables is a subsidiary. So I think, I saw the capital employed has gone to ₹5,600 crores and rising rapidly quarter-after-quarter. So what exactly we are doing in this? And what is the outlook on capex and how it is funded?

Hari Agarwal: So the capital employed is increasing as we are implementing new projects. There are projects under implementation of about one gigawatt, and we expect by next year, first quarter, though all those capacities to be commissioned, okay? And that is how the capital employed is increasing in the business. The results of which will be reflected in next financial year, okay? And as far as the funding is concerned, we are having about 20% to 25% from equity and balance from debts. It depends on each project to project.

Mod

erator: Thank you. Our next question is from the line of Lakshminarayanan from Tunga. Please go ahead.

Lakshminarayanan: Yes. A couple of questions. One is that you have launched the paint home consumer thing in eight cities. What has been the response so far?

Rakshit Hargave : Okay. So are you referring to PaintCraft?

Lakshminarayanan: Yes. The PaintCraft .

Rakshit Hargave : Okay. So PaintCraft is a test launch. And like we said last time, it is to take the SOP and the processes. And we have put this in eight cities and the feedback is satisfactory. As you would know, we don't have our own products. So we are using products from the market, and it is of a pilot nature .

Grasim Industries Limited

November 15 , 2023

Page 12 of 17

Lakshminarayanan: Got it. Got it. Sir, and if you look at the paint industry, it's -- if I just have the listed companies, it's around ₹53,000 crores is the approximate revenues and they generate close to around ₹7,000 crores profit after tax, right? Now with whether, of course, you enhance the revenues of the industry pool? and are you intend to reduce the profitability of the market, it's sides both. I just wanted to understand your view?

Rakshit Hargave : So our view is that we don't want to make any comments which are forward-looking in terms of what we are going to do. So we will come to the market with our strategy and then you will see how we perform, but no comments on this.

Hari krishna Agarwal: Why will any players like to reduce the profitability of an industry.

Moderator: So the line from Mr. Lakshminarayanan has dropped, maybe move to the next participant. Next question is from the line of Dheerish Pathak from White Oak. Please go ahead.

Dheerish Pathak: Sir, what is the dividend distribution policy?

Pavan Jain: So our dividend distribution policy is that we will have the distribution of about 25% to 45% of the net profit is dividend distribution by the company. And we have also stated that, we will see that whatever we get from our subsidiaries as dividend, we at least that much we distribute to our shareholders as a dividend.

Dheerish Pathak: Okay. So the higher of this stand-alone 25% to 45% of standalone net profits or the dividend amount received from the subsidy?

Pavan Jain: Not exactly higher of, but yes, what we are saying is the range is the 25% to 45%. Within that, we will see that at least we distribute whatever we get from our subsidiaries.

Dheerish Pathak: Understood. Sir, second question is an Aditya Birla Renewables. So what has been the thought process for like when you are investing for one gigawatt assets with this 25 -75 equity debt in mind, what sort of hurdle rate payback period, whatever you thought through when you made this capital allocation decision. Can you give us explain the thought process there?

Pavan Jain: So I mean, each project will have different returns, dynamics, etcetera. But we have our internal hurdle rates, etcetera, based on which we decide about the capital allocation. And some of the projects are for the group companies also where we have different kind of risks associated than the projects for the public utilities kind of projects. So, it will vary , the returns will vary between I mean, among the different projects.

Dheerish Pathak: So that I understand. But at a portfolio level, so first of all, how much of this one gigawatt is for group companies. And at a portfolio level, what returns have you underwritten on equity IRR basis?

Pavan Jain: It will depend upon, I mean, different projects. It could be around, I think, anywhere between 13%-13.5% to 15% -15.5% kind of ranges.

Grasim Industries Limited

November 15 , 2023

Page 13 of 17

Dheerish Pathak: 13% to 15% equity IRR, okay. And how much of this one gigawatt is committed to group companies?

Pavan Jain: I will not be able to give exact numbers, but roughly see about maybe 3

5% to 40% is for the

group companies. Rest is for the public utilities. It's just an approximately that .

Dheerish Pathak: Why 13% to 15% made economic sense to you? Why was it a good hurdle rate?

Pavan Jain: Which is, I think, the weighted average cost for the business, considering the higher level of debt is -- I think we have returns on equity better than that.

Moderator: Thank you, Mr. Pathak. May we request you to rejoin the question queue? Thank you. Our next question is from the line of Sanjay Kumar Elangovan from Ithought PMS. Please go ahead.

Sanjay Elangovan: Most questions answered, just one on chemicals. I wanted to understand our capital allocation plan going forward, given the volatility in the chemicals business, is the base product, chlor - alkali, which is still a focus segment. And how is the market expected to grow in the next five to seven years?

Jayant Dhobley : You've asked a somewhat broad -ranging question. So look, the chlor -alkali market more or less grows in line with GDP because it's such a basic material that is used across all industrial segments. You can always go back testing to see, you will see usually depending on which particular year will be GDP plus or minus some range, but that's the order of magnitude.

If you look at our capital allocation policy, what we have declared so far is we are continuing to invest in chlorine derivatives. We are running epichlorohydrin project, which will be completed in calendar year '25. We are continuing to focus also on smaller chlorine integration projects. Beyond that, I think it would be very difficult for me to make a broader statement on where we will allocate the capital needs in the chlor -alkali value chain.

Now having said that, I think we have declared before and I can reemphasize right now is we are also in the process of commissioning our epoxy capacity in, which will actually double our current capacity from 123 KTPA to twice that size. So that's about as directional as I can be.

Harikrishna Agarwal: And that capital is already invested.

Jayant Dhobley : Yes. And that capital is already invested.

Sanjay Elangovan: Okay. And the plant that's coming online in FY '25, what is the capex amount?

Jayant Dhobley : The ECH we have declared about ₹425 crores.

Pavan Jain : So the ECH has been bigger capex compared to the other chlorine derivatives which is, I think, somewhere around ₹400 crores... ₹425 crores of ECH plant, 50,000 tons per annum, which will get commissioned in FY '26.

Jayant Dhobley : Calendar year '25, FY '26.

Grasim Industries Limited

November 15 , 2023

Page 14 of 17

Sanjay Elangovan: Okay. So outside of this ₹400 crore , so we don't have any visibility for further capex in this segment?

Jayant Dhobley : Normal ongoing project for maintenance and derivatives that we do compare to it.

Sanjay Elangovan: And any -- at least in the planning stage, are we looking at more specialty chemicals is what kind of products are we looking at -- as a country, we still import a lot of PVC resins?

Jayant Dhobley : Yes. So that's the question. I can only partly answered and that is, yes, we are looking at further expansion, including Specialty Chemicals. I will avoid to answer the very specific question that cost on PVC that would be beyond the scope of a results call for this quarter.

Pavan Jain: PVC, we are not entering into PVC.

Jayant Dhobley: Yes. So we are not entering into PVC. If that was the question. We have no line to enter PVC.

Pavan Jain: I think we -- what we can say is that we have entered into an agreement with Lubrizol and

Lubrizol is setting up a CPVC plant and our Vilayat chemical plant, which we already announced

that it is a 50,000 ton first phase, and the total capacity will be 1 lakh ton CPVC plant.

Harikrishna Agarwal: But this is different from the normal PVC resin as generally understood. Yes, if your question was, are the

re any plans of Grasim to get into polyvinyl chloride production, the answer is no.

Sanjay Elangovan: Okay. And from the CPVC resin power integration into pipes, is that a possibility we will explore?

Jayant Dhobley : So forward integration of CPVC, as you know, this is a project that we are doing together with Lubrizol. Lubrizol is doing the capital investment. I will refer you to their press announcement which indicates what money they are putting in and forward integration of CPVC essentially an extrusion. They're very clear in their press release you can refer to that.

Moderator: So may we request you to return to the question queue follow -up questions as there are several participants waiting for their turn. Our next question is from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: I had a question on the VSF business. So this quarter, we have seen our specialty VSF volumes going up. So that was one. And secondly, if we see our results bucket, there are two cost line items. So 1 is power. So if we see on a Y -o-Y basis from ₹1,202 crores, it has come down to ₹1,018 crores, and other expenditure, which was like ₹963 crores, has come down to ₹900 crores.

So this increase in the VSF profitability when you mentioned that there was a benefit of the input cost. But was it also because that our specialty volumes were better and there was the decrease in the other expenditure and the power cost that has also helped us in improving the EBITDA this quarter?

Pavan Jain : This number you're referring to, can you repeat those numbers?

Grasim Industries Limited

November 15 , 2023

Page 15 of 17

Nirav Jimudia: Yes. So if we see a stand-alone results for this quarter, there is there's a power cost, power and fuel cost, which was ₹1,203 crores in September quarter last year. And this September quarter, it is ₹1,018 crores. And other expenditure, which was ₹963 crores last quarter last year, this quarter, it is ₹900 crores.

So if you can just help us explain that was this decrease in the power and fuel cost and the other expenditure predominantly for the VSF business, and that's why we have seen the improvement in the profitability, coupled with the fact that our specialty volumes have also gone up this quarter?

Pavan Jain: So these numbers now, which you are referring to in the results, these are combined numbers of all the businesses.

Nirav Jimudia: Correct, correct.

Pavan Jain: And these two large businesses are, of course, the VSF and Chemicals business. The power cost is the key cost in chemicals business, not as much as in VSF business. So the power cost benefit is, I can say, largely in the chemical business. Of course, the coal prices have come down, that has helped in the reduction in the power cost, power and fuel cost. And also, we are having the larger part as a renewable energy business that is also helping in reducing.

But the main component of this is in the chemicals business and not in the VSF business. And the other cost is, of course, again, all the businesses I will not be able to give the exact the business wise breakup. But I think...

Harikrishna Agarwal: There are many factors like sometimes special repair, timing issues, or some adjustments or something. But it is not something that will be meaningful or material to help you in your analysis.

Nirav Jimudia: Got it, sir. And sir, on the second point of the premium for the specialty VSF as well as the volumes for the specialty VSF. So was the premiums maintained this quarter on a sequential basis? And with this increase in the volume that has helped somewhat in improving the profitability.

Harikrishna Agarwal: I don't know from where have you picked up this volume information...

Nirav Jimudia: No, no, sir. We gave in the quarterly presentation. The breakup in terms of the gray VSF volumes and this aspect VSF volumes. So this quarter, our overall volumes have gone up. So if we just

do that in terms of...

Harikrishna Agarwal: But specialty volume have not gone significantly different from the previous quarter.

Nirav Jimudia: I think it has gone up by 6,000 tons, if I'm not wrong.

Pavan Jain: Yes, we have the specialty percentage. So it was 18%...

Grasim Industries Limited
November 15, 2023

Page 16 of 17

Harikrishna Agarwal: 18% of the total sales. It is not increase in the volume. Volume increased just 1%. So profitability on the specialty VSF is better, the realization is almost 20% higher than the normal VSF realization. And the profitability is somewhat better. So we always work to develop and grow the specialty part for multiple reasons, including better profitability, better product, etc. So it is not that significant change as what you have understood.

Pavan Jain: You can connect separately for this...

Nirav Jimudia: Yes, I'll come back separately on that. Just the last bit of clarification, have we taken any sort of price hike for VSF this quarter?

Harikrishna Agarwal: Last quarter, no.

Nirav Jimudia: Okay. So it was same as of Q1, right?

Harikrishna Agarwal: No. Q2, prices came down.

Nirav Jimudia: Okay. It actually came down for the grey side.

Pavan Jain: Yes, yes.

Moderator: Our next question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Sir, two questions. One, I would just want to inquire about the working capital requirement for the B2B e-commerce. So then initially, the announcement of Grasim flooring into B2B commerce was made, the capex allocation given was about ₹2,000 crores. And I understand that a large part of it will be for working capital and also heartening to know you're crossing the ₹100 crores per month kind of a revenue run rate. So, at the current run rate, and of course, it's growing, but I wanted to understand how much can we pencil in or estimate a broad net working capital requirement of current run rate of ₹1,200 crores annualized revenue?

Pavan Jain: So I don't think we can give you the exact number of working capital of the B2B as a business separately. But let me again repeat that we have not crossed ₹100 crores monthly revenue rate.

We are inching towards that. What we are saying is that ₹100 crores for the quarter we have crossed Q2 and as we are moving from month-on-month, we are inching towards ₹100 crores of monthly revenue rate.

And for the working capital number, I think the number is not readily available right now. We can give you separately, Ankit can share if required.

Navin Sahadeo: Sure. And sir, just one last question on VSF, current utilization, I mean, for the segment, it's fairly high, rather near optimal full utilization. So wanted to understand if there is any capex plan that we can expect in terms of expansion for domestic VSF capacity? Or there is a slightly different plans of maybe utilizing or leveraging on the group's global capacities and using those volumes into India.

Grasim Industries Limited

November 15 , 2023

Page 17 of 17

Harikrishna Agarwal : So we have scope to increase our production from our existing plants in India. We are working on various operational plans, how we can leverage maximum our plant capacities. So that is first.

And immediately, there is no significant investment plan for big investment with increasing the capacity, but small debottlenecking, a small continuous process in Grasim, as you know.

Moderator: Thank you. So that was the last question of our question -and-answer session. Due to time constraint, that was the last question. We thank Grasim management for the conference. On behalf of Grasim Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

Grasim Industries Limited

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BSE Limited

Scrip Code: 500300

National Stock Exchange of India Limited

Symbol: GRASIM

Dear Sir/Madam,

Sub: Transcript of Conference Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended 31st December 2023

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Earnings Conference Call held on 9th February 2024 on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended 31st December 2023 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q3fy24-9feb24.pdf>

Thanking you,

Yours sincerely,
For Grasim Industries Limited

Sailesh Kumar Daga
Company Secretary and Compliance Officer
FCS - 4164

Encl.: as above

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Page 1 of 15

"Grasim Industries Limited
Q3 FY '24 Earnings Conference Call "
February 09 , 2024

MANAGEMENT : MR. HARIKRISHNA AGARWAL – MANAGING DIRECTOR
MR. PAVAN JAIN – CHIEF FINANCIAL OFFICER
MR. HIMANSHU KAPANIA – BUSINESS HEAD, PAINTS
MR. JAYANT DHOBLEY – BUSINESS HEAD, CHEMICALS ,
FASHION YARN AND INSULATOR BUSINESS
MR. RAKSHIT HARGAVE – CHIEF EXECUTIVE OFFICER ,
PAINTS

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Grasim Industries Limited
February 09 , 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to Grasim Industries Limited Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ankit Panchmatia, Head, Investor Relations. Thank you, and over to you, sir.

Ankit Panchmatia: Hi, Good Morning. Wish everyone on the call a Happy 2024. Thank you for joining us today to discuss Grasim's third quarter financial results of financial year 2024. The financial statements and presentations are available on the exchanges and as well as on our website.
For safe harbor, kindly refer to our cautionary statement highlighted in the last slide of our presentation. Our leadership team is present today on this call to discuss our results. We have with us Mr. H.K. Agarwal, Managing Director; and Mr. Pavan Jain, Chief Financial Officer, Grasim Industries. Also joining the call with me is Mr. Jayant Dhobley, Business Head of Chemicals, Fashion Yarn & Insulators business; and Mr. Himanshu Kapania and Mr. Rakshit Hargave, Business Head and CEO of Paints division.
Let me now welcome Mr. Pavan Jain for his opening remarks, post which we will open the floor for Q&A. Over to you, sir.

Pavan Jain: Good morning, everyone. First and foremost, wishing you all a very happy and prosperous 2024 on behalf of Grasim. It is always a pleasure to be with you for discussing our quarterly results. Looking at reflections, I'm happy to share that we have ended 2023 and started 2024 on a satisfactory note across multiple fronts.

To start with the latest one, we have successfully completed our rights issue with an oversubscription of nearly 2 times. This reflects the support and belief of all our stakeholders who have and would participate in Grasim's growth journey.

Let me now share key developments on the ongoing growth initiatives and projects. We have completed expansion of our specialty chemicals capacity which is epoxy polymers and curing agents, doubling to 246 KTPA versus 123 KTPA earlier. This would enable us to meet our valued customers' growing demand and further solidify Grasim's foothold in India's growing demand for specialty chemicals.

Further, project implementation of world's largest single-site capacity for CPVC resin facility has also commenced in arrangement with Lubrizol at our Vilayat site. We are also progressing in line with regards to our 50,000 tons per annum capacity of ECH, which is expected to be completed by Q4 of next financial year.

Post completion, all these initiatives would improve chlorine integration to around 70% from current level of about 63%. In Viscose, we continue with our debottlenecking activities at Nagda, Vilayat and Kharach, the current installed capacity stands at 842,000 tons per annum. Our Viscose business is making new strides in the area of sustainability. The business has received first rank in Canopy's 2023 Hot Button Report with the rating of "Dark Green Shirt". The business has implemented EU BAT technology at Kharach, the second plant to achieve this feat. As piloting circular solutions in our fashion industry, the business has made first shipment of its lyocell fibre produced with recycled cotton waste for use in textile value chain and the response has been very promising with repeat orders. Our Paints business has started trial production at 3 plants, which is Ludhiana, Cheyyar and Panipat. Brand architecture under Birla Opus is complete, and we will be launching a full

range

of products in FY '25. Birla Pivot has grossed INR120 crores of monthly revenue run rate in December '23. The private label 'Birla Pivot Tiles' is gaining good response and is now launching private label in plywood and doors categories.

Moving on, I would like to share key global trends having bearing on our different businesses directly or indirectly. Given U.S. economy has entered calendar year '24 on a stronger footing which reported Q3 CY '23 GDP of 3.3% against the estimates of 2%, federal reserve in its latest meet left the key policy rate untouched at 5.25% to 5.50%. The U.S. composite purchasing management index, output index has increased to 52.3% this month, the highest level since last June. In contrast, Eurozone and China are facing headwinds in their economies. Eurozone's manufacturing PMI shows that output contracted at a slower pace in January '24 as the index rates rose to 46.6% from 44.4% in December '23. Two major economies of Eurozone, Germany and France reported slowdown in pace of growth in their manufacturing activity. China's official manufacturing PMI inched up at to 49.2% in January '24 compared to 49% in December '23. In efforts to put support, real estate sector that underpins consumption and household wealth, People's Bank of China announced 50 bps cut, the biggest in past 2 years, effective from 1st February 2024. This is expected to inject about CNY1 trillion in the banking system. Given such developments, IMF has also revised its global growth forecast for 2024 to 3.1% from earlier forecast of 2.9%, with improved outlook for U.S., China and India. However, the current Red Sea disruptions, which manage about 12% to 15% of world trade including 30% of container traffic appears to be adversely impacting the outlook on global trade. Adding to this uncertainty is super election year '24, which would see more than 1/3 of the world population across 60-plus countries undergoing national elections. All these uncertainties pose challenges and also possibly new opportunities in 2024.

Switching the context to Indian context, the first advanced estimates published by NSO in January 2024 show real GDP to grow by 7.3% in FY '24 better than revised growth estimate of multiple agencies like RPI around 7%, IMF forecast of 6.7%. Available high-frequency indicators like IIT, vehicle sales, growth in bank credit, real estate sales, GST collections, etcetera, appear to support NSO's growth estimates. We at Grasim expect to resemble India's growth story given our presence across sectors.

Coming to our financial performance for the quarter ended discussion, the consolidated revenue struck at highest level of INR31,965 crores, recording growth of 12% Y-o-Y. The TTM revenue, trailing 12 months revenue, which is indicative of FY '24 revenue crossed milestone of INR1.25 trillion, growing at CAGR of 14% over FY '20. Consolidated EBITDA grew by 34% Y-o-Y to INR5,150 crores. The TTM EBITDA is nearing a milestone of INR20,000 crores, posting CAGR of over 9% since FY '20. Conglomerate structure with diversified businesses has enabled consistent growth in revenue and profitability. Cement and Financial Services businesses under UltraTech and Aditya Birla Capital are on an accelerated growth journey, fulfilling the infrastructure and financial needs of our country.

Our standalone performance continues to exhibit stability despite vagaries of global commodity cycles. Both our key businesses at stand-alone level, viscose and caustic currently in down cycle continue to remain profitable. Our established risk management mechanisms and cost leadership

enable us to ride global price volatility optimally and deliver industry superior performance. Standalone revenue for the quarter stood at INR6,400 crores, recording a growth of 3% Y-o-Y. The revenue growth was largely driven

by volume growth of 34% in VSF and 5% in caustic

soda business. However, the profitability was impacted with global weakness in Chemical's segment, led by oversupplied market and sharp decline in realization.

For simplification, we have made some changes in our results presentation with regard to segmental disclosure. We have combined our textiles, insulators, paints, B2B e-commerce adjusted for intersegment elimination and unallocated income under one head named 'Other businesses'. Such categorization aligns the disclosure with our published results.

Viscose business growth took strong on a Y-o-Y basis, partially on the back of markets reverting to normalized levels post exceptionally weak Q3 FY '23 part of VFY volumes, which finds its applications in embroidery and georgette and home furnishing has lower demand pull during the quarter. The realizations were further impacted by cheaper imports from China. The sharp Y-o-Y decline in caustic prices appear to bottom out at current levels of about \$400 to \$450 level. However, the market remains oversupplied due to large capacity additions in FY '23.

Our Paints business 'Birla Opus' is on track for launch in current quarter with trial production already launched at three plants, namely Panipat, Ludhiana and Cheyyar. We have already completed brand architecture under our paints brand Birla Opus, the sub-brand portfolio across multiple categories of luxury, premium and economy segments and development work for design, package artwork, consumer communication, etcetera, is complete. The supply chain, logistics and distribution network is also in place to support the launch as stated earlier. We would offer complete range of high-performance superior products in the premium, mid-range and mass markets favourably placed across multiple price points. The dealer onboarding has already commenced, and you would certainly hear out more from us on this over the calendar year '24.

As highlighted in the last quarter, B2B e-commerce business under brand name of 'Birla Pivot' has already crossed monthly revenue run rate of INR100 crores. The quarterly revenue run rate

Grasim Industries Limited
February 09, 2024

Page 5 of 15

is now inching towards INR300 crores. Private labels under 'Birla Pivot Tiles' is garnering good response. We have already initiated in-store branding initiatives also and now we are widening our coverage for private labels by adding plywood and doors. On the geographical front, Birla Pivot has now extended its coverage to about 20 states. Capex for quarter stood at INR1,425 crores with 76% allocation to Paints business. We remain on track to achieve planned capex guidance of about INR5,900 crores in FY '24. We can take questions now.

Moderator: Thank you very much. We will now begin the Question-and-Answer session. We have a first question from the line of Tejas Shah from Avendus Spark.

Tejas Shah: A couple of questions on paints. You spoke about dealer onboarding which has started. Just wanted to know, and if you are in a position to share, is there any target that we are running with in terms of dealer onboarding for this year? Are these dealers existing paint dealers? Or are we getting new dealers in the ecosystem?

Rakshit Hargave: Let me answer this question. So obviously, we have target for dealer onboarding for every month, every quarter. That goes without saying. And when we are onboarding, to begin with, we are largely onboarding existing paint dealers, but there could be also some who are new to the paints business.

Tejas Shah: Sure. And second and last question. You have been very transparent on the expansion plan and also on the status of the expansion that we are doing in paints and on the plant side. Just wanted to know, any similar update or details you can share on depot network that needs to be created around the plant infra?

Raks

hit Hargave: So obviously, the depot network goes along with. We have an aggressive target to set up depots by the end of this financial year. We are already signing agreement and leases and depots are already operational to take in some of the trial production. And obviously, we also have a target for next financial year. We are in line with whatever we have set up. As you would have also read in some reports, which have come out is that our objective is to have a pan-India national distribution by the end of financial year. Our network expansion, ambition and execution is in line with that.

Tejas Shah: Great. Thanks, and all the best for that and I'll come back in the queue if needed.

Moderator: We have a next question from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: I have 2 questions. One on VSF and one on chemicals. Sir, based on our presentation, is it safe

to conclude that our VSF EBITDA on a quarterly basis based on a Q-on-Q number is flat on a per kg basis and the fall in the numbers is predominantly because of the VFY?

Harikrishna Agarwal : To some extent, your analysis is in line, but also it's very dynamic, so we cannot assume, like selling price has come down in this quarter, whereas raw material prices have also reduced and volumes have gone up. There are 3 levers always operating always in this equation. But yes, overall, the VFY was a little bit less in this quarter compared to previous quarters.

Grasim Industries Limited
February 09, 2024

Page 6 of 15

Nirav Jimudia: Sir, the fall in profit is close to INR62 crores. So, 75% to 80% is a safe assumption to take for the fall in the VFY business out of this INR62 crores fall?

Pavan Jain : Not exactly. VFY has been seeing some demand slowdown in some particular segments as mentioned. Then there is a problem of some cheaper imports from China also which has an impact. But the numbers may not be exactly what you are trying to say.

Nirav Jimudia: Got it, sir. And sir, if you can just share your view on the premium on the value-added VSF vis-à-vis the grey VSF. Can you just share what sort of blended level premiums we used to or we are currently getting on over and above the grey VSF?

Harikrishna Agarwal : These range cumulative is about 20% over the grey price in general. But sometimes it is more depending on which product volume is more and there are many products in VSF category.

Nirav Jimudia: Yes, yes. Because, sir, earlier we used to share like for Excel, it was close to \$0.40, \$0.50. For modal, it was slightly less and dope-dyed was even lesser. What is the current broad range, if you can share on these 3 products?

Harikrishna Agarwal : I don't think I will be able to give you that specific product price. But in general, cotton prices have come down. Hence, Excel prices have also come down in line with cotton prices. It has reduced and in general, in China also Lyocell prices have come down in last full year. But it keeps on changing depending on the mix of products in the market.

Nirav Jimudia: Got it, sir. Sir, second question is on the chemical side. We have seen a sequential improvement there. So last quarter, you mentioned that we had a shutdown at the VAP plant. This entire improvement is in the profitability could be attributed to the swing in profit from the VAPs or has some improvement on the cost side happened on the caustic side and because of which the profitability has improved?

Jayant Dhobley : Nirav, I'll take the question. Maybe I'll also add a bit of colour on the VFY discussion. So just going back to your VFY question, look, our VFY portfolio consists actually of 3 types of fibre.

Spool Spun yarn, Continuous spun yarn and Pot spun yarn. And they go in different segments ultimately in yarn since they have very different properties. Our spool spun and continuous spun segments have been doing quite well, demand has been

maintaining stable. The problem is

essentially around the pot spun yarn segment. There are certain areas of garments which are not picking up or did not have the seasonal pickup that we would normally have seen, which affected that particular quarter's result. And we had one operational disruption at our Kalyan plant.

Having said that, we see already going forward, the situation becoming slightly more normal on the pot spun yarn side. I think when you look at the drop in the VFY business, remember that it's a portfolio of filament yarns. Some of that portfolio is still doing quite well. It's one specific partnership portfolio and an operational issue that we had in the Kalyan site.

Question on chemicals. Of course, look, the raw material, the cost side has helped us. Coal prices have gone down, electricity prices have gone down, etcetera. But what has really helped us on 2, 3 areas is firstly our utilization. Our utilization, which we have reported at about 88%. We believe this is best in the peer group today this quarter. That's of course one big element.

Grasim Industries Limited
February 09, 2024

Page 7 of 15

Secondly, our specialty chemical, specialty part of our chemical business has done better. We have called out the revenue percentages. We don't call out those EBITDA numbers, but that is for sure a part which has done better. And as you correctly pointed out, we had some operational stoppages in one of our chlorine derivative plants, which have not been fully resolved.

But production on those chlorine derivatives has been better than before, some work is still going on. So a combination of factors, a better cost position on coal, power sort, that's one. For sure, better utilization than our peer group, a much better performance in the specialty part of our portfolio and somewhat better performance in chlorine.

Nirav Jimudia: Got it, sir. And last question, Mr. Dhobley Ji, if you can share your outlook on the Epoxy

business. What's the current industry size in India? And on liquid epoxy, which we manufacture, how much value addition are we currently doing?

Jayant Dhobley: Yes. So look, I would not want to answer the value addition question very directly. I will answer it indirectly. So if you look at how typically these epoxy businesses create value and the Epoxy businesses range between, let's say, 8% to 12% in terms of EBITDA sales, we would be in some better quadrant in the top quartile of certain industries.

We sell our entire capacity out and we believe that we have higher market shares. So, we are in the top quartile performer of this epoxy industry. We have basically the larger market share, whether you look at composites, whether you look at coating, whether you look at corrosion protection. And we have recently expanded our facility. We have announced the openings, where we have gone with a somewhat richer portfolio. We have now also added products like reactive diluents, polyamide hardeners, polyester hardener. We believe that we have the largest and also the biggest specialty portfolio in the Indian market on epoxy.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Also, let me give my best wishes to the entire team Grasim for the upcoming formal launch of the paint business. A couple of questions on the paints were that if you could just clarify, what is the exact capacity that is coming up for launch. And also then in the same breath, if you could just also give details about how the timeline will look for the balance capacity?

Rakshit Hargave: Okay. Like we told earlier that the total capacity of the 6 manufacturing locations is about 1,332 million litres. Currently, trial production is on at 3 locations. And each of these factories have a capacity of about 200 million litres, one of the factories also has a capacity of 30 million-litre of solvent range. So

, the 3 factories under trial cumulatively have about 630 million litres of capacity. Obviously, how we utilize it and how it grows is a separate issue.

On the second part, your question in terms of how we're planning to roll out? So we will roll out gradually starting with the North and some areas of South and gradually we will speed up to roll out nationally in a certain period of time, which would be very, very ambitious. That's how we see the rollout plan. And that's our take on the capacity, which is being tried at the moment.

Navin Sahadeo: Understood. So, in Q4, you will actually see product on the shelf in north and south market?

Grasim Industries Limited

February 09, 2024

Page 8 of 15

Rakshit Hargave: Yes, so we said that when we introduced, we will start with certain areas of North India and certain areas of South India. Yes. Your second question about the other plants. We will expect to start trials in the next financial year in the first quarter, hopefully, the next one in the second quarter and the last one would be probably in the last quarter of next financial year.

Navin Sahadeo: Understood. This is helpful. My second question then was about the VSF segment. So, we were looking at some VSF pricing points in China. And please correct me if my reading is wrong but I thought from mid of August or early September is when the prices in China bottomed out and there has been almost very handsome 8%, 10% kind of a recovery in that market. But the presentation that you have shared does not really show any trend of pickup. It's actually more flatish to a marginal decline trend if I'm reading that correctly. Of course, as you mentioned, even the exit price is 1% lower than the quarter average. So, is there anything that we are missing here in the sense that are the prices unlikely to see any or have not seen a recovery and hence, the outlook remains subdued or there is some recovery that we can expect?

Harikrishna Agarwal: The VSF prices in China have remained a very narrow range bound. If you see even quarter 3 of last year and quarter 3 of this financial year, there is hardly any change in the prices in China, China domestic prices. That is one part. And China is the largest producer and consuming country for VSF in the world. But export prices have reduced significantly during these last 12 months. Export prices have come down as much as almost 15% during this year, these 12 months. So that is the picture. The export is a smaller part for China and most of the producers because most of the producers sell a major part of their output in their domestic markets. Does that answer your query?

Navin Sahadeo: Yes. So just to confirm, you're saying export prices being weak is what's impacting the realizations for us. Otherwise, in China, local prices per say, spot prices in China could be on an uptrend or that's not correct?

Harikrishna Agarwal: There is no clarity. Recently, they posted higher prices, but that was just before the Chinese New Year vacation. So that is a tactic every year, for every long holiday period, they will post higher prices. But they will before that, they will conclude the transactions for the holiday period. So those prices are very nominal and the real impact is seen only after the holidays open again for business. We should not read too much on the nominated prices. But as of now, the prices are just stable, like not showing any big increase except international prices because of Red Sea crisis, the shipping costs have gone up. To that extent, the producers have adjusted for export

prices.

Navin Sahadeo: Understood. This is helpful. Thank you so much.

Moderator: We have a next question from the line of Raashi Chopra from Citigroup.

Raashi Chopra: Just on the VSF before I move on to paints, on your realization was there a decline sequentially?

Harikrishna Agarwal : Yes.

Raashi Chopra: Would

could you quantify that?

Grasim Industries Limited

February 09 , 2024

Page 9 of 15

Harikrishna Agarwal : About 1-2%.

Raashi Chopra: Okay. And the loss, we can make out the total loss coming from the paints business and the B2B business, the e-commerce platform. What was actually the paints contribution to the EBITDA

loss in this quarter, the expenses that we capture?

Pavan Jain: So, I think we are not giving the specific numbers for these businesses. Possibly, once we start reporting separate segments in next financial year, we'll come to know. But as the business is, I mean, increasing the size of manpower, etc., the uncaptured expenses which have been charged to P&L are also increasing.

Once the plants complete their trial run, etc. whatever is being capitalized will also come to P&L. So that is the status. But yes, quarter-on-quarter, the losses for paints businesses have increased as also in B2B business.

Raashi Chopra: Okay. Lastly, on your stand-alone balance sheet, what is the net debt EBITDA as of now on a stand-alone basis? And following the rights issue and with the commissioning of the paint plant, etcetera, where do you expect this to be by end of FY '25?

Pavan Jain: Yes. On 31st of December, we said our net debt-to-EBITDA is about 1.7 times as on 31st December. Post that we have, of course, received part proceeds of rights issue that is about INR1,000 crores. When we complete our paints capex and other ongoing capex, etcetera, we have given guidance that our net debt-to-EBITDA should be about 3 to 3.5 times once we complete our rights issue. But that will all depend upon the performance of the existing businesses as well.

Raashi Chopra: Okay. And just, sorry, lastly, on that, where do you, I mean, for the next few quarters or so, how do you expect the margins to move for both your VSF as well as the Chemicals division?

Pavan Jain: I think the VSF businesses margins are stable. The realizations for chemicals are still on decline. We feel while globally, maybe the prices have bottomed out, but India remains oversupplied. I will request Mr. Jayant to comment on this.

Jayant Dhobley : Yes, please.

Jayant Dhobley: Yes. We should track chemicals and I'm sure you track all the chemical industry. A lot of downstream demand is actually driven by agrochem in India. And as you must have noted from the transcripts of many of these agrochem companies, which are driving the end demand for basic chemicals, they are projecting that the worst is behind us. And if we go by those reports, and I'm sure you guys are following those companies.

Then correspondingly, suppliers like us who provide caustic chlorine, etcetera, into that industry will, of course, follow soon. The other area, of course, is the industrialization in the area of renewables, automotive, etcetera, continues. So, the demand for epoxy resin continues. I think it's fair to say that we are probably at a situation where we are stable to gently started doing better.

Grasim Industries Limited

February 09 , 2024

Page 10 of 15

Raashi Chopra: So stable to gently starting the improve?

Jayant Dhobley: Yes. But I would strongly encourage you to follow also the larger agrochemical complex here because those will be a better lead indicator for whatever assumption you want to make.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: My first question is on VSF, you've partly answered. But I mean, overall, so if you see operating rates, inventory in China, all are moving in the right direction, but we don't see a sustainable increase in realizations and margins. If you could just share what is your outlook on prices and expectation in the next 6 to 9 months? And can we assume that the margins for our division is kind of at the bottom and we should see some bit of an uptrend there?

Harikrish

na Agarwal : I hope you are absolutely right that margins are at the bottom, and they will improve and we also wish for that. It is very difficult to predict very precisely or accurately because things are very volatile. But there is no reason to be pessimistic and we hope that slowly things should start to steadily improve but that will be very gradual. I don't expect it to be a very sharp turnaround.

Sumangal Nevatia: But I mean, if you look at the operating rates touching 90% and even inventory levels are quite low. In the past, I mean, have you seen these kind of leading towards better profitability and better pricing strength for the industry?

Harikrishna Agarwal : Yes. The operating rate and inventory levels do indicate that the industry profitability should improve. But then sometimes , like Red Sea crisis has suddenly come out of nowhere. And that has affected the entire export rate from China, which is not just VSF but the entire textile industry, even finished products also. All these things have a lot of implications on the profitability. So , barring such things for normal interpretation of high operating rate and low inventory is correct. And within VSF also now lyocell fibre is low, from a very low base, but is increasing more rapidly. So , there are certain undercurrents from there also.

Sumangal Nevatia: Understood. And is there any new supply which is getting added, new capacities in any of the regions by our competitors?

Harikrishna Agarwal : Not in the normal VSF side, but on the lyocell side, yes, some capacities are being added, some have been added and some are under construction to the extent of about 125,000 tons or so. But not new capacity on the traditional VSF side.

Sumangal Nevatia: Okay. Understood. Second question is with respect to chlorine integration level, there is a good upfront, gradual run over the years. Is it possible to quantify what sort of benefits we get out of every say, 1% increase in integration? I mean just some thumb -rule and what is our target for say, over the next 2, 3 years to increase it to what level?

Jayant Dhobley : Yes. You have to look at it in 2 ways, right? Chlorine sells today in India at negative prices. The first benefit we get, of course, from chlorine integration is those negative prices that is up are evaporated . These negative prices are in the range of let's say, 4,000 right now. So that would be one input. And second is depending upon the chlorine derivative itself. For example, stable

Grasim Industries Limited
February 09 , 2024

Page 11 of 15

bleaching powder will have a different contribution margin percentage, if I take one extreme example versus, let's say, the chloromethanes would typically have a different contribution margin percentage. So they will also correspondingly have different capex. So it's not a very straightforward question. The first step in chlorine integration is to extinguish the loss of profit, which happens through a negative chlorine price and then subsequently depending upon the capex intensity and complexity of the molecule, we get different contribution margins for the particular product.

But we have the largest chlorine derivative portfolio in India and we continue to grow our chlorine derivatives. For example, you will see that this quarter, we are going to be mechanically complete with our monochloroacetic acid plant in the eastern part of India. It's a small part, but there are not that many manufacturers or so. So that will have, of course, a nicer profitability profile than, for example, chlorinated paraffin mix . So, I wish I could give you a simple 1% answer, but it's not really that straightforward.

But I think the general rule is chlorine integration is the way to go for us.

Sumangal Nevatia: Yes. You said minus 4,000. On an average, the derivatives, what would be the realization be?

Jayant Dhobley : Yes, that's a huge diversity

of product profiles there, as I mentioned. Everything from stable bleaching powder to chloromethanes, so that realization number will not give you any meaningful effect.

Moderator: The next question is from the line of Latika Chopra from JPMorgan.

Latika Chopra: A few questions on your paints story, thanks for sharing a few slides on that in your presentation. The first one was on your comments on the dealer base rollout. I wanted to check the cities that you are targeting in north and south to begin with. Would you first focus on the larger cities or the plan is to go wider in the next few quarters even in the smaller towns? That was the first part. And the second bit was, if you could share some thoughts on your advertising plans? You've talked about that advertising concepts have been finalized. But when do we see you roll out whole of your product portfolio, SKU portfolio through the course of FY'25? Or you would probably likely target the peak summer or the peak festive season to go all out on the advertising front?

Rakshit Hargave : Okay. On the cities where we're going to roll out first. I wouldn't want to give exact details. But like we said that we want to roll out fast. We will probably cover them pretty soon. Obviously, the first attack will be on the bigger cities, bigger towns, but because we have national ambitions to grow very fast. So, like I was saying that, obviously, we will cover the bigger towns first. But very soon, we will also go down the town straight up . And like I said, we will start with North

India and some parts of South India in this quarter. You can see it's only about one and half months left for that.

Secondly, on our advertising plan. So, we have all around 360 degree plan. We will have below the line digital, top of the line consumer promotions. All that we'll start rolling out and obviously

Grasim Industries Limited
February 09 , 2024

Page 12 of 15

they will follow a sequence. But I don't think that we are trying to focus on the summer or anything like that because we want to roll out as fast as possible. So, our advertising and media spend will follow the distribution, which will keep going on.

Latika Chopra: Sure. And any feedback or your experience of wood finishes that you launched . It is available now in almost 60 cities. Any initial thoughts on how the product is faring? What are you learning from contractors, workers on this product? How is it placed versus competition? Any initial thoughts there?

Rakshit Hargave : Yes. So obviously, it has been a good learning exercise and the sales team has also got practice of actually working in the market. The feedback is very positive. Firstly, it's only a limited range. If you take a look at the imported wood finishes that we have launched, we have not launched the full range. The full range will also follow suit.

But the feedback from contractors and painters is excellent. The product quality is excellent. The acceptance is very high. And obviously, we've got some learnings in terms of what do we need to adjust for the main launch. We are taking all that into account.

Latika Chopra: Sure. And the last bit from my side was on paints, any thoughts on how are you looking at B2B versus B2C. B2C is loud and clear, I guess, but will B2B also be a meaningful part of focus for the company in the initial phase? Or?

Rakshit Hargave : Both B2C and B2B will start parallelly. The institution business or the project business as people call in the paints business is an absolute part of our portfolio. We also have products designed for that and it will start in tandem with retail business.

Moderator: We have a next question from the line of Mudit Agarwal from Motilal Oswal Financial Services.

Mudit Agarwal: Sir, my question is related to the tax expense during the quarter, the tax expense was significantly low. So, is there any adjustment or what would be the run rate

rate going forward?

Pavan Jain: So Mudit, the tax for the quarter also had some write-back of the provisions, the quarter. So, on an overall basis, you can assume that our effective tax rate would be about 14% to 15%. So, considering that, whatever adjustment was required has been done in this quarter. It includes the write back also, a small part, which is based on certain cases, etcetera, we have written back that provision. On the annual basis, you can assume the tax rate to be around 14%, 15%.

Mudit Agarwal: Okay. And sir, the second question is on the chemical business, captive power plant capacity, how much is the captive power share as well as the renewable share in the chemical business?

Jayant Dhobley : So, about half of our power is captive , about 13% , 14% is renewable and the rest comes from grid.

Moderator: We have a next question from the line of Ronald Siyoni from Sharekhan. Please go ahead.

Ronald Siyoni: I had one question with respect to the insulator business. Can you share the revenues and EBITDA number from insulator business?

Grasim Industries Limited
February 09 , 2024

Page 13 of 15

Pavan Jain: First of all, I think it is a very small part of standalone itself. And if you look at the consolidated numbers, it is almost negligible. But let me share the number which you are, I mean, looking at. So, revenue for the quarter is about INR111 crores in Q3 this year. EBITDA is marginally negative, very small number, minus INR1 crore.

Ronald Siyoni: Minus INR1 crore. And in terms of cotton, viscose and polyester differential, whether it has reduced or it has a correlation with viscose demand or prices also? The differential between the prices of cotton, viscose and polyester. So that spread has reduced? Or is there still a wide difference between this demand and prices because of the 3?

Harikrishna Agarwal : Cotton price have reduced during the quarter -on-quarter. And the polyester prices also reduced and all the fibre prices reduced during the quarter. But viscose prices reduced much less than the reduction in the cotton prices. So , this one is a very complex inter fibre dynamics. So , for example, international cotton prices reduced quarter -on-quarter by 4.6%. India prices also reduced by same amount, but Chinese prices reduced much more. On year -on-year basis, international cotton prices reduced by almost 10%. Indian cotton prices reduced by 15%, but

China cotton prices increased by 10%. So , it all depends on many other factors in addition to simple market dynamics. But mostly they move in tandem, the extent can be varied, but mostly they move in the same direction. And this quarter, the prices have reduced marginally for all the fibre .

Moderator: We have our next question from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: You mentioned that our chlorine realizations were INR4,000 negative this quarter. So what was it last quarter? So , whether it has further worsened in Q3 or it was at the similar levels as compared to Q2?

Jayant Dhobley : Compared to Q2, it has worsened by about a couple of thousand rupees. And as I mentioned earlier, it is basically the slow pickup in the agrochem sector , which has affected this in a big way. Having said that , I think the chlorine pricing dynamic across th e country is quite different. So dynamics depending upon which region you are. However, at the end Agro -chem to a certain extent and dyes and dye intermediates is what drives chlorine prices.

Nirav Jimudia: Got it, sir. So , the improvement in profitability could be also attributed to our flake business because I think we have been producing flakes out of our lye. So, has that helped this quarter in terms of the stable ECU realizations on a sequential basis despite of chlorine worsening sequentially?

Jayant Dhobley : Yes. So , we are always optimizing between lye and flakes . That is absolutely correct. And we

see what is the best way that we can approach the market for maximum input . Similarly, we focus a lot on utilization as well. So you're right. We have been always optimizing between lye and flakes depending upon the price delta between the se two forms of this.

Nirav Jimudia: Possible to share the capacity of MCA, which we are go ing to commission very shortly because you mentioned in one of the discussions

Grasim Industries Limited

February 09 , 202 4

Page 14 of 15

Jayant Dhobley: So small capacity to be very frank with you. For us, it's very important to set this plant up as a demonstration of going further into complex chemistries in our chlor -alkali business. But you can say the capacity will be about 7 KT per annum .

Nirav Jimudia: Sir, out of our pipeline sales, out of our total chlorine integration like 63%, what would be the contribution through the pipeline? Because earlier, we used to share some figures of chlorine going to VAP close to 85 -86,000 tons on a quarterly basis, but I think that is now stopped. So can you just give some sense in terms of.

Jayant Dhobley : This is in the range of 12% to 14%, depending upon how the customers pick the product.

Nirav Jimudia: Okay. And sir, last question is on the maintenance capex for the chemical business as well as for the VSF business on a yearly run rate basis.

Pavan Jain: So Nirav , see, it will depend upon , I mean, you cannot take a standard number for every year. But roughly, you can assume about INR300 crores to INR400 crores as maintenance capex for each of the business, yes.

Nirav Jimudia: For each of the businesses. Yes.

Pavan Jain: Yes. We have a numbe r of plants, locations, and I mean we continue to invest in the cost optimization also.

Nirav Jimudia: Got it. So Pavan Ji, is it possible to share how much capacity we'll be adding through the debottlenecking on VSF. I think you mentioned 3 sites where we are currently undergoing a debottlenecking. So is it possible to share what sort of capacity additions could happen out of this?

Harikrishna Agarwal : Okay. So we have done a small debottlenecking in our lyocell plant during this year. That will take our c apacity to 31,000 to 44,000 tons per year. On small debottlenecking, we have done at our Kharach plant for the VSF also. And then in the course of this quarter as well as coming year, we will be also trying to further improve the productivity at all of our VSF plants also like the new lines at Vilayat a nd more, because the plants have been now running for almost 1.5 years, 2 years. So , we are getting better performance slowly, slowly.

Nirav Jimudia: So, some capacity additions could happen there also throug h debottlenecking?

Harikrishna Agarwal : Not much capex .

Nirav Jimudia: Got it, sir.

Moderator: We have a next question from the line of Suryansh from BizX Enterprise LLP.

Suryansh: My question was regarding Birla Pivot. So what are our plans there? And like are we planning to move into B2C and opening retail fronts? Or like what are the plans and can you answer this one?

Grasim Industries Limited

February 09 , 202 4

Pavan Jain : So as already spelt out earlier, we are extending the coverage in B2B only across country now covering almost 20 states. There's no plan of B2C as of now. We are also getting into private labels. So Birla Pivot Tiles have been already launched. Plywood and doors are also in the process, we are in the process of launching. That is the status. I hope that answers your question .

Moderator: We have a next question from the line of Lakshminarayanan K G from Tunga Investments.

Lakshminarayanan KG: Sir, as you are entering into paints. Do you see the industry -wide compression in terms of gross margins or operating margins for the next 5 years whether the profit pool would actually shrink in terms of percentage?

Rakshit Hargave : So, whe

n you say for the next 5 years, it is very difficult to answer. Our objective is to , in a reasonably expect able short period of time become the number two player and also turn profitable at the earliest possible. So, I think if we follow the principle, the answer is there .

Lakshminarayanan KG: Would you expand the dealer's margins? Or would you actually sell at a cheaper price? Like how do you intend to do this?

Rakshit Hargave : So, we are not disclosing anything on our pricing. I think when we launch in the market, you will come to know.

Lakshminarayanan KG: And the launch is slated for the next month?

Rakshit Hargave : So, we have disclosed that we will launch it in this quarter. So , it has to happen either in February or March. Like I said, it's only a question of few weeks.

Moderator: Due to time constraints, this was the last question for today. On behalf of Grasim Industries, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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Ref No. GIL/CFD/SEC/25/074/SE 28th May 2024

BSE Limited
Scrip Code: 500300 / 890190
National Stock Exchange of India Limited
Symbol: GRASIM / GRA SIMPP

Dear Sir/Madam ,

Sub: Transcript of Conference Call on Annual Audited Standalone and Consolidated
Financial Results of the Company for the financial year ended 31st March 2024

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations , 2015, please find enclosed the transcript of Earnings Conference Call held on
23rd May 2024 on Annual Audited Standalone and Consolidated Financial Results of the
Company for the financial year ended 31st March 2024 and is available at
<https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q4fy24-23may2024.pdf>

Thanking you ,

Yours sincerely,
For Grasim Industries Limited

Sailesh Kumar Daga
Company Secretary and Compliance Officer
FCS - 4164

Encl.: as above

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Page 1 of 18

May 23, 2024

MANAGEMENT : MR. HARIKRISHNA AGARWAL – MANAGING DIRECTOR
MR. PAVAN JAIN – CHIEF FINANCIAL OFFICER
MR. JAYANT DHOBLEY – BUSINESS HEAD, CHEMICAL S,
FASHION YARN & INSULATOR BUSINESS
MR. HIMANSHU KAPANIA – BUSINESS HEAD, BIRLA OPUS
MR. RAKSHIT HARGAVE – CEO , BIRLA OPUS
MR. SANDEEP KOMARAVELLY – CEO, BIRLA PIVOT

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GRASIM Grasim Industries Limited
May 23, 2024

Page 2 of 18

Moderator : Ladies and gentlemen , good day and welcome to Grasim Industries Limited conference call.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Panchmatia – Head , Investor Relations . Thank you and over to you sir.

Ankit Panchmatia : Thanks Michelle . Good morning and thank you all for joining this Call. The Financial Statement, Press Release and Presentation are uploaded on the exchanges and are available on our website . For Safe harbor kindly refer to the cautionary statement highlighted in the last slide of our presentation.

Our leadership team is present today on this call to discuss our Results . We have with us Mr. Harikrishna Agarwal – Managing Director , Mr. Pavan Jain – Chief Financial Officer , Grasim Industries. Also joining them , we have our business team which is Mr. Jayant Dhobley – Business Head for Chemicals, Fashion Yarn and Insulator Business , Mr. Himanshu Kapania - Business Head and Mr. Rakshit Hargave – CEO of Birla Opus , our paints division and Mr. Sandeep Komaravelly – CEO of Birla Pivot , our B2B e-commerce business. Now I hand over the call to Mr. Pavan Jain for his opening remarks , post which we will open the call for Q&A. Over to you sir.

Pavan Jain : Thank you Ankit and good morning , everyone. Thank you all for joining us today to discuss our fourth quarter and full year Financial Year '24 performance. To begin with I will share some "Key Updates " and then we will discuss "Macro Environment " and finally we will cover the "Business and Financial Performance ".

Firstly , alignment of business segments reporting . As new businesses are on path to attain meaningful scale in due course , we believe simplified and transparent reporting of such segments should help you evaluate and analyze consolidated segmental financial performance. Also , such reporting reflects underlying strength of Grasim's conglomerate structure which commands leadership across key components of fastest growing Indian economy. The disclosure would now include five business segments at consolidated financial level :

- The first one is cellulosic fiber which will include cellulosic staple fiber and cellulosic fashion yarn. This segment was earlier referred as viscose segment.
- The second segment is chemicals comprising of our caustic soda , chlorine derivatives and specialty chemicals businesses.
- The third segment is building materials which includes cement business carried through our

subsidiary UltraTech , paints business and B2B e-commerce businesses which are business divisions at standalone level.

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May 23, 2024

Page 3 of 18

- The fourth segment is the financial services business which is housed in our subsidiary

Aditya Birla Capital .

- And the fifth segment "Others" comprises of textiles , renewables and insulators businesses.

The second update is that we have issued our first ever sustainability linked non-convertible debentures of Rs. 1,250 crores during this quarter. International Finance Corporation , a member of the World Bank Group has invested in these entities of the company. The investment by IFC is a testament to our commitment to build long term sustainable businesses creating value for our stakeholders.

The third one is a one-time charge of Rs. 716 crores at standalone level and Rs. 497 crores at consolidated level on account of impairment provision against current investment and provision against expected exposure in our JV - AV T

errace Bay . As informed earlier through our stock

exchange filing , AV Terrace Bay, our joint venture with a 40% holding is operating paper grade pulp mill and has now stopped its operations due to non-viable operations and adverse market conditions. The company has recognized an impairment charge of Rs. 280 crores against carrying value of equity investment in A V Terrace Bay and additionally Rs. 436 crores have been provided towards estimated exposure in A V Terrace Bay. A V Terrace Bay as you know had acquired a paper grade pulp mill in Canada in year 2012 with a view to convert the same into DG grade pulp which could not materialize. Paper grade pulp manufacturing is not core to our business interests and its continuous losses with no visibility of turnaround has led to the decision of idling the operations and to explore the possibility of exiting this business. This is a one-time charge to P &L and has been disclosed as an exceptional item with the decision of shutting the operations at AVTB and now there will be no more losses of AV TB to be consolidated in Grasim financials.

Coming to the macroeconomic environment :

On the global front central banks are though discussing possible trimming of interest rates but there are no timelines being put. There is a dichotomy within central banks. On one hand cutting rates too soon could accelerate the current pace of growth with increasing inflationary pressures. On the other hand , cutting rates too late creates a risk of gradual recovery getting surrendered . China's economy grew faster than expected in the first quarter with recovery in industrial production. However , consumption indicators like property investments and retail sales indicate that domestic demand remains frail , weighing on overall momentum .

In the midst of geopolitical risks posed by elections , polarization and conflicts , Indian economy remains in a robust growth trajectory with the World Bank upgrading its economic growth forecast for fiscal '25 by 20 basis points to 6.6% , driven by upward revision to investment growth. The new fiscal has started on a strong footing with strong PMI numbers and all-time high GST collections of Rs. 2.1 trillion in April '24.

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May 23, 2024

Page 4 of 18

Despite volatility in recent years , Grasim's revenues have more than doubled in the EBITDA grew by 1.9 times since FY18. Leadership across diversified businesses provides underlying strength to such growth. We have ended the gone-by financial year on a high note . Some achievements of the year are as follows ; we have achieved the highest ever consolidated revenue and EBITDA of Rs. 1,30,978 crores and Rs. 20,837 crores respectively. We have also achieved the highest ever sales volume of cement , cellulosic fiber and caustic soda businesses .

During this year we have launched Birla Opus , the decorative paints business with commencement of production at three greenfield plants in April '24. Clocking highest ever turnover of Rs. 580 crores in FY24 from textiles retail business . B2B e-commerce revenues surpassed a milestone of Rs. 1,000 crores in its first year of operations.

I now briefly touch upon each business segment :

In our cellulose fiber business , our CSF volume stood at 2,08,000 tons with utilization level of over 95%. Realization in India were lower due to oversupply in Indonesia and declining input prices , basically pulp and caustic apart from other raw materials and the benefit of declining input prices has been passed on to the value chain partners.

Growth momentum could have been better if not for the new regulation around the MSME payments which has reduced the demand, especially from MSME segment to some extent .

Domestic demand in China was stable which reflected in operating rates of around 85% and slight improvement in prices. However, majority of Chinese CSF players are

still making losses

at current levels.

In chemical business, post correction from historic high levels, global caustic soda prices appeared bottom as the rates have gradually improved for the third consecutive quarter. However, oversupply in domestic markets kept realizations under pressure. Caustic soda sales volumes continued to grow for us on YoY basis for straight 13 consecutive quarters. Our sales volume for the quarter stood highest ever at 308,000 tons. Lower caustic realizations and continued negative realizations of chlorine led to lower ECU realizations during the quarter. Chlorine derivatives performance specially was subdued due to demand weakness particularly in agrochemicals and oversupply in CMS.

Building materials, this segment growth was majorly driven by superior performance of our cement business which commands a pan India leadership position. The utilization for the year stood at 85% higher than all India level of around 71%. Our volume growth at 11% was also higher than the industry estimates of 7% to 8%. In cement we have added new capacity of 7.8 million tons in Q4 taking our domestic capacity to over 140 million tons and global capacity for the company is 146.2 million tons.

The incremental revenue in this segment is from paints and B2B e-commerce businesses. Birla Opus, our paints business has already commenced production at three plants at Chhaya, Panipat and WADITYA EIRLA.

GRASIM Grasim Industries Limited

May 23, 2024

Page 5 of 18

and Ludhiana. Dealer meets and expos are being held for pan India product launch. The Birla Opus brand and quality both are receiving positive response. The onboarding of dealers and placement of printing machines is happening as per plan. Outreach activities to influencers like painters and contractors are also going on as per schedule. Advertising and brand promotion activities are also on track and Birla Opus would be visible across the country in the current year.

The revenue generation at Birla Pivot, our B2B e-commerce business is gaining momentum in momentum having crossed Rs. 1,000 crores revenue in its first full year of operations. Currently the monthly run rate is of around Rs. 200 crores in Birla Pivot with healthy repeat orders. Birla Pivot Tiles and Plywood, which is our private label product are garnering good response and we are also evaluating new product categories to increase the total addressable market. The business has aspirations to achieve \$1 billion revenue in the next 3 years.

In our financial services business, lending portfolio which includes NBFC and housing finance company has increased by 31% YoY surpassing Rs. 1,24,000 crores. Total assets under management, which includes AMC Life Insurance and Health Insurance grew by 21% YoY at Rs. 4,36,000 crores. The business has announced the amalgamation of Aditya Birla Finance with Aditya Birla Capital which is under process, and it is subject to requisite approvals.

Simplification of structure, improved financial stability, increased operational efficiency and likely stakeholder value creation are some of the key benefits of the proposed amalgamation.

Other businesses segment which has textiles, renewable and insulators has also done well. The textiles business is moving from pure manufacturing to retail with the highest ever B2C business revenue of Rs. 580 crores for the year recording a CAGR of 28% over the past 3 years. Linen Club is now operating with 230 EBOs and available at 9000+ MBOs. Renewable business continues to grow, gradually ramp up its operating capacity and remains on track to achieve 2 GW level of capacity in current financial year. The insulator business remains self-sustaining closing the current year with healthy order books.

On the CAPEX front, we continue to focus on growth CAPEX with majority allocation on capacity expansion in building materials segment. The

consolidated CAPEX for FY24 stood at

Rs. 20,199 crores, 83% of which goes into growth CAPEX. We have invested over 38,000 crores over the past 5 years in growth CAPEX.

On the rights issue front, the board has decided to make the first call of Rs. 453 per share. That is 25% of the issue price against the shares issued on rights basis in January '24. This will enable raising Rs. 1,000 crores in Q2 FY24. The board has recommended dividend of Rs. 10 per share for Rs. 2 fully paid-up share. For the partly paid-up share dividend will be payable in proportion to the paid-up value. The company has a dividend payment record of continuously now for over 60 years.

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May 23, 2024

I have covered the key Business Updates and Financial Numbers, and the details are available in the results. We can now go for Q &A.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Tejas h Shah from Avendus Spark .

Tejas h Shah: My question pertains to paint division, and I will try to keep it short. So , can you provide an update on initial feedback that we would have got on quality on our pan India launch? If you can also share feedback on the current dealer network that we have got in the first few months and what are we targeting for FY25 ? Also, if you can give us status and strategy update on depot network that we have today and what are we planning by the end of this year ?

Rakshit Hargave: Thanks , Tejas h. This is Rakshit. I will answer all the three elements. The feedback on product quality that we have got across the range in India is excellent. Dealers are extremely happy. Contractors are very happy the ones who have used it and this is across all the product segments that they have launched and we can already see usage and we can see repeat usage. Like we said in Panipat , we've also done a very large sampling exercise which is making it very evident that the product quality is absolutely top notch. Secondly your question on the dealer network and dealer adoption. So , we said that our target in FY25 is to get 50 ,000 dealers onboarded and we are absolutely on track in the first 2 months to be able to hit that number. So, obviously we are able to onboard and build a large number of dealers every month as that will only enable us to reach that number which is quite evident . In terms of depot network also, we had declared that our ambition and plan is to set up 150 operating depots by the end of the financial year and we are very much on track. We would be very close to half that number already.

Tejas h Shah: And just one follow up on that ; between the two geographies north and south that we have kind of launched initially , where are we seeing more traction as of now?

Rakshit Hargave: So, you see these are only the first two months. While we said that we will start launching in north and south but we also made a commitment that by July of this year , we will be available in all towns which have a population of 1 lakh plus. So, effectively by now we have virtually entered all the states of India where we have onboarded and built at least some dealers. We see pan India traction. The product quality appreciation that we have done is independent of any region. So , whether it is north , south , east or west , I don't think that there is any differentiation in terms of a response in the first two months.

Moderator: The next question is from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: My question pertains to the chemical side. So , if we look at our ECU it has come down by close to Rs. 1 on a Q-on-Q basis which translates into an impact of 30 crores if you multiply by the caustic volumes which we have reported on. However , our EBITDA has fallen by close to 70 crores. So, was it because of the fall

in the profits of either the specialty division or the VAP sales or some of the costs have gone up this quarter and because of which this fall has happened.

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GRASIM Grasim Industries Limited

May 23, 2024

Jayant Dhobley: Your math is correct. It's not because of the cost . In fact , our costs are better. As was earlier mentioned by Pavan ji, the real issue really lies in profitability of chlorine derivatives which are largely used in agrochemical. As you know the agrochemical industry is not doing very well.

So, a lot of the derivatives that go into Agro-chem whether that is carbon tetrachloride chloride , methylene chloride , methylene dichloride , those are under pressure. And that is why you see that disconnection. So , it is not because of the cost going up. In fact , it's also not because of the specialty volume. It's mostly related to chlorine derivative.

Nirav Jimudia: Because the fall in EBITDA is close to 70 crores and I guess the VAP contribution to the EBITDA is not to that extent , based on some calculations what I've done. So, possibly some one-time cost would have happened this quarter because of which this fall has happened, and this should again restore in the subsequent quarters. How do you see this?

Jayant Dhobley: So, Nirav two things. First of all , we maximize the contribution margin. As you know we report some of the highest operating rates in the industry for utilization. What we typically do , we look at our total contribution margin across caustic , chlorine , chlorine derivatives and maximize it. So, that is one impact. And that's why you can't get too bogged down by looking only at individual product lines. Now having said that , there are a couple of our plants where in the last quarter we have taken maintenance shutdowns for some repairs and for some upgradation. So , there is some small impact.

Nirav Jimudia: This won't happen next quarter , so that would get corrected ?

Jayant Dhobley: Sometimes when you take a shutdown , your maintenance cost , etc., come in along.

Nirav Jimudia: We also commissioned a new epoxy plant in December. Was there a volume growth in the epoxy division sequentially and along with it if you can also share any improvement which has

happened on a sequential basis on the epoxy profits which we have reported in Q 4?

Jayant Dhobley: So, typically, we don't break down the profitability of epoxy separately.

Nirav Jimudia: Just a ballpark understanding in terms of any sequential improvement in percentage terms that would also help.

Jayant Dhobley: So, there is sequential improvement, percentage terms I will just quickly calculate. But the plant is commissioned, the volumes have started to pick up. As you know the epoxy business, you have to get qualification at customers. So, that takes a bit of time. But I would say the volume growth sequentially has been—I am just seeing that math quickly out of the back of my head—close to the volume about 14%-15%.

Nirav Jimudia: And this would be predominantly the LERs which we would be selling because initially that would be an easy material to sell on. So, how do we see the utilization rates picking up here because we have expanded close to 1,23,000 tons? So, how do we see the pickup in the utilization rates of LER? Secondly do we need to create the downstream value-added products for this LER

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May 23, 2024

Page 8 of 18

to get absorbed or we do have the sufficient capacities of the downstream products and as and when the customer requirement comes up, we can convert those LER into the value-added products and start selling those products in the market?

Jayant Dhobley: Our expanded capacity actually is a mix of LER, reactive diluent, polyester and polyamide hardeners. So, this is the portfolio. So, it's not an exact copy of the first 123 KT. What you

have

correctly also said is typically LER sells first and we do formulate further from the LER into value-added products. I think it would be fair for you to assume that it will take us about minimum 24, maximum 36 months to sell the entire product. That would of course depend a lot upon how the end markets develop. We specialize in composites, in coatings, so as qualifications increase and more of our LER tends to get consumed later.

Nirav Jimudia: Just two last clarifications, one based on the presentations of this year as well as last year, our total CAPEX the epoxy is close to 326 crores. So, this is the total CAPEX what we have spent or was there any earlier CAPEX is also which have happened, and the total CAPEX amount stands higher than this amount?

Jayant Dhobley: That's about order of magnitude. There is always some maintenance, etc., I didn't actually understand the meaning.

Nirav Jimudia: The total CAPEX for the expansion of the epoxy plant.

Jayant Dhobley: Most of the CAPEX spent has gone into expansion of the capacity.

Nirav Jimudia: Last bit is on the chlorine side. Last time you mentioned that Q3 we had a negative realization of Rs. 3 and the run rate was close to Rs. 4 in Q4. So, how that was on an average basis for Q4? Secondly, we have seen some strengthening of the caustic soda prices in the current month. So, is it fair to assume that Q1 would see some improvement in our ECU realizations?

Jayant Dhobley: So, for Quarter 4, our negative chlorine was around Rs.3.5-3.6, actually it was worse. In Q1, you are right that there is some improvement in the market. We have seen a slight improvement.

Now let's see whether that improvement holds. As you know the chemical markets are quite volatile. But chlorine had become more negative in Q 4 compared to Q 3 by about Rs. 5. And it is getting somewhat better in the first quarter of this financial, both caustic as well. You do a very comprehensive analysis of the chemical business Nirav, as usual.

Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: My question is on the paint segment. Can you give some idea as to how many tinting machines have you placed till date?

Rakshit Hargave: Like we said we will be sharing the numbers at a later stage. But what I can tell you is that we have a very aggressive plan of placing tinting machines and with a very high dealer penetration and we are on track.

WADITYA EIRLA

GRASIM Grasim Industries Limited

May 23, 2024

Page 9 of 18

Percy Panthaki: And to the previous question when you had mentioned that the target is 50,000 and we are on track to achieve that, is it that the progression is linear or would it be exponential? I am just trying to figure out at least at the ballpark should I be taking 50,000 divided by 12 multiplied by 2 as the rough ballpark of dealers or that would be a wrong way to look at it?

Rakshit Hargave: No Percy, I think that will be slightly wrong. It will be slightly overweight towards the first half.

Percy Panthaki: So, you're saying the recruitment would be higher in the first half of the year than the second half of the year?

Rakshit Hargave: Yes.

Percy Panthaki: Secondly, I wanted to understand that in terms of your terms of trade with your paint dealers, how does that differ versus the large incumbents in terms of margins or schemes? Is it comparable? Are the schemes more volume based or are they sort of based on some other parameter? What are the differences in terms of how you incentivize your dealers versus the other larger incumbents?

Rakshit Hargave: We have been meeting dealers across India. We have met the top 7000 dealers and we have shared our commercial program which is out there in the public. So, there is a certain benefit that the dealers get in terms of price. Then there is a certain benefit which the contractor community gets

in terms of the rewards. And then we have this offer for the end consumer which gives them 10% free volume on emergent purchases. So, if you look at the total package at the dealer and contractor end, we would be about 7% -7.5% better than the market. And if you work out on the 10% for the volume, that's how it turns out to be. It has already been analyzed in the market before. But that's the commercial program that we have given.

Percy Panthaki: So, versus the large incumbents roughly how much would be the benefit that your dealers would get? Is it like a 300-400 basis points benefit, not talking about the extra volume which is a benefit to the end consumer?

Rakshit Hargave: That would be difficult to calculate because the large players have various programs with other dealers. But what we can say is that the adoption by larger dealers also for Birla Opus as we see is attractive which means that the proposition is working for them.

Percy Panthaki: And last time we spoke, you had mentioned that you would be targeting to place tinting machines in 80% to 90% of your dealer network. Would I be right in assuming that that kind of percentage is already something that you are running at currently for whatever dealers you have recruited?

Rakshit Hargave: So, like we said that we have an aggressive program. I don't recall whether I said 80% or 90% but it's a number which is fairly high, and we are running on track.

Moderator: The next question is from the line of Prateek Kumar from Jeffries.

wADITYA EIRLA

GRASIM Grasim Industries Limited

May 23, 2024

Page 10 of 18

Prateek Kumar: My first question is on VSF. So, in VSF we are operating already at 98% utilization, a strong volume growth current year. How are we seeing this utilization gap, how are we looking at growth in this segment over the next 2 years? Also, we have exited this year probably at strongest unit EBITDA in VSF segment, how are we looking at the unit EBITDA for the next 2 years in the segment?

Harikrishna Agarwal: So, we have a good volume growth in the last financial year compared to the previous one. Q4 was similar to Q3 in terms of volume and there was some hiccup because the MSME notification for payments came into the play from February onwards. So, the volume was disrupted a little bit but currently the volumes are running at similar pace, and we are trying to ramp up production as much as possible at our different lines. So, we see some opportunity there to keep pace with the demand. On the unit EBITDA, we benefited from the decline in raw material prices in the last year and those prices are hovering, some items increase, some items same, some items reduce. So, it's limping along at the similar thing with a slight increase in the last one or two months but we have to see how it goes. Even prices have also softened a bit in last two months in China, so we will see how it goes.

Prateek Kumar: Also, just a related question. So, 824 KT which is the capacity of VSF in FY24, can it be debottlenecked to like 900 KT like eventually without doing much CAPEX or like as a result we might have just like 3% to 5% volume growth in the segment next 2 years or the capacity can be significantly debottlenecked later on?

Harikrishna Agarwal: We are trying our best and there are some opportunities, but I would not like to give any confirmed figure how much but yes, we have been working on that and that is very much on our mind. So, about 4% or 5% growth we should have compared to last year full year not last quarter.

Prateek Kumar: And on the Canada business closure of pulp business, is this something which affects our raw material procurement in this business because that was captive unit and how is the captive raw material percentage now for VSF?

Harikrishna Agarwal: This unit which we have taken a decision to close was not producing dissolving grade pulp. It was

producing paper grade pulp and that was one factor behind our decision to close the unit as the economics were not working. The wood cost has increased there too much and this was not a dissolving grade pulp mill. Our captive pulp procurement is around 35%. It has been in this range for quite some time and it remains at that level and our procurement is stable. We have long term contacts with some leading dissolving grade pulp producers, some for more than three decades, some for last 4-5 years, new players and everybody is very keen to work with us. All the new dissolving grade players are very keen to work with us as long-term suppliers. So, we

are quite comfortable on that front.

Prateek Kumar: A question on CAPEX. We haven't given any CAPEX outlook in the presentation after FY24 1,500 crores. Any number which we should work with or a similar number for next 2 years ?

wADITYA EIRLA

GRASIM Grasim Industries Limited

May 23, 2024

Page 11 of 18

Harikrishna Agarwal : You are talking for Grasim as a whole or you are talking of any particular business ?

Prateek Kumar: Grasim as a whole. Maybe we can discuss it if you have granular details also. But Grasim as a whole as of now possible.

Pavan Jain: Yes. CAPEX spend for next year would be about I think Rs. 4,500 crores for the company as a whole which will mainly comprise the large amount going into paints business. The remaining part of the 10,000 crores CAPEX announced for the paints .

Prateek Kumar: This is on a standalone basis?

Pavan Jain: Yes, standalone.

Moderator: We'll take the next question from the line of Siddhesh Raje from ICICI Prudential Mutual Fund .

Siddhesh Raje: My question is regarding dividend policy ; the understanding was that UltraTech 's dividend gets passed through. So , in this financial year that has not happened , so how should we see that going ahead?

Pavan Jain: I think the policy was pay out to be ranging the 25% to 45%. And within that range we will try to pass on the dividend received from UltraTech and other key subsidiaries. That is the policy.

But the policy also says that looking at the CAPEX plans of the company , etc., and other factors , there can be variation to this extent. So, given the large ongoing CAPEX plans of the company , especially in the paints business , we have not passed on fully the UltraTech dividend this year.

But that is I think specific to this year's situation . Going forward we can't comment now but I think it will be more prerogative.

Harikrishna Agarwal : But still the payout ratio is still quite high , almost 40% which is much higher than the previous years when the full UltraTech dividend was passed on. So , you should appreciate that while the operating profit is affected but we are maintaining the dividend.

Siddhesh Raje: And secondly this CAPEX for paints which happened of 1,067 crores. So, given that commercial operations have started in April , there would be certain expenses which we would have still capitalized. So , can you just give some color as to how much capitalization of expenses happened in last quarter?

Harikrishna Agarwal : So, we have capitalized the three , we have put the commercial production from 29th of April. So, almost all the preoperative expenses for three plants before that day were continued to be capitalized . Now from the 29th April all three plants are fully commercial production. So , everything is going to the income statement.

Siddhesh Raje: Can you quantify the amount which has got capitalized?

Pavan Jain: You can take offline basis. We don't have that number readily available .

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GRASIM Grasim Industries Limited

May 23, 2024

Page 12 of 18

Harikrishna Agarwal : But first year of the full year of operation paint operation there will be a lot of investment in marketing and branding and advertisement. So , all those things will be the first time and they will all

I go through income statement. So, you should be expecting that as a part of building a new business.

Pavan Jain: While it will go as a P & L charge, but it is like an investment in establishing the new business.

Moderator: The next question is from the line of Abneesh Roy from Nu vama.

Abneesh Roy: I have a few questions on paints. So , this is the first quarter where the paint launch has happened.

So, first question is when you see JSW Paints , they have become 2,000 crores after 5 years of launch and there is captive demand also being present there. Second is if you see the top two paint companies, they have given guidance of double -digit volume growth in FY25 and even in Q1. So, if you mix all this where does your optimism now stand given launch has finally happened but then the competitors seem to be still quite gung -ho in terms of demand even in the first year. And the other player who has entered has done only 2,000 cores in 5 years. You have a 10,000 c rores target in FY28 . So, if you could tell us how does this all map up?

Rakshit Hargave: Abneesh h, see the way we look at it , JSW has done a certain turnover. The other companies have given a certain guidance where they're talking about double digit volume. If you take a look at the results which have come while the volume growth is high the value growth is very low. I think we are looking at it as a different case because we have come here to make some changes in the way we operate in the paint industry and the changes that we will bring and the disruption that we will bring th at we disclosed in Panipa t, and you will see that as the year goes on . As far

as we are concerned, we are going to be gaining share. We can already see that we are onboarding dealers, there is offtake, contractors are liking it. We are not so bothered about if competition is saying 10%. And that should make me feel that how can they grow so much? I am competing against a number and I have a solid plan and I am moving as per my business plan. And to that effect we are very optimistic about what we have said, and we are on plan. That is how I would say.

Prateek Kumar: My second question will be on the disruptions which you had announced in Panipat, it was extremely detailed. Now almost every paint company in the Q4 analyst call or analyst meet said, all these disruptions have been tried earlier in terms of extra grammar, in terms of extra warranty, in terms of retinting machine. So, to that extent because now you are there in the market, what is the dealer feedback? Because this is not really disruption, this has been tried earlier and it works to an extent but is it really disruptive? Till now it hasn't been. Second is when you put the tinting machine, lot of the free tinting machines are put at the back of the dealer shop. So, 'India me jo dikhta hai vo bikta hai'. So, if the tinting machine is at the back then what is the response?

Rakshit Hargave: So, as far as the disruptions are concerned I think it is very early for even competition to say that in 2 months they have not seen anything because you will see how gradually we roll out and our

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GRASIM Grasim Industries Limited

May 23, 2024

Page 13 of 18

success will also lie on executing those disruptions successfully. And our organization is actually designed to do that. As far as tinting machines are concerned, we are very confident that the tinting machines that are being put by Birla Opus are tinting machines which will actually get used. And we can already see usage of our tinting machines are happening, they are performing excellently. As we had announced, they are connected with our back end. We have live information of what is being tinted in terms of basis and products on a daily basis. We can actually already withdraw that. No company can do that today. So, what I would say is that, giving free tinting machine is a

way of accessing the market and winning the dealer. Our tinting machine is also unique. It is about 40% smaller in terms of area. So, I think in terms of tinting machine, I would not agree to the fact at all that Birla Opus tinting machines will be put in the backyard. I think they're being already put to use. On the disruption like I said, it's very early for someone in 2 months to say that nothing and all these things have happened before, please keep watching because we are also going to execute them successfully. And our business model is designed to do that which is why we have taken 3 years to prepare it to come to the market.

Moderator: The next question is from the line of Latika Chopra from JP Morgan.

Latika Chopra: Two questions again on paints; the first, you said that the dealer feedback, the contractor feedback on paints, on quality is quite good. So, just wanted to check, does it imply that you're quite comfortable with your pricing strategy at this point? And you talked about 7% to 10% kind of a dealer margin or dealer benefit and at this point you do not see any reason to play around with that and or even in terms of different kind of paints that you launched premium, economy and luxury, any comments on that?

Rakshit Hargave: I think the first question on product quality like we said the acceptance of product quality across all the segments that we have launched, whether it is exterior interior and within that luxury premium or economy or if you take a look at waterproofing, enamels, the feedback from contractors and dealers is extremely positive. They are actually very pleasantly surprised that in keeping with the Birla brand name, the product which has come out is exceptional, both in terms of performance and ease of usage. I would say that the acceptance of product quality is actually unanimously uniform across the whole segment. In terms of pricing what we have come out on the market, I think we are happy with what we have put, and we are steady with what we have put and we are rolling it out across the country.

Latika Chopra: The second bit I wanted to check was and I think someone alluded to the fact that during the course of the year, you're going to step up advertising spends or above the line spends on the paints category. So, should we anticipate much of that is going to be seen in the second half, probably closer to the festive season and once you've kind of rolled out the portfolio to more dealer base.

Rakshit Hargave: So, yes, we will indulge in above the line advertising. Probably you have not noticed but we are already on with our outdoor plan in south India, Chennai, Bangalore, Tamil Nadu, Karnataka.

The outdoor plan is up in Punjab already. It is up in Delhi from today. Obviously logically it will

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GRASIM Grasim Industries Limited

May 23, 2024

Page 14 of 18

follow also with television and other digital media as we drive up our distribution. So, as expected we had announced that we will aggressively invest in building the brand, which is going to happen in due course.

Moderator: We'll take the next question from the line of Raashi Chopra from Citigroup.

Raashi Chopra: Just coming back to the VSF and the chemicals business, any sort of outlook on the margin's profitability from here as well as pricing for both?

Jayant Dhobley: See, look the pricing more or less is range bound. Whether you look at caustic, whether you look in chlorine or for that matter you look within epoxy. What you must have observed if you are following the chemical sector is, there is still a lot of capacity in China and their domestic consumption has not yet picked up which means there is a lot of exports of all range of chemicals which is affecting the chemical industry globally, including India and including for example exports of Agro-chem, etc., from India. So, we see at least this quarter to be

range bound. There

may be some ups and downs and potentially the next quarter as well. What may help us is if globally the Agro-chem industry picks up, the monsoons in India have proven to be better. Let's see what happens in South America and the US. If we start to see good news coming out of the agricultural sector or we start to see good news coming out of the Chinese consumer, then I think that will be very quickly reflected across the chemical industry and including the Chlor-Alkali portfolio.

Pavan Jain: So, to add to what Jayant has said about macro factors, the global business conditions still remain little bit affected by high interest rates, though inflation seems to be coming down but still interest rates are expected to remain high. That keeps on impacting the real consumer demand in West Europe especially. Of lately cotton prices have come down in anticipation of better crop in the coming crop season. Consumption remains good and raw material prices are also range bound. So, there will not be, I think too much change either way in the profitability of cellulosic fiber business at least in the near term.

Jayant Dhobley: Jayant here on the chemical business, maybe one more thing to add is, we do observe whether in caustic or in chlorine derivatives or for that matter even in epoxy, that the contribution margins are such that there is very limited scope or very limited possibility for prices to drop further, unless something strange happens for example with feedstock prices or energy prices that could move it. But at the current level of feedstock cost, there is actually very little playing room particularly in the Chinese industry to drop utilization rates below where they are today. So, we don't see much of a downside from there. It can't get much worse unless the crude suddenly drops or something like that. Then that changes the whole economy.

Moderator: The next question is from the line of Prateek Kumar from Jefferies.

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GRASIM Grasim Industries Limited

May 23, 2024

Page 15 of 18

Prateek Kumar: My first question is on your B2B e-commerce. Are we looking to add like more private label products in the segment? Can you throw some light after a couple of products which we have talked about earlier?

Sandeep Komaravally: We have launched tiles and ply wood in this financial year where our focus right now is to increase the penetration for both of these products across different channels. Whether it is our channel which is developers and contractors or the retail channel. That is the focus for now. Next financial year, we are evaluating a few categories but nothing specific as of now. The focus will remain on increasing the penetration for both of these products or categories.

Prateek Kumar: Just one question on paints; while you have discussed enough in the call, but how has been the response from competition like in first maybe 1-1.5 months of the product launch in the market?

Rakshit Hargave: Well, the response from competition the way I will answer is, all dealers are saying that competition which was relatively absent in the market have become extremely active and they are visiting us more regularly and they are showing a lot more intent. So, the way I would want to read it is obviously, they are trying to defend their forts and they are doing what it takes which shows that they are alert and maybe also apprehensive. But like we said, we are moving on with what our plan is and we are executing and we are meeting our benchmarks.

Prateek Kumar: And related question, there is any increased discounts pricing or margins which the competition also talked about while you have talked about aggressive ROIs for the dealers?

Rakshit Hargave: No. I think at least what we have seen in the last 2.5-3 months is its status quo of what it was before.

Harikrishna Agarwal: You should go and visit a paint

dealer.

Rakshit Hargave: Sometime next month we can arrange for visits to dealers for you to actually find out. We can work on that schedule.

Moderator: The next question is from the line of Akash Goel from Tara Capital Partners.

Aakash Goel: I just had one small clarification —most of the other questions have been answered—is that in the standalone business when I am seeing the employee cost that has come off sharply both quarter-on-quarter as well as year-on-year. So, what exactly has happened there because we are starting off with our paint business as well, I was expecting that maybe the employee cost either hold up or see some steady increase, so what exactly has played out for this quarter?

Pavan Jain: So, nothing very specific any special item. But see as far as paints is concerned, the employee cost continues to be capitalized for the employees which are involved in the project's implementation. So, the charge will start from the current quarter, post capitalization at the end of April when we have commenced commercial production that will start to P&L from this quarter. Otherwise, there are I think some year end adjustments like valuation of the retirement

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GRASIM Grasim Industries Limited
May 23, 2024

Page 16 of 18

liabilities particularly which has gone down because of the higher discounting rates, etc., And then some of the businesses have made I think some lower provisions of variable pay because of the current year's performance, etc., So, these are like year end normal adjustments. And there have been some write backs earlier in the earlier quarters.

Moderator: The next question is from the line of Praful Kumar from D ymon Asia.

Praful Kumar: Couple of questions on paint business. Now the first question is that if you look at the margin for the market leader, clearly the gap that we thought in terms of launch, in terms of our pricing versus theirs seems to have reduced. That's what we are picking. So, just want to get your confidence in terms of market share gain given that the competition, especially the market leader will not make it easy for us to gain market share as we go towards expensing the project cost.

Rakshit Hargave: We didn't get the question; you're talking about project cost?

Praful Kumar: The question is the difference at the time of launch when the product was launched, your paint business was 5% plus dealer margin of 10%-15%. So, we were 15% odd cheaper than the market leader today which after we saw the market leader results seem to have been narrowed. The pricing gap between you and the number one player today and that's what we are picking that the market share gains that is envisaged might be tough to come by given that the incumbent will not let the market share go very easily. So, your thoughts on that?

Rakshit Hargave: So, all incumbents will try and defend their market share which is very obvious. If I was there in their place, I would do the same. But our market share hypothesis is built not only on pricing which is just one of the factors. Our market share hypothesis is firstly based on excellent product quality, excellent market working with influencers which is contractors which is a very attractive program for them, excellent distribution buildup, being able to supply and we are building up our range. I have not thought about it today, but we are building up our range very successfully because what the dealers are looking at is assurance of supply. As we build up our range and as we open up depots, we are observing that the confidence in the last 2 months of the dealers to accept that when they place our order with Birla Oplus, they should by and large get the products within two weeks. It does take time to build up a range but the way we have progressed we are very happy. And obviously the data that we are getting from the systems, the track and t

race that

we implemented last mile which is also going to come into play we are doing several things. So, our market share hypothesis while obviously what the dealer makes in terms of an ROI is important and I think we will also deliver on that. Our market share hypothesis is based on several factors and I think we are very confident that in terms of executing it we are as per our plan.

Praful Kumar: Second question is in terms of market share, over next 3 years, generally given the fact that it was a great launch, you're hiring so many people. The trajectory of market share gains has to be significant in year one and then slowly getting adding more every year or it should be slowly in year one and gradually picking up in year two and three?

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GRASIM Grasim Industries Limited
May 23, 2024

Page 17 of 18

Rakshit Hargave: I think the question itself has many different trajectories. But what I can again reemphasize that what we told in Panipat was that our ambition is to exit this financial year in high single digits.

I think we are working towards that either to meet or better it. We feel that we are on track in terms of indicators. So, I would actually suggest answering it this way.

Moderator: The next question is from the line of Amit Sachdeva from HSBC.

Amit Sachdeva: Just again a small detail on I wanted that, in that assumption of 3-year target and also given the pricing that you have sort of disclosed and the responses you got and it seems like you're pretty comfortable with how things are shaping up. My question is on in terms of capacity utilization

assumptions that you sort of make in this hypothesis of high single digit share by year end and perhaps teams kind of share in 3 years' time , what sort of in your thinking and modeling , what capacity utilization will get you there and is there any risk to that you see?

Rakshit Hargave: So, our installed capacity is 1,332 million liters per annum . Three of our factories are already operating and obviously they are operating at a certain capacity. Now what we have declared is that in first 3 years of full operations we will hit 10,000 crores. Obviously , the capacity which will be delivered by the three factories is more than that. But the factories also take time to scale up and scaling up of the first three factories is already up. We have also declared that number four, five and six will also get operational later this financial year. So , the capacity utilization of the factories will keep on growing gradually as we keep on driving our sales and we will be able to monitor the balance between what we are manufacturing and what we are selling. Obviously , we want to utilize our factories better. We are also working in terms of how to make the factories work more efficiently and how to make sure that the right KPI's are driven. But I don't see , I think what we have done is set up enough capacity to be able to take advantages of swings and opportunities which might come , so that we don't have to wait and be out of the market. So , I think that's the step that was the building strategy that we should first develop enough capacity for us to go national in the first slot and not try regional strategy. So, that's how I would want to base this answer.

Amit Sachedeva: So, my question is that can I just hazard a guess then? My sense is 10,000 crores kind of revenue target , is it sort of safer to assume given the installed capacity would be 1.33 million KL and things would be like 50% utilization is like your base number to get there you need about 50% utilization ? Because the reason I am asking this is that it also has some pricing discipline in built into it as an assumption. So , my view is that how desperate are you to fill the capacity or are you okay to have 50% capacity utilization in 3 years? That sort of intent of how you want to develop this market. So , what I want is you

first priority to get the utilization to that certain number or you gradually build the capacity utilization , you don't care really about that ? You want to build it organically in a disciplined manner , how the business is progressing given the pricing you put in place and you're okay with that and you don't see any substantial response from competition as well. So , it seems like a good foot in the door , so the reason I am asking is that how desperate you would be to fill that capacity at certain level ?

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May 23, 2024

Page 18 of 18

Rakshit Hargave: So, you see we also declared that when we do the third -year business of 10,000 crores , we will also be looking at turning profitable. And as you have done the math and the realization per million liter or per kilo liter from competition , most of the companies are in the same ballpark range. So , you would know that if 1,332 million liter is sold what turnover will be generated? Obviously , it is more than 10,000. So , the way I would put it is that we would be aggressive in terms of driving our distribution , in building our brand , in acquiring dealers. With that there is a certain volume share gain that we will keep on getting quarter -on-quarter and we will keep taking that. I would not want to use the word desperation because when we shared this number and the capacity that we have worked , we have already factored those ma ths in our business plan.

Moderator: Thank you . Ladies and gentlemen, due to time constraint , that was the last question for today.

Thank you, members of the management . On behalf of Gras im Industries , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

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Ref No. GIL/CFD/SEC/25/170/SE 14th August 2024

BSE Limited
Scrip Code: 500300 / 890190
National Stock Exchange of India Limited
Symbol: GRASIM / GRASIMPP1

Dear Sir/Madam ,

Sub: Transcript of Conference Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30th June 2024

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Earnings Conference Call held on 9th August 2024 on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30th June 2024 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q1fy25.pdf>

Thanking you ,

Yours sincerely,
For Grasim Industries Limited

Sailesh Kumar Daga
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Page 1 of 18

“Grasim Industries Limited
Q1 FY '25 Earnings Conference Call ”
August 09, 2024

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MR. HIMANSHU KAPANIA – BUSINESS HEAD, BIRLA OPUS
MR. RAKSHIT HARGAVE – CEO, BIRLA OPUS
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Grasim Industries Limited
August 09, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Grasim Industries Quarter 1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Panchmatia, Head Investor Relations from Grasim. Thank you, and over to you, sir.

Ankit Panchmatia: Thank you. Good evening, and thank you all for joining this call to discuss our first quarter of FY '25 performance. Our leadership team is present today on this call to discuss our results. The financial statements, press release and presentation are uploaded on the exchanges and are also available on our website. For safe harbor, kindly referred to cautionary statement highlighted in the last slide of our presentation.

From the management side, we have Mr. Harikrishna Agarwal, Managing Director; and Mr. Pavan Jain, Chief Financial Officer, Grasim Industries. Also joining the call, we have Mr. Jayant Dhobley, Business Head, Chemicals, Fashion Yarn & Insulator business; Mr. Himanshu Kapania, Business Head; Mr. Rakshit Hargave, CEO of Birla Opus, our Paints Division; and Mr. Sandeep Komaravelly, CEO, Birla Pivot, our B2B E-commerce business.

Let me now hand over the call to Mr. Pavan Jain for his opening remarks, post which, we will open the call for the Q&A. Over to you, sir.

Pavan Jain: Thank you, Ankit, and good evening, everyone. Heading into 2024, all of us talked about a lot of uncertainties and had built expectations on how new economic realities would take shape. Some of these were elevated geopolitical risks, higher interest rate for longer duration, impacting growth rates and megatrends rapidly transforming industries.

As we cross the midpoint of the year, all such expectations are playing out. Conflict escalation in the Middle East and Ukraine remain major risk, inflation persistence is leading to continued high interest rates by major central banks. Secular megatrends from artificial intelligence to sustainability or reshaping economic and industries.

The recent data points from the U.S. on manufacturing PMI and unemployment rate has increased, the probability of the U.S. rate cutting rates in the coming FOMC meetings. Bank of England has already executed its first interest rate cut in more than 4 years taking the key rate to 5%. In China, despite Beijing surprise rate cut which injected 435.1 billion yuan into financial system, there our current global economic environment, coupled with heightened geopolitical risk conditions indicate that the path to normalization is likely to be a longer one.

At the same time, Indian economy has been a star performer on 21st May, India became the fifth country to join exclusive \$5 trillion market cap club alongside the U.S., China, Japan and Hong

Kong. Two months from there, we have hit \$5.5 trillion on July 30th. With 7.8% growth in the

Grasim Industries Limited
August 09, 2024

Page 3 of 18

GDP in Q4 FY '24 and 6.8% expected in current year, India is expected to continue to its title of fastest -growing large economy as per the growth projections by IMF. Further, the Budget 2024 has laid down focus on capex spending in sectors such as road transport and highways, railways, real estate, et cetera. Secondly, supporting consumption through higher allocation for rural economy, welfare schemes and agriculture and job creation are one of key focus areas. India's long-term economic fundamentals appear robust, buoyed by government commitments, fiscal prudence aiming for a reduced fiscal deficit of 4.9% in FY '25 and 4.5% in

FY '26. In latest MPC

making, RBI has maintained status quo on Repo rate of 6.5% and FMCG, our projections of 7.2% GDP growth and the inflation target of 4.5% for FY '25.

I now come to our company's performance for the quarter gone by. Consolidated revenues stood at ₹33,861 crores and EBITDA for the quarter was ₹4,076 crores.

Talking about segmental performance in cellulosic fibre business, consumer buying has stuck in major textile consuming economies that is U.S. and EU due to heavy discounts offered by retailers and supported by easing inflation. This has led to some inventory corrections, increase in cotton MSP and volatility in global oil market due to geopolitical instability and entered in lower preference for cotton and polyester fibres making cellulosic fibre as preferred choice of fibre for brands globally. Moreover, better sustainability credentials would continue to drive growth of cellulosic fibre in the long-term. Globally, CSF prices have been on an upward trend since Q3FY'24. India realizations remain impacted by oversupply in Indonesia and decline in input prices that is pulp and caustic soda, benefits of which were passed on to the value chain partners. Our CSF volumes stood at highest levels of quarterly number of 200 tons and revenue stood at highest levels since past 7 quarters. The CFY business remains impacted by low consumption phase across the user value chain, though there are some signs of recovery in the current quarter.

In Chemicals, global caustic soda prices marks fourth consecutive quarter of improvement and are now at highest level since June 2023. While domestic markets have also followed some of these positive realization trend, India caustic soda market continues to remain in oversupply situation. Our caustic soda sales volumes were lower by 4% Y-o-Y partially impacted by Vilayat plant shutdown for new capacity hook up. Improved caustic reductions, coupled with uptick in demand and realization for chlorine derivatives had led to improvement in eco realizations, which stood at ₹32,529 for Q1 FY '25, highest since Q2 FY '24. The ramp-up in production post recent expansion at specialty chemicals unit, remains on track. We have clocked highest ever sales volume and revenue for the specialty chemical business, which now contributes 30% to the chemical business revenue.

Coming to Building Materials segment, UltraTech continues to grow bigger. The country saw a new capacity addition of 41 million tons during the last financial year, 32% of which has come from UltraTech. For this year, out of planned 16 million tons capacity, we have already added 8.7 million tons in Q1 FY '25, crossing milestone of 150 million tons per annum, reaching a total capacity with the domestic and overseas totaling to 155 million tons per annum. The recent acquisition deal with Kesoram and controlling stake in India Cement would strengthen our position in fragmented South India market. For India Cement, the Board of Directors of

Grasim Industries Limited
August 09, 2024

Page 4 of 18

UltraTech approved purchase of 32.72% equity stake of the promoters and their associates in India Cement limited (ICL). UltraTech had earlier made a financial investment in India Cement to acquire 22.77% equity in June 2024. Post signing of share purchase agreement and obtaining regulatory approval for the purchase of equity stake in ICL, UltraTech will pay ₹3,954 crores at ₹390 per share for by this 32.72% stake in ICL from the promoter and their associates. This has triggered a mandatory open offer at ₹390 per share, which would be done after obtaining all regulatory approvals.

Paints business under brand Birla Opus has started its commercial production at 3 plants in April 2024 and more than 80% range of 145 planned products have been placed in the distribution channels. Trial run production has also started at Chamarajanagar, and commercial pr

products is

expected to commence from Q3 FY '25. Construction at other two plants is progressing as per plans and remains expected to be completed in budgeted sanction project cost. On branding and distribution, I am sure you would have seen our media campaign under 'Make Life Beautiful'. The ad has successfully captured the customers' imagination and it is heartening to see a good response from the entire ecosystem. The first flagship experience centre store in Mumbai, is already operational with our plans to add more such centers in FY '25. Revenue of our B2B e-commerce business, Birla Pivot is gradually ramping up. The current quarterly run rate of revenue is over ₹550 crores with increasing trends in total number of buyers. Private labels are now available across 3 product categories, which is ply, door, and tiles. We are also working on building a retail distribution channel for these private labels along with sales support for better penetration.

In our Financial Services business under Aditya Birla Capital, remains on track of its transformational growth journey. The company has successfully built a franchisee for omnichannel architecture of distribution, delivering steady growth with prudent risk management and focus on return on capital. While the company continues to expand its physical footprint, a total of over 1,500 branches across businesses, the endeavour remains on digital first approach, under this line, Aditya Birla Capital has commercially launched its B2C platform, the Aditya Birla Capital Digital, ABCD, offering over 20 products and services catering to each facet of financing solutions such as payments, loans, insurance, and investments. Total lending portfolio and average assets under management have also surpassed milestones of ₹125,000 crores and ₹5,00,000 crores, respectively, in the current quarter.

In the other businesses, our renewable business has increased the capacity to almost 1 -GW, while in the current quarter and remains on track to double the capacity to 2 -GW by end of this year. The business has strong anchor clientele with Aditya Birla group companies representing 43% of its existing portfolio. During the quarter, textile business profitability was impacted by high input cost in linen business. The retail presence of our textile business is expanding under our branch Linen Club, Cavallo and Soktas.

On the capex front, we continue to focus on growth capex for FY'25 budgeted capital expenditure is over ₹4,500 crores, of which growth capex in new businesses is planned at ₹3,000 crores, which is 66% of the total capital expenditure.

Grasim Industries Limited

August 09, 2024

Page 5 of 18

Now we open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Jai Doshi from Kotak. Please go ahead.

Jai Doshi: I've got a couple of questions on your paints business. One is how has the progress been so far versus your internal expectations? And if you could respond with a few data points or give us some more colour?

Rakshit Hargave: So Jai, this is Rakshit here. Let me take your question. So when we had launched paints in February '24, from Panipat, we had shared a few data points, which we would want to reach by the end of the financial year, and we are in line with all our expectations.

So firstly, from a manufacturing point of view, three plants are commercialized and running steadily. The fourth in Chamarajanagar is under trial production, which was what we had committed. We have been able to place out of the 125 -odd products we talked about, more than 80% is already there in the market. We had talked about reaching 150 depots by the end of the year. We are already beyond 102. We have talked about reaching 50,000 dealers. We are in sync with the plan to hit 50,000 active dealers by the end of the year.

Qualitatively, the reception of our product for a qual

ity has been excellent. Painters and

contractors and the whole ecosystem who have used it, are coming back to use it repeatedly because they not only see a quality differential with what exists in the market. But from a usage criteria also, they find it to be very easy.

We have also been very successful in our initial brand campaign, which we launched along with the start of the Cricket World Cup. So the 'Make Life Beautiful' campaign has garnered till now close to 70 crores Indian eyeballs. And in terms of the feedback that we have from the market, both from contractor painter and consumer queries, it definitely seems to have made a big, big impact.

So all in all, both from the supply side and both from the demand side, we see that we are on track with what we had committed in Panipat.

Jai Doshi: Understood. A follow-up there, if we do some back of the envelope calculation, it looks like June quarter net sales was around ₹80 crores, is that understanding right? Or am I missing something?

Pavan Jain : So, Jay, our actual sales will be more than that. See, large part of sales has been out of the trial run production for the three plants, which would go commercial production started in April '24. So prior to that, some trial production was achieved out of those plants, that sale has gone to CWIP.

Jai Doshi: Understood. Would you be able to call out that number? Or would you like to call out that number?

Rakshit Hargave: So, we will not call out the number, but a major part has gone to CWIP.

Grasim Industries Limited

August 09, 2024

Page 6 of 18

Jai Doshi: Basically, the net sales number that we are looking at after back of the calculation is not an accurate number.

Pavan Jain : Yes, it will not. It is just net of what has gone to CWIP.

Jai Doshi: I understand. Lastly, what is the pushback that you're getting, if any, from the trade? And what steps are you taking to address the gaps, whatever be on the distribution front?

Rakshit Hargave: So, let me first say what is the pull that we are getting from the trade. So, the pull that we are getting from the trade is that many dealers see us as a very strong viable alternative to the existing strong marketplace. They are very confident about the house of Aditya Birla. The quality of the paints has been excellent. So we see large -scale adoption across small, midsize and large deals, which is why I'm able to tell you confidently that of the target of 50,000 dealers that we have said, we are very much on the range.

Secondly, there are many dealers who are very, very interested in dealing with us. And I'm just waiting for some more time because in many markets, the full range of products that they want to commit themselves to do business with us is still a couple of months away, as you would realize. We had promised 1,250 SKUs. We are in that journey, and we have covered a major part. But as you would understand, many paint dealers want to wait for some more time because they don't want to commit to clients if they are not confident that the full range from Birla Opus will be available. But even there, we are making very rapid progress.

So I would want to put it this way. Apart from that, there is no really pushback from dealers. So there are dealers who are saying that we want to deal with you just give us some more time, and then there are many dealers who are adopting us very, very willingly.

Jai Doshi: Sure. Just one last bookkeeping. These 100 depots, what part of the country gets covered with these depots? Essentially, what's your reach today national coverage from a geographic standpoint? And that will be all from my side.

Rakshit Hargave: So in Panipat, we had promised that we will cover 6,000 towns by the end of the financial year. I think we crossed 3,800 as we have disclosed in July itself. So you could imagine that with the 102 depots, which is operational as of July end and

in the last 2 weeks, we actually add another

6 depots, we basically cover literally the whole of India. We are present in all states, every state or every part of India including the North-east has some operational depots. And with more depots, we will only improve the intensity of coverage and end up covering some parts, which at the moment are not being covered. So basically, we are already a pan-India player.

Moderator: The next question is from Rahul Gupta from Morgan Stanley.

Rahul Gupta: So my first question is on B2B business. Can you just help us understand what your strategy is on B2B business in terms of P&L. I know you'll continue to add products and you want to explore or expand in the retail network as well. But last quarter, you said that the monthly run

Grasim Industries Limited

August 09, 2024

Page 7 of 18

rate was around ₹2 billion revenues. This quarter, you have said that the quarterly run rate is around ₹5.5 billion.

Moderator: We seem to have lost the line for Rahul Gupta. The next question is from Ajit Motwani from Dymon Asia. Please go ahead.

Ajit Motwani: Yes. Just like the way you're saying that a large part of the revenues on the paints business has gone to CWIP, would you be able to give us some details on the capitalization of, let's say, the expenses that have, not booked into the P&L?

Pavan Jain: So see, as per the accounting requirements, the expenses for the plants under construction, which are directly related to the construction activities or planning activities. That goes to the capitalization, okay? So as already disclosed, three plants are already commissioned, and

commercial production started. So, for those three plants, everything is going to the P&L. For rest three of the plants, the expenses relating to those three plants under constructions are getting capitalized. I don't think we are disclosing these numbers separately. But this is the I mean, the conceptual answer for this.

Ajit Motwani: Okay. So, if I have understood that correct, whatever the three plants have produced the revenues from there have gone to P&L, the operating expenses have gone to P&L for the three, other three who are doing trial runs, that has gone, the revenue from that has gone to CWIP and the expenses also related to them has been capitalized. Is that a fair understanding?

Pavan Jain: So, for other three plants, this trial run has just commenced at one plant out of the three under construction, okay. So there is hardly any production from that in Chamarajanagar plant. So basically, the three plants, which are still not I mean, commissioned all the expenses relating to those three plants are getting capitalized.

Rakshit Hargave: And I think from a revenue point of view, you see the first 3 plants, Panipat, Ludhiana and Cheyyar, they were capitalized only, at the end of April. So whatever was manufactured from those plants still then, and these plants were manufacturing actually a bit from trial manufacturing was happening in February, March and April. Whatever of that manufacturing has been sold in the market has not come into the net sales, has gone to CWIP.

Ajit Motwani: Only two months of operations, the operational revenue has come from those three plants into the P&L?

Pavan Jain: Yes, in the P&L.

Ajit Motwani: Got it. And let's say, whatever are the launch expenses, let's say, the dealer meets that you would have done, the new campaign which we saw in the World Cup, that is sitting in the P&L or that is also being apportioned?

Pavan Jain: No. No, all that is in P&L.

Ajit Motwani: Okay. So the launch cost, the dealer cost and...

Grasim Industries Limited

August 09, 2024

Page 8 of 18

Pavan Jain: Yes, these are not construction expenses. So therefore, it is going to P&L.

Ajit Motwani: Got it. I know it might be a bit early, but wh

at could be the losses that you will sort of have budgeted for fiscal '25 and that we should look forward to, because what's to be one parameter to judge?

Pavan Jain: See, I don't think we are giving yearly guidance of the loss, et c. But see, as the production is ramping up, our marketing and brand building activities are ramping up. We will have these losses continuing for this year.

Rakshit Hargave: So we are in investment mode. And like we said, we are looking at a three-year picture, where after the third year of full operation, we will be positive. So I think that's what we should continuously aim for. And as I answered in the first question, all the KPIs and checkpoints that we had looked at after four months, we are running online. I think we are in an investment mode, which is obviously acknowledged at the moment.

Moderator: The next question is from Rahul Gupta from Morgan Stanley.

Rahul Gupta: I have just one question. I know you have talked about your strategy around B2B business. But can you just help us understand how should we look at this business from a revenue and profitability perspective over the next few quarters and maybe next couple of years? I mean, I remember you talked about around ₹200 crores monthly revenue run rate last quarter, which in this quarter, you have talked about around ₹550 crores per quarter. So I just want to understand how you are looking at this business. It helps us model better.

Sandeep Komaravally: Rahul, this is Sandeep here. Thank you for the question. So as we mentioned during the last quarter results and even this quarter, our revenue growth continues to be in line with what we had expected. Our aspiration that we had announced in the last quarter was to reach \$1 billion in three years' time span. Our internal markets are pointing towards that, and we are in the right direction in achieving that goal. And as we scale up, of course, our profitability will also be in line with that, and we will aim to achieve profitability at that scale. So far, we are focused on increasing our geographical reach and also our number of customers who are transacting on the platform across different categories. And we are well on our way to become like the one-stop for all categories within construction and building material. So that's the goal.

Rahul Gupta: That's great. Can you just help us understand what kind of losses you would be making in this business right now?

Pavan Jain: These are not very large numbers. You see, the gross margins, as we have earlier said, will be in the range of about 1.5% to 4% in different product categories, okay. So that is the situation as far as gross margins are concerned. But yes, since the team building, and the business investment activity is going on so initially, there are losses, not very large numbers to be I mean, discussed

to you.

Grasim Industries Limited
August 09, 2024

Page 9 of 18

Sandeep Komaravelly : Yes. Look, and as a business, this is not a capex-heavy business. So our primary investment is predominantly in building the team, building the technology platform and increasing our reach. Those are the activities that we are currently focused on. And given that it's a thin margin business, our focus will continue to be scale above revenue. But we are also aware that it will take time for us to sort of enter profitability. But as Pavan has mentioned, these losses are not very big.

Rahul Gupta: Great. Great. I have just one final question. I know you are looking to scale up your renewable business. Any idea over here, whether you will call out other different business or are you looking for any additional investment? How should we look at this business from a 2, 3, 4 years perspective?

Pavan Jain: So, I think we have earlier also shared this that firstly, we aim to double the capacity by this financial year, okay? And the projects are already under i

mplementation. So from 1 -GW to 2-

GW in this financial year, and then our aim is to add maybe 1 -gigawatt every year for next 2, 3 years, depending upon the tenders or the bids, which we can successfully bid for. That is the idea. And as of now, there's no I mean, nothing on table to take this business out, etc. It is already housed in a subsidiary company of Grasim, which is a wholly owned subsidiary currently.

Moderator: The next question is from Nirav Jimudia from Anvil Research.

Nirav Jimudia: I have 2 questions on chemicals. So one on the hydrogen part of our business. So, let's say, whatever hydrogen that we produce from our caustic plant after using it captively for the flake r, or how much we are currently selling in the market? And does it form a part of our ECU calculation?

Jayant Dhobley : So, thank s, Nirav for the question. So of course, we have multiple uses of hydrogen, right? And as you correctly said, we use it captively, we sell it, but also a certain amount of process venting is required to maintain the stability of the plant. I think you can roughly assume that approximately 10% to a quarter of our hydrogen is towards external sales. And rest is towards either captive consumption or maintaining process stability.

Nirav Jimudia: Got it. And sir, once we expand our caustic capacity, you have some surplus hydrogen also available with us. So are we planning any downstream products of hydrogen, which we are not having currently. So any thoughts on that?

Jayant Dhobley : Yes. So in the medium term, the answer to your question is, yes, we are looking at hydrogen derivatives. But as you know, the chemical industry very well. Our priority right now is chlorine derivatives, mainly because for hydrogen, we do have opportunity to do both sales at good price as well as use it internally for our energy. So it's not off the table, between hydrogen derivatives and chlorine derivatives, our priority is chlorine derivatives.

Grasim Industries Limited
August 09, 2024

Page 10 of 18

Nirav Jimudia: Got it. So my second question is on the chlorine derivatives only. Sir, last quarter, you mentioned that our chlorine was revenue something close to around ₹3.5 to ₹4 negative in the overall ECU .

So how has those chlorine prices moved this quarter?

Jayant Dhobley : Yes. So this quarter, it kind of remains at that level, but under pressure. And as you know, our competitor has recently added capacity. So that has put a lot of extra chlorine on the market. So, the ₹3,500 assumption is roughly correct, but with downward pressure.

Nirav Jimudia: Got it. And when we analyse our VAPs . So, if you can help us like given our VAPs portfolio in terms of the user industries between, let's say, agro PVC, water treatment and the industrial side, how are volumes of chlorine moves around this user segments?

Jayant Dhobley : So I'll give you a rough assumption breakout, right? So assume around 40% for water treatment. Between 30%, 35% for what we would call the industrial users. We have about a quarter in plasticizers and PVC additives. And then maybe close to 10%, 15% in really speciality things like refrigerants, pharma, agrochemicals.

Nirav Jimudia: Got it. Sir, last bit from my side is , so we have seen some of the downstream VAPs. The prices have been improved specifically on the CMS side of the business. So one, we have seen an improvement in our EBITDA this quarter from ₹195 to ₹310. If you can just help us breakdown

between, let's say, how much we have seen improvement in our VAP side of the business sequentially? And was something being contributed also by the epoxy side where our volumes have further gone up this quarter over and above what we have clocked in last quarter?

Jayant Dhobley : So, both of our chlorine derivative portfolio and epoxy portfolio have grown and contributed. But as you must have noticed from our results, we had a plant turnaround

in the fourth quarter.

We were hooking up some new electrical items. We were doing a lot of overdue maintenance. And that turnaround basically took, let us say, about 18 days of effective capacity away and that is the part that was subtracted. So that should help you kind of figure out the main gap from what you would see, let's say, if we did not have the turnaround, this would be our eighth consecutive quarter of volume growth. You did not see it this time because of that plant turnaround and that was in Vilayat, it was about let's say, 10 days around .

Nirav Jimudia: Got it. Sir combining liquid and the power cost benefits what you accrued, is it safe to assume that 75% to 80% of this improved profitability that it is just because of the caustic business?

Jayant Dhobley : No. The improvement has been in all 3 categories, it's been in caustic, but it has also been an epoxy as well as chlorine.

Moderator: The next question is from Abneesh Roy from Nuvama.

Abneesh Roy: My first question is on your initial remarks on paints business. So this question is to the Birla Opus team, you mentioned that there is a CWIP component. So my specific question is, given you will have 3 more factories which will keep coming up, til the Q 4, will the CWIP component continue to be there in Q2, Q3, Q4, that is the first clarification I wanted?

Grasim Industries Limited
August 09, 2024

Page 11 of 18

Second is your factories are world -class, extremely large, extremely modern. So when you mentioned that the full breadth for the products haven't reached some of the dealers, what do you mean by that? Because paints logistics is fairly quick, and your demand is much lower than the current capacity. So why the products have not reached fully to the dealers. Could you explain these two?

Himanshu Kapania: I'll just speak up. I'll just take up the CWIP and then give it back to Rakshit to talk about the range of products. I think and just for clarity, in month of February, we've announced the production -- the trial run started in 3 factories. On 30th April, we went into commercial production. The total quantity that was produced between February to 30th of April was material available for sales in the month of April, May, June. And that is the number that is happening. The same will continue to happen for whichever new factory comes up, during trial production, every trial production period is going to be 3 to 4 months. We have to make sure the , we are satisfied, when we send out in the marketplace and we have to get the whole , all the elements of the machinery and product ready, that's why they will be for every factory about 3 to 4 months of trial production. So I hope that will clarify sort of CWIP.

Abneesh Roy: No, it doesn't. So does it mean that Q3, Q4 and Q2 will have the impact. I understood you said 3 to 4 months before the launch, there is the testing of the products. But could you clarify that all 3 quarters will have this issue ?

Himanshu Kapania: Step by step. Every plant, which is launched will have a 3 -month period of trial production average. I'm just giving average. So that is the only number that we have to see. So the three plants, which were 30th of April that was announced, most of their production, which has happened after 30th of April are on commercial production, their sale has already started to take place in quarter 2 and quarter 3. Chamarajanagar production, which is currently in trial, their sales will continue to be part of the CWIP.

Rakshit Hargave: So just to add, for every factory before it is commercialized, whatever is manufactured in the factory and sold in the market, we will not be booking that revenue that will keep on going into CWIP. Henceforth, what you will see every quarter because we have Chamarajanagar, we have Mahad and we have Kharagpur, when they start manufacturing through this financial year, part of their product

on will keep on getting into CWIP. So effectively, you will not be seeing the full turnover, which is actually sold in the market. Am I clear on that?

Abneesh Roy: So the only request, given we want to ensure we understand this business better. My only request is in the coming quarters, if you could clarify what is the CWIP because you would then continue to struggle what exactly is the performance? Because this quarter, Q1, it seems that they also suggested and my own math suggests, it is around ₹80 crores, ₹90 crores. But if we don't know the CWIP number, how can any sell side or buy side understand what is the total number? So it's my humble request to give that clarification in the coming quarters also, if possible.

Abneesh Roy: Sure. If you could address the second part.

Rakshit Hargave: Yes. So on the second part, let me be very clear. All the depots where we are, we are able to serve the dealer within 4 hours or the next day depending on the protocol, which the market leader and the other competitors have. What we meant that we don't have the full range is that we talked about 125 products to begin with. They come with a large number of formulations. And as you would understand that when you start manufacturing in a factory, there is a changeover, and we also want to give all SKUs to all part of India. We have already really manufactured more than 80% of those products, which are potentially capable of fulfilling more than 92%, 93% of the market's turnover. So, the products which are left are the small -- the lesser selling fringe, the C class, or the D class, if you use the Pareto classification, which are only left, which will also be covered. So, we have manufactured the bulk of the important products which make the market, which are already there in the depots, and which are effectively being ordered by dealers. Does that clear the answer?

Abneesh Roy: Yes. That's quite useful. My second and last question is on the mass media campaign. So, your advertisement was quite differentiated, and most people definitely like the use of the cartoon and overall, I think a very pleasant ad and very good visibility during the Cricket World Cup. My question is in terms of campaigns going ahead, if you could tell us, did you also target, say, Olympics, for example, what are the other the DCs, which you are targeting currently is the regional DCs, the Hindi DCs and what will be the plan in terms of brand ambassador. I'm not asking for specifics because a lot of these will evolve based on competition, based on your own target. But some clarity if you can give till know what has happened into the mass media and what's the plan on brand ambassador?

Rakshit Hargave: So let me first tell you what has already happened. So we are still on television with the brand campaign, which is Make Life Beautiful. We have done national outdoors. We are there on radio, we are there on social media. So basically, the first part of our campaign is what is Birla Opus. So, you could see that Birla Opus is in paints, and we have come with a differentiated way of communicating, our feedback is that consumers are 100% able to connect the brand Birla Opus, the fact that is in paints, because there used to be a lot of misattributions because all the other paint companies advertise in a similar manner. So, people were confused whether it is from brand A or brand B. Our current campaign has been present in all regional languages, in all the major regional languages on all regional channels. We are a pan-India player, in the future, we will continue to have campaigns, which will also be of a slightly different type, but we will keep on addressing the whole of India, which means we will always come with language translations, and we will be there on all media, including press, including print, including social media. In

terms of final strategies or what am I going to communicate for that, you will have to wait and watch. But as you can see that we have a very effective way, at least in the first campaign, and we hope to continue that tradition.

Abneesh Roy: Sure. Nothing on brand ambassador, right?

Rakshit Hargave: No. Everybody asked about brand ambassador. But like I said, you have to just keep watching what happens. And I think the animation was done very well and thank you for that feedback.

Moderator: Next question is from Prateek Kumar from Jefferies.

Prateek Kumar: Yes, couple of questions, Paints segment. So is there a way to identify or do you learn like how is the retail acceptance while you are pushing volumes to dealers? How are customers, let's say, buying a product? Because you've talked about tinting machine being able to track your businesses, how it has been sold. So, do we learn that? Also, a question on like these ₹80 crores maybe which have been discussed. So how is the exit like, let's say, the number for June and maybe shall we look at like ₹80 crore into three, kind of number, for second quarter and just in terms of direction for the paints business?

Rakshit Hargave: Okay. So let me repeat on the second question. Like we said that ₹80 crores that has been booked for the quarter is only a part of the actual sale that we have done. And like Pavan said, we will consider what to disclose, say, from next quarter onwards, we'll discuss it within ourselves. But

it's only a part of the sale that we have done. The obvious part is that the real retail sales is much more.

Your first question in terms of obviously, dealer acceptance is good, and people are buying in. We have also been continuously doing our retail audits and basis the information that we have from the tinting machine and what is selling off, and we are very happy that the sellout rate from the dealers is exceptional. So, our retail audit of stores where we have gone and seen stocks sold till date and taken inventory of stocks lying in the store, suggest that the inventory lying in the store is a small part of what we have sold till now, which means majority of it has been sold out. Also, like we said, we have a unique tinting machine where online, I can see what is being tinted by the dealers. I now am getting access to a lot of insightful information about what product is being based, how much is being tinted, which is probably not there with any other player, which is giving me more idea of what is selling out, which is also going to help me in the near future in doing my demand plan, is what I would like to put. So we are very happy with the offtake of Birla Opus from the retail stores.

Prateek Kumar: My other question is on like your depreciation interest has hardly changed on a quarter -to-quarter basis despite capitalization of the three plants. How is this the run rate, which we should expect for, like for the next couple of quarters also? Or is it like major portion is not getting factored here?

Pavan Jain: So, interest depreciation is in the addition is only for three plants and only for two months, okay, to P&L. So that is the only difference. And I mean, as we capitalize more plants going forward, then this will go up.

Prateek Kumar: Okay. And last question on your VSF segment. Are we looking at expansion because we are operating at, I think, very high utilization, any growth capex in that business like once now we preclude our capex in this year?

Grasim Industries Limited
August 09, 2024

Page 14 of 18

Harikrishna Agarwal : Yes. We are studying different options. And for the time being, we are trying to maximize production from our existing hardware. And there are some opportunities we will exploit. And definitely, we are studying the next phase of our growth.

Moderator: Next

question is from Raashi Chopra from Citigroup.

Raashi Chopra: Just a couple of bookkeeping questions as well as on your outlook for both the VSF and the Chemicals business before I ask the others from you?

Harikrishna Agarwal: Outlook for VSF and Chemicals. So on the VSF business, is a cyclical business, textile demand, like we start with the retail. As we all know, retail sales has not been very great in India so far. We all hope that this coming festival season and wedding season will boost the retail sales. Even in the West, people are expecting interest rate cut, and that should also improve the consumer sentiment.

Having said that, there is just a rotation among the fibres. So for the time being, VSF is being preferred over cotton and polyester in the textile industry. So that is helping the VSF consumption. And we expect it to be the case for some time to come. Raw material prices are mixed, some items are increasing, some prices are stable, and some prices are decreasing. So overall, it's more or less stable with slight increase tendency. So we hope that the outlook will be stable.

Raashi Chopra: Okay. So you're expecting margins to remain at this level?

Harikrishna Agarwal: Range bound, that is what the best assessment.

Raashi Chopra: Okay. And your domestic prices, sorry, where global prices were up sequentially domestic prices during this quarter, were they also up?

Harikrishna Agarwal: Yes. In line with the international prices.

Raashi Chopra: Okay. Got it. And Chemicals?

Jayant Dhobley: Yes. Jayant here to speak about Chemicals, outlook is always a difficult one to predict, right?

So anything I say, please take with a pinch of salt. But you will recall that I think in the last quarter, I had indicated that we were potentially seeing a bottoming out of caustic prices, given that some of the players globally were at marginal costing. That has played out. So caustic prices could have improved a bit. So Chinese domestic consumer demand is not getting worse. The government is trying hard to get that picked up. So I do maintain a mildly positive outlook. And the key word here is mildly positive, not a sudden change on caustic price.

Chlorine is a somewhat different story because chlorine is more domestic. As you know, one of our competitors have guided significant capacity in Gujarat, without an integration. So chlorine for sure is under downward pressure. So, ECU could be flat to slightly rise.

Then if you look at chlorine derivatives, the outlook is slightly favourable mainly because you see a pickup in the global chemical industry, whether it is agrochemical, whether it is pharma. But again, a lot of it depends on what happens in China. That's the difficult part of this puzzle.

In our specialty chemicals, epoxy business, volume growth will continue to remain strong. We see good favourable tailwinds in all sectors where epoxy is used. Of course, we battle topics like free trade agreements with other countries, inverted duty structures, etc. which puts a limit on our margins, but we do expect that there will be stronger volume growth. So, I would say that I'm cautiously optimistic on chemicals as a sector. With the disclaimer that a lot will depend upon what happens with the Chinese consumer and nothing funny should happen either in the global supply chain because of the crises in the Middle East.

Raashi Chopra: Okay. That's very helpful. And just one last bookkeeping question. On the paints, remaining two plants, what are the time lines?

Pavan Jain: Remaining, which time line, Raashi?

Raashi Chopra: The Mahad, on the Paints segment, Mahad and Kharagpur plants, what are the timelines for those two?

Pavan Jain: So Mahad and Kharagpur will be in somewhere in Q3 and Q4. So first Mahad in Q3 and then in Q4, the Kharagpur plant. Chamarajanagar has a

already commenced trial run production. So I think in Q3, we should be capitalizing that.

Raashi Chopra: Got it. And you're still maintaining the high single-digit market share exit target, right, for FY '25?

Rakshit Hargave: Yes.

Moderator: Next question is from Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Yes. Sir, just to clarify, since you mentioned, and this is regarding paints that you said revenues are not fully representative because of the CWIP in trial run production going into CWIP. But again, the back of the envelope calculation for the EBITDA losses, and I believe, including B2B e-commerce, it comes to roughly around ₹296 crores. And as you said, B2B commerce need not be a very large portion so hence, I assume that a significant portion of this ₹296 crores is related to paints, anywhere between ₹250 crores to ₹290 crores, some number between that. So I just wanted to clarify if that is fully representative of the sales that has happened and not the revenue? Just to understand that how should one look at losses also in the same way.

Pavan Jain: So yes, Navin, see the expenses don't represent fully the revenue because of the large marketing-related activities going on, lots of dealer meets across country, the branding campaign, etc. So that is the kind of investment. It will not match with the revenue for the quarter. So that part is, yes, I think you are right. And roughly what numbers you are saying, possibly yes, those will be

the kind of broad numbers. But yes, I mean, the Building Materials segment includes, as we have already explained, are Cement, B2B Ecommerce, and paints.

Navin Sahadeo: So, what I meant is if so the way to look at it is revenue is not fully represented correctly. But the expenses related to that is represented. Is that correct?

Pavan Jain: Yes. That is correct. So, revenue, as part of revenue has gone to the CWIP.

Navin Sahadeo: And the losses related to those CWIP revenues, I mean. Are they included in the ₹296 crores or not?

Pavan Jain: No. So, Navin, see what has got capitalized is only the plant construction related expenses. So, all other expenses are coming to P&L.

Himanshu Kapania: So, let me just help you. Our large expense is, as Pavan clarified to be able to do activity at the dealer level and the consumer level and contractor level. All those expenses have been part of the P&L element. As far as plants are concerned, from an operating level, their expenses are small and that small expenses have been put into CWIP, that's a very small component of the large expense of the ratio.

Harikrishna Agarwal: So, if there is any loss or profit that goes to CWIP.

Himanshu Kapania: Yes. That is CWIP.

Harikrishna Agarwal: Navin, is that your question?

Navin Sahadeo: Yes. That's helpful. Sir, my second question was around the working capital and the net debt part of it. So, for the paints business, you have already spent ₹7,800 odd crores and balance between the , difference between the ₹10,000 odd crores, which is to be spent this year. So this is entirely excluding the working capital, right? As in ₹10,000 crores is the capex that we were looking at only from a gross block and the other support system for the paint business. It does not include the working capital number. Is that right?

Pavan Jain: Yes. Navin. So, ₹10,139 crores , I think is the number is the capex only, which, of course, includes the IDC, the tinting machines, the IT system, everything. Working capital is not included. Okay.

Navin Sahadeo: Understood. So, your sequentially, the net debt has gone up by roughly ₹330 crores . So, I'm just trying to understand this because previous quarter, we were a little under ₹6,000 crores . And this in Q1, we have already spent close to ₹1,000 crores , right? And operations Q1 did not generate much cash as suc

h. And then the working capital requirements for the businesses that we have , I mean, for the paints and all. So just wanted to understand that how should one look at because the increase quarter -on-quarter in the net debt is much lesser than what could have ideally happened. Is there anything that I'm missing, only the clarification?

Grasim Industries Limited
August 09, 2024

Page 17 of 18

Pavan Jain: Yes. So, working capital management of our existing business has been able to generate some cash flows. So that has, I mean, led to the lower bad debt increases, okay? So, in this quarter, Q1 specifically, our operating cash flows are much higher than the EBITDA for the quarter because of the working capital management. Of course, that is not a permanent kind of thing. It will get reversed in the Q2. But that is the, I mean , short answer for that.

Moderator: Next question is from Rishi Mody from Marcellus Investment Managers.

Rishi Mody: Yes. So sorry if I missed this, but what amount of revenue in the Paints business has gone into CWIP in this quarter?

Rakshit Hargave: So I think this is the third time this question is being asked. So we'll say that majority has gone into CWIP.

Rishi Mody: Okay. So, it would be to the tune of ₹100 crores in CWIP?

Rakshit Hargave: I'm just saying majority.

Rishi Mody: Okay. And so on the sales incentive front, right, on the incentives for the dealer, the contractor, the painter, if you could just give some qualitative comments on how we are differentiating ourselves against the market leaders, be it Asian or Berger, if you could just give us an idea there?

Rakshit Hargave: So we are doing many things which are similar to the market, but also different from the market. So we have a very attractive franchisee proposition for large dealers and many dealers have adopted and many of our stores are coming up.

In terms of the way we look at putting the tinting machine as you would know, we had distributed a large number of tinting machines. The dealers are very happy with that package. In terms of what we are doing with contractors, both in terms of intensive training, the kind of training which we are getting from us for the first time, the app and the commercial benefits of scanning and rewards program is very unique. I don't think any other paint company in the market has as many tokens and coupons on all sizes of packs that we have given, which is the first time in the market and the market really likes it. So there are many things which we have done, both at the dealer level and at the contractor, painter, influencer level. To give you an example, nobody is giving token for painters on solvent products like enamels. We are giving it, and painters are very happy. So as you would find from your own research in the market, there are things which we have done, which are very different, and there is good appreciation.

Also, I'm not even talking about product features, but we have product features and there are several communications developed for contractors and painters, which you might have got access to because all of them have on their phones. There are product features also which are unique. There are - whether it is coverage, whether it is hiding, whether it is scuffing and the market, including contractors and dealers have appreciated very much.

Grasim Industries Limited
August 09, 2024

Page 18 of 18

There are some features which are purely for the benefit of painters and contractors also , in terms

of spatter, in terms of less dirty, which painters and contractors say actually, they are saving half an hour every day, which they have to spend on other brands by simply they don't have to clean up because Birla paint does not spatter . So I'm just giving you certain examples of how there are multiple differentiators at the contractor painter and trade level, which is actually finding a lot of

resonance.

Moderator: Thank you very much. Due to time constraints, we'll take that as the last question. On behalf of Grasim Industries, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Pavan Jain: Thank you.

Call: Nov 2024

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Ref No. GIL/CFD/SEC/25/262/SE 19th November 2024

BSE Limited
Scrip Code: 500300 / 890190
National Stock Exchange of India Limited
Symbol: GRASIM / GRASIMPP1

Dear Sir/Madam ,

Sub: Transcript of Conference Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30th September 2024

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Earnings Conference Call held on 15th November 2024 on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30th September 2024 and is available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q2fy25.pdf>

Thanking you ,

Yours sincerely,
For Grasim Industries Limited

Sailesh Kumar Daga
Company Secretary and Compliance Officer
FCS - 4164

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Page 1 of 15

“Grasim Industries Limited
Q2 FY '25 Earnings Conference Call ”
November 15, 2024

MANAGEMENT : MR. HARIKRISHNA AGARWAL - MANAGING DIRECTOR
MR. PAVAN JAIN - CHIEF FINANCIAL OFFICER

MR. JAYANT DHOBLEY - BUSINESS HEAD, CHEMICALS ,
FASHION YARN AND INSULATOR
MR. HIMANSHU KAPANIA - BUSINESS HEAD, BIRLA OPUS
MR. RAKSHIT HARGAVE - CEO, BIRLA OPUS
MR. SANDEEP KOMARAVELLY - CEO, BIRLA PIVOT

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Grasim Industries Limited
November 15, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to Grasim Industries Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit, Head, Investor Relations. Thank you, and over to you, sir.

Ankit Panchmatia: Yes. Thank you, Sejal. Good morning and thank you all for joining this call to discuss our second quarter financial year 2025 performance. The financial statements, press release and presentation are uploaded on the exchanges and on our website. Our management team is present on this call to discuss our results and business performance. To introduce them, we have with us Mr. Hari Krishna Agarwal , Managing Director and Mr. Pavan Jain, Chief Financial Officer Grasim Industries. Also joining with us on this call are Mr. Jayant Dhobley, Business Head of Chemicals, Fashion Yarn & Insulator business , Mr. Himanshu Kapania, Business Head and Mr. Rakshit Hargave, CEO of our Paints business, Birla Opus. We also have with us Mr. Sandeep Komaravelly , CEO of Birla Pivot, our B2B e-commerce business. For Safe Harbor , kindly refer to our cautionary statement highlighted in the last slide of our presentation. Let me now hand over the call to Mr. Pavan Jain for his opening remarks, post which we will open the call for Q&A. Over to you, Sir.

Pavan Jain: Thank you, Ankit, and good morning, everyone. We welcome you to the Grasim Industries earnings call for the quarter ended 30th September '24. At the outset, Aditya Birla Group and Grasim family wishes each one of you and your families a very happy Diwali and prosperous New Year, Vikram Samvat 2081. Let me start with the macro commentary, and then I will talk about the business environment and performance for the quarter ended 30th September '24. The year 2024 is witnessing increasing complexities around geopolitical environment and supply chain diversification. These complexities are creating growth imbalance around the world economies. Talking about major economies, the recently concluded election results in the U.S., are likely to put focus on growth, inflation, and interest rates. After surprise 50 basis points rate cut delivered in September '24 by Fed, it further lowered its benchmark overnight borrowing rate by 25 basis points in November. This brings down the target range from 5.25 to 5.5 in September '24 to now 4.5 to 4.75. The rate cut was on the back of stronger than expected data , on labor inflation, retail sales, consumer sentiment and the GDP growth. The U.S. GDP growth continues to grow over 2% for the last 8 quarters, in line with the September projections of Summary of Economic Projections released by the Fed.

Moving on to the emerging markets, China announced a 5 -year package of US \$1.4 trillion as economic support. However, the nominal GDP growth rate continues to remain impacted by the country's focus on stabilizing its real estate market, prevent financial risks and prioritize industry

development. Coming to India, multiple domestic growth indicators have shown signs of easing in recent months. The rural consumption momentum appears to have convincingly taken over the urban consumption on the back of better farm activity led by the normal monsoon. While the

Grasim Industries Limited
November 15, 2024

Page 3 of 15

IIP has recovered in September '24, India's inflation has touched 6.2% in October '24, which is highest in 14 months and average FY '25 inflation now reading at 4.8%, 4.9%. These are higher compared to RBI FY '25 inflation expectations

of 4.5%.

Coming to our company, presence across key themes of growing Indian economy, driving diverse opportunities remains the key pillar for delivering consistent growth at Grasim. Talking about our financial performance for the quarter. Consolidated revenue grew by 11 % Y-o-Y to ₹33,563 crores, posting 16th consecutive quarter of Y-o-Y revenue growth, which highlights Grasim's consistent journey of growth, innovation, and leadership. The stand-alone revenue for the quarter stood highest ever at ₹7,623 crores. Consolidated EBITDA stood at ₹4,042 crores, which is lower by 10% Y-o-Y mainly due to lower profitability in cement business and initial investments in building Birla Opus, a leading brand in the Indian decorative paints market. Talking about segmental performance, let me start with the building materials. UltraTech continues to outperform the industry growth rate. The company has added grey cement capacity of 9.9 million tons till October '24 in the current financial year and plans to further add 6.3 million tons, taking the total grey cement capacity to 162.4 million tons per annum by FY '25. And of course, this does not include the Kesoram and India Cement capacity as the acquisition process is underway, awaiting regulatory approvals. The company remains on track to achieve grey cement capacity of over 200 million tons per annum by financial year 2027. While there was demand slowdown due to elections, intense heat conditions and then longer duration of monsoon in most parts of the country, realization also declined this quarter. Such interim slowdowns do not impact the long-term growth hypothesis, and we remain confident that UltraTech remains poised to ride on India's growing demand for infrastructure and urbanization. Our Paints business under brand Birla Opus continues to perform in line with our expectations. The utilization levels are ramping up month-on-month at three plants commissioned in Q1, namely Ludhiana, Panipat and Cheyyar. We have also started trial runs at 2 more plants at Chamarajanagar in Karnataka and Mahad in Maharashtra. Our sixth plant at Kharagpur in West Bengal is expected to go live in Q4 FY '25. After a successful launch of first advertisement campaign of "Duniya ko Rang Do", which established brand Birla Opus in consumers' minds, we have now launched second campaign, "Naye Zamane Ka Naya Paint". This ad campaign focuses on superior quality of Birla Opus products across interior, exterior, and waterproofing categories. The geographic reach and the dealer onboarding activities are as per plan, and we are on track to exit this year with high single-digit market share in the Indian decorative paints market.

Revenue of our B2B e-commerce business, Birla Pivot is gradually ramping up and remains on track to achieve \$1 billion revenue in 3 years' timeframe as announced in FY '24. The business has expanded its pan-India reach to over 375 cities across 26 states and union territories. Moreover, our offerings are expanded to 35 product categories, comprising of 40,000 SKUs sourced from 300-plus Indian and international brands. The business is continuously improving the journey of digitalization by launching multiple tools for buyers and sellers and building a completely digital B2B ecosystem.

Grasim Industries Limited
November 15, 2024

Page 4 of 15

As regards to revenue data of both these new growth businesses, you will please appreciate the industry landscape wherein we are the new entrant. You will please also appreciate that we are well known for sharing all relevant details at the appropriate time.

Coming to Cellulosic Fibres business division, we have seen improving trends globally in demand for cellulosic fibres due to inventory normalization and better sustainability credentials. Stable demand scenario globally has led to Y-o-Y improvement in China CSF prices by 6% in Q2 FY '25. Furthermore,

in China markets, the inventory levels have come down to 8 days in this quarter from 12 days in Q2 of last year. Domestic realizations improved on back of the

increase in international prices. CSF business achieved highest ever quarterly sales volume of 219,000 tons in this quarter. CFY business remains impacted due to low price imports from China, though the demand marginally improved on the back of festival time in India. Moving on to Chemicals. CFR - Southeast Asia caustic prices marked fifth consecutive quarter of improvement. Domestic prices of caustic also showed improvement during the quarter. However, ECU is lower due to oversupply of chlorine, leading to higher negative realization. Our caustic soda sales volume was lower by 4% Y-o-Y, mainly due to maintenance shutdown of captive power plant at our largest integrated facility at Vilayat. Chemicals business EBITDA for Q2 FY '25 was up 16% Y-o-Y, mainly led by chlorine derivatives and specialty chemicals. Financial Services business recorded robust performance across different businesses with NBFC segment reporting revenue growth of 19% and Housing Finance and Life Insurance segment reporting revenue growth of 42% each on a Y-o-Y basis. The company's omnichannel architecture provides customers flexibility to choose their preferred mode of interaction across digital platform, branches and onshore relationship managers. The business D2C platform, ABCD, Aditya Birla Capital Digital, which went live in April '24, offers 22 product categories and has more than 2.5 million app customers. Total lending portfolio and average asset under management stood at nearly ₹1,38,000 crores and ₹5,64,000 crores, respectively, in the current quarter. We wish to also inform that the proposed amalgamation of Aditya Birla Finance with Aditya Birla Capital, which is announced in March '24 has received no objection from RBI. The amalgamation scheme now awaits its approval from NCLT Ahmedabad and is expected to be completed in the next 6 months.

In other businesses, during the quarter, our Textiles business profitability was impacted by high input costs in linen business. The business reported EBITDA loss of ₹17 crores. The renewable business capacity has surpassed milestone of 1 gigawatt. With the projects under implementation, renewable capacity is expected to reach 2 gigawatts in the current financial year. The business had strong anchor clientele with Aditya Birla Group companies representing 42% of the existing customer portfolio.

On the capex front, the Board has approved additional capex for current financial year of ₹138 crores, of which ₹118 crores is for the capacity increase at pulp plant at Harihar and ₹20 crores is for normal modernization at textile plants. For FY '25, the revised capex is ₹4,700 crores, of which growth capex in new businesses is about ₹3,000 crores, which is about 64% of the total capex.

Grasim Industries Limited
November 15, 2024

Page 5 of 15

As you are aware, we had announced raising ₹4,000 crores via rights issue in October '23, which experienced an overwhelming response with subscription of nearly 2x. Out of this, ₹2,000 crores is already raised, and now the Board has approved for second and final call raising balance ₹2,000 crores. The record date has been fixed on 13th December '24.

On the sustainability front, we are happy to share that our global ESG score from DJSI stands at its highest ever level of 71 with a significant improvement of 5 points, and it brings us among the top 13% of the companies in the industry globally.

We can now move on to Q&A. I request the Moderator: to open the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mihir Shah from Nomura.

Mihir Shah: Rakshit, first question actually is on the Paints division. If you can give any insights on which regions

are doing well for you and contributing to higher sales given that you already have a Pan-India presence across depots. Are all regions receiving a full range of products? So that's the first question. A subpart to that is on the tinting machines, say, if a dealer has already 2 tinting machines, are they keeping yours as a third one? Or are you seeing any replacement happening there? Or are these completely new or small dealers who just have 1 tinting machine or no tinting machines? That's the first question.

Rakshit Hargave: Okay. So thank you, Mihir. Let me answer the first question first. So yes, we are now present pan-India in all the regions. But as you would know, we first started with the North and South, and the Eastern region was the last where we entered with our products. So, in terms of the Eastern region is maybe a couple of months behind. But what we can tell you from the trends of the last 3 or 4 months is that more or less, all the regions are performing very well, and they are all more or less in line. See, we are adding distribution growth, which is happening symmetrically across all the regions, which is also getting us growth. So I think it is very early for us to say if a particular region is outperforming any other region. There are small gaps here and there, but by large, we are happy with the progress across India. In terms of tinting machines, like we said, we had a very aggressive plan to place a very large number of tinting machines,

and we are actually absolutely in line with the plan, maybe even a bit ahead. What I can tell you is that all the dealers who have taken our machines, in many places, they have taken our machines as the second or third machine also. In some situations, they have removed a competition machine or put it in the backyard and using our machine more, because we also have information about our machine usability because we are using a technology for the first time in the paint industry which gives us live information of tinting. So we are very happy that the large number of tinting machines that we have placed has made their place permanent in all these dealers.

Mihir Shah: Got it. Secondly, if you can talk a bit on the third-party certification that you spoke about, Can you give a little more insight on what that statement really means? And what is the third-party certification?

Grasim Industries Limited
November 15, 2024

Page 6 of 15

Rakshit Hargave: So, you see, we have launched a lot of products, and we were very confident about the product quality that they have superior performance. So, we have gone ahead and tested some of our products with NABL-certified labs, one of the labs is GVM, which has given us the certification of performance, which also allows us to make some claims and support them.

Moderator: The next question is from the line of Manoj Menon from ICICI Securities.

Manoj Menon: Just a couple of clarifications on the paints business. One, Rakshit and team, if you could comment about some numbers in terms of primary, secondary revenue, let's say, collection efficiency, some of those operating metrics, please?

Rakshit Hargave: So, Manoj, while Pavan said that we will share the financial numbers at the appropriate time, what I can tell you is that our operations are running very efficiently. We also measure sellout from dealers. So, sellout measuring unlike the FMCG industry is a bit challenging because the paint industry works in a different way. But we have 2 mechanisms: one is through our track and trace when a contractor scans, we know from which dealer has it comes, so we are able to project the sellout. Secondly, we are also doing audits of a large number of stores and working backwards on the inventory line in the dealer. So, what I can tell you is that our sellout is very high. At any given time, none of our dealers is holding more than a certain couple of weeks or 3 weeks

of stock. So, we are very confident that more than 55% - 70% of stock is already sold out. Also, you would know that we have tinting machine, which synchronize live. So, we have actual information across a very large number of stores how much product is being tinted, which also gives us an idea of what is being sold out. Also, from a collection efficiency point of view, we are very happy. See, we are adding a lot of dealers month-on-month. And the cycle of payment from the dealers is pretty consistent, and we don't see any outstanding lying in the market, which is of any concern. In fact, it is quite healthy and maybe better than the market now.

Manoj Menon: That's very glad to hear. Second, the 2 sub-questions here, and that's the last one. One, in an industry where there is no MRP concept, right? It's only dealer-operated prices. I mean, okay, I'm thinking about the dealer profitability in the context of you actually going wide or, let's say, the ability of the dealer to retain all the margins. Isn't it reduced because there is always a competing dealer nearby? Second, sub-question here is, any comments on your thoughts about inorganic? Is it relevant or not even in the thoughts currently?

Rakshit Hargave: So yes, there is no MRP on the pack as a consumer of the industry. But what we can tell you is that you see, we have an offer for the end consumer, which is in the form of 10% free. And I would also want to use this forum to give a clarification. Because some analysts and also some competition companies have been making comments when we have reduced or stopped our 10% free promotion. I would want to clarify that 10% free on all emulsions across 10 and 20 liters exists pan-India. Now let me come back. The dealers are getting our products at a landed price, which is far attractive as compared to competition. They are very happy to sell it at a price, which is more or less equal to the market leader. In some cases, some smart dealers are also charging 2% more because there is 10% free. So, from a profitability point of view, the dealers are facing a challenge of profitability, and they see Birla Opus as an important vehicle where they can actually generate better returns. So, while we are driving distribution and we have a

Grasim Industries Limited
November 15, 2024

Page 7 of 15

very large number of dealers, we don't have any significant news of any price challenges here or there. So, we are quite confident that we are able to maintain that.

Your second question, yes, there have been news in the market about inorganic and things, which have been coming in the past few weeks. But our CFO has already given clarification to SEBI that at the moment, there is nothing happening like that.

Moderator: The next question is from the line of Sumangal from Kotak Securities.

Sumangal Nevatia: Sir, my first question is more on the big picture from a strategy point of view. If you look at VSF division, it's running almost at rated capacity. So beyond, basically, whatever is the debottlenecking announced, what are your thoughts on capital allocation here from the next 3 to 5 years point of view? Given the commodity nature of business and low ROCE, do we believe that majority of fresh capital will get absorbed in new ventures like paints?

Pavan Jain: Yes. So, you are right about the VSF business. It is already operating almost at 100% capacity.

I think we have shared the data, and you are aware that the VSF business is growing at faster speed than the other textile fibres in the country as well as globally, okay. So as the demand continues to grow, we will look at some opportunities. At present, we are working on the debottlenecking opportunities that we have already shared. The other lever is the exports which we are currently doing, though of course, at a very low level, but that lever is also available for meeting the domestic requirement.

Harikr

ishna Agarwal: So yes, it is a good situation to be. And capital allocation is an important matter for Grasim.

While new businesses have shaped well and we are in the process of developing into potential, we will also nurture existing business with basic driving force that we have to maintain our market position while maintaining profitability also. So, all of our new Cap ex systems are being formulated keeping this profitability factor in mind in a very important manner. So, there are many drivers, and we will examine all such endeavours, expanding our capacity further in India.

Sumangal Nevatia: Okay. Understood. Sir, I have 1 basic question on the Paints division. I mean at the start of the year; we said high single digit exist. So somewhere around 8% -9%. So, I just wanted to know based on how H1 has been versus our business plan and a little bit of ongoing industry headwind. Is there any positive or negative change to your confidence? And also now, given that we are well on the ground and next 3 plants are also coming up, some color if you can give for how should we look at FY '26?

Rakshit Hargave: So, let me take this question. Firstly, the mention about headwinds in the industry. So yes, we have seen the results coming out from all the paint majors. As far as we are concerned, we indicated that we would exit the year at high single digits. We are well on that path. So, if we take a look at our sales for last quarter or if I take a look at my sale of September, and my September is significantly more than my July because I'm going every month. We see no reason to believe why we will not be able to exit the year at high single digit. Secondly, from a headwind point of view, you see there might be some slowness in the market, but I think there is a bit of exaggeration about headwinds and slowdown from competition. Because if we add our number to the market, the market is actually a bit in the green. And we have also had a reasonably good

Grasim Industries Limited
November 15, 2024

Page 8 of 15

October. So, we see no reason why we should be shying away from what we have said that we will exit the year at single digit at the higher level by the end of the year. On FY '26, that is the next year, that is a part of our journey that we have disclosed, that will happen. So far, we would not want to mention on that right now.

Moderator: The next question is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: My first question was probably continue to the previous question with the Paints division. Now you just mentioned that the demand conditions are not as bad as it's been called out. If you could just elaborate more in terms of how it's working in favor for you when you're adding distribution at this point of time? And if there is more color you can add in terms of why you're saying the demand conditions are not as bad.

Rakshit Hargave: So, you see, like we said, we have sold a certain quantity. Our sellouts are excellent. Retailer acceptance is high. We are getting counter share which is very good in all the counters where we are present. The acceptance by contractors and dealers is also very excellent because the quality of products that we have launched is better than what exists in the market. So, I think we have been able to excite the paint ecosystem with the entry of Birla Opus, which is making the dealers very positive, and which is why you also see a lot of dealers coming and adopting us. So, if I see from our business point of view, yes, the truth is that we have taken market share from competition. It is extremely unlikely that I would have generated thousands of new customers who have started to paint who are not existing in the ecosystem. So, I obviously have taken market share. But if we see the overall ecosystem, yes, there could be some slowdown in the market, but the market is definitely not in the red. So, that is

how we will put the situation.

Sheela Rath: Very clear. Just a follow-up to that. The competitive intensity for sure has gone up from the existing players. Is there anything you are witnessing from your end, which is making you make changes to your strategy going ahead? And my second question is also connected to that, is that as we have all our capacity on board by the end of this year, this calendar year, what will be the focus area? I'm not asking for numbers here, but from brand building, distribution building.

Where would we want to be ahead in the next 6 months in terms of focus area?

Rakshit Hargave: Okay. So let me first mention on the competitive intensity. So, we had already in our playbook imagine d competitive intensity, and it is more or less playing as per that. So, it is not a question of the surprise for us. But yes, what we had assumed that how competition will behave is happening exactly as per that. Also, let me add that the level of competition in the paint industry as compared to the other paint industry was very low. It was a question of a market leader and everybody else following it like pied piper of Hamelin. We have kind of broken that comfortable ecosystem and I think it's for the benefit of the consumer because there is better product, there is more choice. And I think it was bound to happen. So, from a market reaction point of view, obviously, if you read the results of competition, they talk about higher trade discounts, etc., you can see that reflecting on the P&L. So, it is a result of what we have done. If you ask us going ahead. Going ahead, our playbook is same. We will continue driving distribution. We will continue driving handler share, as you say, our counter share among all dealers. We still have a long way to go in terms of distribution because the market is very big. We are also going to

Grasim Industries Limited
November 15, 2024

Page 9 of 15

complete our portfolio. There are some products which are still entering the market, which are going to enter. We are also focusing a lot on opening specialty franchise store. All these initiatives which we have put, we'll keep continuing. And our revenue will be driving top line, driving market share. But obviously, like we have said that we want to be profitable at the end of full 3 years. So that is the long-term view. So, there is no change in that.

Moderator: The next question is from the line of Nirav from Anvil Research.

Nirav : I have 2 questions on chemicals. So first, on the epoxy side. I think we have seen some dip in the sales this quarter. So, was it because of lower sales volume? Or was it because of a change in the product mix because of which our realizations would have been lower?

Jayant Dhobley : So, neither, as you know, Nirav, generally, monsoon is a slower period for construction and a lot of epoxies go into the construction sector. So that is primarily the driver. It indirectly also affects windmill installations. The level of windmills erections that happened during monsoon slowed down. So there has neither been any structural slowdown in the industry, not any loss of market share. If anything, we believe that we have either maintained or improved our market share.

Nirav : Got it. And sir, your thoughts on putting up a new integrated complex for epoxy and ECH. Also wanted to understand from you like when we export out our epoxy volumes to the geographies, various geographies, on what basis do we compete with them? So, is it more on the product differentiation or it is more on the price do we compete with them?

Jayant Dhobley : Nirav, you asked a big question. I will split your question in 2, 3 parts, if I may, so that I can make each underlying point clear. So, as you know, some antidumping has been announced on ECH, right, which will impact the epoxy chain. I'm sure you're wondering what the impact on that will be. And I think that is tr

iggering your question. So, first of all, as you know, we are already running an ECH project, which will get commissioned in the next financial year. So that makes us more or less 80% integrated already as far as the ECH is concerned. So, then we will have maybe some 10-20 kilotons that we will buy externally. In our existing site in Vilayat, we already have space for further doubling our ECH capacity. We have the environmental clearances in place, and we have already started doing the engineering work on that so that we can generate capex estimates, etc., and take it to the Board, which means that in a reasonable timeframe, not only would our Vilayat site be completely integrated into ECH based on existing capacity. But actually, we will have some 10, 15 kilotons surplus left, which we can trade, sell, etc. And as you know, this gives us a completely integrated situation because we are backward integrated into caustic. We sometimes have some of our own small salt fields as well. We make our own ECH. We go into epoxy. We do epoxy formulations, reactive diluents, all of it, right. Third, as you also probably know, but I would like to remind you, is we have also acquired the land in Vilayat next to our existing chemical factory in Grasim. And we have possibility to further double our epoxy capacity. As you know, the epoxy market grows somewhere between 1.5 to 1.8x GDP in the longer term, right, which means the epoxy market will double every 5 to 6 years. So, if you just work backward and if we want to maintain our market position, we will easily also double our capacity in that timeframe, right? And we will not lose our market

position. In fact, we'll grow our market position. Now let me come to your part on how do we compete. So, there are different ways we compete. We have a large patent portfolio. We are India's largest epoxy player, but we have also been in this business as a group for over 40 years. So, we have a portfolio that we offer, which includes liquid epoxy resins, it includes reactive diluents, hardeners, powder coating materials, etc.. So, we compete primarily based on a differentiated product portfolio, understanding applications of end customers and not so much on price. And epoxy and applications are highly critical in terms of performance requirements. I will give you a very simple example. Largest part of cars in India will be coated using an epoxy, a formulation which will contain our epoxy. Car companies will give you guarantees on the body of the car, right? So, you can imagine that when an automotive company wants to formulate any type of new epoxy formulation, it's not just about price. It's about proven track record, proven performance, and we offer that entire package. So, you asked the question, but I thought let me split it into different parts. There is a value chain aspect. There's an expansion aspect, right? I hope that answers your question.

Nirav : Absolutely. And sir, second question is on the presentation slide, where you have shown that there is an upward pressure in VSF due to the increase in the prices of sulphur, caustic and pulp. So just wanted to understand from you, like when we compare our ECU and other player's ECU, which they have reported for Q2, I think ours is far better a number. So, was it because more of our cost getting sold due to the contracted volumes with the group companies? Or was it because more of the flake, which we have sold this quarter, and which is moving up the overall ECU? And second bit to this is, let's say, we are seeing the price increasing in the caustic for the VSF division. How much of price increases would have happened in October and November over and above the Q2?

Jayant Dhobley: Okay. So, I'll answer a little bit of your question, not all of it because some of it is sensitive, as you can imagine. So, look, we optimize o

ur caustic portfolio across on a pan -India basis, right?

Because we are the only significant or perhaps the only real pan -India player in the caustic industry. Everybody else has a regional focus, which essentially means that we have a different way to approach pricing than many of our competitors. Secondly, as you know, we have capacities of lye, flake, etc.. We also look at the export market. And very often, we have very quick market intelligence on what is happening in global markets that allows us to take quick tactical decisions. We have always a mix of spot and sale. So, it becomes quite complicated to unravel our ECU in terms of what is the geography effect, what is the lye effect, what is a spot versus contract effect. And that is something that we of course will not be fully transparent about in this setting. Except to say that we are usually very price conscious in the sales market, being the largest caustic player, we have the most to lose when caustic price reduces, right . So, we are usually the one that tries to maintain price discipline the best we can. Now ECU has another side, and that is chlorine, and it's always a balance between caustic and chlorine. The more the caustic demand, the more pressure there is to sell chlorine. So, you have seen that in the current quarter, chlorine has moved further negative, the chemical industry tracks prices every day. But net-net, Better ECU is a positive for Grasim as a company. Since much smaller percentage of our caustic sales are within the company, right? So, net-net, a higher ECU is a net positive for Grasim. Now as far as intercompany transactions are concerned, they are primarily arms length.

Actually, even within our businesses, it is arm's length . Not only within businesses but within Chemicals business also, it is a arms length basis. That's a very fundamental group principle, Nirav, we'll never deviate from that. So, you can always assume that any transaction, not only between Chemicals and VSF, but even within Chemicals is done at arm's length basis. The group is very consistent in that.

Moderator: The next question is from the line of Abneesh Roy from Nuvama Wealth Management Limited.

Abneesh Roy: My first question is on putty. So, I wanted to understand if there is any big change in terms of pricing and quality here because other paint companies are saying that some players are selling below positive gross margin, so selling at a negative gross margin. And they have also reduced the quality of putty, so that it makes sense from an overall business perspective. So, if you could comment who has done this and if you could comment if this has actually happened?

Himanshu Kapania : The putty business is managed in the UltraTech domain, and I would request that the same questions should be asked to the UltraTech. The Birla white is a subsidiary of UltraTech.

Abneesh Roy: But you would be aware of the development?

Himanshu Kapania: I'm aware, but I think this is not the right forum to answer the question.

Abneesh Roy: Okay. Then I'll come to paints, which I think clearly very high interest is there. So, sir, you will anyway comment the next 3 months because the exit will come in the next 3 months? So wanted to understand if some clarity can be given if around ₹250 crore revenue in Paints has been done in Q2 and around 2% market share because in any way, in 3 months, you'll have to give the numbers because it will be exit. So, if you could give some color on these calculations? Plus, in Q1, there was a WIP component in Paints. Is that still continuing? Is it still very large compared to the number which I mentioned? So, some clarity on the revenue and if possible, on the EBITDA also.

Rakshit Hargave: So, like Pavan said, we will disclose the numbers fully and fairly at the appropriate time. So, I don't know from where you

have calculated ₹250 crores for the quarter. So, I would not want to comment on that. Like I said, we are in line to deliver high single-digit market share by the time we exit the year. So, you can do some calculations on your own to find out. But on the CWIP, we capitalized our first 3 plants in Cheyyar, Ludhiana and Panipat on 30th April. So, whatever was manufactured in those plants till now, which has been sold in period July, August, September, will still go into CWIP. Also, our Chamarajanagar factory, which started in this quarter, whatever it is manufactured, it is still under track. So obviously, the CWIP is still a part. And in our reporting, it will be reported separately. So that is a fact. As we keep commercializing plants, whatever manufacturing will start coming in the books.

Moderator: The next question is from the line of Percy from IIFL Securities.

Percy : Just on the industry demand part. So, the way I'm looking at it is that all the companies have reported, and the 5 listed companies are a very large part of the overall industry. And the aggregate sales growth of the 5 listed companies, excluding Grasim in paints is 1%. Given that

Grasim Industries Limited

November 15, 2024

Page 12 of 15

pricing is Y-o-Y negligible, it means that the volume plus mix is around flat to 1% or maybe 2% at the most on a Y-o-Y basis. And if your market share exit FY '25 is high single digit, it's obviously lower than that right now. So, let's say, a mid-single-digit kind of a share would put the industry growth at somewhere in mid-single digits itself. And that's clearly much below what the industry has been doing for several years and much below what your own expectations would have been when you decided to enter this space. So, what are your comments on these?

Rakshit Hargave: So, Percy, you've obviously done some number work. So, like we said that, yes, the market seems to be having a slowdown. But like we said, as a new player, we are on track with what we had intended to do. So obviously, there is market share gain and replacement from competition happening with us. So that is absolutely. But does that change our optimism or look out for the industry where we have entered? No. I think this industry medium to long term is going to get healthy growth, and there is room enough for all players to grow. And even for us to go with our business plan. So, I think just a couple of quarters of a bit slowdown and a demand slowdown, I don't think that changes anything.

Percy : Right. Second question is on the rebating. So, while we can keep track of the price increases that paint companies do, and I think there was one in August and one in July and so on. So, there have been like 2% kind of price increases, the circular which goes out to dealers is only part of the equation of the price increase effectively, right? The other equation is the amount of rebates and the amount of the discounting, etc., done by the companies and they are invoicing to the dealers, either in the immediate invoice or at the end of the month quarter, etc., etc. Since now you're an important part of the industry, can you give us some kind of idea on what is the rebating, discounting, incentives, etc., sort of how much has it changed on a Y-o-Y basis? What I'm trying to arrive at is the effective pricing mix. And we can see, as I said, the price lists sent and that part of the equation. But the other part of the equation of the pure pricing is something that I just wanted to get a handle on if you are able to help in that at the industry level.

Rakshit Hargave: Yes, yes, Percy. So, what we can tell you at an industry level, what we have seen, while there is some price increase which has happened, which is basically increasing the dealer price list. But at the same time, the back-end discounts, whether it is in the form of monthly credit note, quarterly credit note or discounts

to special dealers has gone up and has actually gone up more than the price increase, which is why you see a net effect on the P&L of these companies, which is negative. And that has a relation to the fact that the intensity of competition is going up. So,

the trade discounts have gone up in various ways. There are various ways in which paint companies will settle these in the form of dealer incentives, upfront discounts, back-end discounts, or credit notes or quarterly or annual promises. So obviously, there's an increase in that.

Moderator: The next question is from the line of Prateek Kumar: from Jefferies .

Prateek Kumar: My first question is on leverage position, more like broader question. So, on a trailing basis, your net debt -to-EBITDA at like 2x. I know ₹2,000 crores are from rights is supposed to be pending for second half. But where do you see your leverage on an absolute basis from ₹600 crores, ₹700 crores last quarter at this level or on a debt -to-EBITDA basis?

Grasim Industries Limited

November 15, 2024

Page 13 of 15

Pavan Jain: Prateek, I did not hear your question clearly. So, about the leveraging is we have guided earlier also that we will be having net debt -to-EBITDA of about 3 -3.5x. So, I think we are on track to that. And the pending capex , etc., which is to be done in H2, we have already announced the second and final call of the rights issue, which we will be getting in Q4.

Prateek Kumar: Okay. My other question is on paints. I was just saying that is the CWIP revenue of first quarter in Paints segment, is it booked in second quarter revenue?

Pavan Jain: Please, Prateek, try to understand, what has been already booked as revenue as part of CWIP will continue to stay as part of CWIP. It cannot be transferred like to the revenue of second quarter. In second quarter also, there will be some part of revenue, which is going as CWIP. We are commissioning 3 more plants during the current financial year, whatever is produced during trial months, when that gets sold, that will continue to be part of this C WIP and not the main revenue.

Prateek Kumar: Okay. And the other question in the segment. This 10% free volumes, when is this scheme generally we are expecting to like end or like sort of continue till what period?

Rakshit Hargave: So, I would want to ask you why I should give an answer like this, which helps my competition. We will continue till we want to. And again, to clarify, it is totally on, and it is available everywhere, and it is doing very well.

Moderator: The next question is from the line of Amit from Elara Capital.

Amit: Sir, just on the point that you highlighted that you are in the process of putting up more products at the dealer level. So, where we would be at in the journey based on whatever plans that we have in terms of the ? Currently, we have 129 products with 900 SKUs, so where would we be? Would we be 80%, 70%? How should one think about it?

Rakshit Hargave: So, by September end, we talked about 129 products. And we had talked about in the first phase of launching about 145 products. Also, we have reached about 900 SKUs. We have talked about 1,200 SKUs. If you take some of those multiple sizes of enamels and shapes, then the SKUs go a bit more. But I would say that more or less about 83% to 85% of our portfolio is there. Other elements, which need to complement it, are entering the market as we speak in November and December.

Amit : Sure. And the service efficiency at the dealer level, I mean, I'm sure you have the systems in place. I understand in the initial part, there would be some hiccups in terms of availability as now. What would be the scenario any way to check or if you could share in terms of whatever the availability of your product?

Rakshit Hargave: Yes. So, like you rightly said, we have set up a network of depots. By end of September, we had 114 depots operational. We have

also added to that in October. Obviously, the effort is to service dealers, which competes with the market leader, probably small hiccups as we did not have a sales history of what is there at what depot. And we had to do some movements here and there. But by and large, we are able to keep the commitment with mainline town dealers and also up -

Grasim Industries Limited

November 15, 2024

Page 14 of 15

country dealers in terms of what we had promised. And the service level is good, but the service level is also improving. So, if you take a look at the service level number, we are much better in October and November than maybe what we were in August and September and is continuously improving. So as a process of continuous improvement, I think the investment that we have done in depots and technology, which is absolutely up to date , is helping us catch up very fast.

Moderator: The next question is from the line of Bhavin Chheda from ENAM Holdings.

Bhavin Chheda: Good to see the ramp -up on the Birla Opus side. Just a few questions on the Paints business. If

you can share the number of distributors and retail touch points currently in the Paints business and also the number of tinting machines which are already installed?

Rakshit Hargave: Bhavin, so yes, good to speak to you again. So, like we said, we don't have distributors. So, we are in a direct model. And we had talked about hitting about 50,000 dealers by the end of the year. So, we are on track to be able to hit that number. And significantly, a very large number of those dealers have been given tinting machines, is how I would put it.

Bhavin Chheda: So, you said you'll be hitting 50,000 by the end of the year, right? And currently, already, we have a pan-India presence, right? Your presentation mentioned 4,300 towns?

Rakshit Hargave: Yes.

Moderator: The next question is from the line of Navin from ICICI Securities.

Navin: I wanted to understand the Birla Pivot business as to how should one look at it given there is an ambitious growth plan there? The \$1 billion sort of revenue? So how should one look at losses in this particular segment market around 5% or like some percent age of the revenue because it's largely a trading model -- if because it was also mentioned that the business might be incurring losses in the initial phase and will look to turn profitable only after having reached the benchmark of \$1 billion sort of revenue. And also in the Birla Pivot, previous quarter revenue were given clocking a quarterly run rate of ₹550 crores, so where are they at? Some color on that would be helpful.

Pavan Jain: So, Navin, as regards to your last point of the revenue numbers. I think in my opening remarks, we said that we will share all the details at appropriate time. What we are sharing is that the business is growing well. We are expanding the reach geographically, we are expanding the product categories, etc. This is a low-margin trading kind of business. The business is ramping up as per our expectation, I would say, better by expectation. With regards to the EBITDA profitability, we have shared the guidance, long-term guidance. I think we are on track. Sandeep, are you there on the call? Can you share anything more?

Sandeep Komaravally: Yes. Pavan. Navin, thanks for the question. In terms of our profitability, what we've showed earlier is that our aspiration is to hit \$1 billion in 3 years and at that scale, we will be profitable.

We are very well on track to achieve that. As of now our focus is on scaling up our customer base, building our platforms that will support the entire end-to-end commerce transaction, and that's what we are focused on.

Grasim Industries Limited

November 15, 2024

Page 15 of 15

Moderator: The next question is from the line of Raashi Chopra from Citigroup.

Raashi Chopra: Just 1 question Birla Pivot the last one. From a quarterly

rate perspective, in the last quarter, you

have given us a ₹550 crores number. So, are we significantly better than that in this quarter, if you don't want to quantify it?

Pavan Jain: So, Raashi, I think what we are sharing is that we are ramping up month-on-month. The business is growing. We are expanding the reach. We are adding the new categories, new customers. We are enhancing the digital platform for the business. So that is what is happening. And of course, it is growing month-on-month. And I think it is beyond our expectation; we are able to reach in this business.

Moderator: The next question is from the line of Jai Doshi from Kotak Securities.

Jai Doshi: My first question is, could you give some color on the quality of dealers you engage with? And what would be your penetration in the top 500 dealers of the country?

Rakshit Hargave: So, Jai, we have been able to engage with dealers across the India and of all sizes. So, dealer classification is, whether you call them A class, B class, C class. So, we have a uniform set across all dealers. We are also engaging with the top dealers of India, whether you want a bracket of top 500 and top 1,000. Some of the larger dealers might be slightly slower to give us higher counter share, but that was only to be expected. But otherwise, we have a fair representation of our ability to place tinting machines and our ability to start billing across dealers of various classes and sizes.

Jai Doshi : Understood. And second question is, look, if you are confident of 7%, 8% or high single-digit market share in 4Q, and you may be somewhere in low to mid-single digit right now. So, is this 200, 300 basis point market share gain per quarter that you may be expecting in December and March is contingent entirely on the B2C retail decorative paints business? Or you're expecting a big scale up in projects business to help you get to that number by end of the year? My understanding is right now, you have negligible play in the projects space.

Rakshit Hargave: So, we are building up our projects team. We have started getting good projects. But as you would understand that projects has a slightly longer gestation period because the discussion and the closure of accounts takes a longer time. But we are even on projects, we are well on our plan to be a much more significant player this quarter and the next quarter. But the momentum of the

retail business itself is very good. So, the overall mix is going to play out, but we are quite confident on the number that you've talked about.

Moderator: Ladies and gentlemen, due to time constraint, we will take that as the last question. I would like to thank the management of Grasim Industries. On behalf of Grasim Industries, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Grasim Industries Limited

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Ref No . GIL/CFD/SEC/25/ 333/SE 17th February 2025

BSE Limited

Scrip Code: 500300

National Stock Exchange of India Limited

Symbol: GRASIM

Dear Sir/Madam ,

Sub: Transcript of post Earnings Call

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015

Please find enclosed the transcript of post Earnings Call held on 11th February 2025 on Unaudited Financial Results (Standalone and Consolidated) of the Com pany for the quarter and nine months ended 31st December 2024 and is also available at

<https://www.grasim.com/Upload/PDF/grasim -earnings -call-transcript -q3fy25.pdf>

Thanking you ,

Yours sincerel y,

For Grasim Industries Limited

Sailesh Kumar Daga

Company Secretary and Compliance Officer

FCS - 4164

Encl.: as above

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Page 1 of 15"Grasim Industries Limited

Q3 FY '25 Earnings Conference Call"

February 11, 2025

MANAGEMENT : P AVAN JAIN –CHIEF FINANCIAL OFFICER

JAYANT DHOBLEY –BUSINESS HEAD,CHEMICALS ,

CELLULOSIC FASHION YARN AND INSULATOR

RAKSHIT HARGAVE –CHIEF EXECUTIVE OFFICER ,

BIRLA OPUS,PAINT BUSINESS

VADIRAJ KULKARNI – INCOMING BUSINESS HEAD OF

CELLULOSIC FIBRES DIVISION

SANDEEP KOMARAVELLY –CHIEF EXECUTIVE

OFFICER ,BIRLA PIVOT

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Grasim Industries Limited

February 11, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the Grasim Industries Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Ankit Panchmatia, Head, Investor Relations, Grasim Industries. Thank you, and over to you, sir.

Ankit Panchmatia: Good morning and thank you for joining Grasim's Third Quarter Financial Year 2025 earnings call. The financial statements, press release and presentations are already uploaded on the website of stock exchanges and our website for your reference. For safe harbor, kindly refer to cautionary statements highlighted in the last slide of our presentation.

Our management team is present on this call to discuss our results and business performance. We have with us Mr. Pavan Jain, Chief Financial Officer Grasim Industries, Mr. Jayant Dhobley, Business Head of Chemicals, Cellulosic Fashion Yarn and Insulator Business; Mr. Rakshit Hargave, CEO of Birla Opus, our Paint division; Mr. Vadiraj Kulkarni, incoming Business Head of Cellulosic Fibres division; and Mr. Sandeep Komaravelly, CEO of Birla Pivot, our B2B E-commerce business.

Let me now hand over the call to Mr. Pavan Jain for his opening remarks, post which, we will open the call for Q&A. Over to you, sir.

Pavan Jain: Good morning, everyone, and I wish you all a very happy 2025, which marks halfway point in the current decade and quarter century mark of the 21st century. Let me start with macro commentary, and then I will talk about our businesses and financial performance across each segment for the quarter ended 31st December '24.

The year 2024 was largely characterized by positive developments like disinflation, resilient growth and improving corporate profits. Elections and rate cuts dominated second half of 2024, which are expected to influence the global economy shaping market dynamics for the foreseeable future. As we enter 2025, rising policy, uncertainties, protectionism and geopolitical tension signal a more volatile and fragmented global economy.

As highlighted by our Chairman in his visionary reflections for 2024-25, we will be embracing a U3 world, which is uncertain, unpredictable, and unorthodox world in 2025. As per the latest IMF World Economic Outlook report, global growth is projected at 3.3% in 2025 and in 2026, both below the pre-COVID historical current century's average of 3.7%. Advanced economies are projected to grow at 1.9% in 2025 and 1.8% in 2026. And within the advanced economies, the U.S. is expected to grow a little faster with projected growth rate of 2.7% in 2025 and 2.1% in 2026.

Diverging growth and inflation dynamics could result in varied monetary policy approaches by central banks across the world, leading to widening rate differential. Emerging markets and

Grasim Industries Limited

February 11, 2025

Page 3 of 15

developing economies are projected to grow at 4.2% in 2025 and 4.3% in 2026, with India leading the projected growth rate at 6.5% in 2025 and 2026.

Since September 2024, Chinese policymakers continue to focus on delivering a series of stimulus packages to inject new life into their struggling economy. The newly imposed tariffs by the U.S. on China could derail the PBOC efforts of reviving the economy. India will continue to be amongst the fastest growing economies in the years to come. The recent budget announcement has shown continued focus on infrastructure development, is also creating environment for boosting consumption.

Further, after a gap of nearly 5 years, RBI has unanimously decided to reduce the benchmark repo rate by 25 basis points to 6.25%, delivering a less restrictive money

policy. Coming to

our company, we continue to leverage our diversified business portfolio, capitalizing on India growth story with a proven track record of creating large-scale businesses and capacities, Grasim is well prepared to meet the increasing demand of the growing Indian economy. Emulating this growth momentum, we are happy to share that Grasim's consolidated revenue grew for the 17th consecutive quarter on Y-o-Y basis, registering a CAGR of 13.5% over the past 4 years.

The trailing 12 months consolidated revenue stood at highest level of almost ₹1,40,000 crores. For Q3, FY '25 consolidated revenue grew by 9% Y-o-Y at ₹34,793 crores. The standalone revenue for this quarter stood at highest ever level of ₹8,120 crores. Consolidated EBITDA for the quarter is ₹4,668 crores is lower by 9% Y-o-Y, mainly due to lower profitability in cement

business and initial investments in building Birla Opus, a leading brand in the Indian decorative paints market.

Talking about segmental performance, let me start with Building Materials segment, where we are building up the size and scale to contribute meaningfully towards Viksit Bharat. UltraTech remains on track to achieve domestic gray cement capacity of over 200 million tons per annum by FY '27. The India Cement Limited open offer was concluded in the current quarter and the integration was completed. The acquisition of Kesoram cement business is awaiting approval with regards to transfer of mines in Telangana and Karnataka. The integration is expected to be complete in the current financial year.

Demand across all sectors, that is individual house builder, infrastructure sector and urban housing growth has been improving and domestic gray cement volume grew by 11% Y-o-Y in the quarter gone by. However, the realisation was lower by 10%, though there was sequential improvement in realisation by 1.4%. Our Paints business under Birla Opus brand continues to gain market share in the Indian decorative paints market, backed by rapidly expanding distribution network and leapfrogging brand visibility backed by superior product quality. With commencement of commercial production at Chamarajanagar in November '24 and Mahad expected in this quarter, that is Q4 FY '25, Birla Opus would be the second largest player by installed capacity in the Indian decorative paints market, which is poised to grow in double digit over the next decade. Our sixth plant at Kharagpur in West Bengal is expected to go live in Q1 FY '26 as cyclone Dana affected construction activities. The advertisement campaign, Duniya

Grasim Industries Limited

February 11, 2025

Page 4 of 15

ko Rang do and Naye Zamane Ka Naya Paint has been successful with an outreach to more than 70 crores Indians.

Addition of dealer network remains on track, which is evident from the fact that Birla Opus is second most visible paint brand in India now. B2B E-commerce business, Birla Pivot continues to attain higher revenues quarter-on-quarter. Birla Pivot is constantly enhancing its user experience, driving the digital adoption in the B2B ecosystem. The business has added new product categories, expanding its total addressable market in the B2B building materials space with focus to enhance revenue from the private labels. The business has launched Birla Pivot Bathware, expanding its private label portfolio beyond Tiles and Plywood.

Our core businesses, namely Cellulosic Fibre and Chemicals continue to provide stability to overall earnings profile. Global demand for cellulosic fibre business continues to remain stable with improving price trends. Over the past decade, cellulosic fibre industry has grown almost twice the growth rate of competing textile fibres that is cotton and polyester.

Moreover, within Cellulosic Fibres, Lyocell, a third-generation specialty fibre, is the fastest-growing specialty cellulosic fibre compared to gray and other generations of cellulosic fibres.

Innovation-led speci

alized applications, coupled with customers' ever-increasing demand for improved sustainability credentials, we believe that Lyocell growth prospects would further improve.

Also as our current capacity being fully utilized, the Board has approved setting up of 110K TPA Lyocell fibre capacity at Harihar, Karnataka in 2 phases. The first phase of 55K TPA will be executed by mid-'27 at an investment of ₹1,350 crores. Improved demand condition in China helped by pre-Chinese New Year demand has led to higher operating rates at 89% and low inventory of 8 days in China. China CSF prices for quarter 3 are sequentially higher by 2% and 5% higher Y-o-Y basis.

Domestic realisation improved in line with the increase in international prices. Our Cellulosic Fibre volumes stood flat on a Y-o-Y basis. However, there was sequential decline due to production loss at Excel plant in Kharach and seasonal demand weakness during the quarter end post festival season. Chemicals business revenue stood at highest level since Q1 FY '24, led by continuous improvement in domestic prices, in line with global caustic soda prices. However, continued negative chlorine realisation due to oversupply has partially offset improved caustic realisation not getting fully reflected in ECU realisation.

Caustic soda sales volume growth was muted at 1% Y-o-Y due to lower production at Vilayat restricted by lower power availability, which is expected to improve in coming quarters.

Chemicals business EBITDA for Q3 FY '25 was up 25% Y-o-Y, mainly led by higher realisation in caustic soda prices and improved profitability in chlorine derivatives segment. Financial Services business under Aditya Birla Capital reported all-round growth across different businesses with focus on driving quality and profitable growth by leveraging data, digital and technology.

Grasim Industries Limited

February 11, 2025

Page 5 of 15

NBFC segment reported revenue growth of 12% and Housing Finance business grew by 45%

Y-o-Y. The total lending portfolio, which includes NBFC and Housing Finance loan book grew by 27% Y-o-Y to over ₹1,46,000 crores. Given the competitive intensity and changing cost of borrowing, the NIM for NBFC business declined by 88 bps Y-o-Y and net interest income for Housing Finance business declined by 43 bps, impacting the overall profitability. Life and health insurance segment reported Y-o-Y revenue growth of 5% and 38%, respectively.

Amalgamation of Aditya Birla Finance with Aditya Birla Capital announced in March '24 has received approval from shareholders. The amalgamation scheme now awaits approval from NCLT Ahmedabad and is expected to get completed by March '25. In renewable business, our installed capacity continues to ramp up with cumulative installed capacity at 1.2 gigawatts, up 37% from 894 megawatts in March '24 and another 0.8 gigawatt is under advanced stage of commissioning.

With the projects under implementation, the capacity is expected to reach nearly 2 gigawatts by end of current financial year. The business has strong anchor clientele with Aditya Birla Group company representing 37% of the power offtake against the existing portfolio.

We can now move on to Q&A.

Moderator: Thank you very much. The first question is from Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: My first question is on the CSF division. If one can elaborate what sort of cost pressures are we looking at in this quarter and in the coming quarters, some guidance? And we are running at almost rated capacity. What sort of capital allocation are we looking at in this division given the return profile has been very subdued over the last few years. So should we expect steady-state limited investments in future, focus on paints and other divisions? Or we would look to see some brownfield attractive expansion opportunities here as well?

Pavan Jain: Yes, Sumangal. So I think as regards to cost pressure, the key input

prices, which is pulp and

caustic soda and sulphur, all these prices have moved up almost more than, I mean, in the higher double digit, more than 10%. Of course, the CSF realisations have also improved, but the impact of input price hike is more than the impact of the gain in the realisation prices.

As far as caustic soda prices are concerned, while the CSF business gets impacted by the higher cost, higher price, but we gain more than that in our chemical business because more than 50%, 60% goes to the other customers, caustic soda goes to the customers other than CSF. So that is about the pricing impact. Looking at the current pricing scenario, I think the input prices continue to be at the elevated level. But as the demand of CSF is also increasing and the capacities are utilized at 89% in China and almost 100% here. I think there is a scope of price improvement.

Yes. The second part about your investments. So as Board has already approved investment of ₹1,350 crores. We are setting up the Lyocell capacity, which is a specialty fibre in our Harihar plant. The first phase of 55,000 tons per annum is already approved. The total capacity increase will be about 110,000 tons involving 2 phases, first phase 55,000 and second, another 55,000.

Grasim Industries Limited

February 11, 2025

Page 6 of 15

So we are allocating capital to CSF business also. Specialty fibre side, which has, I mean, the higher prices, we get premium in the specialty product. So investment is going in that business.

Sumangal Nevatia: Understood. Understood. Sir, my second question is on one of our small division, Pivot. So, I just wanted to understand what, how is the competitive landscape in that building products and sales market? And how is our positioning different from a few of our peers because we do keep hearing aggressive growth plans by competition like Infra.Market, JSW One, etcetera. So just some details on these will be very helpful.

Sandeep Komaravally: Sure, Sumangal, this is Sandeep here. Thanks for the question. As you rightly pointed out, I think there is the space is large. If you look at the overall B2B building material as a market, it's much, much larger than all other sectors. It's more than ₹1 trillion, and there are a few companies which are trying to drive B2B E-commerce within this space. From our point of view, well, I can't comment on competition, from our point of view, we remain committed to building a very comprehensive end-to-end B2B E-commerce platform that fundamentally resolves for all the use cases there are, whether it is a retail customer or whether it is a project customer. And we've been doing that for the last 1.5 years. In general, if you see the space, the digital adoption has been fairly low. And that's not because of non-availability of products or solutions, but largely because there are multiple users for every transaction who are involved and the companies and the entities that are involved are different sizes, right, from a one-person proprietor to a large entity, which is even public and meeting the requirements of all of these entities and solving them through technology is a fairly complex problem.

We've been very focused on solving the visibility part of it. And our ultimate goal is to actually give almost like a B2C kind of fulfillment experience to B2B, and we are well on our way in driving that. And the other aspect of this is that there are multiple categories that are involved. If you look at building materials, there are more than 40, 50 categories, and each of them are fairly complex. So the scope is fairly large, and we are just about getting started. So we have not

even scratched the surface, if you ask, in our view and the runway to grow is ahead.

Sumangal Nevatia: Yes. So I mean, just a quick one on the Paints division, looks like a very impressive growth for another quarter. So I just wanted some color on operating losses. I mean, can we expect, going

forward, the losses to further increase at least for some time or the peak is behind and some operating leverage to start reflecting on be moving towards breakeven. So one on that. And then, I mean, next year looks like all our plants will be firing. So after our high single-digit exit for this year, some color on how we are looking at penetration and market share increase in FY '26, would be very useful, sir.

Rakshit Hargave: Sumangal, this is Rakshit. So as far as you're talking about operating losses, they are exactly as we had planned. So like we said, we presented a game plan where we said that within 3 years of full-scale operation, we would want to break even. So there is a journey. And what we are seeing this year is the part that was planned. So nothing exceptional there. You also talked about exiting the year at high single digit, yes. So we are on track to exit the year at high single digit. But what we see next year, we see a lot of opportunities for us to continue on the same track. So we will continue investing on the brand. We are gaining market share quarter-on-quarter because I think

Grasim Industries Limited

February 11, 2025

Page 7 of 15

it's a long journey. So fundamentally, trying to get more dealers to back more aggressively with us, opening more dealers, improving our dealer throughput on a per dealer basis and obviously building Opus brand where we have other initiatives also planned. So nothing will change. And as far as operating losses, like we said, we've talked about a 3-year guidepost after wholesale operations, so that will hold true.

Moderator: The next question is from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Yes. So, my first question was in the paints and B2B E-commerce segment. Now it's really great to see that sequentially, there is a material revenue jump, excluding UltraTech, of course. Also, heartening to see that the EBITDA losses have also reduced quarter-on-quarter despite the sales going up by almost like ₹543 odd crores combined segment, excluding cement, of course. So my question was to get some understanding on this. Can we say that as sales ramp up in the coming quarters, this absolute loss number or as a percentage of sale will only narrow, and we have like -- we have peaked out in terms of losses in this segment. Is it a way to look at it? As you said, it's a journey, but at least directionally, are we on that part of reducing losses? Or it's too early to say that?

Rakshit Hargave: So I think the way we will put it is we have to break even after the first full 3 years of full-scale operation. Obviously, there is going to be a parachute that will fall. And in that, first year is going to be the heaviest year of investment. So I think if you look at it this way, the journey continues, and we know in which direction we will proceed. That's how I will say.

Navin Sahadeo: Fair point. My second question then was on CSF. So, we have announced a capex of ₹1,350 crores. Now we are yet to deploy or complete the capex in Paint and we have taken the CSF expansion. I know that segment was demanding growth. But I'm looking from a point that new businesses are incurring losses. So is it a way that we are like to read it that we are confident that these losses won't balloon as revenues jump, and that's why the comfort from the company or the confidence from the company to take this capex because we'll have to spend substantial amount next year, '26 is what I'm assuming. And I've also seen your PPT, there is no change in capex guidance for '25, which means this capex will come in '26. So is this how one should read into it? And just the other question is what is the net debt to EBITDA then we have in mind which, in a way, will not be -- will be a threshold so that even if it comes at the cost of slowing down some bit on CSF capex, but will not cause that threshold?

Pavan Jain: Yes, Navin. So I think as far as the capex i

n Paints business is concerned, we are almost done. I

think we have already done 90% of the capex for the paints business. As told earlier, 5 plants are almost completed. 6th plant is getting completed in Q1. So paints is, as far as capex is concerned, will be over maybe by Q2 of next financial year. As far as the debt EBITDA levels are concerned, as explained earlier, we will continue to have a guidance of not exceeding 3x to 3.5x of net debt to EBITDA. I think we will be able to manage that. Of course, the existing businesses performance will have to, I mean, match to the expectations. That is the one thing. But as far as the capex plan is concerned, it is being planned, keeping the net debt-to-EBITDA level in mind.

Grasim Industries Limited

February 11, 2025

Page 8 of 15

Moderator: The next question is from Nirav Jimudia from Anvil Wealth Management.

Nirav Jimudia: I have 2 questions, sir, on chemicals. So for the Epoxy business, how have been seeing the ramp-up of the newly expanded capacities or let's say, if you can say at what level of utilization, the

newer capacity is operating at. Also, if you can share like how we are seeing the demand both on the liquid epoxy side and the specialty side of the business? and was Q3 seen a margin getting impacted because of volatility in the prices of bisphenol and higher prices of caustic soda?

Jayant Dhobley: Nirav, this is Jayant. So, I'll start with your last question first.

Jayant Dhobley: Look, BPA and ECH prices have both been going up, as you know. Between the 2, I think average increase over the quarter has been about 13% weighted average. And we have been able to pass on not all of the price increase. So, our margins have been under pressure, partly also because of the FTA, our country has with the Korean producers, who are able to bring in LER duty free. And as you know, as an industry, we are hoping that the government will address this. Volume-wise, there has been marginal growth. We are trading off volume and margin. So in that sense, you can say that our quarter-over-quarter performance has not really been impacted, maybe slightly lower, but not materially lower. Then if you get to your question on ramp-up of our new plant, you know that there are many underlying products that sit in that plant, whether that is liquid epoxy resin, whether that is polyesters, polyamide. So I will not give you a breakup by product because, as you can imagine, that is sensitive from a competition perspective. But depending on how we have commissioned those plants and what type of qualifications we are getting with the customers, we have been able to achieve about 25% ramp-up of the plant, partly related to customer qualifications, partly related to some typical teething problems that any new plant has. But we have continued to maintain our market share to the best of our position. I hope that answered all your questions.

Nirav Jimudia: So just a clarification here. So you mentioned that the margins were impacted, and we have tried to pass on some of the cost increases. So, in the initial round of this 25% ramp-up of the newly commissioned capacity, if I'm right in reading your statement, is more on the liquid side where the realisations are lower and probably once the specialty volume starts picking up, those would inch up our average realisations and would take more than take care of the increase in the raw material prices. Is it the right assumption to make?

Jayant Dhobley: Yes, that's the right assumption. As you can imagine, BPA, ECH prices mostly affect liquid proxy. And as you know, once those start to turn, then of course, we will also see the positive impact.

Moderator: We move to the next question from Mihir Shah from Nomura.

Mihir Shah: So firstly, on Paints business, congrats, there seems to be a material step-up on sales in third quarter versus what we saw in the second quarter. Can you talk a bit on how much of this would be from

sell-outs? And what would be the dealer reach now? Also, if you can share your geographical split, i.e., contribution from North, South, West, East? And lastly, traction from exclusive dealers or large dealers and from small dealers. That will be my first question.

Grasim Industries Limited

February 11, 2025

Page 9 of 15

Rakshit Hargave: Okay. So I think you have multiple points in your question. So if I take the first one, so our sellouts are excellent. So when I say we have a system where we know exactly how many kiloliters of products were scanned by our contractors on the previous day. We actually get live data. And if I take a look at that, literally 65% to 70% of what we have sold and have sold out. And actually, the inventory that we have lying at the dealers is very healthy compared to other companies where you have a lot of inventory line. Our inventories are nice, and the dealers are happy because then the corresponding return on capital is excellent. So, from an offtake point of view, excellent. So I think that's a great testimony to the fact that the acceptance of our products by contractors and painters is very good, and we are also very happy with the overall package. Secondly, I think you asked about the geographical split. So I think we work very hard across all regions. So we see that the response for Birla Opus across North, East, West, South is excellent. If you ask me to put a number, difficult for me to put through, but I will say that if the best region is 110, then maybe the slowest region is 90. So there is no literal material difference. We are doing well across all the regions. And I think that's also because all our inputs that we have designed are more or less on an equitable basis. Our media reach, we have not left any part of India uncovered in terms of the deliveries. The work that we have done with contractors is spread across India. So, I think we've taken the fact that we want to be a national launch, true, in terms of execution. From a dealer point of view, we have excellent response from most of the dealer classes. So the medium-sized dealers are giving us excellent response. Many small dealers are also betting with us. And we see in the last quarter, many large dealers are also now giving us a large part of the business. So as expected, the momentum across all dealer classes is great. In terms of number of dealers that we are covering, I think we had talked about 50,000 dealers by the end of the first year. I think we are very close to that journey in terms of where we will end the first year. And I think corresponding to that dealer network that we have opened, all the other elements of coverage that go along with that, have happened as per the plan. So, I think all in all, the answers to your 4 questions suggest that you rightly said, there's a jump in the business because now we are also getting sales from Q2 to Q3 has been very, very relevant.

Moderator: Next question is from Shreya Banthia from Oaklane Capital Management.

Shreya Banthia: My questions would be regarding the Chemical division. So given there are so many capacities coming up in caustic soda, how do we place ourselves being the largest player in the industry?

And secondly, on the epoxy resin, so if you could give your view on the tariffs that are being considered in the U.S. on epoxy resin from the Asian countries. These would be my 2 initial questions, sir.

Jayant Dhobley: So I'll answer your question in the reverse order. So while both U.S. and Europe are looking at tariffs on epoxy resins, there are other jurisdictions such as Korea and China, which are likely to be more severely impacted if you look at what type of a grant filing has been done. So, it's a little bit of, you know, if India gets a little bit lower tariff compared to what the other 2 major producers get, in net, it may benefit us. But this is a speculative amount because the final tariffs are not yet announced. S

Secondly, Grasim focuses mainly on the domestic market. which we believe is healthy, growing and offers us a large capacity for growth. Exports make up probably less than 15%, maybe closer to 10% of our epoxy sales. So we are basically a domestic player
Grasim Industries Limited

February 11, 2025

Page 10 of 15

as far as the Grasim is considered in epoxy. But if, for example, there is a significant arbitrage between what custom duty may be imposed towards other Asian players versus China, it may open an export opportunity.

Jayant Dhobley: Your second question was related to the larger caustic capacities coming in. I'm assuming you're referring to the 2 big players which are doing an integrated play with PVC. Of course, that is some time away. But look, there is a net demand for PVC in Asia, right? Today, the Indian domestic industry, the Indian consumption of PVC is met by imports. So, if a domestic producer for PVC comes in, correspondingly, there will be pressure on operating rates of PVC plants in other parts of Asia. And net-net, that may have a zero-sum game as far as caustic is concerned. And in either case, caustic capacity keeps growing, caustic demand keeps growing. So there may be a couple of years of pressure there. And you know Grasim very well. We don't only look at our strategy from a 2-year that we are a long-term player in this business. We do not believe that we have any reason to be concerned about the caustic capacities coming up.

Moderator: The next question is from Percy Panthaki from IIFL Securities.

Percy Panthaki: I understand you're doing well across the board. But if you can give some flavor in terms of, on a relative basis, where are you doing better in terms of the town tier class? Is it the large towns where you have a higher market share? Or is it the smaller towns? And also similarly, in the tiering of the paints by value, so is it the top tier where your market share is relatively higher than the mid or bottom tier? Or is it the other way around?

Rakshit Hargave: So, like I said, the response that we have is more or less uniform across all town classes. To begin with, maybe in the first few months, we had a very strong takeoff in the mid- and upper mid-tier towns. But now in the last quarter 4, we see that we also have excellent reach in the metros. And like I said, we are already available in more than 5,500 towns. So, offtake measurement as we see, which is the true parameter of how the product is moving, we see that the product is moving across all these town segments. Obviously, maybe in the longer term, some developments might happen, which show that we are particularly stronger in one or the other. But at the moment, our inputs and large team is focusing equally on all the geographies. Also, if I take a look at the product here that you have, you know that we are available in now all the product segments, and we are also available across all the price points. We have seen, our product quality is so good that many of the economy products that we have in the so-called segment are as per the contractors better than any of the premium products being offered by our competition. So we see that we have good acceptance across price segments. We also see that our luxury products are getting very good receipt and people are buying them. So we are still developing the distribution of the whole range because some of our products and ranges have just hit the market maybe in the last 2 months. But as of now, I can tell you that we are moving in an extremely healthy manner across all the price point tiers that we have launched in.

Percy Panthaki: Right. Secondly, I just wanted to understand in terms of the market share, the exit market share for this year, you're targeting a high single digit, would you be sort of for FY '26, looking at something like a mid-teens kind of a number?

Grasim Industries Limited

February 11, 2025

Page 11 of 15

Rakshit Hargave: So I

think we will talk about that once when we enter next year. At the moment, we are focused on a very strong February and March to see that we exit with healthy, like we said, single digit mid high single-digit shares. Also important, one comment that I would want to make is that while the paint market has been slow, in our assessment in the last quarter, the market has been

like flat or maybe minus 1. But we have gained share. And I think the meetings with all the companies have happened where they have shown on a standalone basis that they're all negative, while everybody is talking about a very slow market, but nobody has talked about the fact that a lot of that gain has come to Birla Opus. So I think I would want to build upon that and say that, yes, we will exit in high single digits. And like we said, next year also, the intent would be to keep gaining share quarter-on-quarter.

Moderator: Next question is from Prateek Kumar from Jefferies.

Prateek Kumar: My first question is on CSF Chemicals segment. So, the 2 segments combined EBITDA has like been largely range-bound at ₹600 crores to ₹700 crores for a while. Recently, I mean, particularly in CSF, leadership position and high operating rates of China, why the company is unable to pass this higher cost, which came as a big change on a quarter-to-quarter basis. And on Lyocell, particularly, we are like going ahead with this large capex. So, what is the EBITDA contribution of Lyocell in this ₹330 crores-odd EBITDA, which we had in this for this segment?

Vadiraj Kulkarni: Yes. One, I think as far as why we're not able to pass on the cost increase to the customers, you see it's a demand and supply equation which also plays out in the global market. And that is true for, I think, many segments. Sometimes we can pass on much more than the increase in the cost because the demand has been very, very high. Two, in terms of current Lyocell capacity for us is very limited. While we have a very large market share in the country today, it's a very small capacity compared to what's happening globally and compared to the traditional CSF capacity. So, I think, yes, in fact, the Lyocell contributions today in EBITDA percentages are much higher than the contribution and margin profile for the traditional CSF category. That is why we are investing in a new Lyocell capacity, which promises a much higher EBITDA margin profile.

Prateek Kumar: So, the passing on of RM cost and pricing in CSF, that will happen in the current quarter, Q4, you mean? And my other question is on Paints. Basically, just wanted to check on because you are like fourth plant under trial runs this quarter. So has this contributed anything to your WIP revenue like the way you said in Q1 performance?

Rakshit Hargave: Yes. So, like we have commercialized four plants and Chamarajanagar was commercialized in November. But Chamarajanagar was operating for a few months before November under trial. Similarly, Mahad, which we plan to commercialize in this quarter, has been doing trial production since 2.5 months and is ramping up. So, all that production of Chamarajanagar pre-November and of March till now, obviously, is going into CWIP.

Vadiraj Kulkarni: About price increase, Yes, we have, I think in the last 3 months, we have been able to affect 2 price increases despite the challenges of a muted demand from, sometimes seasonal muted demand from December, one in the month of, sometime in November and one also from

Grasim Industries Limited

February 11, 2025

Page 12 of 15

February. So to some extent, we've been able to pass on and the right thing is to see maximum passing on the increase in cost.

Moderator: The next question is from Tejash Shah from Avendus Spark.

Tejash Shah: My question pertains on paints. You called out that unlike peers, you are not seeing macro slowdown. Just wanted to know, would you still say that versus where we started the year, the macros are slightly diffi

cult where we would have thought it will play out? And second, if there's any truth to that, would you consider going moderate on your capacity expansion? Or will it be as you had planned earlier?

Rakshit Hargave: So Tejash, let me clear. So I said the market has been flat or marginally negative. So obviously, it is slower than what it was anticipated. But what I meant is that some other companies have talked about the market being minus 5, minus 4. So what I'm saying the market is not that negative. The market is flat. But obviously, the market was growing in single digits before that.

So, there is a slowdown. As far as our capacity expansion is concerned, I think we are fully committed to starting our 6 factories. So there is no question on that. With Chamarajanagar's commercialization, 866 million litres installed capacity has come online. Mahad, when it comes on, another 230 million litres added, and Kharagpur has 236 when it comes up. So, the 1,332 million litres installed capacity is a commitment, and there's no change on that. We believe the long-term view and we set up these factories for our long-term business, remains very attractive.

Tejash Shah: Yes. Second question, are you seeing any higher interest from institutional buyers, real estate developers? Any insight or any update on that?

Rakshit Hargave: So we also have our institutional segment, and we are also ramping up well there. But as you would understand, to open up institutional clients because there are projects which are already committed and there are brands which are already entered, happens with a lag as compared to retail buyers. So, we see that there is good traction, which is developing. And obviously, the institutional segment buyers have also liked our quality. You also know that for institutions, for many government institutions, you have to first do the listing before they start buying. So we are also doing that process very well, but there are some more listings, et cetera, that are pending. But all that is happening as of now.

Moderator: Next question is from Amit Purohit from Elara.

Amit Purohit: My question is around paints. So sir, just wanted your comments on the recent trends that you have seen probably for the industry growth, say, maybe in Jan and Feb. And second, just wanted to get insights on if you could share probably our penetration level in the dealers. The idea is to understand maybe a dealer was appointed maybe 6 months or 3 months back, any data point on that just to understand how the ramp-up is happening for old dealers getting appointed, if possible.

Rakshit Hargave: So, your first question was about the market growth and something about category that you mentioned?

Grasim Industries Limited

February 11, 2025

Page 13 of 15

Rakshit Hargave: I think Jan, summer has come on the markets. I mean the skies have opened up. So maybe Jan was, as I hear from the dealers, a bit better, but very early to say how will it go, whether the quarter is going to be significantly better or similar like last quarter. But yes, when the skies open up and then there is a lot of activity starts happening is what we heard. As far as dealer type, talking about A class, B class, C class, the way whatever we define the dealers. So as compared to 4 or 5 months back, I think that comparison is also a bit unfair because our coverage 4, 5 months ago was half of what we are today. So obviously, we have added dealers of all types. And like I said that we are getting good response also from the large dealer and the mid-sized dealers. And I would say that we are quite equitably present across all these 3 classes, getting good offtake from all these dealers. But trying to compare it with where I was 4 to 5 months back would not be the right barometer at the moment because the absolute count itself was a lot less, we've added a lot more dealers in the last quarter.

Amit Purohit: Yes. Just actually, I was referring to so

me dealers, which would have been appointed, say, 4, 5 months, so same dealer, if that is possible to share that data point.

Rakshit Hargave: So, what I can tell you is that the dealers who were appointed by us 4 or 5 months back, most of them have continued and their throughputs on a month-on-month basis are improving. It's a very healthy sign.

Moderator: Next question is from Meet Bhatt from Emkay Research Services.

Meet Bhatt: Sir, my question is regarding CPVC. So we are getting total capacity of 100,000 tons. And along with that, Epigral is also doubling the capacity to 150,000 and DCW also has 50,000. So, my first question is I wanted to know what is the current demand in terms of tons in India and outside of India? And what will be the demand scenario in next 2, 3 years?

Jayant Dhobley: Yes. So firstly, this business actually is done together with Lubrizol. So what will be sold in the market is the Lubrizol CPVC under the brand name TempRite. Grasim has a certain business model with them, which is covered by an NDA. Lubrizol has committed to India, the largest CPVC plant that they have anywhere in the world, and that is actually at our location in Grasim at Vilayat. From what I can tell you, and I can only disclose very limited because this business is together with somebody else, is that they see healthy demand for this. CPVC is a material of choice for plumbers in India. Lubrizol is forward integrated in India into compounding. And globally, they are by far number one in this category right. So, Grasim, together with Lubrizol, have very high confidence both in the market size, its growth and our joint ability to provide a product that is significantly superior to most other players in the industry.

Moderator: Next question is from Jai Doshi from Kotak.

Jai Doshi: Our estimate is that your market share may have improved by about 200 basis points in paint segment from September to December quarter. So is this improvement driven entirely by the B2C business? Or have you seen a good scale up in the projects institutional B2B business?

Rakshit Hargave: So obviously, the retail business, as you say, has ramped up. And the institutional business is also picking up in the last 3 months. So for me, to say if to come upon to 200 basis points that

Grasim Industries Limited

February 11, 2025

Page 14 of 15

you are talking about has come from which segment, I would say, obviously, it's a total share gain. But retail is obviously running ahead of institution for the reasons that I gave in the last answer.

Jai Doshi: And when you mentioned that secondary sales, retail sales is about 65% of primary sales. So if you exit the year with, let's say, exit the month of March with high single-digit growth, so we should understand that even from a retail sales high single-digit market share, from a retail sales perspective also, you may be clocking 5% kind of market share. Is that understanding correct?

Rakshit Hargave: No. So like I said, we want to exit the year in March in high-single digits. So 5% is just the middle. So we expect to do more than that. So 5% is not high single digits, is mid-single digits.

So we will be doing better than that when we exit in March. And we can already see that where we are today in January. We are on course to keep that working.

Moderator: Next question is from Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Sir, are we sharing the capex guidance for FY '26, please?

Pavan Jain: So Navin, our budgeting process is on. So, we will be sharing the FY '26 capex guidance most likely in our Q4 call, but depending upon whether we will be able to complete, but not before that.

Navin Sahadeo: Sure, sure. And if I could just ask one question related to Paint that will it strategically make sense to have putty business under us either acquire it from the subsidiary or maybe create a new one for a better synergy and a coordination with the business? Or do you think the cu

rrent

arrangement is good enough and needs no change?

Rakshit Hargave: So you see putty comes under UltraTech and it is doing well, and we would not want to comment on that, but it is running the way it is, and that's the way it will run.

Moderator: Next question is from Nirav Jimudia from Anvil Wealth Management.

Nirav Jimudia: Sir, my question is on the chemical side. So like if you can share how much was chlorine negative this quarter vis-a-vis last quarter?

Jayant Dhobley: So, for the reporting quarter, chlorine was about ■7,000-7,500 negative. And the prices continue to be under pressure. So, as you know, caustic prices globally went up by about something like 80% y-o-y, whereas about half of that was eaten up by negative chlorine. Until demand in the chlorine consuming sectors like agro, pharma, etcetera, pick up, we do expect chlorine to continue to be negative. I would not call out a specific price for this quarter, as you know, that is sensitive. But if you are in the market, you know that Q4 chlorine is more negative than Q3 chlorine.

Nirav Jimudia: My question is that with this chlorine negative rating expanded, how has our VAP portfolio performed? Because there, it's a direct beneficiary of whatever what we produce on the VAP side. So have we seen the profitability on the VAP side improved in Q3 vis-a-vis last quarter last year or even on a sequential basis, if you can share your view?

Grasim Industries Limited

February 11, 2025

Page 15 of 15

Jayant Dhobley: Yes, Nirav. The answer to that question is absolutely yes. And you will note in our press release that we have said that our increased profit is because of higher caustic prices and improved profitability of our chlorine derivatives business. And I would not want to quantify that. You know my chlorine integration level, so you can kind of make a guess.

Moderator: Next question Meet Bhatt from Emkay Research Services.

Meet Bhatt: Sir my question is same on CPVC. As we can see CPVC resin price has came down from \$200 to \$135. So first wanted to know the reason behind this and how it will impact us?

Jayant Dhobley: Yes. So our project with Lubrizol is in execution phase right now. We expect mechanical complete and commissioning to start somewhere in Q2 FY '26. So at this moment, we do not have direct impact to CPVC price. And having said that, as I mentioned earlier, this business is in partnership with Lubrizol. Lubrizol is the lead partner who is going to be in the front for selling the CPVC. The arrangement between us is confidential, but what I can say is we would not be affected by the volatility in CPVC prices. Grasim would not be affected by the volatility in CPVC prices. But we will have the favorable benefit as CPVC demand grows. As you know, CPVC is a highly preferred material for the plumbing industry.

Moderator: Due to time constraints, we'll have to take that as the last question. On behalf of Grasim Industries Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Pavan Jain: Thank you.

Call: May 2025

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GRASIM

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Ref No. GIL/CFD/SEC/26/033/SE 28th May 2025

BSE Limited
Scrip Code: 500300
National Stock Exchange of India Limited
Symbol: GRASIM

Dear Sir/Madam,

Sub: Transcript of post Earnings Call
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Please find enclosed the transcript of post Earnings Call held on 23rd May 2025 on Audited Financial Results (Standalone and Consolidated) of the Company for the financial year ended 31st March 2025 and is also available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q4fy25.pdf>

Thanking you,

Yours sincerely,
For Grasim Industries Limited

Sailesh Kumar Daga
Company Secretary and Compliance Officer
FCS - 4164

Encl.: as above

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Complex, Bandra (East),
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Page 1 of 17

"Grasim Industries Limited
Q4 FY '25 Earnings Conference Call "
May 23, 2025

MANAGEMENT : HIMANSHU KAPANIA – MANAGING DIRECTOR &
BUSINESS HEAD BIRLA OPUS, PAINTS BUSINESS
PAVAN JAIN – CHIEF FINANCIAL OFFICER
JAYANT DHOBLEY – BUSINESS HEAD, CHEMICALS
FASHION YARN AND INSULATOR BUSINESS
VADIRAJ KULKARNI –BUSINESS HEAD, CELLULOSIC
FIBRES BUSINESS
RAKSHIT HARGAVE – CHIEF EXECUTIVE OFFICER ,
BIRLA OPUS, PAINTS BUSINESS
SANDEEP KOMARAVELLY – CHIEF EXECUTIVE
OFFICER – BIRLA PIVOT , B2B E-COMMERCE BUSINESS

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Grasim Industries Limited
May 23, 2025

Page 2 of 17

Moderator: Ladies and gentlemen, good morning, and welcome to the Q4 FY '25 Conference Call of Grasim Industries. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone.

I now hand the conference over to Mr. Ankit Panchmatia , Head of Investor Relations. Please go ahead.

Ankit Panchmatia: A very good morning to everyone, and on behalf of Grasim Industries, I would like to welcome all of you to our Fourth Quarter Financial Year 2025 results and business performance discussion. I hope you have got a chance to refer to our results, presentation and press release uploaded on our website and exchanges. Before we begin, I would just want to draw your attention to the disclaimer statement, which is covered in the last slide of our presentation. Let me now introduce you to our management team present here with us on the call. We have with us Mr. Himanshu Kapania , Managing Director, Grasim Industries and Business Head Birla Opus, our Paints business; and Mr. Pavan Jain, Chief Financial Officer, Grasim Industries. We also have with us Mr. Jayant Dhobley, Business Head Chemicals, Fashion Yarn, and Insulator business; Mr. Vadiraj Kulkarni, Business Head, Cellulosic Fibres business; Mr. Rakshit Hargave, CEO, Birla Opus, our Paints Division; and Mr. Sandeep Komaravelly, CEO Birla Pivot, our B2B E-commerce business. Without taking much time, let me now hand over the call to Mr. Himanshu Kapania: for his opening remarks. Over to you, sir.

Himanshu Kapania: Good morning or good evening to all the participants who have joined this call from different geographies. I welcome you to Grasim Industries Quarter 4 FY '25 Investor Call. It's an honour to be chosen as the Managing Director of Grasim Industries. Originally a textile company, Grasim Industries has charted an extraordinary path of growth, innovation, and diversification over the last 78 years to become India's premier conglomerate with strong presence in textiles, chemicals, building materials and other industries.

I joined the Aditya Birla Group in the telecom business in 1997. At that stage, the group was US\$2 billion in revenue and dollar conversion was ₹36, with presence in textile, aluminum and start of cement, telecom, fashion, financial services, and other businesses. In the last 28 years under the leadership of Mr. Kumar Mangalam Birla, the group revenue has risen to US \$66 billion, and the dollar conversion is ₹85, thereby growing by 33 times at constant currency. This superlative growth has been driven by a) Believing in India and global growth story b) Combination of building scale in existing business and successfully diversifying to newer sectors. Similarly, the story of Grasim's transformation, which has delivered consistent 15% CAGR over a long period of 15 years , is akin to India's growth story. The company has incorporated multiple start -ups and seen through its journey until the unit becomes a force in

itself .

Grasim Industries Limited
May 23, 2025

Page 3 of 17

India is witnessing an unprecedented economic boom. India's rise has captivated the world's imagination. Very few countries in the world today have a multi-decadal runway of high growth or Amrit Kaal as our Prime Minister calls it. Our economy is truly and well poised to hit the \$10 trillion mark in the next decade or so. The scale of our mission is now being matched by the scope of the infrastructure evolution set to unfold. I would argue we are not in just infrastructure development phase, but in nation building. And the Grasi

m's diversified businesses are all set to play a pivotal role at the heart of this monumental nation-building endeavour. Our cement from UltraTech fortifies expanding highways. Our cellulosic brands like Liva and Raysil power from inside the fashion for the new confident India. Our Chemicals business supports varied applications across metal, construction, textiles, pharmaceuticals, and energy. Our renewables are making India more sustainable, and our financial services from Aditya Birla Capital gives wings to aspirational consumers. In the last 18 months, With the launch of B2B eCommerce business, Birla Pivot and the recent launch of our Paints business, Birla Opus, Grasim embodies the spirit of an aspirational India. This India, teaming with dynamism, audacity and penchant for disruption find reflection in both our Paints and B2B business. In fact, these ventures mirror India's zest for innovation and its refusal to settle for status quo.

In 2020, at the peak of COVID when our group Chairman asked me to lead Grasim foray into paints. I wondered why paints?. With a gleam in both our eyes, we found the answer lay in the bedrock of India's booming infrastructure, the construction sector. This sector alone is poised to command 9% of GDP translating to US \$900 billion in around 10 years. Grasim's deep insight into building materials ecosystem found over the years through brands like UltraTech and Birla White offered us a unique vantage point. Our journey into paints industry, therefore I discovered, was a strategic extension connecting the dots from the foundation to the facade across Indian homes. I also discovered that despite century-old decorative paints industry, India's per capita consumption stands at a near 3.5 kg. This contrast sharply with global average of 10 kg per capita and draws against 25 kg per capita of developed nations. For a country at the forefront of economic acceleration, India ranked at bottom 10% of the paint consumption. This reminds me of my telecom stint when India liberalized telecom services in 1990 but till mid of 2010 and even after 25 years, India was amongst the bottom 10% of broadband services adoption. However, when large-scale investments came in to build huge capacities ahead of demand and industry focused on affordability, quality, technology and coverage India rose to a number one, the highest broadband users in the world and the second largest in terms of number of mobile subscribers in the globe, helping India in its inclusive all pervasive digital journey. Therefore, in the context of paints, this represents a galactic opportunity. With rising per capita income, a young population, a booming real estate sector, a shorter repainting cycle, the potential for growth in paints consumption is immense. With all these factors, Grasim board in 2021 made a long-term commitment to decorative paints business with a vision to redefine the industry with consumer-centric programs and practices. They empowered us with ₹10,000 crore investment to prepare for tomorrow with a single-minded purpose to revolutionize the decorative paints business and pass on the fruits of competition to the consumers. The paints sector is at the cusp

Grasim Industries Limited
May 23, 2025

Page 4 of 17

of a similar transformative impact, which will turn India's facade into a beautiful place loved by one and all.

When I look back at the last 4 years' work, especially the last 6 months, I can say with pride on behalf of Birla Opus team that no paint company globally has ever launched in one shot factories, operations, products, and services at the scale that Birla Opus has undertaken. So, it's a matter of pride to share that in less than 6 months of pan-India operations, as per internal estimates, Birla Opus by itself has become India's No.3 decorative paints brand. Well done team Birla O

pus, ably led by CEO, Rakshit Hargave, a strong, committed, and agile force of over 4,700 employees and lakhs of partners in the paint's ecosystem. The driving factors for this early

success include:

1) Fastest capacity ramp -up in the world with 5 out of 6 plants commercialized until March 2025, adding 1,096 million liters per annum, in short MLPA capacity in FY '25, representing 21% share of the organized decorative paints capacity. All these plants are fully backward integrated with our own emulsion and resin polymers, key to delivering innovative products, consistent quality, and cost competitiveness. The company's paint plants meet stringent sustainability norms and our climate finance compliance as per IFC funding norms. Our final plant at Kharagpur is scheduled to be commercially launched in H1 FY '26, taking our overall capacity to 1,332 MLPA. Post Kharagpur plant launch, Birla Opus' capacity share of 24% in this sector will provide us the pathway to travel from existing high single -digit revenue market share to penultimate level of capacity share. Further, at the existing plants, Birla Opus has ability to add 400 to 500 MLPA incremental capacity with minimum cost whenever the need for the same arises. The industry is also undergoing a structural shape with consolidation of players through merger and acquisition and same expected to reshape the competitive landscape.

2) Fastest availability of near complete portfolio of 176 products and 1,250 -plus SKUs. Birla Opus is now competing across all 6 business categories in decorative paints, including interior and exterior water -based paints, including distemper and enamel paints, wood finishes, water -proofing solutions and wallpaper and designer finish in the economy, premium and luxury price segments, and institutional business. We are delighted with the response received on a quality of product from retail and institutional customers and ecosystem partners, including architects, designers, contractors, painters, and dealers. Our luxury and premium products are now contributing more than 65% to the company's revenue, a testimony to Birla Opus quality of products. Our unique polymer synthesis process and hybrid composite polymer design has helped to create paints with outstanding dirt resistance, crack bridge -ability, film integrity, excellent durability, high scrub, highest whiteness, and substrate adhesion to name a few.

3) Wide and deep distribution reaching every corner of the country across 6,600 towns in India. A network of 137 depots delivers across 33 states and union territories supporting just -in-time delivery for the dealer network. Also, Birla Opus is upgrading the consumer experience and is transforming decorative paints retailing by building first of its kind company experienced tools known as Birla Opus Paints Studio in the metros and franchised mid -sized stores across 300 -

Grasim Industries Limited
May 23, 2025

Page 5 of 17

plus towns known as Birla Opus Paint Gallery. Our compact tinting machines has healthy adoption across all dealers.

4) All-round positive feedback from all key users of our quality and acknowledgment of our exceptional paint performance features such as stain resistant, impeccable spotless finishes, spatter resistance, superior scuff -resistance, extra washability, and enhanced coverage and opacity. Lakhs of painters and contractors, encouraged with product quality, innovation features and better economics have joined our exclusive painter and contractor apps and are recommending Birla Opus products. There is a quantum jump on the number of architects and interior designers' recommendation for Birla Opus products after they carry out rigorous tests on metrics such as tactile feel, adhesion, aesthetic, finish, and longevity etc. Equally strong response from institutional clients with a number of sites executed has crossed 5 -digit mark just

in 6 months across cooperative houses, large and mid -sized builders, factories and industrial units, government projects including tourist attraction and religious places.

5) The new age Birla Opus brand is seen as a challenger and fast establishing itself as an embodiment of India's rich heritage, but modern, vibrant, and technological innovator. Birla Opus incorporates trust from the House of Birlas, quintessentially Indian with a beauty personified from Opus. Our meaningful and memorable advertising campaigns heavily supported Birla 360 -degree media strategy has helped in an exponential jump of all brand salience metrics, especially unaided recall, top -of-mind awareness, etc.

In summary, Grasim's Paint venture represents the indomitable spirit of a "startup" which can be epitomized through 5Cs, creativity, courage contemporary, choice and collaborative. With these guiding philosophies, Birla Opus team dreams to revolutionize every facet of the decorative paints industry and pass on the benefits to all stakeholders. As you're aware, UltraTech sells white cement -based putty under Birla White brand. All decorative paints player includes putty sales in their overall Decorative Paints revenue and volume reporting. Birla Opus

does not sell white cement -based putty. Therefore, on a like -to-like basis, Grasim's organized decorative paints presence exits Q4FY'25 has crossed 10% revenue market share mark as per our internal estimates when revenues of Birla Opus and Birla White Putty are combined. We'll continue to track these metrics. Separately, Birla White is aggressively expanding its putty manufacturing capacity with a recent announcement of acquisition by UltraTech of Wonder WallCare Pvt Ltd. With this acquisition, Birla White Putty, and VAP capacity at the 4 plants in FY '26 will rise to 23 lakh metric tons besides 16 lakh metric tons of , for white cement clinker manufacturing.

Moving on to our digital venture, B2B e-commerce launched in line with government's vision of creating digital India empowering SME businesses, Birla Pivot has created a new age, high - growth B2B e-commerce platform that helped them with procurement of raw materials across various sectors and catalyzes their growth by streamlining financing and supply chain gaps. Birla Pivot has made significant progress in FY '25 across all fronts such as technology, revenue scale up, category diversification, digitization and working capital management. Birla Pivot has crossed annual run rate (ARR) of ₹5,000 crores based on exit quarter 4 FY '25 in less than 2 years of inception and achieved a 3.3x revenue growth over FY '24. Heartiest congratulations to

Grasim Industries Limited
May 23, 2025

Page 6 of 17

Birla Pivot team ably led by CEO, Mr. Sandeep Komaravelly. The Birla Pivot platform now hosts a catalogue of more than 40,000 SKUs across 300 -plus brands and OEMs in 35 product categories with private label portfolio of bathware, tiles and plywood. Birla Pivot customer base spans top tier EPC companies, civil contractors, real estate developers, OEMs, fabricators, dealers, and retailers, etc. With successful deliveries of over 375 cities across 26 states and union territories, Birla Pivot has established a robust network of suppliers and logistic providers who facilitate a very seamless fulfilment experience.

Moving on , we have separately shared existing business performance, including Cellulosic Fibers and yarn, Chemicals - Caustic and Specialty, Textile , Insulator and others in the Q4 FY '25 investor deck. Existing investors and analysts have already been tracking performance of these evolved businesses for a long time and are familiar with this journey and way forward. In summation, we are pleased to report that Grasim standalone revenue has risen to its highest level at ₹8,926 crore in quarter 4 FY '25, an impressive Y -o-Y growth of 32%. This reflects t

he initial

success of new businesses and sustained strength of our existing businesses. Further on the ESG front, we are happy to share that Grasim got listed for the second time in a row in the S&P Global Sustainability Yearbook 2024 . Grasim also won the "Master of Risks – Conglomerate " award in the Large Cap category at the India Risk Management Awards 2025.

In conclusion, as new to this role, I see Grasim at the cusp of transformation, with increasing share from consumer -oriented businesses, we are driven by the vast opportunity presented in the Indian economy and the values and purpose of the Aditya Birla Group. Grasim now uniquely combined dynamism, frugality, and energy of a new age start -up businesses like paints and B2B E-Commerce along with muscle, reliability, and brand strength of well -established businesses in the textile, chemicals, and energy spaces . We will not just grow, but also nurture the ecosystem, enrich lives, and contribute to the foundational element of new India.

I take this opportunity to thank Mr. Pavan Jain , who is superannuating on 15th August 2025 for a stellar role played in shaping Grasim's transformative journey. I would also like to welcome Mr. Hemant Kadel, a Grasim veteran, and a colleague of Pavan, who will take over from him as Grasim's CFO from 16th of August 2025.

I now hand over to Pavan to give details on financial performance.

Pavan Jain : Thank you, Himanshuji, for giving a detailed business review on the new businesses in the year gone. I would like to add that our established core businesses namely cement, cellulosic fibres and chemicals continue to deliver strong performance with market leadership across businesses, delivering quality products to meet customer requirements and healthy cash flows, the core businesses provide both stability and strategic leverage. Some achievements in the year gone by in respect to our core businesses are :

Number one, cellulosic fibre has achieved highest ever revenue , annual revenue of ₹15,987 crores, growth of 6% Y -o-Y primarily led by volume growth of 4%. However, the profitability of this business during the year was lower by 12% on a Y -o-Y basis due to higher key raw material prices absorbed by the company partially. In Q4 and entering Q1, slight moderation in

Grasim Industries Limited
May 23, 2025

China capacity utilization and higher inventory days has resulted correction in global prices of cellulosic fibres. And at the same time, pulp prices have also started to soften. As approved by the Board, the work on the first phase of Lyocell Fibre project of 55,000 tonnes per annum, out of the total capacity plant of 110,000 tonnes at Harihar, Karnataka, the work has commenced. The new plant is expected to be commissioned by mid-'27. In Chemicals business, while available capacities increased by 400 TPD expansion at Vilayat plant in Q3 FY '25. Caustic sales volumes were lower by 3% Y-o-Y due to plant shutdowns at Karwar and BB Puram for few days during the quarter. Moreover, higher negative chlorine realizations due to continued oversupply and lower demand from end user industries have moderated ECU growth. However, chlorine derivatives business performance is improving significantly with focused business development activities across products portfolio. We enter FY '26 with full available capacity of caustic and specialty chemical. The projects of ECH and CPVC plants at Vilayat are expected to be commissioned around Q2 FY26. One highlight over the past 3 years, both Cellulosic Fibres and Chemicals business combinedly have consistently delivered top line of over ₹20,000 crores with EBITDA of over ₹2,500 crores across cycles reflecting the strength of these businesses. Cement business under UltraTech has been growing with total capacity exp

ected to reach 215

million tonnes with estimated EBITDA per tonne saving of about ₹250 to ₹300 by 2027. In Financial Services business with AUM now over ₹5 lakh crore, growth of 17% Y-o-Y and total lending portfolio of over ₹150,000 crores, growth of 27% Y-o-Y, Aditya Birla Capital is one of the fastest -growing NBFC in India with consistently growing revenue and profits.

Happy to announce that the Board has approved a final dividend of ₹10 per share, reinforcing our legacy of consistent shareholder value creation. This marks the 62nd consecutive years of uninterrupted dividend payments, a testament to our financial strength, resilience, and commitment to reward the shareholders through all business cycles.

With this remark, I'll now open the floor for Q&A.

Moderator: The first question comes from the line of Amit Purohit from Elara Capital.

Amit Purohit: Congratulations for the excellent performance and hitting the targeted market share that you indicated in the last call. Two things I wanted to understand, one, on the dealer counts, if you could highlight what would be at the exit of March '25. And how do you see that over the next, say, 3 years reaching bigger counts? That's my first question.

Rakshit Hargave: Like we said, our objective was to hit 6,000-plus towns and try and track close to 50,000 dealers at the end of the first year. So, we are close to where we had targeted. And in terms of how we look at it in the next couple of years, there is scope for more numerical dealer addition, which we believe there are dealers who want to join us. There are also territories, which we have not covered. But also, along with that, we will consolidate on the dealer base that we have created and extract more counter share from them.

Amit Purohit: Sure. And sir, on the comment that 65% of the portfolio is on the premium and luxury side, could you just provide some insights into it because, I mean, what we would understand is that we have a complete range of products. But are you saying that in the emulsion segment as well,

Grasim Industries Limited

May 23, 2025

the premium side? Or this also includes the waterproofing premium side or a good, finished premium because what we understand is that the leader would have a limited premium when we look at the emulsion side of the portfolio because that market itself is small. So just a clarification on that will be helpful.

Rakshit Hargave: Okay. So, the way we have structured our portfolio is that most of the products that we have are covered under three subbrands, one, which is the luxury brand Calista, which is premium and Style, which is the so-called economy brand. Now we have a branding philosophy where even our enamels are branded either Calista or a Style. So, when we say this is not addressing only emulsions, but this is addressing the premium and the luxury segment in all the categories where we play, where we have these subbrands leading them. So that's the clarification. It's not only for emulsions.

Amit Purohit: And any targeted market share guidance you would like to highlight right now, say, for March '26.

Rakshit Hargave: No. So, like we said, we have achieved our first benchmark of high single digit. And for next year, the ambition is to be a double-digit player, we'd love to hit that. That's all we can add.

Moderator: The next question comes from the line of Rahul Gupta from Morgan Stanley.

Rahul Gupta: I have a couple of questions on cellulosic business. I remember there was some disruption in third quarter. However, fourth quarter volumes are still much lower versus Q2 levels. Can you

please help us explain what's happening over there? That's my first question.

Vadhiraj Kulkarni : In terms of our volumes, the demand has been quite stable, except that in quarter 4, we have seen some minor drop in the demand in the Indian market. So, we had to increase our

exports.

So, we have not lost any capacity. It's more about diverting some of this capacity to export market. Plus, we also had increased certain specialty kind of product because of which there is a certain change in the productivity levels, changeovers, etc. So, there is no significant change in terms of our capacity utilization. Of course, there are certain machines that we take for maintenance on a periodic basis. So, on a quarter -to-quarter, you would see certain kind of variations in terms of volume.

Rahul Gupta: Understood. My second question is that I see that your Capex in the cellulosic business in fiscal '25 was much lower than what the management earlier targeted. How should we look at this for fiscal '26? And what kind of capacity can be unlocked by debottlenecking over the next couple of years?

Vadhiraj Kulkarni : Yes. One year, we, depending on how we do, at a Grasim level, how do we look at capex allocation, various businesses get different kinds of capex allocation. So, in terms of certain non-critical capex, we had been taken up this, I mean, in FY '25. But I think we have major projects ongoing now as far as FY '25 is concerned, in terms of cash flows. One, there is a Lyocell project setting up 55,000 tonnes per annum of capacity is being approved. So that project has started. But in terms of debottlenecking of pulp capacity in Harihar. There is a couple of other projects, which are happening in Vilayat and Nagda plant for debottlenecking. They are on course. And

Grasim Industries Limited

May 23, 2025

Page 9 of 17

by end of H1, we would have a slight increase in the capacity of the viscose fibre. So, our capex plan, all of them are now going pretty well. While some of these capacities will get actualized later, but the projects have progressed well, and we will have a minor increase in the capacities in some of our existing lines by H1.

Moderator: The next question comes from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Hi, Rakshit, congrats on reaching 10% market share exit first year. My question is can you give some idea on what would be your targets for exit FY '26 in terms of market share? And can you tell me what is the total number of tinting machines that we have set up as of FY '25 end?

Rakshit Hargave: So, Percy, you know the 10% market share, the double-digit market share that we have shared is the consolidation between Birla Opus and the Putty business of Birla White. All the paint companies also have putty, but Opus by itself doesn't have. So that is what we have given. Now like I said, we are not giving a guidance or a target for next year. But Birla Opus by itself should be a double-digit share player is what our aspiration is. And whenever you add putty on to it, it will obviously be incremental. Secondly, on the number of tinting machines, we have a good tinting machine penetration. So rather than giving an actual number, I can tell you that the tinting machine penetration that we have is close to 80%. So nearly 80% of the outlets we have opened have the Birla Opus tinting machine.

Percy Panthaki: Got it. Second question is, if you can give some flavor. I'm not looking for any exact numbers, but some kind of flavor on what is the geographic mix. And what is the product segment mix in terms of are you strong in, of course, East, you've probably not yet had a plant, so it will be weak. But among the 3 regions, relatively which one is stronger, weaker? And in the product segment, that is your premium mid- and mass, where would you have relatively the best market share? Where would you relatively have the lowest market share?

Rakshit Hargave: So, Percy, I think even in the last 2 calls, I have mentioned that Birla Opus is truly a national player. So, we don't have too much of variation between the best performing regions and the so-called bottom-performing regions. So, we are doing

well in most of the regions. But like I said, the spread is not anything different from 80 to 120. On what is selling well, obviously, our emulsion portfolio. And that was also, if you see, over the last 12 months, we entered the market first with our emulsion portfolio and then we introduced waterproofing and enamel portfolio came a bit later in the day because the solvent manufacturing, initially only 2 of our plants were making. So, if you go by that sequence, our overall emulsion portfolio has got a very solid response, and that includes both the luxury segment led by Birla Opus one and the economy segment led by style. We have excellent uptake in both the exterior and interior segment. So, what I could say is that the quality differential that we have been able to give in the products, which is easily discernible is most easily discernible in the usage of emulsion, which is why the adoption of our emulsion range across 5 segments has been excellent. To top that, All brand which is our waterproofing range, also has got excellent feedback and Wall roof, which is the

flagship product is , and currently is also the waterproofing season. And I can tell you that it's extremely high demand and the adoption from painters and contractors for waterproofing is also high.

Grasim Industries Limited
May 23, 2025

Page 10 of 17

Our enamel entered the market, I would say, 3 to 4 months after the emulsion business, and it took somewhat time because enamel comes multiple sizes and small packs. So that took a bit longer . Nonetheless, our enamels are also picking up. But yes, it would be trailing the emulsion business by a few months. Apart from that, like we said, that we've launched the whole portfolio, we have designer finish. We have our good finish, which is there. So , we have both the Italian range and the Indian range and the market acceptance of all that is excellent. This year, we will only develop these categories even deeper, and we will also add more products to make these portfolios even more complete. So that's how I would put it.

Moderator: We take the next question from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: My question first was in the paints segment related to premium segment and then the overall EBITDA losses. Now our understanding basically was that with the Mahad unit commissioning, the company will be able to offer a much larger bouquet or, in a sense, could emphasize more on the premium segment offering, so to say. And in that context, I also had an observation that amongst the large competitors, premium segment contributes over 50% of EBITDA. So, first of all, is that a fair understanding that premiumized, premium or those premium segment from Mahad plant will be the niche offering or the main offering, and hence, overall portfolio will tilt or focus on that? And then in the same context, if the profitability in that segment is high for peers, would it be fair to say that Birla Opus EBITDA losses would see a significant reduction as a part of this?

Rakshit Hargave: So, Navin, I would like to correct each of your statements. Directionally, you might be hinting us the right thing. But number one, Mahad is making the same product, which is being made at all the other factories. So Mahad is not adding anything new. My understanding is when you use the word premium, you basically mean in paints, there is a luxury segment, there is a premium segment and there is an economy segment. I assume that you mean both the premium and luxury segments, right? Am I correct?

Navin Sahadeo: Yes.

Rakshit Hargave: So, if that is correct, Mahad has not added anything new. Mahad only gives us great geographical presence and allows us to equate our distribution more economically. And obviously, it produces the whole range. It produces solvent also and emulsions also. From a profitability or a loss-making point of view, I think the

assumptions that you are making, yes, all the companies, emulsions is the more profitable category, but our emulsions are manufactured in each of the 5 factories and in Kharagpur, which will go into trailing next year , next month. So, I don't think there is any business differential coming because of Mahad. And like we said, our emulsions are doing well across the three price segments, and Sandeep will tell .

Himanshu Kapania: On incrementally I'll add that the advantage of strategically located plants is in the freight and logistics cost. That is the benefit that will accrue to us as more plants coming up. So, with Mahad, you can see from our results also, there is improvement in our freight costs, and this will further go down with Kharagpur. Previously, there was somebody's comment that our presence in East is not there. We'd like to correct that. We have a full presence in East as well, though supplied

Grasim Industries Limited
May 23, 2025

Page 11 of 17

from Northern, Western and Southern parts of the plant. And once Kharagpur comes up, it will give us the logistics cost reduction.

Rakshit Hargave: So, Kharagpur will reduce the per kilometer per litre travel by the average of product.

Navin Sahadeo: Understood. That's clear and helpful. My second question was in the B2B e -Commerce space, and glad to know we have crossed the annual run rate of ₹5,000 crores in the quarter. So here, I just wanted to understand the target seems to be now like very much in reach and much sooner probably. But from a profitability perspective, isn't the run rate of ₹5,000 crores itself helping us to turn positive at the EBITDA level? Or you think no, still, we'll need more time to be profitable? If you could just give some directional guidance, will be very helpful?

Sandeep Komaravelly : Thanks, Navin, for the question. This is Sandeep here. So , a couple of pointers on what you were mentioning. Yes, on the scale -up part, we've been doing well. And every quarter, we've been

seeing consistent growth because of our increase in the number of categories that we are presenting and also the geographies that we cover, which has really helped us grow our customer base and the overall revenues. Also, a lot of the things that we are doing on the technology front, whether it is our logistics capability or providing end-to-end visibility for our buyers is also helping a steep growth curve. And as you rightly hinted, our earlier stated goal of hitting ₹8,500 crores, which is \$1 billion, we'll probably get there faster if we continue this growth rate. And what we had earlier also stated is that at that scale is when we will probably break even at an EBITDA level. We're still a new business; we started around 2 years back. And we probably are one of the fastest growing B2B e-commerce platform to have hit this scale in 2 years, but we still remain in the investment phase. We are still building our overall teams, technology capability. A lot of what we build is built ground up, given the complexity that is involved in how B2B e-commerce platform needs to operate. So, we continue to invest in that, continue to build capability around logistics infrastructure, around how we build seamless fulfilment experience. So those investments will continue even into the next year. But at the scale that I mentioned, we should be breaking even at an EBITDA level. That's from my side now.

Moderator: We take the next question from the line of Praful Kumar from Dymon Asia.

Praful Kumar: Sir, many congratulations on a great Birla Opus performance. Just one question. When we launched the brand, we had a ₹10,000 crore top line in 3 years' vision. Given this macro slowdown that we are seeing, and the seasonality in the H2, which if we annualize over time, how do we intend to reach that target in terms of top line because a lot of distribution and initial excitement about the brand is already

that we are seeing in the quarterly run rate?

Rakshit Hargave: So, the ₹10,000 crore guidance within 3 years of full-scale operations, obviously, it takes into account that 3 years is a long period, and you will have periods of some slowdown and periods of growth. As far as we are concerned, we are absolutely positive that the medium-term outlook will improve while the market has been slow. So, I think a couple of quarters here and there doesn't bother for us because the outlook for India is going to be bright. So, we don't really bother, and we also managed to that.

Grasim Industries Limited
May 23, 2025

Page 12 of 17

Praful Kumar: Fair enough. And sir, second question is on the pricing. Given the leader is obviously you're taking market share, any action on the pricing that we have seen lately in the market? And how is your brand positioning versus the leader in terms of pricing today?

Rakshit Hargave: So, you see, there are two aspects of pricing. What is relevant for the consumer is what price he'll be paying to my Birla Opus, which means what price dealers are charging for customers, and wherein the dealers are charging the same price as the market leader. So, Birla Opus is able to charge the consumers ready with the same price. In terms of other aspects, yes, we have seen that maybe in the economy segment, some of the competitors have tried to drop some prices, etc, but those are all factored in the plan. As we are concerned, we are giving great value to our customers. We are also having a unique proposition that on the 20-liter and 10-liter emulsions, anybody who buys it gets 10% free, which is going to the end users are not going to the dealer. That makes our value proposition very strong. So, from that point of view, we are well placed. And we anyway watch the market wherever we need to make any price differences.

Moderator: The next question comes from the line of Nirav from Anvil Wealth.

Nirav: I have two questions on the chemical side. Sir, first is like when we see two bigger players putting up their caustic chlorine plant for captive chlorine requirement and existing players also putting up the downstream chlorine plants, is it a possibility that industry dynamics would change over a period in terms of chlorine pricing improving on the positive side, your thoughts here? And, except of pipeline, what is our chlorine consumption internally? And how this ratio would look like once our CPVC and ECH plants are commissioned?

Jayant Dhobley: So, a couple of things. Look, India, as you know, is a country with a very strong domestic consumption growth, right? So, you can do a calculation roughly 700 to 1,000 TPD per year is the organic growth of the industry as far as caustic is concerned, right? So domestic growth in India is going to grow strong. You know all the macroeconomic indicators. So, I think the first point I want to make is whatever excess capacity or new capacity comes into India will be absorbed by the Indian market through its natural growth, right? So that's the first point. Second point, as you correctly mentioned, the capacity is coming in essentially are PVC capacities. Now India, of course, is importing PVC. So, PVC ultimately is, you know, some game. PVC demand is not going to increase just because there are 2 large plants in India. So somewhere, the higher cost plants, and my guess is those would not be in India, would have to reduce their operating rates, correct, because caustic is their byproduct.

So, from that perspective, and then there are certain players in the industry maybe who are less

integrated, have a higher cash cost position, etc. So, from that perspective, while we may face 1 or 2 years of choppy waters, it is unlikely that there is going to be a longer-term structural impact on the existing, right? Again, mainly because domestic demand is growing, Indian capacity of PVC will substitute capacity

of PVC somewhere else. And within the Indian industry itself, there will be some amount of rationalization.

I think the second point you asked is on integration. So, we basically look at overall integration which is after completion of our existing projects going to go from 65% to 70%. And we are

Grasim Industries Limited
May 23, 2025

Page 13 of 17

reasonably happy with that level of integration. And I will also tell you why we are reasonably happy with that level of integration. Because the newer capacities which are coming in related to PVC will be fully chlorine integrated. And chlorine demand typically grows 3% or so faster than caustic demand, right? So over time, you will see the result of the PVC capacity additions will mean that the net chlorine available to the Indian market is reduced. And to that extent, the negative chlorine will also start becoming less negative, right?

Nirav : Correct. Sir, second question is on the epoxy side. So we have seen good sequential growth in the top line from the epoxy division. So how do you see the volumes of epoxy ramping up in FY '26 over FY '25 base? And with this tariff scenario playing out, do we see opening up of newer businesses in the export markets in terms of newer applications like advanced composites, thermoplastics, etc?

Jayant Dhobley : So, I'll answer your second question first, right? Right now, what is happening is because of the entire tariff situation, the global flows are very uncertain. So, everybody is in a kind of situation where they buy only what they need. And this will take a little bit of time to set it up. Now assuming there will be differential tariffs on different countries, in some cases, of course, India will have an advantage, right? And while our current export volume is small, we may get some upside, and we may even get some ability to provide formulation products to the countries outside of India. Now having said that, the majority of our epoxy sales actually are catering domestic industry, they're catering domestic demand, which continues to be strong at Opus. So, if the tariff situation creates any opportunities for us, there will only be upside. I have to also say that some of it may also be countered by a few downsides. As you know, there is a Korean FTA that the industry is unhappy about on imports and epoxy from Korea. So, it's a bit fluid situation. I can paint scenarios, but I can't tell you which scenario will actually work out. But again, most of our epoxy sales by and large are catering domestic demand, which over time will continue to grow. So, we to expect the epoxy business in India to have a solid growth rate. We will continue to participate in that growth and continue maintain and increase our market share.

Moderator: We take the next question from the line of Shreya Banthia from Oaklane Capital Management.

Shreya Banthia: Congratulations for a great set of numbers. So, my question is also regarding the chemicals division. If you could just throw some light on the capacity utilization of the epoxy plant and what was the bifurcation into your liquid epoxy and the value-added product, that would be my first question?

Jayant Dhobley : I will continue to maintain that we have a high market share. We have exclusive dealers. We continue to maintain our share and we continue to grow our share.

Shreya Banthia: Understood. And what was the negative chlorine realization for the quarter and for the year?

Jayant Dhobley : So, chlorine realization last quarter was not so great, right? At the lowest, I think you'll touch like minus ₹9,000 or something. However, it is showing an improvement trends.

Shreya Banthia: And for full year, sir?

Grasim Industries Limited
May 23, 2025

Page 14 of 17

Jayant Dhobley : For the full year, negative chlorine realization was in the range of about ₹6000 to ₹7000, I won't quote an exact number, but in that range.

Moderator: We take the next question from the line of Sanjeev Kumar Singh from Motilal Oswal Financial Services.

Sanjeev Kumar Singh: My first question is on the paint business. So, we have given in the investor presentation that B2B e-commerce annualized revenue run rate was around ₹50 billion in this quarter. So, does it mean that there, the revenue was closer to ₹12.5 billion, ₹13 billion and this was from the paint

revenues? Also, if we exclude the putty business, then is our market share closer to 7.5%, 8%? And would you like to set some interim target for losses? So, we have said that we will be profitable when we reach the revenue of ₹1,000 crores. Does it mean that we should look a situation that we will be EBITDA breakeven only when we reach at ₹10,000 crores? Or it should be prior to that?

Rakshit Hargave: So, I think you talked about the revenue of B2B e-commerce business. But the Birla Opus is separate and our B2B business is separate. So, I'll focus on the Birla Opus part. So, on the Birla Opus part, we said that the market share of the putty business and the Birla Opus paint business put together is in double digits. And like we said, Birla Opus by itself is in high single digits.

So, you can work backwards as you feel like, but the number will come in the same ballpark in which you're talking about. As far as profitability is concerned, we said our ambition is to be ₹10,000 crores full scale 3-year operation and be EBITDA breakeven. Now whether I breakeven at ₹10,000 crores or whether I can be breakeven at ₹9,000 or ₹9,500 crores or somewhere in the journey in that ballpark range, we will manage it as we move ahead. That is the guiding point. But I think that's how we should read that number. And just to clarify, again, the B2B business is a separate business, and they have declared annualized ₹5,000 crores, and Birla Opus is separate with the kind of market share that we're working on.

Sanjeev Kumar Singh: No, sir, what I meant that our Building Materials business segment, if we assume UltraTech is closer to ₹2,100 crores and B2B business, if we go by the presentation number, is around ₹1,250 crores, ₹1,300 crores, so paint business comes out to be around ₹900 crores. That is what I meant when I quoted this number.

Rakshit Hargave: That is, you're working, and we appreciate your working. But also, Pavan has declared on earlier calls also that at the suitable time, we will share all the numbers. And I think we should take that right now.

Sanjeev Kumar Singh: Got it, sir. My second question is on CSF. So how is global demand/supply now? Because I am seeing that there has been a pressure on CSF prices. At the same time, pulp prices are also coming down. So, does it mean that all the benefits are being passed on by global players also because of the weak demand situation? Or do we read something different into this?

Vadhiraj Kulkarni: So, the demand in terms of operable demand globally, it is muted. It's not growing big time, but China has seen a dip in the demand and because from mid-April onwards because of tariff uncertainty, there is some kind of a wait-and-watch approach being taken by the value chain player, which is getting a little better now. So, I think the price correction will be around two

Grasim Industries Limited
May 23, 2025

Page 15 of 17

counts, one is because there has been, China demand has slowed down. And of course, China has a large capacity, so they determine how international prices play out. Two, yes, pulp prices have significantly come down in the last 2 to 3 months. So yes, part of that is also helping contain in terms of margins. So obviously, when the pulp prices drop, there is also an effect on the pricing in the market. So, let's say, you're right on both counts.

Moderator: The next question comes from the line of Prateek Kumar from Jefferies.

Prateek Kumar: My first question is on both VSF and

Chemical. Firstly, VSF, we have ended this quarter at like a 7, 8 quarter low unit EBITDA per kg for the segment. With the declining prices for both pricing in the top line and cost, as you said, so you're looking at even weaker performance like in first half FY '26 or like is this the bottom of 8 quarters, which we have made like in Q4? And in Chemical business, I had a question, like we have now hit 1.5 million capacities there. So do we expect to grow double the industry growth in FY '26 or like in line industry growth at like probably 5% to 7% because that has been a kind of growth in past few quarters for the segment.

Pavan Jain: So, on the VSF profitability, as Mr. Vadhiraj has already shared in the last question that there is kind of uncertainty because of these tariff issues globally, I mean, different countries playing out that tariff issues. So, there is a demand slowdown in the China market. So, to that extent, yes, there will be a weakness. We don't give the guidance for FY '26 kind of profit numbers. We have given you the macro kind of situation. But as the tariff uncertainties situation has a better clarity about, I mean, how the sale is going to pan out, I think we will have to, till then, we will have to wait and watch kind of situation.

Jayant Dhobley: Yes, I'll take the chemicals question. Jayant here. So, look, you have correctly pointed out our headline capacity number. But as we have declared in the last couple of calls, including this quarter's call, we have had a few technical issues in our plant where we have lost a few percentage points of utilization. So, as we go into next year, we will be benefited by the improving reliability of our plants, and we are already starting to see that plus the market growth. So, if you look specifically at next year, then we will be able to grow equal to and probably higher than the market because our plants will perform back to their usual level of utilization.

The last 3 to 6 months have been a little bit abnormal for us. If you look at the specialty chemical part of our portfolio, we have more than sufficient capacity in our chlorine derivatives to continue to grow with the higher growth rate of the chlorine derivative industry. That usually grows 2 -3 percentage points faster than the best caustic portfolio. And it's a portfolio, so capacity calculations are complicated, but what I can indicate is that we have enough capacity to grow equal to the market. And the same lies for our epoxy portfolio. We have more than sufficient capacity, both in base resins, formulations, and specialties to grow with the much higher growth rate of the epoxy industry. So, I think you can expect equal to or possibly above -market growth for next year.

Moderator: We take the next question from the line of Sheela Rathí from Morgan Stanley.

Sheela Rathí : My question is on the paint sector. Just want to understand as we are in F Y'26, given the current demand scenario and also the competitive landscape, from your lens, how do you see F Y'26

Grasim Industries Limited
May 23, 2025

Page 16 of 17

panning out from a growth perspective? And also, is there a need for us to embrace higher discounting this year versus what we have done last year? That's my question.

Rakshit Hargave : Sheela, if you look at it from a year which has gone by point of view, if you exclude Birla Opus, then the market has actually been negative. So, the market has actually been negative. And if you add Birla Opus, then the market has been positive in low single -digit numbers. What we see today is that the market is still slow. And while it will be difficult to predict how FY '26 would go, but it could be that FY '26 remains a low single -digit growth here. Obviously, the basis for last year is also low, so that could be slightly different. Now whether you need to do price discount is a strategy which I think the other players also have to

decide what to do because

usually when you do a price discount, it leads to more price discounting by all the players in the market. What ultimately is needed is that the end consumer, who is using, should get the product at a lower cost, which is not usually guaranteed. So, we will have to watch in terms of how the price evolves in the market. As far as we are concerned, we are giving good value, and we will continue to do what we are doing. But yes, the market seemingly at the moment seems to be on the same track as it was, say, in the last quarter.

Sheela Rathí : Understood. One follow -up. When you talked about luxury premium segment to be 65% of revenues, and I know you clarified in one of the earlier questions, just want to understand, is there any market flavor which you can add here as to which markets are kind of accepting these kinds of products ?

Rakshit Hargave : So, luxury and premium products sell across India. While yes, there are certain markets which sell, for example, Kerala sells a very high proportion of exterior luxury, Gujarat sells very high proportion of interior luxury. There are definitive markets, up North, Punjab, they sell a lot of high-value good finish. So, the market behaviour for us from a luxury premium, our products have acceptance in all the geographies. And because we've done a lot of work with contractors and contractors are able to appreciate the quality of products, so from our point of view, there are markets where these categories are already big. But as we are still a single share player, we have found acceptance everywhere in all regions and all over.

Himanshu Kapania : Incrementally, I'll add that in aspiration, consumers today want to upgrade their quality of paints. And we are a little surprised that the industry has been downgrading their products by offering larger scheme at the lower end while the consumer aspiration is more at the medium and the upper end of this because more , as they want to upgrade the quality of homes and as such, their focus is to get better aesthetics. So whether it is in wood, whether it is in waterproofing solution, there is more demand for a 10 -year plus products. The same applies to emulsion products, both interior and exterior. And even in wood finish, clearly demand is more on the luxury and premium side of the products . So there is an overall trend change. And while Rakshit did mention there is a slowdown, I believe the slowdown was more led by over focus of industry by downgrading their products. As the price stabilization happens, the industry will come back to its natural double -digit demand. So , volume was not the slowdown. The issue was primarily on the value primarily. And once the overall industry focuses on the mid - to higher end of the product categories across all business categories, we will find the industry should come back to double -digit growth. We are very confident of that over a period of time.

Grasim Industries Limited
May 23, 2025

Page 17 of 17

Rakshit Hargave : So, to add, we have done a lot of research before we were launching. And it was very clear that even the so-called lower LSM or lower FCC consumer was of the opinion that if I'm going to paint my house once in 5, 6 years, I actually want something which is good in quality. And hence, focusing on the higher value and quality products, if the industry works from that line, it will be beneficial for everyone.

Moderator: Ladies and gentlemen, due to time constraint, we take the last question from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj : Sir, my question is on the chlor-alkali business. So, in the earlier question, you alluded about the chlorine situation being on the long side. Given that the chlorine will be captively consumed for PVC by the new players and there will be long on the caustic side, what's your perspective in terms of the ECUs, whether structurally

the ECUs will be closer to, say, 30-plus prices or there

is a possibility that the current kind of ECUs and slightly improving trend, we will be able to see even after those capacities come in?

Jayant Dhobley : Your question is very similar to the question that Nirav had asked. So, I'll give a similar reply.

Remember, the pricing of caustic in India is set by import parity. Similarly, pricing of PVC in India is set by import parity. Now when these large PVC players come in, it's not going to change India's demand significantly, right? There will be a substitution potentially of imported PVC by Indian PVC. Correspondingly, PVC operating rates outside of India will come under pressure.

If you study the markets in North Asia, you will realize which are the higher cost PVC producers.

Correspondingly, supply of caustic in the international market will also come under pressure.

And ultimately, as I mentioned earlier, it's a big market. Caustic is a very big market. There are many moving parts than only the PVC capacity that is coming into India. So, we don't feel that structurally, over the long term, it will have a negative impact on caustic prices. However, there will be certain quarters where there will be demand-supply mismatches, price dislocations will happen. So, there will be more volatility for sure. But it's not like there is going to be a structural issue in the industry. At least that's not what our thesis is.

Rohit Nagraj : Sure. Got it, sir. And second question is on the ECH front. So, the ECH guide that is coming up, will it be completely suffice for captive consumption? And if so, will there be additional requirement which we'll be taking from the market that we are probably currently doing?

Jayant Dhobley : So, I will only answer one part of your question. So yes, the ECH project that we are doing is meant for captive needs. What my commercial strategy is on ECH, I would not like to disclose on this call.

Moderator: Ladies and gentlemen, with that, we conclude the question-and-answer session. On behalf of Grasim Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Grasim Industries Limited

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Ref No. GIL/CFD/SEC/26/079/SE 14th August 2025

BSE Limited

Scrip Code: 500300

National Stock Exchange of India Limited

Symbol: GRASIM

Dear Sir/Madam,

Sub: Transcript of post Earnings Call

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015

Please find enclosed the transcript of post Earnings Call held on 8th August 2025 on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30th June 2025 and is also available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q1fy26.pdf>

Thanking you,

Yours sincerely,

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Pavan Kumar Jain

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Page 1 of 17

"Grasim Industries Limited

Q1 FY'26 Earnings Conference Call "

August 08, 2025

MANAGEMENT : HIMANSHU KAPANIA - MANAGING DIRECTOR & BUSINESS
HEAD, BIRLA OPUS

PAVAN JAIN - CHIEF FINANCIAL OFFICER

HEMANT KADEL - CHIEF FINANCIAL OFFICER (DESIGNATE)

JAYANT DHOBLEY - BUSINESS HEAD, CHEMICALS , FASHION
YARN AND INSULATORS (CFI)
RAKSHIT HARGAVE – CEO , BIRLA OPUS
SANDEEP KOMARAVELLY – CEO , BIRLA PIVOT
MANMOHAN SINGH - CMO, CELLULOSIC FIBRES

Disclaimer: E&OE - This transcript is edited for readability purposes, factual and verbatim errors. In case of discrepancy, the audio recording uploaded on the website on 8th August 2025 will prevail.

Grasim Industries Limited
August 08, 2025

Page 2 of 17

Moderator : Ladies and gentlemen, good day and welcome to Q1 FY '26 Earnings Conference Call hosted by Grasim Industries Ltd. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Panchmatia, Head of Investor Relations of Grasim Industries. Thank you and over to you, Ankit sir.

Ankit Panchmatia: Good evening and thank you for joining Grasim's Q1FY '26 Earnings Conference Call. The Financial Statements, Press Release and Presentation are already uploaded on the website of stock exchanges and our website for your reference. For safe harbor, kindly refer to the cautionary statement highlighted in the last slide of our presentation. We have with us our management team on this call to discuss our results and business performance. We have with us Mr. Himanshu Kapania, Managing Director, Mr. Pavan Jain, Chief Financial Officer and Mr. Hemant Kadel, Incoming Chief Financial Officer of Grasim Industries. From Businesses, we have with us Mr. Jayant Dhobley, Business Head, Chemicals, Fashion Yarn and Insulator (CFI) Business, Mr. Rakshit Hargave – CEO of Birla Opus, our Paints Division and Mr. Sandeep Komaravelly – CEO, Birla Pivot, our B2B E-commerce Business and Mr. ManMohan Singh, CMO, Cellulosic Fibres Business. Let me now hand over the call to Mr. Himanshu Kapania for his opening remarks. Over to you, Sir.

Himanshu Kapania: Good evening from India to all the participants across the globe and thank you for joining the call. Over the past one year, the global economic landscape has evolved rapidly, shaped by shifting global trade dynamics and policy responses. Let me highlight key developments across global growth, tariff policies and contrasting paths of advanced and developing economies.

Firstly, on global growth. In the past year, the global economy has shown moderate but uneven resilience. Growth has slowed slightly, with the global GDP expanding at just under 3%, reflecting the lagged effects of tight monetary policy in major economies and geopolitical tensions that have weighed on investment sentiment. Inflation while cooling in most advanced economies remains above central bank targets, keeping interest rates elevated. The US Federal Reserve and European Central Bank maintain a cautious stance through much of the past year wary of premature rate cuts. This has led to tighter global financial conditions and subdued credit growth. New supply chain disruptions such as the Red Sea, shipping tensions and sanctions have added fresh layers of uncertainty.

Secondly, tariffs and trade policy shifts was one of the most notable changes in the past year. The escalation of trade protectionism has reinforced a trend of fragmentation of global trade into regional blocks. Many countries are now actively re-shoring critical industries, prioritizing geopolitical alignment over pure cost efficiency. Even within regions, we are seeing trade barriers rise not in the form of just tariffs but also export restrictions on strategic minerals,

technology controls and state subsidies linked to domestic production.
Grasim Industries Limited
August 08, 2025

Page 3 of 17

Thirdly, diverging growth trajectories. The divergence in economic momentum between advanced and developing economies has become more pronounced over the past year. The US economy, despite tight monetary policy, has surpassed on the upside with higher consumer spending. Our growth is expected to slow below 2% in the year 2025. Europe and Japan, in contrast, have seen sluggish recoveries with weak ind

ustrial output, stagnant wages and fragile

business confidence. Meanwhile, the real momentum has shifted to developing Asia. China's GDP growth is projected at around 4.8%, reflecting a continued structural slowdown amid cyclic headwinds, especially in the property and consumer sectors. Export momentum has also weakened due to heightened trade restrictions and new tariffs, especially from the US and EU. India, on the other hand, continues to lead global growth amongst major economies, with GDP projected to expand by 6.8%, driven by stable domestic demand, higher infrastructure spending and sustained exports. Inflation, although sticky early in the year, has moderated to 4.3% by mid-2025, allowing the RBI to shift gears from a tight monetary stance to a more neutral and growth-oriented policy, enacting three consecutive rate cuts, totaling 100 basis points in the current calendar year.

In summary, the past one year has underscored a few key themes. Moderate global growth, with a clear divide between advanced economies slowing down and emerging markets accelerating, a series of sweeping trade tariffs, redefinition of global trade patterns and supply chain realignments, and the ongoing tension between economic integration and national security priorities. As we look ahead, the need for adaptive policy framework, regional partnerships and investment in sustainable, inclusive growth models has never been more urgent.

Grasim continues to harness the strength of its diversified business portfolio, seamlessly aligning with India's robust growth trajectory. Backed by a legacy of building large-scale, future-ready businesses, Grasim is well-positioned to cater to the rising demands of a dynamic Indian economy. Riding this growth wave, we are proud to share that Grasim has delivered 20 consecutive quarters of year-on-year revenue growth, achieving an impressive 15% CAGR since FY 2021. Our trailing 12-month TTM consolidated revenue has crossed a record high of nearly **₹1,50,000 crores**, a testimony to our consistent performance and resilience. While the Company's CFO, Mr. Pavan Jain, would be covering key financial highlights, happy to share that we have started the current financial year on a high note, reporting 16% YoY growth in consolidated revenue at **₹40,118 crores**. The standalone revenue for the quarter touched a record high of **₹9,223 crores**, up 34% YoY, led by high growth from new businesses, paints and B2B e-commerce, coupled with stable core businesses, cellulose fibres and chemicals. Consolidated EBITDA stood at **₹6,430 crores**, marking a strong growth of 36% YoY mainly due to higher profitability in cement and chemicals businesses. Partially offset by initial investments for building strong consumer-facing paints businesses, Birla Opus, in line with board-approved business plans.

Grasim Industries Limited
August 08, 2025

Page 4 of 17

Starting with the new businesses: Firstly, with paints business: Birla Opus reported double-digit revenue growth on a quarter-on-quarter basis. As per internal estimates, the organized decorative paints industry has grown by over 5% on YoY basis. However, as per our estimates, excluding Birla Opus revenues, the organized decorative paints industry has degrown slightly or remained flat on a year-on-year basis. Our belief is that this subdued growth rate is led by a push from incumbent industry players for low-end economy products. Nevertheless, Birla Opus continues to believe that the industry market share realignment along capacity lines, consolidation of fringe players, highest-ever manufacturing capacity addition, and increased brand salience will enable the decorative paints industry to return to double-digit growth. The industry is bound to capture the opportunities from rising consumer aspirations and exponential development in infrastructure, especially the housing sector. As per internal

estimates, Birla

Opus on its own is India's No. 3 decorative brand and when combining the revenues of Birla Opus and Birla White putty business, similar to the revenue reporting of all paint majors. Aditya Birla Group's presence in the decorative paints business has crossed 10% revenue market share. On the manufacturing front, the trial production of emulsions and water-based paints at Birla Opus 6th plant in Kharagpur has begun and commercial launch is on track by the end of Q2FY '26.

To emphasize, post the launch of this 6th plant, the Billa Opus installed capacity will rise to 1,332 million liters per annum, estimated to reach 24% of India's organized paint industry capacity.

On the Consumer Engagement front, Birla Opus Painting Services offered under the PaintCraft brand name is being scaled up through the retail network. PaintCraft has been running a direct painting services by the company in select cities for last two years, which is now being extensively expanded to over 100 towns in Q2 FY '26 through Company's dealer-operated franchises. PaintCraft is a differentiated service offering that is unlike any existing dealer-led painting services model. The key point that makes it distinct is that the service has been built on a digital platform, which integrates the service for all stakeholders, including the company, dealer franchise, applicator, painter, and consumer. This allows PaintCraft to offer a) Transparent consumer pricing, b) Financing on painting, c) End-to-end company oversight of dealer-led painting services through a trained execution network, and d) A fully tax compliant service. The Company remains committed to upgrade consumer painting experience not only in metros and large towns, but also in mid and small towns through Birla Opus PaintCraft services with a vision to offer consistent quality and affordable painting services with the backing of the Company. Separately, our research shows that consumer love for Billa Opus continues to rise as brand maintains its unique 360-degree integrated highly salient advertising campaigns. Recently, the company has launched part two of "Duniya Ko Rang Do" bringing back adorable "Opus Boy" in animation form. Opus' increased acceptance can be measured through higher uptake of premium and luxury paint products. This quarter, the premium and luxury product revenue contribution was maintained at 65% of revenue covering all categories across emulsion, enamel, wood finish, and waterproofing, including retail and institutional segments.

Grasim Industries Limited

August 08, 2025

Page 5 of 17

On the distribution front, the focus shifted to improving dealer throughput in terms of revenue by increasing penetration of each category with the onboarded dealers and selling a wider range of SKUs per category. The brand has expanded its pan India reach to over 8,000 towns in a short span of less than 12 months. The total CAPEX spent for paint business stood at ₹9,555 crores as on 30th June, 2025. Grasim is proud of Birla Opus team to have executed such large-scale greenfield project of six state-of-art plants. Such execution of simultaneous commencement without any cost overrun, lighting piece, production scale-up and delivering first-time right and consistent quality for the entire range of 179 products is a feat unparalleled. This execution further demonstrates financial discipline and manufacturing and supply chain prowess capability of this new startup organization.

Moving on to the second new business, Birla Pivot, The B2B e-commerce business. Let me start with the potential of online platform in the building and construction space. Indian B2B market presents an untapped opportunity estimated at \$2 trillion today and poised to grow at a ferocious pace of \$4 trillion by 2030, making it one of the largest globally. There are over 73 million SMEs, growing at ~13% annually who are

rapidly adopting digital solutions for core

business processes like GST compliance, e-way bills, digital payments and credit access. Since its launch in 2023, Birla Pivot has evolved into a comprehensive and trusted B2B e-commerce platform offering integrated procurement and financial solutions that help businesses grow and become more efficient. Birla Pivot platform today offers a wide range of products across 35 categories, 40,000 plus SKUs from 300 plus brands. Birla Pivot team has been successfully building a large network of buyers and sellers and continuously improving its proposition across three core pillars of B2B e-commerce, that is price, assortment and experience. There has been a steady rise in customer's engagement on its proprietary tech stack Birla Pivot Suite which is unique and solves the need of the ecosystem. The private labels across tiles, bathware and ply has been gaining traction, and we are seeing increasing inquiries for these categories. As for this quarter's performance, the business has delivered another quarter of superior growth rates despite monsoon-led weakness which impacted large part of the construction material segment. The business has grown at high single digit sequentially led by new customer additions and healthy repeat orders. The business annualized the revenue run rate continues to rise and remains on track to achieve ₹8,500 crore that is the billion-dollar ambition by FY '27.

Moving on to the cement business, the third revenue stream in Grasim's building materials segment, Ultra Tech. The performance has been robust with revenue growth of 13% YoY. The company added new capacity of 37.4 million tons per annum on YoY basis with total capacity domestic and overseas now at 192.3 million tons per annum. The large annual capacity addition includes greenfield expansion and acquisition of key assets of Kesoram and India Cement Limited business domestically and RAK at UAE during last one year. Ultratech continues to stand at the helm of India's infrastructure growth story and contribute to the nation's long-term development goals. The volume growth in the cement industry is estimated at 4%-5% and

Ultra Tech continues to outweigh industry growth with volume growth of 10% YoY. The operating EBITDA per metric ton grew at a healthy level of ₹1,248 per metric ton, a phenomenal rise of 37% on YoY basis led by scale benefits and cost optimization.

Grasim Industries Limited

August 08, 2025

Page 6 of 17

As regards existing core businesses including cellulose fibres, chemicals, renewables and other businesses and overview of company financials, I am now handing over to the CFO, Mr. Pavan Jain to carry on from here.

Pavan Jain: Thank you, Mr. Kapania and good evening to everyone. Cellulosic fiber prices continue to remain resilient compared to other competing fibres like cotton and polyester which are exhibiting volatility with a downward bias. In H1 of calendar year 2025, there was demand slowdown globally including demand in China resulting into decline in utilization levels to 82% and increasing inventory to 20 days. With price increase to partially absorb the high input costs, cellulosic fiber revenue grew by 7% YoY to ₹4,043 crore. Just to remind this segment also has an element of our cellulosic fashion yarn business where the volumes grew by 6% YoY. The realizations in cellulosic fashion yarn business continue to remain impacted by lower priced imports from China. High input prices including that of caustic soda reflected in higher profitability of our chemical segment partially absorbed by the Company has resulted into decline in EBITDA by 17% YoY.

In chemical business, revenue grew by 16% YoY at ₹2,391 crore led by volume growth of 8% driven by stable domestic demand scenario. ECU realization stood flattish on sequential basis and higher by 10% YoY led by stable demand and favorable base. Specialty Chemi

cal sales

volumes stood at record high levels, recording a growth of 6% YoY as the utilization rates of expanded capacities are improving. EBITDA for the chemical business grew by 36% YoY at ₹422 crore.

The financial services business under Aditya Birla Capital is continuing to focus on embracing customer centricity and driving synergies across verticals. A key thrust has been on capabilities in data, digital and technology, enabling enhanced decision making, improved customer experience and greater operational efficiency. For Q1 FY26, the business reported revenue growth of 8% YoY led by housing finance which was up by 65% YoY and health insurance which was up by 31% YoY. Total lending portfolio which includes NBFC and Housing Finance loan book grew by 30% YoY to over ₹1,65,000 crore. Amidst declining interest rate movement, the NBFC business witnessed a YoY decline of 59 basis points in the net interest margin. The total assets under management across AMC, Life and Health Insurance grew by 20% YoY to over ₹5,53,000 crore. Of this, Life Insurance AUM crossed milestone of ₹1,00,000 crore.

In renewable business, our total installed peak capacity reached 1.9 GW in Q1 FY '26 up two-fold from 946 MW in June '24. The business has strong anchor clientele with Aditya Birla Group companies representing ~43% of the existing portfolio.

On Capex front, Grasim has announced CAPEX plan of spending ₹2,263 crores in FY'26 out of which ₹480 crore has already been spent in Q1 FY26. Lyocell project in Cellulosic Fibre business remains on track to be completed by mid-'27. The long lead items orders have been placed and other orders and contracts are in process. In chemicals, mechanical completion of two projects namely ECH and CPVC plant with Lubrizol would be completed in Q3 FY '26.

Grasim Industries Limited

August 08, 2025

Page 7 of 17

Before we open the floor for Q&A, I would like to share development on my movement as you would be aware, I am superannuating effective 15th August 25 and my colleague Hemant Kadel will be taking over as CFO. It is a mixed feeling of pride, gratitude and emotion being associated with Grasim for more than 20 years and CFO for over 3 years. It has been a journey of growth, challenge, learning, contribution and most importantly collaboration. I have been fortunate to work and interact with some of the brightest minds and committed individuals. Together we have navigated market cycles, celebrated milestones, weathered uncertainties and above all upheld the values that defines this company. As I step away, I carry with me not just numbers and reports but memories, relationships and the satisfaction of having contributed in some way to this institution's journey. I would like to add my interaction with many of you as analysts, investors and observers has helped shape my knowledge and intellect. I want to thank the Board and our leadership team for their constant support and belief in me. To each one of you on this call and friends in the investment world, thank you for the trust, work relations and shared purpose we have built over the years. Thank you for building such an important association. It has been an honor and I am confident that the Company is in an exciting growth phase poised for even greater heights. I look forward to watching Grasim's continued success, this time from

the sidelines. I now open the floor for Q&A.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi, sir. Thank you for taking my question. Sir, first question is on paints. Wanted to check on your sales momentum in the recent months. My back of the calculation suggests that you've grown about 20% in this quarter on a QoQ basis. But just in the recent months, I wanted to check the momentum. The context of the question

is generally brands in the initial phase of the launch

see high demand and then it moderates down in some time as it consolidates before starting again to gain traction, if at all. There are views that Opus is now consolidating and dealers are going back to their old brands. I wanted to know your side of the narrative and which phase are you in currently? So, that's my first question.

Rakshit Hargave: So, thank you, Mihir. Let me answer the first question. So, like we have also declared quarter-on-quarter growth is in double digits, and the fact is that the growth for us continues. So, growth, as you said, comes also from dealers who are being added, but more from dealers who are now giving us more business as counter share. On your query, that there is feedback that there is dealer attrition and dealers are going back, I am not able to comprehend that easily because firstly, let me tell you that apart from the franchises that we have majority of our dealers are multi brand dealers. We are not the first brand in the shop. We are either the second, third or fourth brand. And most of those dealers continue to be with us and continue to expand our portfolio and sell us more. If one or two dealers have gone back, that should not be taken in the other calls where we have heard that we are having dealer attrition. The fact is the larger universe and majority of them continue to grow with us and giving us more counter share. On your question, where are we on the page? We are purely on the growth phase. So, while you might say classically there is a growth phase and there is a consolidation phase, we are growing and

Grasim Industries Limited

August 08, 2025

Page 8 of 17

consolidating both. Because when we say that our throughput per dealer is going up as a function of deeper penetration, more products and more range, that obviously means consolidation. But the fact that we are still adding some more dealers and increasing our range in each dealer says that we are also growing. So, that's where we are.

Mihir Shah: Got it, Rakshit. Thank you for that. That's quite helpful. Secondly, I wanted to know if you can share how is your traction between the category A, B, C dealers? Where have you seen the most acceptance and what kind of hurdles are you facing to make inroads in the other ones that you have not been able to get through? And a sub part to it is, earlier even you had highlighted during the launch that you will cross 6,000 towns. I see you've crossed already 8,000 towns now. Even your SKU and product mix has crossed the earlier number that you had shared during the launch. Any updated dealer reach or any of the updated numbers that you would like to share? That's my second question.

Rakshit Hargave: Like we said, we have shared the dealer reach. As we said that we had a target of 50,000 dealers in the first year and we were very close to that. And like we said, we are still adding dealers but consolidating more on existing dealers. You rightly said we had talked about 6,000 towns, but we are close to 8,000 towns. So, for us, growth continues in this way. We are not sharing any other numbers, but I think these are fair indicators that business is progressing on all fronts in all the geographies.

Moderator: The next question is from Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: Two questions. So, first, just continuing on the previous question, can you help us understand how competitive landscape has evolved vs. last quarter? I remember you mentioned that the economy segment had relatively higher competitive intensity. So, just some color on this will be very helpful. That's my first question. Thank you.

Rakshit Hargave: Yes. So, like we said, the competitive intensity remains and we see that from competition side, the intensity has been increased on the value of the economy segment. The level of discounting has gone up and you

can also see from all the other companies that while volume growth is there, but the value growth is much lesser than that. So, obviously, the action on discounts on the economy segment has been taken up by competition. But like we said, we continue to play very strongly in all the three segments, as you say, luxury, premium and economy. Himanshu also ratified in his opening speech that the contribution of luxury products, if you assume the full portfolio for us is close to 65%, which is very, very good, even for an established player, leave aside a new player like Birla Opus.

Rahul Gupta: Got it. So, just to follow up on this. So, how should we look at both volume and value for rest of this year? I also understand that festive season is earlier this year. So, any color that you may provide on this?

Page 9 of 17

Rakshit Hargave: So, if you noted on a Q oQ annual basis , the market has grown only at 5% . And if you remove Birla Opus, then the market is actually minus one or zero. So, obviously, Birla Opus has taken a lion's share of the growth, which has happened on an annual basis. Now, if you take a look at this year, yes, the market is still slow. The advancement of rains does not work well for paints business because the exterior business, you know, gets affected. And this time in monsoon, even if at a lower intensity continues for a longer period, which would mean that the slowness because of monsoon would still be there. Now, how would the volume growth move ahead in the following quarters? Difficult to predict. But yes, you are right that this time Diwali is earlier. And corresponding to that, the so -called high sales season period, which has relevance in paints will come before. And that should start happening towards the end of August or September. And as Birla Opus, we are fully prepared to tackle that success fully. And we see that we should be able to grow well on a continuum basis. As far as competition is concerned, it is for them. How do they want to play the coming season?

Rahul Gupta: Great. Thank you so much. Just one book keeping question. Our math suggests that your reported revenues was around ₹11 billion versus ₹9 billion last quarter. Can you help us understand what kind of revenues was in CWIP?

Rakshit Hargave: So, we appreciate your, doing your maths on your books. But like we said, we will disclose the maths at the right moment as Pav an had promised in the last call also .

Rahul Gupta: Let me flip this question. Is CWIP revenues this quarter materially different versus last quarter?

Rakshit Hargave: See, what is CWIP? For factories which have not been capitalized and which are manufacturing as per accounting laws, the sales from that has to be put in CWIP. So, yes, there is our factory Mahad, which was manufacturing. It had products which were manufactured before capitalization. So, they would go in CWIP. I would not like to comment on the value. But the fact is as per accounting standards on a timescale, it does impact our reported numbers.

Rahul Gupta: Got it. Thank you and all the very best.

Moderator: Thank you very much. Next question is from line of Nirav from Anvil Wealth. Please go ahead.

Nirav: Yes, sir. Thanks for the opportunity. Two questions on chemicals. Sir, one, when we see our YoY numbers for chemicals, our EBITDA has gone up by close to around ₹112 crores. And based on the ECU realizations, we are higher by around ₹3.40. So, which translates to a benefit of close to around ₹103 crores. So, I just wanted to check here like the benefit from E CU as well as from the renewable share was higher than this ₹103 crore and there was a degrowth in the profits from the epoxy division, your thoughts here?

Jayant Dhobley : Yes, I am not completely sure I understand your math. But the end question that you have was there a degrowth in epoxy profits. That is the qu

estion you are leading to. So, I will answer very directly instead of indirectly. So, as you know, feedstocks for epoxy basically BPA, ECH have
Grasim Industries Limited
August 08, 2025

Page 10 of 17

been hardening for particularly ECH. You also know that there is an antidumping duty on ECH. At the same time, you also know that epoxy comes into India through different countries, particularly Korea through FTA arrangements, which basically puts pressure on the epoxy chain. Our approach has been to find the right balance between maintaining market share and maintaining margins. We do hope that the process that is now running with the Government to review different FTAs and the industry representations around that will lead to some positive. So, yes, within the epoxy chain, the industry is in a margin compression between hardening raw material prices, antidumping duty on one hand and duty -free imports on the other hand. And we are making the right balance trade -offs between retaining our margin and ensuring that we don't spoil our market position.

Nirav: Correct. So, in one of the interactions in the earlier calls, you mentioned that the steady state or the normalised margin for the epoxy business should be anywhere between 15 % to 18% . But I think with all the factors, what you mentioned above, the margins in this business possibly would have come closer to 10% or let's say anywhere between those bands. So, is it correct?

Jayant Dhobley : I would not like to comment on that because you know that we also have a large portfolio of specialty epoxy's. We make a large number of products, uniquely tailored for automotive, for wind, for anti -corrosion, etc. So, I would not like to comment on the current state of margins because it's competitively sensitive.

Nirav: Correct. Sir, second question is on the power requirement. I think based on some back -end calculations; I think our power requirement for the chemical business is close to around 350 megawatts. So, if you can just help us understand what is the mix between captive renewables and grid and also if you can share the capacity utilization for the chlorine derivative business .

Jayant Dhobley : The capacity utilization has been slightly above 80% for chlor -alkali. That is the one that you're asking ?

Nirav: No, sir. I am specifically asking about VAP.

Jayant Dhobley : That is a difficult number to give because it's a very complex portfolio, with more than 20 product lines. So, that's a difficult one to give. Maybe I don't want to disclose that number.

Nirav: No, worries. And sir, the breakup of 350 megawatts or whatever may be the number.

Jayant Dhobley : My renewable has reached about 15% exit. Which is, I think, the number that you were looking for.

Nirav: Correct. And what would be a captive mix?

Jayant Dhobley : Captive and grid would be roughly equal.

Nirav: Got it. Thank you so much, sir.

Grasim Industries Limited

August 08, 2025

Page 11 of 17

Moderator: Thank you. Our next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes, good evening. My first question is on your B2B e-commerce segment. The segment has a scale to almost over ₹5,000 crore of revenue run rate. What is the kind of profitability the segment is doing and or any output if you can share on the same? Also, the second was, I mean, we envisaged around 2,000 crore of CAPEX when this segment was launched. How is the, I mean, how do we see CAPEX in the segment now? That is my first question.

Sandeep Komaravelly : So, on your first question, the revenue growth has been pretty good, and it continues quarter -on-quarter. As was remarked in the opening comments, we are seeing high single digit growth sequentially when you compare Quarter 4 to Quarter 1. You had asked about profitability. We had earlier mentioned it in our previous quarter calls as well at a scale of \$1 bil

lion, which is

what we are estimating that we hit in FY '27. We are confident that we will break even at that scale. And all our indications and our trends right now are pointing towards that, if not sooner. Regarding your second question, Prateek, which is on CAPEX and how much have we spent out of the ₹2,000 crores that was announced when we launched the business? Look, our business is a technology business. We are fundamentally investing in building a technology platform and making sure that all the parts of our value chain are visible to our buyers, our sellers and everyone else who is participating in the ecosystem. So, most of our CAPEX so far has largely been in building that technology stack. Without going into the details of how much has been spent, we are well within track as per what we budgeted for and we still remain in that growth phase and we still continue to invest in building the right technology, which will solve for the needs of this B2B universe.

Prateek Kumar: Thank you. My other question is on paint business. Any one -year target or we had a great start to the financial year. Any one -year target we now have for this business in terms of revenue or any other metrics which you think is important?

Rakshit Hargave: We talked about, we gave some metrics for the first year and then we have anyway given our intention to be what we want to be in full -scale operation after 3-years. So, we do not really have specific targets to share with you for a one -year period, but the journey continues and we are on track, give or take a few things here, plus or minus. That is how we would want to put it.

Prateek Kumar: Sure. Thank you and all the best.

Moderator: Thank you. Next question is from Nishant from Temasek Holdings. Please go ahead.

Nishant: Hi. Just one question on the paints business. What is the credit policy difference that we have versus peers? Do we have a higher indexation to dealers for more credit funded versus short cycle credit?

Rakshit Hargave: If you take a look at the overall market and if you take a look at the top 3 or 4 players, our credit policy will fall somewhere in the center. So, we are with the market. It is not that we are giving

Grasim Industries Limited

August 08, 2025

Page 12 of 17

less or more, but the different players have slightly different policies starting from A to B. So, our policy would fall somewhere in the average in terms of credit .

Nishant: Understand. And the second one is in terms of just as you go through the brand evolution, how do you track evolution from a transactional business pull through to a brand driven business pull through? How would you sort of assess that evolution?

Rakshit Hargave: So, we have taken some initiatives. One of them is also first time in the paint industry is that we have availability of RMS data, which actually gives us a lot of insight into what is the share that we have across different geographies. Secondly, we also have a good brand tracking mechanism, which shows where are we in terms of total awareness, unneeded awareness, spontaneous awareness, and how are we progressing versus competition on a quarter -to-quarter. Very soon, we will also get into what you call is the consumption funnel and reason, from awareness to

usage and why are they drop out. So, like a classical good consumer brand, we are putting these practices into play and access to this kind of data helps us understand how we are moving better.

Nishant: Understand. And any color that you can share on current sort of awareness data that you may be able to share today?

Rakshit Hargave: Yes. So, I'll share with you, if you take a look at total awareness, we are already there with the top three brands. And if you talk about spontaneous awareness, as per my data, I am already number two and equal to the number two player.

Nishant: Understand. Okay. Sorry. Spontaneous is unaided awareness

ss.

Rakshit Hargave: Spontaneous is you ask someone, which is the one brand that you would want to say?

Nishant: Understand. Okay. Got it. Thank you.

Moderator: Thank you. Next question is from line of Amit Purohit from Elara Capital. Please go ahead.

Amit Purohit: Yes, sir. Thank you for the opportunity. Just one on the overall industry demand. You clearly highlighted that the incumbents have not grown much. And how do you see this going forward as we enter into festive season? Any outlook that you think would find it challenging for us to maintain the growth momentum because the industry demand remains muted? That was my first question. And second is on PaintCraft. I just wanted to know, this service would be available to all our dealers and normally in a typical dealer, what is the share of painting service? I know not for all dealers, it may be, but at least the top dealers that we in their sales, how do we think about it, this as an enabler to drive further growth?

Rakshit Hargave: So let me answer the first question regarding how do we see the demand in the upcoming season?

So you see, the season is slightly advanced this time as compared to the last few years. So you should see the festive upswing starting towards the end of this month and September should be

Grasim Industries Limited

August 08, 2025

Page 13 of 17

a big month. Difficult to say how the other players will play out because currently the focus is a lot more on economy segment and discounting. And that is going to get you some volume, but that might not get you so much of value. As far as we are concerned, we will play the market as it should be. We have a very exciting luxury premium portfolio also. We will focus on that. We are quite confident that we will be able to reap good benefits and continue our quarter-to-quarter growth. For the others, I think it's up to them as to how they want to focus on themselves and play. On PaintCraft, see we were offering PaintCraft as a direct service, as a kind of test market in some cities through service partners. We are now going to take it broader. And in the first phase, we will take it to about 100 towns and we are going to offer it to our franchise dealers. But obviously during a certain period of time, we will cover a large number of dealers who work with us. Now, how much contribution does come from painting service? We will have to learn that ourselves. As Himanshu said, we have created a good tech stack in terms of lead generation, in terms of fulfillment, transparent pricing, tax compliant. And we will also promote it that way. We are quite confident that the consumer will be excited because there will be many benefits here. And we hope that it contributes a decent volume for the partners who are working with us. But we will have to see how it evolves. But good preparations and good plans have gone into that.

Moderator: Thank you. Next question is from line of Raashi from Citi. Please go ahead.

Raashi: Thank you. Just two questions on the paint side, I think I missed the point that you mentioned that excluding Birla Opus, you said that the industry growth was flat? Is that what you said?

Rakshit Hargave: If you take this year and if you take Q1 of FY '25 and if I remove Birla Opus from both left and right hand side, the market growth is marginally negative.

Raashi: And with Birla?

Rakshit Hargave: With Birla, we said it's about over 5%.

Raashi: I understand. And what is your general estimate for the industry growth? I mean, I understand that a seasonally strong period is coming up. But on average for the year, how are you thinking about this?

Rakshit Hargave: I think too early. It's just been one quarter. There are three more quarters left. We will have just to wait and see. We will play a good game.

Himanshu Kapania: Raashi, I think you are the fourth asking the same question. Let me address this. This is H

Himanshu. I will just address this. It's dependent on the industry players. There is volume in the market. Now, whether you want to convert that volume into value is now left to the industry players. That is to us is what we are repeatedly saying. Okay, there's enough in the market. The market has huge opportunities. Consumers want to do painting services. They can take it and

Grasim Industries Limited

August 08, 2025

Page 14 of 17

discount it and still get volume and not get value. Or they can keep the value with them. That is where the current industry is. So that's why we are waiting.

Raashi: Understand. And any update on the whole CCI investigation?

Himanshu Kapania: Yes, I would like to share that. Grasim has filed information with CCI regarding the practices found in the market with respect to the abuse of dominance by the dominant player. CCI saw merit in information and evidence shared by Grasim and has ordered DG for investigation on 1st July 2025. The order is available for public on the website of CCI. We have to wait to see the results of the investigation. As this is a matter of subjudice and with the regulator, we will not be able to comment anything further on the investigation.

Raashi: Okay, understood. Thank you. And just last question for me. You mentioned that the B2B business will break even in FY '28. Is that what you said?

Pavan Jain: When we reach this \$1 billion revenue topline, we said we will be EBITDA positive.

Raashi: Thank you.

Moderator: Thank you. Next question is from the line of Shreya from Oaklane Capital. Please go ahead.

Shreya: Thanks for the opportunity. My question is related to chemicals business. So, you mentioned that the chlorine integration level for the quarter was 63%. So, could you give some sense or color on what portion of it was to the dedicated customers and what was for the internal consumption?

Jayant Dhobley: The breakup of the chlorine sales, I think internal consumption, I will give you a range because I do not want to give you an exact number. You can assume that about 30 % to 40%, it is a range which we are giving, will be in the internal consumption. Rest goes to the pipeline customers.

Shreya: Okay, understood. And any sense on, since we will be having our ECH plant and as you mentioned earlier that because of the ECH prices going higher, our epoxy margins were compressed. So, as and when we have our ECH plant, where do you see our epoxy margins going forward?

Jayant Dhobley: Yes, wouldn't that also not depend on the ECH price at that moment in time in that quarter? As you know, ECH is a volatile commodity. So, we would have to make an assumption on either propylene or glycerine or whatever. So, that is a difficult one to predict.

Shreya: Yes, thank you, sir.

Moderator: Thank you. Next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Grasim Industries Limited

August 08, 2025

Page 15 of 17

Aniruddha Joshi: Yes, thanks. So, I guess on paints, you indicated premium revenue share of premium paints is 65% is that the correct number?

Himanshu Kapania: So, it is not revenue share. Revenue contribution to the total contribution of premium plus luxury is 65%.

Aniruddha Joshi: Okay, understood. So, this premium paint is calculated means any price and above like ₹200 per litre or ₹250 per litre. Means, how do you define that?

Himanshu Kapania: Market defines premium and luxury products, in waterproofing segment, in wood finished segment, in emulsion segment and enamel segment and the same is the definition. It varies from each category wise. It is very well defined. We have a brand, we have three broad brands. Style is a brand for economy, Calista is a brand for premium and One is a brand for luxury. So, primarily, when I combine Calista plus One, wherever applicable, otherwise, whatever is market defined in a particular category.

It is very well defined.

Aniruddha Joshi: Okay, sure, sir. And additional details means what would be the geography wise revenue break-up if you can indicatively share East, West, North, South, even if you share in FY '25, that is enough.

Rakshit Hargave: We have also told in the past that we are generally performing well across pan India and we also said that the range between maybe my best performing region and my so called slowest performing region is also in 80 to 120. So, that continues. So, by and large, we have good acceptance and like we said, we are growing and consolidating across all markets. This is also changing a bit dynamically.

Himanshu Kapania: And our aspiration is pan India, not regional aspiration. So, we want to grow and lead in every market.

Rakshit Hargave: So, some other businesses of other competitors who have focused on particular states or have very disproportionate revenue from few states, we want to be all India, all rounder where we are doing well across all geographies.

Aniruddha Joshi: Okay, sure, sir. Last question. So, we keep hearing from Channel checks that the 10% extra grammage scheme is withdrawn in some markets. Is that understanding correct or it's incorrect?

Rakshit Hargave: So, I am very happy that you raised this because if you were not going to raise, I would have anyway given a clarification. We have also heard from other analysts calls that people know

more about our business than us ourselves. So, let me put this record on straight that the 10% offer on 20 liters and 10 liters for majority of emulsion packs as we are giving fully continues. Okay. So, this puts the record straight.

Aniruddha Joshi: Okay, sure, sir. Thanks for the clarification.

Grasim Industries Limited

August 08, 2025

Page 16 of 17

Moderator: Thank you. Next question is from line of Sucrit Patel from Eyesight Fintrade. Please go ahead.

Sucrit Patel: Thank you very much. My question is specifically to Mr. Himanshu.

Himanshu Kapania: Yes. Go ahead.

Sucrit Patel: Yes, sir. I had a forward-looking question on your emerging platform. With Birla Opus entering the decorative paints segment and Birla Pivot scaling in the B2B E-commerce, how is Grasim thinking about cross-platform data monetization, predictive data, predictive demand mapping, or AI-led SKU optimization across these verticals in the next 2 to 3 years? And in your view, could this create a differentiated ecosystem advantage versus standalone peers?

Himanshu Kapania: So, to be able to, if I was in an environment which did not have privacy applicable to me, I would have given a very different answer. But today, the privacy laws of the country are very, very strong. And doing cross-sales from different platforms, in my mind, is not permitted. I am currently the Chairman of the FICCI Privacy Board and clearly that's not permitted. We have to go back to the customer to do cross-sales, which is of a customer-available in one platform to the other platform. And that is itself is a humongous task. Both the new businesses are in the process of getting their act together. And we are not going to cross this bridge for a certain period of time. That's our current position.

Moderator: Thank you very much. Sir, The next question is from the line of Sakshi, an individual investor. Please go ahead.

Sakshi: Hi, good evening. So, my question is regarding chemical business. How much is the chlorine price for this quarter?

Jayant Dhobley: For the quarter that we just reported, chlorine was trading at about 6,000-6,500 negative.

Sucrit Patel: Sir, while calculating ECU, are we considering flakes and hydrogen realization?

Jayant Dhobley: So, everything that relates to the actual electrolysis process is considered in the ECU realization. That's the industry standard.

Sucrit Patel: Actually, like if you see, some industries are by calculating ECU, they are co

nsidering flakes.

And some are like both flakes and hydrogen. So, what we are following in Grasim?

Jayant Dhobley: So, ECU stands for electrochemical unit. So, every realization I get related to my electrochemical unit is in my ECU realization. So, I can only tell you what my definition is.

Sucrit Patel: Okay. Got it. And the second thing for extension plan, we reported like ECH is 50 and CPVC is 50 KTPA. However, with chlorine derivative, we are getting 79 KTPA plan for extension. So, may I know like what's the difference between 100 and 79? Is it like partly commission or what exactly it is?

Grasim Industries Limited

August 08, 2025

Page 17 of 17

Jayant Dhobley: So, we, as you know, the market conditions are a little bit uncertain right now. So, certain projects, on chlorine derivatives, we have deferred for better market conditions. So, that's the difference between what we indicated last quarter and this quarter. But those are smaller chlorine derivatives. The two main ones are ECH and CPVC and those are proceeding as planned. The rest, we may accelerate or delay based on the market conditions.

Sucrit Patel: Okay. And what is the plan for extension of caustic to 25 KTPA? Is it same as Quarter 3 Financial Year '26 or what exactly it is?

Jayant Dhobley: That is again market timing dependent. It's a very small expansion. So, when we believe the conditions are favorable, we will execute.

Sucrit Patel: Okay. And as we know, sir, like Adani and Reliance is coming into picture, what we are thinking like it will impact our domestic market or?

Jayant Dhobley: So, we have been getting this question a couple of times, right? And look, the domestic business, for sure. And their project is related to PVC. There is a lot of changes also that happen in the global caustics scenario. So, if PVC demand adds in one area, it subtracts from another area. So, it's a somewhat complicated question to answer. The Indian market is not insulated from the global market, either on PVC or on Caustic. So, just looking at the picture from an India perspective only may not give us the full answer. Just look at the total PVC production capacity in Asia. Then put that in context of whatever Indian capacity is coming.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraints, we will take that as a last question. With this, we conclude today's conference call. On behalf of Grasim Industries Limited, that concludes this conference. Thank you for joining us. And you may now disconnect

your lines. Thank you.

Call: Nov 2025

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Ref No. GIL/CFD/SEC/26/126/SE 11th November 2025

BSE Limited

Scrip Code: 500300

National Stock Exchange of India Limited

Symbol: GRASIM

Dear Sir/Madam,

Sub: Transcript of post Earnings Call

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015

Please find enclosed the transcript of post Earnings Call held on 5th November 2025 on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30th September 2025 and the same is also available at <https://www.grasim.com/Upload/PDF/grasim-earnings-call-transcript-q2fy26.pdf> .

Thanking you,

Yours sincerely,

For Grasim Industries Limited

Neelabja Chakrabarty

Company Secretary and Compliance Officer

ACS – 16075

Encl.: as above

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Page 1 of 16

"Grasim Industries Limited

Q2 FY '26 Earnings Conference Call"

November 05, 2025

MANAGEMENT : H IMANSHU KAPANIA – MANAGING DIRECTOR AND

BUSINESS HEAD – BIRLA OPUS PAINTS

HEMANT KADEL – CHIEF FINANCIAL OFFICER

JAYANT DHOBLEY – BUSINESS HEAD, CHEMICALS

CELLULOSIC FASHION YARN AND INSULATORS BUSINESS

VADIRAJ KULKARNI – BUSINESS HEAD, CELLULOSIC FIBRE

BUSINESS

SANDEEP KOMARAVELLY – CHIEF EXECUTIVE OFFICER ,
BIRLA PIVOT , B2B E-COMMERCE BUSINESS
ANKIT PANCHMATIA – HEAD, INVESTOR RELATIONS

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Grasim Industries Limited
November 05, 2025

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Grasim Industries Limited Q2FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Ankit Panchmatia, Head of Investor Relations at Grasim Industries. Thank you, and over to you, sir.

Ankit Panchmatia: Yes. Hi. Thanks Raiyo. Good evening, and thank you for joining everyone on Grasim's Second Quarter Financial Year 2026 Earnings Call. The financial statements, press release and presentation are already uploaded on the websites of stock exchanges and our website for your reference. For safe harbor, kindly refer to cautionary statement highlighted in the last slide of our presentation. Our management team is present on this call to discuss our results and business performance. We have with us Mr. Himanshu Kapania, Managing Director, Grasim Industries and Business Head, Birla Opus Paints; Mr. Hemant Kadel, Chief Financial Officer of Grasim Industries. Also from the business team, we have with us Mr. Jayant Dhobley, Business Head of Chemicals, Cellulosic Fashion Yarn and Insulators business; Mr. Vadiraj Kulkarni, Business Head of Cellulosic Fibers business; and Mr. Sandeep Komaravelly, CEO, Birla Pivot, our B2B ecommerce business. Let me now hand over the call to Himanshu sir for his opening remarks, on macro and updates on key businesses. Over to you, sir.

Himanshu Kapania: Thank you, Ankit, and good evening to everyone. We welcome you to Grasim Industries Earnings Call for the quarter ending 30th September 2025. Hope you had a good Diwali and New Year Vikram Samvat 2082. Also, as today's Guru Nanak Jayanti, may you be blessed with peace, happiness and love.

Starting with macroeconomics, we have now entered the final lap of this calendar year 2025 with a global economy that is not in recession, but not in a synchronized expansion either. We are living in a world where trade is rewiring, capital is repricing and geopolitics has once again become a single order economic variable, not a background noise. On October 29, 2025, the Fed cut the target range for the federal fund rate by 25 basis points to 3.75% to 4%, the lowest in three years. This followed an earlier cut of 25 basis points in September. The rate cuts indicate balance of risks are now shifting towards risk of growth and employment. Add to that, the Trump administration's renewed emphasis on tariff-based negotiations, especially on Europe and key Asian blocks may amplify short-term noise. However, the structural drivers of demand, competitiveness and consumption momentum remains intact.

China is the second spotlight. China's GDP growth slowed to 4.8% year-on-year in quarter 3 of this calendar year 2025, the weakest pace in a year. Data shows China is not in an acute crisis, but in a structurally lower growth orbit. Property demand is frozen, household confidence is weak and private entrepreneurs are holding back capex decisions. The upcoming 5-year plan will be closely watched as it will set national priorities through 2030. Just to summarize, the

situation that global trade is seeing is more pressure points. It is not a collapse, but more friction and friction slows velocity.

Grasim Industries Limited
November 05, 2025

Page 3 of 16

And then India. The country is the positive outlier in the sentimental spectrum, but even India cannot fully decouple from the global liquidity and global trade. In a landmark move in September 2025, the center rationalized GST slabs from 4 to 3, reducing taxes across essential and aspirational items. The reform simplifies GST rates, eases compliance, boost disposable inc

ome and supports long-term economic revival. India's GDP growth for FY '25, '26 was revised upwards, thanks to a strong domestic consumption, robust investment activity and resilient exports. Supportive government reforms and RBI's accommodative monetary policy has further boosted demand while moderate inflation provides room for sustained growth. So if I had to summarize the world in one line today, globally, this a low speed economy with pockets of strength, intermittent confidence and policymakers for moving carefully, not boldly. The world is not constant. And in this environment, winners will not be those who bet on direction. Winners will be those who stay flexible on timings. It is an era where optionality has more value than certainty. We don't need to predict the future with 100% precision. What we need to do is stay prepared for multiple futures.

Grasim's multi-segment presence create a synergistic engine of growth, combining resilience with opportunity. The growth continues to exhibit resilience with trailing 12-month revenues now nearing INR1,60,000 crores, that is over USD18 billion compared to approximately INR95,000 crores, that is USD11 billion in FY '22 when measured on equal currency rates, a remarkable growth of 14%. Moreover, the stand-alone business continues to gain share now at 24% in quarter 2 FY '26 in the overall consolidated revenues nearing its highest ever milestone of INR10,000 crores per quarter. Our CFO, Mr. Hemant Kadel, will further touch upon these numbers in detail. However, as I said earlier, we do not live in a constant world, which is why 2 years back, we entered into 2 new high-growth businesses, and I'm very happy to say that both these businesses are on track to achieve their stated targets.

I will start with our growth businesses, Paints and B2B e-commerce businesses. Birla Opus is now a distinctive force in India's decorative paints landscape, not as another brand in the shelf stack but a category pace setup. We are institutionalizing (a) superior paint performance; (b) quality assurance up front and in writing; (c) tech-led contractor, painter and consumer engagement. This resetting expectations of what premium should actually mean in India. From application science to film durability testing to shade integrity to dealer enablement, we are building this new gold or should we say, platinum standard. This why Birla Opus is becoming integral in conversations across the value chain, whether it is with retailers, contractors, applicators, builders, institutions and homeowners because we have not just launched Decorative Paints, we are raising the reference benchmark for how paints should be engineered, sold and serviced in India.

I'm happy to share that we have commenced production at our largest and sixth plant in Kharagpur, West Bengal on 15th October 2025. The plant has 236 million liters per annum capacity and is one of the largest paint plant in West Bengal and Eastern India. This plant can manufacture water-based paints, solvent-based paints, colorants and distemper paint. It will significantly improve our serviceability to Eastern and Central India markets and bringing network efficiency.

Grasim Industries Limited
November 05, 2025

Page 4 of 16

With this plant's commercialization, the announced project phase of Decorative Paints concludes and the decorative paints installed capacity is now 1,332 million liters per annum across the six plants. This makes Birla Opus the second largest decorative paints company commanding 24% of the industry capacity, a feat unmatched around the globe for speed and cost. Now we focus all our energies to bridge the gap between our volume market share and capacity share. Coming to the performance of Decorative segment, Birla Opus continues to grow its market share and expand its position as number 3 decorative brand with double-digit market share, including Birla Opus and Birla white putty revenue

es, similar to the revenue reporting by legacy companies of all paint majors. Despite the extended monsoon, Birla Opus hits its highest ever monthly sales in the month of September and saw an equally strong October month, indicating increasing brand salience across markets. Not only the primary sales at highest level, but also the secondary sales have been touching levels higher as a percentage of primary sales, indicating fast movements that is offtake from dealers to contractors or from dealers to customers from these counters.

As per internal estimates, the organized decorative paint industry has grown in low single digits on Y-on-Y basis in quarter 2 FY'26, largely due to incumbents push for lower-end economy products. However, as per our estimates, excluding Birla Opus revenues, the organized decorative paint industry has degrown slightly on a year-on-year basis. Birla Opus continues to disrupt through innovation and launched two big consumer propositions in the second quarter. First one was the Birla Opus Assurance Campaign, the first ever written paint promise by any paint company to assure the customers of painting performance backed by superior product quality of Birla Opus products. This campaign was another disruptive and differentiated campaign in which we launched four films that you must have seen on print, television and digital media. The campaign has received overwhelming response from customers, contractors, painters, dealers and thousands of paint projects under Birla Opus Assurance program have been undertaken and continue to be executed. We expect the demand for Birla Opus Assurance to accelerate snowballing into basic consumer expectation doing painting beyond product warranty.

The second one was expansion of Birla Opus painting services offered under PaintCraft brand through our dealer and franchise partners on a pan-India basis. This first of its kind differentiated painting services offering that leverages digital technology and integrates the platform for all stakeholders, including company, franchise, applicators, painters and consumers. PaintCraft is a win win for all stakeholders as it offers, (a) transparent consumer pricing; (b) EMI financing on painting first time in India; (c) end-to-end company oversight of dealer-led painting services through trained execution network; and d, a fully GST-compliant painting service. The network has appreciated these initiatives by Birla Opus to bring a standardized painting service in the market. We're happy to announce that PaintCraft has already scaled up across 170 towns and expected to reach 300+ towns by quarter 3 and through company's dealer-operated franchisees and high-performing dealers. We remain on track to build India's differentiated and largest painting service network serviced through the largest branded franchise network.

Grasim Industries Limited
November 05, 2025

Page 5 of 16

Customers can simply log in to Birla Opus website and avail the benefit of these two unique programs. The success of these campaigns is reflecting in our brand scores as well. Our independent research shows the consumer love for Birla Opus brand continued to rise as Birla Opus has become the number two brand in top of mind recall across India at the end of Q2FY'26. Such brand recall within 18 months of our launch and 12 months of pan-India operation is quite unheard of in the marketing world.

On the product front, the premium and luxury products revenue contribution was upwards at 65% of revenue, covering all categories across emulsion enamel, wood finish and waterproofing, including retail and institutional segment. The company has also launched an array of new products and crossed 190-plus products in this portfolio. Out of this, 13 new products were launched during this quarter, the company launched a new branded tools segment with a range of non-mechanized tools under the sub-brand known as Artist. Company is

proud to launch in-house Made in India, high-quality range of wallpapers, which has seen excellent network response. The other new products launched are pure elegant soft shine, aerosols, aluminum paints, clear varnish and few new bases in the existing product range. The Birla Opus products have been now applied by over 6 lakh painters and contractors, across lakhs of residential sites, making it one of the largest contractor painter network in India.

On distribution front, the brand has crossed its earlier guidance and reached to over 10,000 towns on a pan-India basis, which is historic achievement in such a short time. The focus now shifts to depth of presence in each of these 10,000 towns. The company's branded franchise store network has crossed 500-plus towns presence and will soon cross 4-digit mark of branded exclusive store count, making it amongst the largest branded stores in the country.

The total capex spend for Paints business stood at INR9,727 crores as on 30th September 2025. Grasim applauds the Birla Opus team for flawlessly executing a large and global scale greenfield project, commissioning six state-of-art plants simultaneously, achieved without cost overruns with rapid scale-up and consistent first-time right quality across 190-plus products. This feat showcases exceptional financial discipline and manufacturing and supply chain excellence, a

truly unparalleled achievement by a dynamic start-up.

Finally, continuing on Birla Opus, our CEO, Mr. Rakshit Hargave has decided to pursue opportunities outside Grasim. Today, Grasim NRC has accepted his resignation and approved his request to exit the company effective 6th December 2025. Rakshit joined Grasim in November 2021 and has played significant role at the Birla Opus start-up stage and initial scaling of the Decorative Paints business. Today, the operations are stable, and we have built a high-performing team. In the last four years, this team has helped establish six integrated manufacturing facilities, scale distribution, build brand salience and supply chain network. I believe we have built a rock-solid foundation for next level growth in the Decorative Paints business, which has all the necessary ingredients to achieve number 2 revenue market share and committed profitability in the 3 years of full-scale operations. The company appreciates Rakshit's contribution and wishes him the best for the future endeavour. Rakshit's successor will be announced in due course. In the interim, I as business head for the last five years of Paints

Grasim Industries Limited
November 05, 2025

Page 6 of 16

business, and who helped conceptualize, strategize, plan and execute this large project will directly oversee the paints business until the new CEO is appointed. Moving on to other new business, Birla Pivot, which has been marching steadily and strongly. Birla Pivot was created to solve a pressing challenge in India's business landscape, simplifying building and other sectors raw material procurement for the companies that power the nation's growth. Today, it has evolved into a one-stop shop B2B platform covering the complete spectrum of procurement, fulfilment, assured quality and quantity with financing solutions of material needs from steel and cement to tiles and chemicals, all in one smart seamless ecosystem by enabling digital adoption across the B2B ecosystem, Birla Pivot is not just a procurement platform, it is a catalyst for efficiency, transparency and growth in India's industrial and construction sector. Post a successful foray into building materials, the business now expands its product portfolio to become full stacked raw material procurement platform. The platform has now added a diversified range of raw materials, including polymers, solvent, textile chemicals and nonferrous metals. For your reference, B2B e-commerce market is set to hit USD200 billion by 2030, powered by strong demand from chemicals,

metals, infrastructure and construction sector, etc. Birla Pivot's expansion is well timed to capture this momentum, enabling smarter tech-enabled procurement. As digital penetrations remain below 2%, India's B2B ecommerce trade is on the cusp of a major shift. What does such product additions give to us? First and foremost, growth momentum, which is what it is visible in Q2FY'26, where the revenues are sequentially higher by 15% in spite of monsoons. Secondly, it also gears up for new aspirations, which means newer targets to our businesses beyond its stated revenue guidance of achieving INR8,500 crores or \$1 billion mark by FY'27.

To conclude, Grasim's diversified business model spans India's high-growth sectors from cement powering infrastructure, decorative paints, enabling urban aspiration, B2B commerce and financial services driving enterprise and inclusion to chemicals and sustainable fibers like cellulosic, linen, wool and cotton, addressing industrial and global demand. This multi-segment presence creates a synergistic engine of growth, combining resilience with opportunity, a true force for growth building India, enabling aspiration and driving sustainable progress.

Let me now hand over the call to Hemant for discussing financial performance and highlight on our core business, which is cellulosic fibers and chemicals. Over to you, Hemant.

Hemant Kadel: Thank you, Himanshu. Good afternoon and festive greetings to everyone. It is a privilege to address all of you on this earnings call in my capacity as CFO. I have been with the group for more than 30 years. And during this journey, I have been part of the core management team, leading several strategic initiatives and governance responsibilities. My experience spans across corporate finance, risk management, mergers and acquisitions and enterprise-level initiatives. As a CFO of a conglomerate like Grasim, my role is to ensure that our financial strategy and execution are fully aligned with the five pillars that has defined our organization's long-term growth journey, which is leadership, innovation, sustainability, capital allocation and cost leadership.

Grasim Industries Limited
November 05, 2025

Page 7 of 16

Coming to our current quarter performance, Grasim has delivered consistent revenue growth for

21 consecutive quarters on a year-on-year basis with trailing 12 months consolidated revenues of INR1,59,663 crores, up by 8% compared to FY '25 revenues. The standalone revenue grew at a faster pace, reaching a record high of INR9,610 crores, up by 26% year-on-year.

Let me now talk about business-wise performance: Firstly, cellulosic fiber business, the average quarter 2 FY '26 cellulosic staple fiber utilization rates in China have improved to 89%. And inventory days, though higher year-on-year, have sequentially reduced to 15 days. Total sales volume of CSF was lower by 5% year-on-year due to logistics-related issues at Vilayat, which is now normalized. Specialty fiber volume mix improved to 24%, led by higher exports of specialty fibers, improved product mix and currency depreciation supported blended realization of CSF. Cellulosic fashion yarn sales volume grew by 3% year-on-year, led by festive demand. However, the realizations continue to remain impacted by cheaper imports from China. The cellulosic fibers segment revenue were up 1% year-on-year to INR4,149 crores. High input price of key raw materials impacted the EBITDA, which degrew by 29% to INR350 crores.

Coming to our Chemicals business, the business revenue stood at two year high levels driven by all-round performance across caustic soda, chlorine derivatives and specialty chemicals. While the global caustic prices have softened with CFR SEA down by 5%, domestic caustic prices stood higher due to stable demand and rupee depreciation. The improvement in caustic prices led to higher ECU, which was partially impacted by increasing negative chlorine realiza

tions.

Caustic sales volume for the quarter were flat due to constrained production on account of lower power availability. Specialty Chemicals revenue contribution improved to 30% versus 26% in quarter 2 FY '25 driven by volume growth of 34% year-on-year due to stabilization of newer capacity. Specialty chemical profitability remains impacted by elevated raw material prices.

During the quarter, chlorine derivative capacity increased by 11 KTPA with addition of aluminum chloride capacities. Two key projects, CPVC in partnership with Lubrizol and ECH remains on track. The mechanical completion is expected by Q3 FY '26. Post completion of ongoing projects, chlorine integration is expected to reach 70% compared to current 64%.

In our Cement business, UltraTech's capacity expansion continued to reinforce its position as the backbone of India's infrastructure build-out. With every incremental million ton added, the business is structurally strengthening supply to support the country's historic capex cycle across roads, ports, industrial corridors, logistics infrastructure and housing. The business has recently announced capacity expansion targeting total gray cement capacity of over 240 million metric ton per annum by March 2028. Compared to its current capacity of 192.3 million metric ton per annum for quarter 2 FY '26, the consolidated sales volume were up by 6.9% year-on-year to 33.85 million metric tons. Operating EBITDA per metric ton grew by 32% year-on-year to ₹966 led by volume and realization growth, coupled with lower power, fuel and logistics cost.

Coming on Financial Services business, Aditya Birla Capital's financial service portfolio continued to sharpen its focus on customer first execution. While leveraging cross-business synergies to strengthen outcomes, revenue for Q2 FY '26 grew by 3% year-on-year, led by growth in NBFC, Housing Finance and Health Insurance segments. Total lending portfolio, that is NBFC, and housing finance stood highest ever at nearly INR1,78,000 crores, up 29% year-

Grasim Industries Limited
November 05, 2025

Page 8 of 16

on-year. The NIMs have started to marginally improve quarter-on-quarter. Total assets under management of AMC, Life and Health insurance grew by 10% year-on-year at nearly INR550,000 crores.

Talking about Other businesses, firstly, textile revenue grew by 6% year-on-year to INR586 crores. The business has demonstrated remarkable turnaround, returning to profitability with EBITDA of INR24 crores due to normalization of input prices in linen segment. Just as a reference, this business historically demonstrated 8% to 10% EBITDA margins.

Coming to renewable business, Aditya Birla renewables revenue nearly doubled on a year-on-year basis to INR259 crores, led by newer capacities and onetime revenue of INR50 crores on account of rate differential. The business current peak capacity stood at nearly 2 gigawatt and is laying the foundation for a greener, more resilient India. It is also playing its part in the group's collective transition to a sustainable energy future.

Let me now briefly touch upon the capex. Grasim has outlined a capex outlay of INR2,263 crores for FY '26, of which INR941 crores was deployed in first half of financial year '26. The lyocell capacity expansion with the cellulosic fiber business is progressing as scheduled and remains on course for commissioning by mid-2027.

On sustainability front, happy to share that Birla Cellulosic Fiber division of Grasim has received the highest rating of "Dark Green Shirt" in the Canopy's Hot Button Report for the sixth consecutive year, reflecting its focus on sustainability. We remain committed to continuously

elevating our sustainability performance. A key thrust will be to improve the capacity share of renewable energy and increasing recycled water usage to structurally reduce our dependence on freshwater. These shifts are integral to embedding resources efficiency into

our operating model

and strengthening long-term environmental resilience.

On the balance sheet side, net debt declined by INR292 crores and stood at INR6,861 crores as on 30th September 2025 as against INR7,153 crores as on 30th June 2025. Stand-alone net debt to TTM EBITDA stood at 2.19x as against 2.41x.

With this, we open the floor for question and answers.

Moderator: Thank you very much. First question is from Avi Mehta from Macquarie.

Avi Mehta: Sir, my questions were on the paint business, especially wanted to better understand your thoughts post the resignation of Rakshit, in terms of the rough time line for the successor announcement, any change in growth strategy, aggression. I would love to hear your thoughts on that. And so the second question, if I can put it up front, is on the performance in the paint business in the quarter on a sequential basis. You did point towards market share gains, but the other peers who have announced have seen almost a 10% decline given the weak monsoon, weak environment, I would love to know how does the business stack up versus that? Those are the two questions.

Grasim Industries Limited

November 05, 2025

Page 9 of 16

Himanshu Kapania: Thank you, Avi. In the life of a professional, individuals take their call on where they want to build their career. Rakshit has helped Birla Opus from the very start of the business to build the project and in the initial phase of launch. Now Birla Opus has a very strong, high-performing team and will continue to stay course on the vision that has been announced to the market. I'd like to remind you the vision that the company has announced to the market, we have committed to be number two as well as profitable within three years of full-scale operation. We will stay course on that.

As regards to the performance of quarter 2, this is our first time that we have faced a full monsoon season. And the first time we saw that the overall industry on a quarter-on-quarter basis has had a double-digit decline. And it is our internal estimate on a year-on-year basis. If you were to eliminate the performance of Birla Opus, the industry is slightly negative in performance. Our Birla Opus on a year-on-year basis had a significant growth, but on a quarter-on-quarter basis, had a low single-digit decline, which was primarily during the periods of July and August. We turned back very strongly in the month of September as well as in the month of October, as I mentioned in my opening remarks. We are seeing very strong secondaries or movement of paint buckets from the dealer counter to the contractors and consumers and as well as return of the institutional business. We remain committed to growth, and we remain committed to the vision that has been articulated to the market.

I forgot to tell that Rakshit be there with us until 5th of December.

Moderator: We'll take the next question from Rahul Gupta from Morgan Stanley.

Rahul Gupta: A couple of questions. First, just as a continuation on the Paints question earlier. Now that we are out of a pretty long and persistent monsoon season, how should one look at the industry demand for the second half? And to that extent, with Kharagpur now fully commercialized, how should we look at your ramp-up in second half from that perspective? So that's my first question.

Himanshu Kapania: Thank you, Rahul. We are highly optimistic and results of September and October bear us out of a strong quarter 3, both on a year-on-year basis as well as a quarter-on-quarter basis. So our guidance is continued double-digit growth on a quarter-on-quarter basis and a significantly high growth on a year-on-year basis. As regards to our capacity, as we mentioned, we are at 1,332 million liters per annum, with Kharagpur arrival in the short term, it will help managing our logistics costs and better servicing on the Eastern and Central India. But in the long term, our aim is to ensure that the volume

market share and capacity market share converge all investments

and all efforts, whether it's advertising, manpower, distribution, servicing and any new initiatives will be directed towards to match our volume market share closer to our capacity share.

Rahul Gupta: Got it. Maybe we will revisit on the industry a quarter later. My second question is on B2B e-commerce. See, the business is growing at a very fast pace. And if I look at this quarter numbers, the revenues are annualizing more than INR6,000 crores. Now you have guided for INR8,500 crores for fiscal '27. Is there a case for this number getting revised up? Or will you be reaching this targeted number sooner than fiscal '27? So any color on this will be very helpful.

Grasim Industries Limited

Sandeep Komaravelly: Thanks, Rahul. This Sandeep here. I think your observation is right. Our growth has been compared to what our expectations, I think we've been doing very well compared to our plan. We are on track. And I think our earlier recommendation was that we will achieve \$1 billion scale in FY '27. There is a likely chance that we will get there and hit that milestone sooner. But for now, we are not changing any of our direction as of now.

Moderator: Next question is from Amit Gupta from ICICI Securities.

Navin Sahadeo: This Navin Sahadeo from ICICI Securities. So two questions. One on paints and the second on B2B commerce. On paints, if you could just give us more details about the number of dealers in this particular quarter versus the last quarter. And the reason I'm asking this because this time, Diwali was a little advanced. As you mentioned in your presentation, there is net addition to the number of accounts from 8,000 in the previous quarter to 10,000. The SKUs have gone up. The product portfolio has also expanded. But yet, sequentially, as you mentioned in your opening comments or to the previous question that there is a marginal lower single-digit kind of a drop in revenue. So how should one look at this in terms of the expanding network in the first place.

Himanshu Kapania: Thank you, Navin. You're right. We have expanded our distribution network to beyond our original guidance of 8,500 towns to 10,000 towns. And we continue to be able to expand beyond urban into the rural and the small town category. As regards dealers, the way to look at it is either we measure dealers on a quarter-wise basis, or we measure on a month-wise basis. Your concern has been how is it that we have been expanding our reach, and it has not translated into revenue. To measure that, we should look at the number of dealers that have participated with us in September and October. And we've been growing dealer participation on a month-on-month basis. There was a lull in July and August, and it has returned back to a significant growth, almost a double-digit growth of dealer participation in September, and the same momentum has continued in the month of October. So, the overall number of dealers have continued to grow, if I were to measure the total number of dealers who participated in quarter two over quarter one. What is important is you will say the throughput may have fallen. The throughput may have fallen on a quarterly basis. But when we measure on a September basis, the throughput is back and both in September and in October, dealer throughput is at levels and slightly higher than what it was at quarter one. So, our focus is both expansion as well as depth of performance. And currently, while we are getting a lot of dealers to be able to sample our products and start using our products, there are dealers who have sustained with us now for more than one year. And almost 30% of the dealers are currently doing more than 40 to 80 products for us. And that number continues to grow. And the dealers, I'm very happy to report the dealers who have worked with us in the over one year, we've sustained a

large percentage of them. So I hope that answers your question.

Navin Sahadeo: Just to clarify, if you could give us the number of dealers? And second is the traction that you said or rather a spurt that you've seen in September and October, is it led by the consumer style financing or the EMI options that you introduced a couple of months back?

Himanshu Kapania: So those are factors which help in secondary sales. So I'll not mix the two certain topics that we first focus on primary sales, that is sales from companies to dealers. The number of dealers

participation has grown as well as number of products sold has grown, both in September and October. Now once this has grown, how has been the throughput different from our legacy companies, which have a track record, and they are able to force dealers to stock. Most of our dealers prefer to buy and keep a very low stock. So for them, the most important is throughput or secondary sales. And what has been encouraging for us is, number one, we have a central monitoring system of our tinting. And we are finding that the secondary on our tinting for dealers in September and October has been almost 120% to 130% of the volume that they purchased in September and October, showing a very strong secondary or throughput from the dealers on to customers as well as reducing their inventory significantly. That is part one. Second thing that has helped is assurance. So it is helping painters and contractors to be able to tell to customers of the assurance program. And we've had thousands of projects being registered in multiple stages of execution at this point of time, the Assurance plan. And the third is the new painting services. Both Assurance and painting services are secondary-based programs as well as dealer stocking and dealer purchase are the primary-based programs. So both are running strong. I hope that clarifies.

Navin Sahadeo: My question second was on B2B e-commerce. So if you could just help us understand the private labels now are what percentage of our revenues, and in the same way then what's different from a technology or any other innovation that we are doing in this B2B ecommerce gives the confidence that we might be able to surpass the revenue target sooner. But that was my question. Sandeep Komaravelly: I'll answer your question on the innovation that we're doing and what gives us the confidence that we will grow and continue on this growth momentum. So look, as you're aware, we have built an integrated e-commerce platform, which fundamentally forms a digital backbone and connects pretty much every stakeholder in the entire ecosystem, starting from the brands, OEMs to our buyers who are consuming these products, logistics service providers who are actually moving the material to our lending partners who are providing financial solutions to all other network operators who plug into this backbone. And what this fundamentally helps us is in creating this end-to-end visibility, which is predominantly not there in most of the sectors or most of the materials that are fundamentally transacted today. And that, I think, is where our ability to provide bring in efficiency, ability to provide the best price, ability to provide the widest assortment, ability to provide a very reliable experience, all of that come into play. And this already showing up in the way our repeat transactions are happening in the way the buyers are coming back to our platform to keep buying. And just as an indication, all the buyers who we acquired last year, they've already purchased on an average more than twice the amount this year, giving us the confidence that whatever experience that we're delivering through both a combination of our assortment and our technology backbone is giving results. And I think that is one of the biggest reasons why we believe our growth momentum will continue. And

to drive

all of this, these are custom-built tech modules that we've built from the ground up, and they are very specific in terms of addressing the use cases that are for B2B. There are a bunch of solutions that have come up in the past for B2C ecommerce, but B2B e-commerce is a lot more complex. There are a lot more stakeholders. To fulfil a single transaction, it requires more than 30, 40 touch points. and to orchestrate all of this in a system that is seamless is where our edge comes in. I hope that answers the question on innovation.

Grasim Industries Limited
November 05, 2025

Page 12 of 16

On the second part or on the first part that you had asked about private labels, we are right now not breaking down our revenues into different product categories, and we will share that at the right moment. But I'll share this that our private label since the time of launch, they have seen very good acceptance. Most of the buyers who are coming to our platform to buy some of the bulk categories. As the project progresses, they have shown very good interest to continue that purchasing experience with us. They started buying behind the wall categories, and now they've also started buying the finishing categories. So we are currently operating in tiles, ply, bathware and faucetware, and we continue to increase our penetration there. What we've also seen is that we see great acceptance for these private labels in our retail channel. So, we fundamentally have two channels. One is the projects channel where we are able to directly supply materials to the site locations. And the other channel is our retail channel wherein we work with retailers who further then sell a lot of these finishing products to individual homebuilders or smaller contractors or smaller retailers. We've seen great acceptance for these private labels in the retail channels because they are seeing a great way to diversify their portfolio without having to do higher investment or having to keep inventory at their location, and that is what is driving acceptance of these private labels. So overall, I'd say all indicators are towards good experience, reliable experience.

Moderator: Next question is from Percy Panthaki from IIFL Securities.

Percy Panthaki: Can you just tell us the number of distributors, your target was 50,000. Have you achieved that target?

Himanshu Kapania: Yes, we are there.

Percy Panthaki: Okay. Okay. And how many of them would be monthly active distributors as in ordering at least once a month?

Himanshu Kapania: We believe we are better than the industry standards.

Percy Panthaki: In percentage terms?

Himanshu Kapania: Yes, right.

Percy Panthaki: Understood. Understood. And your guidance of INR10,000 crores turnover by FY '28, does that remain valid?

Himanshu Kapania: Yes.

Percy Panthaki: Understood. Understood. Also, just wanted to understand what is the next push in terms... See, when you started off, the first push was in terms of making the distribution available and increasing the number of distributors. Now more or less, that lever is sort of done. Of course,

there will be some incremental growth there, but nothing major. So for the sales growth to continue double-digit on a Q-o-Q level, what is the next thing that you will focus on? What is the next lever which will drive this growth?

Grasim Industries Limited
November 05, 2025

Page 13 of 16

Himanshu Kapania: I think this very typical of any business. Focus is on consumer. So you need a distributor or a dealer to be able to make sure the products are available at the right time at the right place. That activity, we have managed. So all our attention is moving to consumers. And there are two types of consumers. One is a painter contractor and second is direct homeowners. That's the reason why we continue to be the most visible brand amongst the most visible brand. And we are really happy to report that within a period of one

year, this the last World Cup, then we started to advertise. And this World Cup, this happens with Women's World Cup, and we won both the World Cups. And in the results, we saw that we have top of mind recall, we are number 2 brand, which is the starting fact of consumers to be able to go and ask for Birla Opus at the dealer outlet. So that is the one step, and we believe 30% to 40% of the consumers make direct purchase of paints. Remaining 60% to 70% of the consumers do it with the help of the painters and contractors. So all our effort is to be able to attract maximum number of painters and contractors, ensure these painters contractors are able to experience our high performing products and superior products as well as able to offer to customers two very new services, number one, direct painting services from branded by us, which has transparent pricing, EMI as a GST bill. And Assurance where not only the customer gets product warranty, but he will get in the first year itself, if there is any problem, our commitment to not only replace product, but also cover his labor costs to be able to give assurance both to the painter and contractor as well as to consumers. So, all the focus of the business is to be able to do consumer-related activities. And that will help us in what is happening is that is helping us dealers who first joined and took a small percentage of our 192 products. And now we are getting dealers who are increasing the number of products that they're buying and offering to consumers.

Moderator: Next question is from Manish Poddar from Invesco.

Manish Poddar: So just wanted to get some sense, sir, let's say, because of this rainy season, has there been any sort of impact in this Q2 thing? And that is why you're calling out, let's say, the early part of the quarter was tapered. And despite you adding stores or adding distribution, you haven't seen performance to that extent. Because what is happening is the market always correlates individuals leaving at the top to the delivery of outcomes. And if that is, I'm just trying to get some sense on that.

Himanshu Kapania: Understood, Manish. So let me first clarify. We believe that we have the best growth on a quarter-on-quarter basis. Obviously, when you measure on a year-on-year basis, we are a triple-digit growth. So that may not be so relevant. But on a quarter-on-quarter basis, we had a least decline when the industry had a double-digit decline. I had almost flat or slightly negative on decline basis. What is the reason for this decline? Broadly, whenever there is monsoons, the exterior products and institution business slows down. And that is our peak monsoons in July and August. So if a part of our business is not happening. That is the reason why the slowdown happens. And that is historic of industry. On a quarter-on-quarter basis, quarter 2 is amongst the slowest quarter for the industry, and we faced it for the first time. But having said that, we have to measure the overall industry on a year-on-year basis. If you were to remove Birla Opus performance, the industry has had a slightly negative growth is what our assessment is based on various feedback that we've got from the market. Not every company has yet reported their financial results. But whatever our study of the market is against but, with Birla Opus, there has

Grasim Industries Limited
November 05, 2025

Page 14 of 16

been a low single-digit growth that has happened, and Birla Opus continues to help grow the market at this point of time. I hope that answers the question.

Moderator: Next question is from Nirav Jimudia from Anvil Wealth.

Nirav Jimudia: I have two questions on chemicals. Sir, the first is when we see our EBITDA run rate for chemicals, like last year, we were at anywhere between INR250 crores to INR300 crores. And today, when we see we have inched up to anywhere between INR350 crores to INR400 crores. So just want to understand f

from you that when can we again start seeing the meaningful improvement in the EBITDA run rate for chemicals? And if you can explain this in context of, (a) chlorine value-added products. So is there any scope for improvement in per kg margins here. (b) newer capacities like ECH and CPVC and when it should start contributing meaningfully? And (c) whether the benefit of the power cost reduction with our shift to renewables is optimally achieved or there is a further scope of improvement?

Jayant Dhobley: So, I'll go in reverse order of your questions to the extent I remember all of them. So firstly, we are at about 24%, 25% renewable level as of now, right? If I look at all that we have and all the state-level regulations, we expect that in the next three years, we should be able to technically get to 40%. And I use the word technically because we have not yet envisaged those projects. We have not yet signed the PPAs, but that would be a kind of aspirational level for the next 3 years. I can't forecast because, as you know, every state has its own regulation on banking, billing, surcharges, etcetera. But we think that the current 25% has feasibility to reach the 40%. Then I think your second last question was ECH.

Nirav Jimudia: Yes, when it should start meaningfully contributing in terms of the operating profits?

Jayant Dhobley: So that ECH and CPVC would be meaningfully contributing from Q1 of next financial year. We will be mechanical complete by Q3, worst case situation in January, but the start-up times of these plants are long and complicated. And as you know that some of it are -there are safety risks as well. So we expect that meaningful contribution will happen from first quarter of next financial year.

Then I think you had a question on chlorine derivative profitability. Rather large basket of products, right? We have probably the largest basket of chlorine derivatives in India. And some of them are pretty seasonal because, for example, water treatment and monsoon has a higher season, right? Plastics has another high season. So I think these are mature products. It's not like you're going to see breakthrough profitability in any of these traditional chlorine derivatives, but it is necessary for us to do them so that we can get the caustic utilization rates that we want. And then your very first question was around what could be the catalyst for the next step improvement, I think, in profitability. And Nirav, the honest answer to that is it essentially depends on chloride, given our large exposure still to the chloralkali business. It's a combination of caustic prices and chlorine demand in India. That is the most meaningful factor that drives our results. And the business of predicting caustic prices for a long time is very tricky. So far, we can make our best estimates, but it's a tricky business.

Grasim Industries Limited
November 05, 2025

Page 15 of 16

Moderator: Next question is from Jai Doshi from Kotak.

Jai Doshi: My question is generally on market share trends. Now last year, during the course of the year on a Q-o-Q basis, you were adding 100, 150 basis points of market share every quarter. It seems to have moderated to about 20 basis points starting this year. So is this entirely the difference between primary, secondary? That's my first question.

Second is, is there a risk that it decelerates further? Or you think that you will be able to gain 20, 30 basis point market share Q-o-Q from here onwards over the next few quarters as well. And lastly, mathematically, for you to sort of INR10,000 crores in FY '28 means 13%, 14% market share. So whereas if I understand correctly, you may be at 6.5% today, gaining 20, 30 basis points quarter-on-quarter. So what do you think from here can sort of drive acceleration in sequential market share trends for you?

Himanshu Kapania: Thank you, Jai. I'm not sure how you're doing your calculations and how you're arriving at q

uarter 1, 20 basis point or quarter 2 at a slow market share growth. So first and foremost, I want to register the revenue reporting of paint companies has 3 broad components: decorative paints, putty business as well as industrial paints. Now we have a fair bit of idea of their industrial paints, some of them are also reporting a breakup between industrial and decorative paints. Now with decorative paints and putty business of the legacy players and decorative paints and putty business of Birla White, our assessment is we have grown very significantly. And last quarter, we had talked about reaching double digit, and we have grown more than 700 to 800 basis points in this quarter further. So, we are there. And on a stand-alone basis, our assessment is we will be in quarter 4 to quarter 1 of next year, double digit. We are trying to reach this in the quarter 4. But we are between quarter 4 of this year or quarter 1 of next year, we should be in a double-digit number. And our degree of confidence remains solid around there. So you may have your own internal calculations and the number that you are giving us as the end market share is quite different from the numbers that we have on our internal calculation basis.

Moderator: Next question is from Prateek Kumar from Jefferies.

Prateek Kumar: I have a couple of questions. Firstly, on PSF segment and caustic, the performance on a cumulative basis remains range bound like last few quarters. Do you see any figures which could

provide any positive change in performance in this business. Some of it you have already alluded and like answered that.

Vadiraj Kulkarni: Yes. See, we expect a slightly better performance in Q3. But obviously, there are a lot of ifs and buts in terms of U.S. tariffs, in terms of global pulp prices. We expect stability and a slightly better performance for Q3.

Prateek Kumar: Okay. Also, another question is on resignation of Rakshit, which comes as a big surprise to anyone who has been tracking Birla Opus closely. My question is, should investor view this transition as a natural phase in generally difficult competitive business or as inflection point of any refreshed strategy?

Grasim Industries Limited
November 05, 2025

Page 16 of 16

Himanshu Kapania: It's a natural phase of professionals growing in their career. This will have no impact on the business and business will be as usual. And there will be no change in the growth strategy.

Moderator: Next question is from Rashi from Citigroup.

Rashi: I just had a clarification. When you're saying that the paints industry has grown at low single digits in the second quarter, and it's negative, excluding Birla Opus. This just decorative organized paints or adding putty as well?

Himanshu Kapania: Yes, including putty.

Moderator: Thank you very much. Due to time constraints, we'll have to take that as the last question. On behalf of Grasim Industries Limited, that concludes this conference. Thank you for joining us.

Ladies and gentlemen, you may now disconnect your lines.

Call: Feb 2026

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Ref No. GIL/CFD/SEC/26/170/SE 13th February 2026

BSE Limited
Scrip Code: 500300
National Stock Exchange of India Limited
Symbol: GRASIM

Dear Sir/Madam ,

Sub: Transcript of post Earnings Call
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Please find enclosed the transcript of post Earnings Call held on 11th February 2026 on Unaudited Financial Results (Standalone and Consolidated) of the Com pany for the quarter and nine months ended 31st December 2025 and the same is also available at <https://www.grasim.com/Upload/PDF/grasim -earnings -call-transcript -q3fy26.pdf> .

Thanking you ,

Yours sincerel y,
For Grasim Industries Limited

Neelabja Chakrabarty
Company Secretary and Compliance Officer
ACS – 16075

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Grasim Industries Limited
Q3 FY'26 Earnings Conference Call

February 11 , 202 6

MANAGEMENT : HIMANSHU KAPANIA – MANAGING DIRECTOR AND BUSINESS HEAD –
BIRLA OPUS PAINTS

HEMANT KADEL – CHIEF FINANCIAL OFFICER
JAYANT DHOBLEY – BUSINESS HEAD, CHEMICALS CELLULOSIC FASHION
YARN AND INSULATORS BUSINESS
VADIRAJ KULKARNI – BUSINESS HEAD, CELLULOSIC FIBRE BUSINESS
SANDEEP KOMARAVELLY – CHIEF EXECUTIVE OFFICER , BIRLA PIVOT, B2B
E-COMMERCE BUSINESS

Disclaimer: E&OE - This transcript is edited for readability purposes, factual and verbatim errors. In case of discrepancy, the audio recording uploaded on the website on 11th February 2026 will prevail.

Grasim Industries Limited
February 11, 2026

Moderator : Ladies and Gentlemen , Good Day and Welcome to Grasim Industries Limited Q3F Y26 Earnings Conference Call . As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Panchmatia, Head, Investor Relations of Grasim Industries. Thank you and over to you, Mr. Ankit.

Ankit Panchmatia : Good morning and thank you for joining Grasim's Third Quarter Financial Year 2026 Earnings Call . The Financial Statements, Press Release and Presentation are already uploaded on the websites of stock exchanges and our website for your reference. For safe harbor, kindly refer to a cautionary statement highlighted in the last slide of our presentation. Our Management Team is present on this call to discuss our results and business performance . We have with us Mr. Himanshu Kapania – Managing Director, Grasim Industries & Business Head (Birla Opus Paints), Mr. Hemant Kadel – Chief Financial Officer of Grasim Industries. Also joining them, we have with us Mr. Jayant D hobley – Business Head of Chemicals, Cellulosic Fashion Yarn & Insulators, Mr. Vadiraj Kulkarni – Business Head of Cellulosic Fibers Business and Mr. Sandeep Komaravelly – CEO, Birla Pivot , our B2B e -commerce business. Let me now hand over the call to Himanshu , sir for his Opening Remarks . Over to you, sir.

Himanshu Kapania : Good morning and a very warm welcome to everyone joining us today. At the outset, We Wish All of you A Happy New Year 2026. We hope that the year has begun on a positive note for you and your families and it brings good health, continued progress and renewed optimism. As we step into 2026, we do so with a sense of confidence and purpose. While the global environment continues to evolve, the underlying strength of our markets, the resilience of demand and our disciplined execution gives us optimism about the road ahead. The new year represents not just a change in calendar but an opportunity to build on momentum, sharpen our focus and deepen the values we create for our stakeholders. On that value creation, let me start sharing key updates on two of our latest growth engines.

As announced earlier, our Paints Business, Birla Opus CEO – Mr. Sachin Sahay, shall join us from 16th February 2026. Despite the absence of CEO, the existing paints team delivered an extraordinary performance, reaffirming the company is being built on rock -solid foundation and has a long pipeline of leadership who can take on the baton when the need arises.

During the Quarter 3 of FY26, Birla Opus, the third largest decorative paints player, expanded its revenue market share by more than 300 basis points year -on-year based on internal estimates and announced results of listed paints majors. On quarter -on-quarter basis, Birla Opus accelerated its

Grasim Industries Limited
February 11, 2026

market share gain with revenue growth of nearly 3x the Indian decorative paints industry growth rate, inclusive of Birla Opus. Further, the combined revenue of Birla Opus and Birla White Putty business in Quarter 3 FY26, the revenue market share gap with existing No. 2 paint player is now reduced to around 300 basis points based on the guided decorative segment revenues which includes their Putty business as well.

In Quarter 3 FY26, Birla Opus' sales volume has risen by 70% on year -on-year basis. Early this January, Birla Opus has crossed the milestone of 500 million litres of paints sales cumulatively. We believe

that more than 6 million households are now experiencing superior quality of Birla Opus in a short period of 18 months . Birla Opus exponential growth is underpinned by rising brand acceptance, rapid expansion of distribution network, strong sales throughput from dealer counters to contractors and consumers, consistent differentiation through superior product quality and focused

brand building efforts. Let me give you finer details of execution on the above :

First, on brand reach : The presence of Birla Opus has crossed 10,400 towns across 35 states and union territories. We have covered all 50,000 population centers across India and more than 75% of the 10,000 to 50,000 population centers. The company will continue its expansion effort deeper into Bharat. The active quarterly billing dealers has grown in double digits along with a high single -digit growth per dealer revenue throughput on month -on-month when compared with last year's same quarter. Additionally, Birla Opus is transforming the paints consumer retail experience with company exclusive franchise outlets nearing 1,000 Birla Opus paints galleries. These galleries uplift consumer experience while selecting a paint brand, helping premiumization of the category.

Institution sales continue to gain traction during the quarter, supported by increasing project wins and specification approval among clients, including governments, builders, factories, hospitals, and cooperative housing. The institution sales grew by 40% quarter -on-quarter. As the institution orders have a long -gestation period, happy to report more than 40,000 mid -and large -size projects are in various stages of negotiation with nearly 25% billed , there were a strong project pipeline for future. Secondly, Birla Opus remains focused on driving secondary sales from dealer counters to contractors and consumers. The 10% free paint promotion continues 10 and 20 -liter packs across all emulsion, topcoats , waterproofing range, however, excludes sub -economy and other categories. The company is equally focused on building relationships with paint contractors, the key influencers. For them, Birla Opus has built an end -to-end, first -of-its-kind digital platform to engage with contractors online on Pan-India basis for product information, incentives and schemes, sharing consumer leads, Opus assurance registration, complaint handling, and much more. This platform is integrated with our unique track -and-trace system to monitor consumption by customers at pin code and dealer level. We are also implementing AI -based projects to improve contractor connect analytics.

Grasim Industries Limited

February 11, 2026

I am happy to share that over 7.5 lakh contractors and painters have applied and experienced Birla Opus superior range of products on Pan-India basis. This online platform allows us to remain always in touch digitally with the unorganized painter community and instantly transfer accrued benefits to their banks on a click of a button from their app, anywhere, anytime and experience like UPI. Additionally, the centrally controlled tinting machine analytics show strong color and consumption across geographies. With over 35,000 active tinting machines in operation during Q3, the tinting data shows interesting consumer insights. The top two Opus colors unifying the country include 'Fort Kochi', a dark bluish gray color, and 'Morning Bird song', a light bluish gray shade which are tinted by more than 30,000 dealers in the last one year.

Thirdly, the foundation of our product strategy is built on R&D excellence with a portfolio design for performance, durability, and unmatched finish. Birla Opus has achieved what we believe is the fastest portfolio expansion by any brand in the industry. Today, Birla Opus proudly offers one of the widest product ranges of more than 216 -products, 1,848 -SKUs across emulsions, enamels, waterproofing, wood

finish, wallpaper, and others. This year itself, till now, we have introduced 40 - new products, including the completion of a retail waterproofing line, launch of painting tools, and indigenously developed Italian PU-Alkyd range and many more. These innovations are not just additions, they are accelerators of growth, which is creating clear product differentiation, winning the trust of dealers and delighting consumers.

The fourth powerful driver of Birla Opus is creating consumer pull via sustained brand salience and differentiated marketing. According to Opus commissioned brand track study, the "Top of mind " brand recall for Birla Opus has surged into double -digits, positioning us as the 2nd most recalled paints brand in urban markets. With over 6 million satisfied home users acquired in a very short period, Birla Opus brand acceptance will continue to accelerate, providing solid impetus to growth. From builders and government bodies to industries, hotels, education institutions, and MSMEs in the project segment, to individual homeowners and housing cooperatives, Birla Opus brand trust is on the rise. With a strong media presence in Quarter 4 and high engagement campaign, our brand salience is set to soar even higher. Watch out for our latest Opus Boy Campaign , "Color of Togetherness " , in the ongoing T20 World Cup, and upcoming IPL 2026, and many other regional and national impact properties on television, digital, and outdoor media. Our premiumization effort continues with Paint craft, recently launched Birla Opus Professional Painting Services , fully GST compliant, transparent pricing, attractive EMI options, end-to-end platforms from lead management to quotation, to monitoring of services and quality approval, managed jointly by central and field teams. This service has expanded to over 5,000 pin codes, and we target to offer Paint craft on Pan-India basis through the 1,000 paint galleries at the earliest. Separately, on Opus Assurance Services, where the company has given additional guarantees besides the standard warranty clause to redo the painting, including labor, if need arise, more than 60,000 consumer sites have been registered through

Grasim Industries Limited

February 11, 2026

nearly 30,000 contractors under this first -of-its-kind program. The combination of Paint craft and Opus Assurance will improve consumer experience, allowing us to sell higher -end products and premium services.

The fifth powerhouse behind Birla Opus momentum is the second -largest manufacturing capacity holder in the industry, a formidable 24% capacity share. With the launch of Kharagpur and a steady ramp -up of capacity utilization across each of our six plants, the company has executed the natural production strategy by producing fast -moving category products closer to their market, cutting down the drag of logistics costs and inventory, and sharpening its service edge. With the completion of project on time and within budgeted CAPEX, the focus of the company now has shifted to improve productivity, efficiency of operations, and bring down significant variable costs through optimization. At the heart of our manufacturing journey lies a bold embrace of Industry 4.0 with IoT -driven automation, helping standardization and consistency of quality. This excellence is now officially validated. We are proud and excited to share that Birla Opus has received "Integrated Management System" Certificate encompassing ISO 9001, 14001, and 45001 for all the six plants in one -go. Achieving these certifications strengthens our organizational framework and reinforces confidence of our customers, partners, and stakeholders in our capabilities. Securing IMS certification in less than 18 months of full -scale operation is an unprecedented milestone. It underscores our deep commitment to the highest standards of quality, safety, environmental stewardship, compliance,

and operational excellence and marks a powerful step forward in an ongoing sustainability evolution.

Before I move on to the next business, I wish to address the narrative about sluggish industry growth. Based on announced results of four listed paint majors and guidance on their decorative business, it appears the decorative paints, excluding Birla Opus has grown by 1 % to 2% by revenue, but 7 % to 8% by volume in Q3 FY26 versus Q3 FY25. Now, when we add Birla Opus Q3 performance to these four players' decorative paints business, industry revenue growth, including Opus, rises to 5 % to 6% and volume growth jumps to 11 % to 12%. In my economic understanding, double -digit volume growth reflects good -to-strong consumer demand. However, the pain of the industry is rate realization, which we believe is lower due to combination of higher discounting and incumbent players' tendency to focus on low -value economy, sub -economy category, and deep -discounted putt y business. Birla Opus revenue is without putt y, and our growth remains balanced across all categories of paints with premium and luxury segments continues to contribute steady 65% in our overall revenue. We have taken 2 % to 6% price rise in January and February against standard dealer price list across a range of products to test the channel and consumer reaction.

Coming to Birla Pivot : The B2B e -commerce business crossed Rs.8,500 crores annualized revenue run rate ARR mark and remains on track to surpass the annual revenue of Rs .8,500 crores, well ahead
Grasim Industries Limited
February 11, 2026

of FY27 guidance. In a country as dynamic and fast -growing as India, the next great leap in commerce would not come from building another marketplace, it will come from digitizing and organizing B2B procurement at a scale and complexity few have ever dared to tackle. That is exactly what Birla Pivot is doing, and we are taking one of the largest, most fragmented, operationally intense spaces in the economy and turning it into a trusted, tech -enabled, outcome -driven platform. Our vision is bold and unambiguous to become the most trusted B2B e -commerce platform in India, and we are building it the right way by scaling a powerful buyer -seller network and compounding our advantage across the three pillars that truly matter in e -commerce, price, assortment and experience. Let us start with Price, because in B2B pricing is not only about competitive parity, it is about removing friction from the system. India's raw material ecosystem is full of inefficiencies, discovery gaps, opaque comparisons, fragmented sourcing and complex multi -vendor procurement. Birla Pivot does not merely negotiate price, we re -engineer the economics of procurement, we align suppliers inefficiencies with buyers needs, enabling transparent discovery and comparisons, helping suppliers reach demand more efficiently and absorbing the operational complexity of procurement at scale. In other words, we convert fragmentation into efficiency and we pass that value back to consumers. On Assortment, this is where Birla Pivot is fundamentally changing how business and individuals buy project materials. We are building a true one -stop procurement engine, 35 -plus categories, 40,000 -plus SKUs and solutions aggregated from 300 -plus top brands. The product category is covering everything from steel to tiles, cement to chemicals. This breadth is not just impressive, it is transformational. It consolidates vendors, compresses procurement cycle, standardizes buying decisions and streamlines approvals and purchase planning. We are going to step further, because in B2B, the ability to buy is often tied to working capital and that is why Birla Pivot is enabling fast, easy, customized, financing designed around real procurement needs so businesses can purchase with confidence, flexibility and speed. And then comes our biggest differentiator

r, Experience , because B2B is not just digital, it is physical, operational and relentlessly service driven . Birla Pivot delivers B2C -like simplicity in a B2B world, powered by digital tools for order enablement and fulfillment, nationwide support backbone and consistent trusted buyer experience. We are not simply building a website; we are building a reliability at scale. We are making complex procurement feel effortless, dependable and repeatable. That is the moment when a platform stops being a channel and becomes a habit. This momentum is not episodal, it is network -led, value -led and scalable. As categories expand, network effects deepen and digital adoption exudates, Birla Pivot is uniquely positioned to play a defining role in shaping and leading India's B2B procurement digitization growth story. Th is is not just about growth, it is creation of a new infrastructure layer for Indian commerce.

Grasim Industries Limited
February 11, 2026

Moving on from new businesses and focusing on macros , India continues to stand out on a global growth map. India's domestic demand is resilient, investment cycle strength and policy support have kept growth momentum intact. The most recent union budget reinforced this momentum with several strategic themes :

First theme is government's continued focus on infrastructure, housing and urban development would drive growth for Grasim cement business. India's push towards self -reliant, manufacturing scale and global supply chain integration would drive growth for our chemicals business. The recent GST rationalization focused on improving India's per capita driven by higher disposable incomes, better quality housing and aspiration consumption would drive growth for decorative paints and premium textiles. Support for MSMEs by increasing finance, democratization and integrating into organized supply chain would drive growth for Aditya Birla Capital and Birla Pivot. Lastly, a balanced focus on renewable energy and energy security , will drive growth for renewable and insulator businesses . For investors seeking a single scalable entry into India's structural growth, Grasim represents a credible and well -diversified proxy. As India's growth story unfolds through these diverse themes, Grasim businesses remain deeply interlinked with each of these structural pillars presenting long runway of growth and value creation.

Reflecting on this growth, I am happy to share that Grasim consolidated revenue for the current quarter stood highest at Rs .44,312 crores, an impressive improvement by 25% year -on-year with building materials, Financial Services , cellulose fibers, chemicals and even premium textiles and insulators firing on all cylinders. The nine -month revenue stood at Rs .1,24,330 crores, up 19% year -on-year demonstrating consistency of performance. Standalone revenue grew at an even faster rate, reaching highest ever at Rs.10,432 crores, up by 28% year -on-year with strong contribution from both core and new businesses. I would now like to hand over the call to Hemant – CFO , to Further Discuss Financials and Key Business Highlights of Other Businesses.

Hemant Kumar Kadel: Thank you, sir. Good morning, everyone. It is my pleasure to interact with you all again. Happy 2026 to all present on this call. I am very proud to say that we have closed the Calendar Year 2025 on a high note with two of our new businesses on track to achieve their stated goals. As on 31st December 2025, the TTM consolidated revenue is nearly Rs .1,70,000 crores, growth of 14% compared to FY25 revenue. Currently, standalone revenue on TTM basis stands at Rs .38,191 crores, up 21% compared to FY25. Based on the current quarter revenue, standalone businesses are now at annualized revenue run rate of higher than Rs .40,000 crores. There has been a strong underlying growth across all the businesses. Consolidated EBITDA grew by 33% year -on-yea

r to Rs .6,215 crores. Standalone EBITDA grew at a faster pace with growth of 57% year -on-year to Rs .585 crores.

Grasim Industries Limited
February 11, 2026

Starting with Key Business : Building Material : Revenue for the segment grew by 30% year -on-year driven by all -round performance across cement, paints and B2B. Led by the sector's strong outlook, Ultra Tech is steadily expanding both size and scale. Ultra Tech's clear vision and disciplined execution have led current capacity to reach 194.06 mtpa with clear sight of reaching a capacity of 240.8 m tpa by March 2028, which is a CAGR of more than 10%. The capacity expansion is clear from critical from 3-4 perspectives :

Firstly, it reinforces our role as a key enabler of India's infrastructure and development journey. Secondly, it enables us to grow ahead of industry curve. Thirdly, it narrows demand and supply gap across critical markets nationwide , and lastly, it further strengthens UltraTech 's leadership position. While capacity expansion remains core to our growth, we have embedded a culture of efficiency to ensure that our growth is resilient, sustainable and cost -effective. Underpinning this strength is our EBITDA growth, which grew by 29% year -on-year with EBITDA per ton of Rs.1 ,051.

Our MD has already covered paints and B2B e -commerce business. Hence, let me now directly come to our core businesses of cellulose fiber and chemicals. Highlight for these core businesses is that while we can keep on discussing them individually, irrespective of commodity cycles, both the se businesses combined have delivered consistent EBITDA. Leadership, innovation, sustainability, capital allocation and cost -effectiveness are key tenants to such consistency, which are an integral

part of Grasim's growth strategy.

Starting with Cellulose Fiber, the business has delivered EBITDA of Rs.491 crore s, growth of 48% year-on-year. This is driven by three factors : 1) Improved realization due to favorable product mix led by exports. 2) Operational efficiency due to volume growth. 3) Declining input prices, mainly pulp and caustic.

The demand for cellulose fiber in China continues to exhibit stability due to global tightness in supply. In India, we have seen similar strength despite removal of quality control order. Due to this inherent strength, we have seen prices for cellulose fiber decoupling with other competing fibers which are on a declining trend over the past few quarters. Unlike cellulosic fibers, which are largely stable, have started to recover. Cellulosic fiber segment also includes cellulosic fashion yarn business. The business performance for the quarter was subdued due to cheaper imports from China, which has created oversupply and lower downstream demand.

Secondly, Chemical Business. The revenue growth of 5% year -on-year was largely driven by volume. Caustic soda sales volume for Q3 FY26 stood at highest ever 313,000 tons, up by 4% year -on-year. While CFR -SEA prices are down on a YoY basis, domestic caustic prices are showing some resilience led by stable demand and rupee depreciation. EBITDA in chemical s business was lower

Grasim Industries Limited

February 11, 2026

by 4% year -on-year due to lower ECU realization and lower profitability in specialty chemical business. Higher ECH price resulted in lower profitability in specialty chemical s business, which was partially offset by lower BPA prices.

Coming back to Consolidated Business, In the Financial Services, it is one of the fastest growing businesses in our portfolio. This is driven by their multi -channel approach, aimed at providing customers with seamless experience across channels of interaction. The revenue was up by 29% year -on-year, led by all -round performance across lending, asset management, insurance, and advisory services business. Total lending portfolio, which includes N BFC and housing finance, grew

by 30%

year-on-year to over Rs .1,90,000 crore s. On a strategic front, we would like to highlight the recent announced partnership with Advent International, which also marks an important milestone for Aditya Birla Capital. During the quarter, Aditya Birla Capital Board approved a primary capital infusion of Rs .2,750 crore s into Aditya Birla Housing, valuing the business at approximately Rs.19,250 crore s on a post-money basis. Advent will hold roughly 14.3% of housing finance with Aditya Birla Capital, retaining about 85.7% subject to customary, shareholder, and regulatory approvals.

In other businesses, starting with the renewable business, Aditya Birla Renewable s grew by 82% year-on-year, largely led by higher capacities, which now stand at nearly 2 GW peak capacity, compared to 1.2 GW Q3 FY25. Aditya Birla Renewable s has announced a strategic investment by Global Infrastructure Partners (GIP), which is a part of BlackRock. This deal marks one of the largest primary private equity commitments into an Indian renewable company. GIP will invest up to Rs.3,000 crore s, comprising of an initial Rs .2,000 crore s commitment with a green shot option of Rs.1,000 crore s, subject to customary regulatory and closing conditions. Post this deal, the renewable business is valued at an EV of Rs. 14,600 crores. I am happy to say that this partnership is expected to accelerate Aditya Birla Renewables' growth trajectory as it builds on its operational and contracted capacity of nearly 4.3 GW of peak capacity portfolio across solar, hybrid, floating solar, and RTC assets, and targeting scaling capacity beyond 10 GW of peak capacity in coming years. This transaction brings not only capital, but also the GIP's global infrastructure operating experience to support disciplined expansion and contribute meaningfully to India's energy transition growth.

As regards CAPEX, post commissioning of Kharagpur plant, we have completed majority of the planned capital expenditure in decorative paint business. The capital expenditure spent on YTD basis is Rs .1,310 crore s. Focus now remains on phase -1 of Hari har Lyo cell project for additional 55,000 MTPA, capacity of specialty fibres. As on 31st December 2025, net debt of the company stood lower at Rs .6,882 crore s compared to Rs .8,277 crore s in the same period last year, with net debt -to-TTM EBITDA healthy at 2.1 level. Let me now open the floor for Q&A.

Grasim Industries Limited

February 11, 2026

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Naveen Sahadev with ICICI Securities. Please go ahead.

Naveen Sahadev: Yes, good morning, sir. So, thank you for the opportunity and also thank you for the detailed initial comments. Two questions. First, of course, is on the paints business. So, needless to say, the company has done a commendable job. I believe for the quarter, the revenue given, like, Rs.8,500 crore s run rate for the Birla Pivot and numbers that are published for UltraTech, our sense is paints would have done roughly Rs.1,200 crore s kind of revenue in this particular quarter, which, of course, is great from the start that we have had. My question is the growth is seen maturing, in the sense in Q1, a similar sort of a very rough cut working suggested Rs.1,100 crores kind of a growth in the June

quarter, similar flattish in September , and now we are at Rs.1,200 crores , give or take some margins there , I mean, some buffer there. Now, to reach the scale of Rs.10,000 crore s exit by Q4 '28, which is around Rs.2,500 crore s revenue over the next nine quarters, we need to grow at 40 % CAGR year-on-year for us. So , I am just trying to understand, first of all, what different than now the company will do or what convinces us now, given that the growth is maturing in the last one, two quarters, how should one look at this target realisti

cally being achieved? And in that, what is also the industry value growth into consideration? That is my first question.

Himanshu Kapania: Okay. Thank you, Naveen. So , while you have done your internal calculations, I am not going to either accept or deny it. But all I can say, both in quarter -on-quarter basis, we had a robust more than double -digit levels of growth closer to between 18 % to 20 % on a quarter -on-quarter basis , on an annualized basis , these numbers are tending towards the three -digit growth. So I do not know what number you have in your calculations and using words called "mature" when we have grown on a year-on-year basis by 300 basis points in the paint industry. And we see a similar kind of consumer uptake in the current quarter. On overall basis, we are seeing across geographies, a very strong demand for Birla Opus Paints and a large number of existing dealers who have joined us , have increased their throughput , and they continue to grow at levels of strong single -digit on a quarter -on-quarter basis. And we continue to add new dealers at a double -digit level on a quarter -on-quarter basis or half a year -half-a-year basis. So that is part one. Second part, which is besides consumer and dealer, we are also getting very good attraction from the contractors. And as I mentioned in my opening speech, more than 7.5 lakh contractors have joined hands and this number of contractors give us confidence that the growth will continue. We are still a single -digit market share player. We have a large capacity. Our presence is now on a Pan-India basis. We have reached every 50,000 population down. We are at least more than 75% of 10 ,000 to 50,000 population town. So , the growths are happening. We have a large portfolio of businesses. Consumer demand is building up and we remain confident and we continue to guide that we will deliver the Rs.10,000 crore s in third full year operation.

Grasim Industries Limited
February 11, 2026

Naveen Sahadev: Understood. So the price increase that we have taken, as you said, across 2 % to 6%, despite that, you are saying , we are confident to achieve the revenue target ?

Himanshu Kapania: So, you should understand the philosophy of price increase. We always want to maintain a particular distance from the market leaders, and we felt the distance was slightly more than what that was necessary and we are bridging that gap. That is the objective of price increase and there is no other objective. And obviously, we also want to test at what demand of consumer and contractor remains at the revised price.

Naveen Sahadev: My second question then was on your Birla Pivot business , and of course, extremely fast execution, much, much ahead of expectation. But , we had also, I think, hinted the first time we gave this target, the road to profitability or breakeven for this business was also like a billion dollar kind of a revenue run rate. So , is it now fair that since we have achieved almost, we are there, this business is breaking even or will start making positive contribution? How should one look at profitability for Birla Pivot from now going ahead? Thank you. These are my question s.

Sandeep Komaravelly: Thanks, Naveen. This is Sandeep here. On the profitability front, we are making progress similar to how we have done, how we have executed on the revenue side , and the growth has been, excellent over the last few quarters. We have been making good progress on bridging the gap so that we can get to breakeven as well. I think from our current estimates, we will exit FY27 at a breakeven level. That is our current estimate.

Naveen Sahadev: Thank you.

Moderator: Next question comes from the line of Rahul Gupta with Morgan S tanley . Please go ahead.

Rahul Gupta: Hi, thank you for taking my questions. Two questions. One, continuing on the Pivot point. I remember earlier you had guided cash breakeven by 20

30. So , you are now front -loading it, accelerating it to fiscal '27 end, right?

Sandeep Komaravelly : Rahul, I do not think we gave the guidance of 2030 earlier. But, as I mentioned in response to the earlier question, FY27 exit, we should be exiting the year at breakeven. Yes.

Rahul Gupta: Okay. That is great. My second question is on a point you made on the paint , you are testing waters with 2% to 6% hikes in January. Now , it is early days. Can you please help us understand how the acceptance has been? And if we look at the industry, which has been struggling with discounting, how should we look at the overall industry from here on, or let me put it this way, how volume versus value gap should move over the next year for industry and you? Thank you.

Grasim Industries Limited
February 11, 2026

Himanshu Kapania: First and foremost, as I mentioned in the previous answer, the gap between the leader and us was

high. And we have used this price increase primarily to bridge the gap. We obviously still are a single-digit player and our aim is to bridge the gap between our capacity, which is at 24% to our current revenue market share. So, that is part one. It is early time to be able to say what is the response to the price increase because we have had a certain range of products where we took the price increase on 28th of January, and the remaining range of products is happening on 25th of February. So, it would be better I respond to the consumer and contractor response after Quarter 4 Results are there, because we are still in the process of executing the price increase. But on a mid-to-long-term basis, what is our view about the industry? We remain very bullish. As I mentioned in my opening speech, the industry in Quarter 3 has grown by 10% to 11% or probably even 12% by volume. The challenges have been over focus on economy, sub-economy and putty base business. So, if we stop the down trading, and if you notice, Birla offers a more balanced approach. It is making every effort to premiumize the service with the launch of its paint galleries and where obviously the ratio of premium and luxury is significantly higher and same is true for our painting services. We are making every effort to premiumize and ensure that in the mix, our rate realization remains at similar levels to the volume, and our attempt is volume and value to both move in tandem. As far as the industry is concerned, we believe that this year the industry may including Birla Opus, may grow by 5% to 6%. In FY 2025, growth almost was nil. And by FY27, we are hopeful that it will come back to 8% to 10% growth levels.

Rahul Gupta: Great. Thank you so much. Wish you all the best.

Moderator: Next question comes on the line of Nirav Jimudia with Anvil Wealth. Please go ahead.

Nirav Jimudia: Yes, sir. Thanks for the opportunity. Sir, just one question on the chemical side. For the epoxy business, just wanted to have your thoughts, a), with the trade deal done with the USA now and Chinese currency also appreciating by close to around 8% to 9%, how do we see our exports to the USA market in the medium-term? And on a longer-term basis with now EU FTA also in place, how do we see our volumes in terms of exports to that region as well?

Jayant Dhobley: Thanks, Nirav. Hi, thanks for your question. Both are positive for us in a way. So, as you know that in epoxy, particularly in liquid epoxy resins, the Koreans have been available in India due to their FTA, they get a certain advantage that they can bring in product without put up the duty. And also, they had preferential access to the US as well as Europe. Now, clearly that advantage is going to go away. If you look in terms of timing, then the US deal probably will get actioned before the American deal. So, I am seeing a positive upside on export of epoxy from India to the US. Now, how much quantity that will be, how that will

ramp up, etc., is a matter of individual customer qualifications and those kinds of things, that is a little bit too much detail to get into right now. But, we do see a
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February 11, 2026

positive impact on that side. Similarly, if you look at Europe, as you know very well, Nirav, the European chemical industry is struggling with high costs, both from perspective of energy, but also from perspective of extremely high labor costs. As you know, a lot of restructuring has been announced in Europe. You know equally that Westlake has stopped operations on their Rotterdam site. I think the India-Europe FTA in the longer-term will have a much more significant impact on the Indian chemical industry, probably in my personal opinion, more than the US. Of course, the speed at which Europe will ratify, all this will get down into law, etc., will be a little bit slower, but I believe that will be more sticky. So, both these agreements, Nirav, are, I think, positive for the industry.

Nirav Jimudia: Got it, sir. So, just two clarifications here. So, a), do we import any raw material from EU, which were earlier subject to taxes and now with this deal could help us from the chemical business point of view also and from an overall business point of view also? And b), any volume guidance which you would like to share from the epoxy business point of view for FY27? Thank you so much.

Jayant Dhobley: So, if I look at imports from Europe, yes, we have some. I would not like to get into the details of what that is, but they are not a large part of our basket. So, I do not see really a large benefit from that. What I may think of is, if glycerin prices continue to remain high, then the propylene route to ECH has its own competitive advantage, right, and several of the propylene-based producers are Western-based, but there is a logistic cost hurdle. So, let us see how this plays out in the long-term. If you look at volume growth, then if I look year-on-year, our overall liquid epoxy plus formulations, for the year-over-year, we have grown by about 6%. I expect this rate to ramp up next year. Now, how much it will ramp up by is a matter of speculation, but I expect that rate to ramp up further. None of the fundamentals have changed.

Nirav Jimudia: And safe to assume that this ECH price corrections which have happened on the upside, would translate into a similar increase in the prices of epoxy which generally gets passed on a lag basis?

Jayant Dhobley: Yes, there is usually a time lag associated with that. As I mentioned in the epoxy value chain, there are competing routes, right, glycerin-based ECH and propylene-based ECH. So, what may be a pass-through for me, may not necessarily be a pass-through for somebody else, maybe globally who may be propylene-integrated. So, depending on their crude prices, propylene prices, glycerin prices, the pass-through mechanism has a different cyclicity, but in the longer-term, it always passes on, right,

it is always a matter of time, but the exact speed by which it passes on depends upon these three, four factors.

Grasim Industries Limited
February 11, 2026

Nirav Jimudia: Sir, last clarification if you allow. This quarter we have seen a dip in our epoxy revenues. So, was it more because of the volumes were lesser this quarter and that should start correcting next quarter onwards, is this a right assumption to make?

Jayant Dhobley: So, just let me quickly check the data. Yes. So, volumes were slightly under pressure on the liquid epoxy resin side. Actually, maybe the better way to see it is, we decided not to take certain volumes where we thought the margin was getting too squeezed. That is probably the better way to see it. If I look at the non-LER business, all the formulation, within the specialties, there actually we have not had any volume issue. It is on the margin where perhaps

the lowest profitable part of our LER

business, we have been a little bit unwilling to allow our margins to get compressed too much.

Moderator: Next question comes from the line of Amit Purohit with Elara. Please go ahead.

Amit Purohit: Yes. Hi. Thanks for the opportunity and thanks for the detailed data points on the paint. Just to recheck, sir, on the overall paint that we sold, we talk about 500 billion liters. That was since the time we have been into the market, right? It is accumulative or did I hear this correctly?

Himanshu Kapania: 500 million liters, not 500 billion liters by the way.

Amit Purohit: Okay. That is since the time we have started operations with that?

Himanshu Kapania: Yes.

Amit Purohit: Okay. And secondly, sir, also wanted to understand when you talked about 300 basis points lower than the second player, that includes putty and everything, right, at this point of time, exit market share, you were talking about or -?

Himanshu Kapania: I am again saying what we said in the opening remark statement, Birla White plus Birla Opus value for Quarter 3 and guidance given by number two players, in our internal estimates, now the gap is 300 basis points. I hope it is clear. And it is only Birla White's putty business. It does not include any other business.

Amit Purohit: Sure. And sir, you have talked about the increase in new dealer addition. Just wanted to understand the typical profile of these dealers, if you could just qualitatively highlight these are large dealers or these are dealers largely from the market leaders, because typically, I mean, there is different types of dealers, and initially, when we started off, obviously, there were challenges to reach out to the very, very large dealers, what is the state now, I mean, in terms of acceptance?

Grasim Industries Limited
February 11, 2026

Himanshu Kapania: We are getting blend from all categories of dealers. In our internal assessment, we broken dealers into A category, which are more than Rs.3 crores, B category, which is Rs.1 crore to Rs.3 crores, C category, which is Rs.30 lakhs to Rs.1 crore and D category into less than Rs.30 lakhs. Most of the dealers are coming in the A, B, C, the small numbers also come in the D category, but our focus in the A, B, C category.

Amit Purohit: And lastly, the price increase that we highlighted, that is more from a testing perspective or is there any raw material pressure which kind of or do you think that from now on the brand is strong enough to kind of take pricing and still it adds value to the entire channel as well? Just wanted to know your outlook as you highlighted that next year FY27, the growth in the industry could be closer to about 8%. So the pricing volume graph should reduce in the FY27? That is the last question.

Himanshu Kapania: First and foremost, there are no current raw material pressure. Second, we have been consistently maintaining that we are at a lower price than the market leader and we felt the gap was higher and we reduced the gap. That has been the strategy around there. It is not a price increase strategy per se as you are reading it. Please read it that we would like to maintain a certain gap with a market leader and we want to test at that gap what is the consumer response. There was an X-gap that existed and we reduced that gap.

Amit Purohit: Sure. Thanks a lot.

Moderator: Next question comes from the line of Pathanjali Srinivasan with Sundaram Mutual Funds. Please go ahead.

Pathanjali Srinivasan: Yes, thank you for the opportunity. A couple of questions. So, firstly, could you explain a bit on our share of retail business and institutional business? Because I believe we have grown pretty fast in our institutional business, but I was just trying to figure out if the base there is lower or are we tilted more towards institutional business?

Himanshu Kapania: Okay. So, to our understanding,

the retail-institutional business mix is 85-15. We are not yet there on that mix. We are still a single-digit on the institutional business, retail is much faster to take off and institutional is a much longer gestation period. The message that I was communicating is that we have a strong pipeline and hopefully by FY27, we should be able to come closer to the industry

average between 12 %-15% on overall contribution from institutional business.

Pathanjali Srinivasan: Sir,, could you give me some numbers for where we are in terms of range here?

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February 11, 2026

Himanshu Kapania : As I explained, we were a single -digit number and we have a strong pipeline of institution, but retail continues to be the stronger forte for us at this point of time.

Pathanjali Srinivasan: Sure. So, this number of saying that 18% we have grown last quarter and all of that, there is just one part where I have not been able to figure out. I met a couple of dealers from the time we started more recently and I have seen some of them saying that they have either stopped doing business or they are finding it difficult or something like that. While my sample size is very small, I want to know what is an acceptable level of pushback or reduction in dealers when we expand dealership and what are our targets here and where are we in that ?

Himanshu Kapania : So, it is a large dealer universe. There are over 100,000 dealers. On an average, in a quarter about 50%-60% of the dealers are active. We are also experiencing a similar level. In fact, our sense is about 70 %-75% in a quarter are active around there , and we are satisfied with the number of people who onboarded with us, with the number of people who are active in a given quarter. So, from that perspective, we are very satisfied both in the expansion pace of dealers both in the existing towns and new towns as well as the throughput pace of improvement of dealers. Most of the dealers who have joined us and have been consistent in network have continued to stay with us. We are very focused on our collection and there dealers who are poor pay masters are the ones probably you may be referring to.

Pathanjali Srinivasan: Got it. Just to continue on that, I just wanted to know , what is our policy with tinting machines that we have given to dealers and where dealers have not been doing as much business as we like them , how are we dealing with them , and have you started collecting money for tinting machines that we have given to dealers?

Himanshu Kapania : No, we do not collect money. As we have already explained, we give the dealers free -of-charge tinting machines and that remains a consistent policy even in FY26 and going forward. Only , if a dealer does default on his payment for a long period of time , are any actions that are necessary , but it is few and far , and probably not relevant for this national platform.

Moderator: Next question comes from the line of Prateek Kumar with Jeffries. Please go ahead.

Prateek Kumar: Yes, good afternoon sir. My question is on paints. Can you just confirm again while you talked about your revenue expectation maintaining for FY28, what do you think on profitability ? Other -related question. You have like seen some increase in interest expense during the quarter sequentially and depreciation is this completely related to capitalization of six plants or also is there are any working capital changes which you expect because you are also increasing mix in your business ?

Grasim Industries Limited

February 11, 2026

Himanshu Kapania : I just want to be clear with your question is . You are referring to overall Grasim results and you are saying that the interest and depreciation component gone up. Is that what you are referring to?

Prateek Kumar: Yes, that is right.

Hemant Kadel : Yes, so in Grasim, if you are referring with the last year, the

borrowing is used for setting up the new

plants was being capitalized. In the 15th of October, we have commissioned our last sixth plant and now from next quarter onwards, there will be no capitalization and all the interest cost will be coming to P&L account. Does this answer your query?

Prateek Kumar: Yes, sure. So, there is no material working capital changes , because we are shifting segment business to more institution that does not have an implication ?

Hemant Kadel : In paint business, we have capitalized over all the six plants, and no major CAPEX is pending and all.

Himanshu Kapania : If your question is on debtors , we are well in control as debtors and working capital is not a challenge. We repeat again , that the interest component in the past, a portion of that was getting capitalized and now the portion is significantly fallen , because from six plants now down to in our 15th of October, it is only one plant and that also a part of it was no more capitalized and the same applies to depreciation. As now all the six plants are fully commissioned, the full depreciation is reflecting in the books.

Prateek Kumar: Thank you . And the other question was on paint segment profitability which we are expecting for FY28. You maintain it as like turning positive in FY28?

Himanshu Kapania : Yes, we maintain our guidance. I will repeat . Within three years of full scale operation, we are targeting to be able to reach a profitable #2 position.

Prateek Kumar: Thank you and all the best.

Moderator: Next question comes on the line of Shreya Bantia with Oaklane Capital Management, LLP. Please go ahead.

Shreya Bantia: Yes, thanks for the opportunity. So, if you could share what is the current share of renewable energy in the chemicals segment?

Grasim Industries Limited
February 11, 2026

Jayant Dhobley : Exit rate is around 22%, 23% right now. And actually are targeting to reach an exit rate of over 40 % by end of FY27, if you want to make a projection.

Shreya Bant hia: Thank you very much. That was my question.

Moderator: Thank you. Next question comes from the line of Vipul Kumar Anup chand Shah with Sumangal Investment. Please go ahead.

Vipul Kumar A. Shah: Hi, thanks for the opportunity, sir. So when will we start sharing the revenue and EBITDA numbers of our paint business?

Himanshu Kapania: Shortly.

Vipul Kumar A. Shah: Shortly means?

Himanshu Kapania: Even today, because that is why there is portion of the material that has been produced and was not sold and they are still reflecting in the revenues which are getting capitalized. We are expecting to complete that and we will move on to this. We will share with you the exact dates when we do that.

So, that is why this gap between capitalization, that is why the numbers what market calculates, there is a gap , and we want to finish all the material s that we have produced before commissioni ng and consume it, which remains in the capitalization.

Vipul Kumar A. Shah: So, should we assume that from next financial year you will start sharing those numbers?

Himanshu Kapania: We will definitely come back.

Vipul Kumar A. Shah: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint that was the last question for today . We have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Himanshu Kapania: Thank you so much for participating on the Grasim Call. We are now going to close the call.

Hemant Kumar Kadel: Thank you.

Moderator: Thank you. On behalf of Grasim Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your line s.

Call: May 2026

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Ref No. GIL/CFD/SEC/27/036/SE 25th May 2026

BSE Limited
Scrip Code: 500300
National Stock Exchange of India Limited
Symbol: GRASIM

Dear Sir/Madam ,

Sub: Transcript of post Earnings Call
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Please find enclosed the transcript of post Earnings Call held on 20th May 2026 on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended 31st March 2026 and the same is also available at <https://www.grasim.com/Upload/PDF/grasim -earnings -call-transcript -q4y26.pdf>

Thanking you ,

Yours sincerely,

For Grasim Industries Limited

Neelabja Chakrabarty
Company Secretary and Compliance Officer
ACS – 16075

Encl.: as above

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Page 1 of 16

“Grasim Industries Limited
Q4 FY26 Earnings Conference Call ”
May 20, 2026

Management: Himanshu Kapania – Managing Director And Business
Head, Birla Opus Paints
Hemant Kadel – Chief Financial Officer
Vadhiraj Kulkarni – Business Head, Cellulosic Fibres

Jayant Dhobley – Business Head, Chemicals , Fashion
Yarn and Insulators (CFI)
Sachin Sahay – CEO, Birla Opus
Sandeep Komaravelly – CEO, Birla Pivot

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Grasim Industries Limited
May 20, 2026

Page 2 of 16

Moderator: Ladies and gentlemen, good day , and welcome to the Q4 FY26 Earnings Conference Call of Grasim Industries. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. I now hand the conference call to Mr. Ankit Panchmatia, Head , Investor Relations of Grasim Industries. Thank you , and over to you, Mr. Ankit.

Ankit Panchmatia : Thanks. Good evening and thank you for joining Grasim fourth quarter and financial year end 2026 earnings call. The financial statements, press release, and presentation are already uploaded on the websites of stock exchanges and our website for your reference. For Safe Harbor , kindly refer to cautionary statement highlighted in the last slide of our presentation. Our management team is present on this call to discuss our results and business performance. We have with us Mr. Himanshu Kapania, Managing Director, Grasim Industries and Business Head, Birla Opus Paints; Mr. Hemant Kadel, Chief Financial Officer, Grasim Industries. We also have with us Mr. Jayant Dhobley, Business Head of Chemicals, Cellulosic Fashion Yarn and Insulators Business; Mr. Vadiraj Kulkarni , Business Head of Cellulosic Fibers Business; Mr. Sachin Sahay, CEO, Birla Opus; and Mr. Sandeep Komaravelly , CEO, Birla Pivot. Let me now hand over the call to Mr. Himanshu for his opening remarks. Over to you, sir.

Himanshu Kapania : Good evening , everyone , and thank you for joining Grasim quarter 4 earnings call. Happy to share that FY26 has been another landmark year in Grasim's journey of transformation, a journey that has steadily evolved the company from being a leader in select manufacturing businesses into a diversified platform of high growth future -oriented enterprises. Over the last several years, we have consciously built capabilities across manufacturing, consumer -facing businesses, digital platforms, financial services, and next -generation building materials ecosystem. The outcome of these investments are in our results. Consolidated revenue stood highest at INR1,75,431 crores or exceeding \$18 billion in US dollar terms, registering compounded annual growth rate (CAGR) of 18% over period FY21 to FY26. It 's truly remarkable to note that Grasim's standalone revenue have also reached an all -time high of INR41,039 crores, showcasing an impressive compounded annual growth rate of 27% during the same period. What we are witnessing today is the emergence of a structurally stronger Grasim with multiple engines of growth, sharper strategic clarity, and enhanced resilience across cycles. The key pillar of our transformation has been our unwavering commitment towards building leadership positions across every business in which we operate. Historically, Grasim has built category -leading business through scale, operational excellence, and disciplined execution. Today, that philosophy continues to guide our expansion into new age opportunities like paints and B2B e -

commerce business as well.

Starting with paints first, I want to take you back to a moment not too long ago. When we announced entering the decorative paints business in year 2021, the market had questions, plenty of them. Could a newcomer truly challenge an industry dominated by deeply entrenched incumbents with decades of brand loyalty, distribution network, and pricing power? Was this ambition too tall?

Grasim Industries Limited

May 20, 2026

Page 3 of 16

Today, I am here to give you the answer. In quarter 4 FY26, Birla Opus delivered revenue growth of 52% year -on-year on a like -to-like basis. Further, excluding CWIP, on a like -to-like basis, the growth trajectory rises to 71%. In an i

ndustry where single -digit growth is celebrated, we have doubled our top line in one year . That is a growth of 100% revenue in FY26 versus FY25. The FY26 performance is heartening despite the business was still not under its full -scale operations as Kharagpur plant was commissioned in October 2025. But revenue alone does not tell the full story. What truly matters is market share, because market share in paints is trust made visible. As per internal estimates, the decorative paints industry revenue stood approximately at INR15,500 crores in quarter four of FY26, including listed and unlisted paint majors, putty, wood finish, and waterproofing companies and others. However, this excludes the industrial paints and other non -decorative revenues. Our revenue market share expanded by approximately 90 basis points quarter -on-quarter, strengthening our position as the number three player in the organized decorative paint sector. The FY26 revenue market share expanded by 370 basis points over FY25. When you combine Birla Opus with our Birla White putty business only, we are now nearing the number two position in Indian decorative paints. That is not a distant aspiration anymore; it is within striking distance.

Let me take you through key enablers of our paints performance. Firstly, on the distribution front, Birla Opus expanded its presence across 11,500 towns, crossing 50,000 dealers build mark. With 146 depots, Birla Opus ensures serviceability at industry benchmarks. The institutional sales channel has built a sizable foundation and grew 43% quarter -on-quarter and 212% year -on-year with over 10,000 sites build in quarter four FY26 alone. Birla Opus products now have 70 plus specification approvals from multiple government and other departments across cities with a similar number under various stages of approval. The institutional sales channel is working on a robust pipeline of 45,000 sites in various stages of work across 650 plus towns.

Secondly, the team continued its focus to drive secondary sales from dealer counters to contractors and consumers. The strong quarterly revenues have been possible on back of strong secondary by over 4.5 lakh active contractors who applied superior Birla Opus products. The 10% free paint promotion continued on 10- and 20 -liter packs across all emulsion topcoats and waterproofing range, excluding sub -economy topcoats and undercoat primers. The strong relationship with paint contractors, the key influencers, continued to scale strongly on back of digital -first foundation platform through our contractor app, Opus ID, helping the teams to engage on a scaled level. In conjugation with the centrally controlled tinting machine analytics show strong colorant and shade consumption across geographies pan -India. With nearly 37,000 active tinting machines in operation, the tinting data continues to guide decision making and understanding of consumer consumption trends. Birla Opus continues to uplift the contractors and painter's workforce with industry -best schemes and loyalty benefits which remain unmatched even today, besides working on programs to build painter skill sets and non -monetary benefits including well -being and education support for his family. The repeat purchase by contractors is driven on back of superior quality which helps their reputation in the market and with the customers. Birla Opus continues to grow steadily also amongst the architect and interior

Grasim Industries Limited

May 20, 2026

Page 4 of 16

designer, in short AID influencer segment, where partner network has now crossed 3,000 active firms across 60 cities, estimated to reach the second largest AID network in the industry.

Thirdly, on the product front, Birla Opus added 42 new products in FY26, majorly in A, in -house wallpaper, B, launch of painting tools under sub -brand Artist, C, waterproofing products under sub -category All dr

y, and many more in the emulsion and enamel range. With this, the product portfolio expanded to 218 products and 1,850 plus SKUs serving a wide spectrum of customer preferences and market segments. Birla Opus saw robust demand for its emulsion and waterproofing products where revenue market share has crossed double-digit mark. The premium and luxury products contribution steady at 65% by value across all categories. Birla Opus continues to benchmark its product offering with the competition in real field environment and even now, 75% of Birla Opus product Rank No.1 in product superiority versus like-to-like competition basis blind product tests by specialist applicators across emulsions, waterproofing, enamels, wood finish, distemper, etc etc.

Fourthly, on the brand front, one out of every two consumers spontaneously recall Birla Opus brand. This is no mean feat. Birla Opus brand continues to build on its already number two position in unaided top-of-mind recall and increasing its gap with earlier number two and number three legacy players. The brand has a strong 90% plus awareness which is built on back of continuous innovative campaigns. The recent high decibel campaign in IPL 2026 featuring 10 cricket celebrities to champion a new era of paints from individual endorsement to a collective validation, voice echoing "Main Bhi Opus" supporting company's product superiority has garnered major traction. Look out for our latest "Main Bhi Opus" campaign with existing and new celebrity endorsing uniqueness of Birla Opus products. On its mission of enhancing customer experience in organized retailing of paints, Birla Opus exclusive branded franchise retail outlets hit a major milestone crossing 1,200 plus stores across 700 plus towns. As per our estimates, this is the largest organized retailing network in India, now elevating paints purchase experience not just in metros but in mid and small towns including rural areas. Our premiumization efforts continue with expansion of our full-stack GST compliant and attractive transparent affordable professional painting services, PaintCraft, now available in over 6,000 pin codes through paint galleries across 400 towns. To our understanding, this is amongst the only professional painting services offering attractive financial options with 6 and 12 month EMI at nearly no additional cost, an important tool in this inflationary environment. In conjugation with our industry-first service warranty through 'Opus Assurance' campaign, Birla Opus PaintCraft continues to build brand trust and brings in lakhs of leads and thousands of project registration and contractor enrollment where Birla Opus products and services were eventually delivered with Opus Assurance.

The fifth strong pillar is the installed capacity of 1,332 million liters per annum which is 24% of the industry capacity and the brand remains focused to drive its revenue market share in line with the capacity share in the mid-term. The utilization steadily increasing across plants and with the rising output scale up of our sixth plant Kharagpur, which was commercialized in quarter three FY26, the average distance travelled by a product has come down by over 30% helping in optimizing of logistic cost while improving serviceability to the market.

Grasim Industries Limited

May 20, 2026

Page 5 of 16

Now let me share updates on price hikes and raw material situation. As you will recall, in the last investor call, Birla Opus proactively shared announcement to raise dealer prices by 2% to 6% in January and February 2026 across range of products. This increase was to test the channel and consumer reaction by bridging the gap with industry peers in this first phase of price change. I am happy to share that the initial response to the price gap reduction is encouraging with primary and secondary sales continued to be strong during this fourth quarter. We are the

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delighted to share that in March 2026, Birla Opus on its own crossed the coveted 10% revenue market share mark based on nationwide retail study commissioned by us. I'll give you a moment to absorb this. In April 2026, Birla Opus announced its second and third phase of price increase to offset the raised input cost. These multiple price increases have been staggered for implementation within quarter one of FY27. A large percentage of decorative paints raw material and entire packaging material is linked to crude derivatives. The volatile geopolitical environment and steep depreciation of our currency against dollar have resulted in spiraling of cost of goods to as high as 20% to 25% of COGS and we are still counting the impact. This level of increase is unprecedented and even now the raw material prices are unstable and unpredictable. Through these increases, Birla Opus have tried to cover the input cost escalation. However, if such global unrest persists, raw material prices could further escalate and may remain elevated for foreseeable future. We understand the industry has never seen such high inflation that has forced the entire industry to take multiple price hikes back-to-back.

This VUCA situation makes demand forecasting difficult and we need to closely monitor the situation as impact of price rise will slowly be felt by consumers and contractors in second half of quarter one and entire quarter two FY '27. April 2026 primary sales performance remained in line with March and Birla Opus continues to monitor the secondary sales trend closely on a

weekly basis along with price elasticity of demand. With the inflation impact on input cost expected to continue until much after the war comes to an end, its impact on medium-term consumer demand remains uncertain as demand elasticity curve will be fully tested in this period. Despite these cost pressures, the company will continue to offer 10% free paint consumer proposition. In spite of post price increase, what I can confidently say that Birla Opus remains committed to driving market share gains and focused on our ambition to become number two player at the earliest, while we steer business towards guided INR 10,000 crore's profitable revenue in the third year of full-scale operations.

Shifting focus to second new business, Birla Pivot, which represents Grasim's commitment towards digitally enabled B2B e-commerce ecosystem. I want to take you to a world that most people never see, but one that powers everything around us. Every building you walk into, every road you drive on, every factory that produces the goods on your shelf. Behind all this sprawling, fragmented and deeply insufficient supply chain for raw materials. Steel, cement, chemicals, polymers, bitumen and other building materials, these are the building blocks of India's growth story. And for decades procuring them has looked the same, phone calls, handshake, opaque pricing, delayed deliveries and limited access to credit. It's a market measured in hundreds of billions of dollars and yet until very recently, it operated almost entirely offline. That is the opportunity we saw. That is why we built Birla Pivot. One of the primary challenges is the highly fragmented supplier ecosystem which makes it difficult for buyers to identify and engage with

Grasim Industries Limited
May 20, 2026

Page 6 of 16

reliable vendors. Additionally, the absence of transparent pricing often leads to mistrust and sub-optimal purchasing decision. Many businesses, especially MSMEs, also grapple with working capital constraint which hamper their ability to procure goods efficiently and on a scale. Further complicating the procurement process is the inconsistency of supply as well as inefficiencies in logistics that can result in delays and increased cost. Product discovery remains limited, restricting access to a wider range of goods and innovative

solutions. Finally, there is significant

gaps in technology adoption among MSMEs, limiting their ability to streamline procurement operations and benefit from digital advancement. By focusing on these critical pain points, Birla Pivot aims to create a more integrated, transparent and efficient B2B procurement ecosystem. Coming to financial performance of Birla Pivot, the pace of scale up has been extremely encouraging and ahead of our revenue guidance.

Let me start with a number that I think captures the momentum better than anything else. Our revenue for quarter four FY '26 more than doubled on Y-o-Y basis. This business is in a striking distance away from our annual revenue guidance of INR 8,500 crores. Now in a business that is barely a few years old, doubling revenue is not just growth, it is validation. It tells us that the market was waiting for someone to solve this problem at scale and we are doing exactly that. What is driving this? It's not one thing. It is all cylinders firing together. New buyers are joining the platform at an accelerating pace, existing buyers are coming back with larger, more frequent orders. We are adding new product categories, expanding new geographies, every lever we track, active buyers, average transaction value, transaction volumes are steadily moving up. This was also seasonally strong quarter and we captured the demand beautifully.

Now let me paint the picture of how wide our B2B commerce reach has become. Birla Pivot is now delivering to over 5,000 pin codes across more than 400 cities and we've crossed 5,000 retail touchpoints. Think about that for a moment, from metro construction sites to Tier-3 towns where contractors are building a school or a small factory, we're reaching them. We're giving them access to the same quality products, the same transparent pricing, the same reliable logistics that were previously reserved for the largest player in the main market. This is not just commerce, that is democratization. And our product portfolio keeps expanding. We are now scaling categories like steel, bitumen, copper and aluminum ingots and polymers partnering with leading Indian and international brands to offer a breadth of SKUs that no single distributor could ever match. We are becoming the one-stop destination for building materials procurement in India. But here is what truly sets Birla Pivot apart. This is not marketplace with catalog and checkout button. We have built an integrated operating system four-purpose built modules working in concert. Also what gives us unique edge is that we are not a startup parachuting into this space. We are Grasim Industries, part of Aditya Birla Group, with deep relationship across the building materials value chain from cement to chemicals to metals. Our supply side credibility, brand trust and on-ground presence are moats that no pure-play digital platform can replicate overnight. We are still in the early innings. The revenue has more than doubled, but the runway ahead is enormous. Our focus going forward is clear deeper buyer engagement with smarter AI-driven insights, expand our product categories and geographical footprint, scale our

embedded finance capabilities so more MSMEs can participate in India's growth, and

Grasim Industries Limited
May 20, 2026

Page 7 of 16

relentlessly improve the platform experience so that once a buyer comes to Birla Pivot, they never want to go back to the old ways of doing things.

Before I hand over the call to Hemant for financial performance and covering other businesses, let me spend some time on macro scenarios. We're living in a period where the world is simultaneously witnessing extraordinary opportunities and unprecedented uncertainties. Across continents, businesses and governments are navigating a rapidly changing global order, shaped by geopolitical tensions, inflationary pressures, supply chain realig

nments, technological

disruptions, climate concerns, and changing consumer aspiration. Crude oil prices and volatility in raw material cost continues to impact manufacturing and global trade. Logistics network that once prioritized efficiency are now being redesigned for reliability and strategic security. Across sectors from chemicals and metals to technology and consumer goods, organizations are balancing growth ambitions with cost discipline and operational agility. At the same time, the world is undergoing one of the biggest technological transformation in history. Artificial intelligence, automation, digital platform, data-led decision making are reshaping industries at an unprecedented pace. The competitive advantage today is not merely scale, but the ability to innovate faster, adapt quicker and stay closer to the customer needs.

Yet amidst these global challenges, there is also optimism. Emerging economies, especially India, continue to demonstrate resilience and long-term growth potential. India today stands out as one of the fastest growing major economies, supported by strong domestic consumption, infrastructure investments, digital transformation, manufacturing expansion and a young entrepreneurial population. However, in the backdrop of a recent caution expressed on mindful spending and responsible consumption, the message for businesses and households alike is clear. This is time for calibrated optimism and disciplined decision making. While India continues to remain one of the world's fastest growing major economies, global uncertainties including geopolitical tensions, commodity price volatility and inflationary pressure require a balanced approach towards expenditure and investment. The emphasis today is not on slowing aspirations, but on prioritizing efficiency, value creation and long-term sustainability. For businesses, this translates into sharper capital allocation, cost leadership and productivity enhancement. Such periods often strengthen economic resilience as disciplined spending combined with strategic investment creates a stronger foundation for sustainable growth in the years ahead.

Let me now hand over the call to Hemant for his remarks. Over to you, Hemant.

Hemant Kadel: Thank you, sir, for your remarks and one thing before I start. History has shown that moments of disruption often create the foundation for the next era of growth. The global environment may be complex, but it is also opening new avenues for collaboration, transformation and value creation. Those who can adapt with agility, invest with foresight and execute with discipline will define the future of industry and enterprise. With this note, I would start with our biggest business, building materials, which include cement, paints and B2B e-commerce. Himanshu sir has already covered paints and B2B e-commerce.

Let me give you key highlights of our cement business. UltraTech continues to strengthen its leadership in one of the most important sector driving India's infrastructure and housing growth

Grasim Industries Limited
May 20, 2026

Page 8 of 16

story. In April 2026, UltraTech crossed a historical milestone of 200 million tons per annum of total grey capacity. This makes UltraTech the world's largest cement company outside of China. To put that in perspective, we have nearly doubled our capacity over the past 6 years and we remain firmly on track to reach 240 plus million tons per annum by March 2028. On profitability, total operating EBITDA per ton stood at the highest mark of INR 1,253. Over the past two fiscal years, FY25 and FY 26 combined, we have delivered cumulative efficiency gains of INR 185 per ton. This is not a one-off. It is the result of sustained focus on fuel mix optimization, logistics efficiency and operational excellence across our plants. These structural cost levers give us confidence that margin will continue to im

prove even in a competitive pricing environment. The

Board of Directors of UltraTech Cement has announced a strong dividend payout of INR240 per

equity share subject to the shareholders' approval at the AGM. The dividend declaration underscores UltraTech's resilient business model backed by a long-term commitment towards scale, operational efficiency, sustainability and nation building. For Grasim, the total cash inflow from this dividend would be nearly INR 4,000 crores excluding taxes.

Coming to cellulosic fiber, we stand before you with tremendous confidence in the trajectory of this business that is not just keeping pace with the global trends, but actively shaping the future of sustainable textile. Let me set the stage with a powerful fact. Cellulosic fibers are the fastest growing segment in the Indian fiber basket, expanding at a CAGR nearly 2x that of other fibers. This is not a temporary blip. This is a structural shift driven by sustainability, cotton constraints and rising consumer demand for eco-friendly fabrics. Our Phase 1 Lyocell capacity at Harihar of 55,000 tons per annum, part of the total proposed 110,000 per annum expansion is progressing well. The macro environment is firmly in our favor. China's operating rates have climbed to 92% in Q4, up from 87% a year ago, signalling robust global demand. At the same time, China's inventory levels have dropped to just 11 days, a clear sign that supply is tight and demand is accelerating. Our cellulosic fiber segment delivered revenue of INR 4,614 crores in Q4 FY 26, a commanding 14% increase year-on-year. Full year revenue surged to INR 17,104 crores from INR 15,897 crores, up 8% year-on-year. This growth was powered by dual engine of volume expansion and a deliberate pivot towards higher value specialty fiber. EBITDA stood at INR 588 crores in Q4, up two times and full year EBITDA was up 15% to INR 1,751 crores from INR 1,524 crores. This was not just about volume, it was about operating efficiencies, a favourable product mix and the tailwind of benign pulp prices.

Now let me walk you through the strategic positioning of our chemical division, which continues to be a cornerstone of Grasim's diversified growth story. Our chlor-alkali business maintains undisputed market leadership with an installed capacity of 1.5 million MTPA. We are expanding from 1,505 KTPA to 1,530 KTPA. While evaluating additional capacities driven by growing demand from diverse end-user industries like alumina, organic and inorganic chemicals, textiles and FMCG industries etc. Caustic soda sales volume stood highest ever at 321,000 ton in Q4 and 1,232 KT for full year FY 26. Specialty chemicals revenue grew 5% year-on-year, however, higher input prices mainly ECH, partially impacted profitability in that segment. Our revenue mix is evolving well, specialty chemicals now contributes 27% and chlorine derivatives 22%, reflecting our deliberate shift towards higher value downstream products.

Grasim Industries Limited
May 20, 2026

Page 9 of 16

Our financial services subsidiary, Aditya Birla Capital, represents a compelling play on India's long-term financialization story. Backed by a diversified and scalable financial services platform spanning lending, asset management, insurance and wealth solutions. As India witnesses rising household savings shifting from physical to financial assets, increasing insurance penetration and rapid credit formalization. The company is strategically positioned across multiple high growth segments rather than relying on a single business cycle. Its ability to consistently grow revenue and expand the lending book and assets under management demonstrates strong execution capability even amid a volatile macro environment. With rising incomes, formalization of the economy and expanding digital infrastructure and increasing investor participation through SIPs and mutual funds, we

believe that Aditya Birla Capital is well placed to participate in multiple structural growth trends simultaneously, making it a diversified proxy for India's evolving financial ecosystem. Aditya Birla Capital Board has approved capital raise of INR 4,000 crores by way of equity shares through preferential allotment. Given the growth prospects, Grasim's Board has approved an investment of INR 2,880 crores maintaining our stake at 52.3% on a fully diluted basis.

Coming to the other segment, both renewable and textile business has delivered robust performance. For the quarter, revenue for the renewable business grew by 60% year-on-year and textile business was higher by 14% year-on-year. Renewable EBITDA grew by 55% and textiles business EBITDA stood at INR 35 crores compared to a loss of INR 8 crores.

I am pleased to share that the Board of Grasim has announced a final dividend of 500% amounting to INR 10 per equity share, underscoring our long-standing commitment to create value for the shareholders. This marks the 63rd consecutive year of uninterrupted dividend payments. Reflecting our financial strength, resilience and consistent focus on rewarding shareholders across business cycles.

With this remark, I will now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi sir, congrats on a good set of numbers. First question is on paints. Wanted to just understand

your view on how should one think about the growth from here on as you've already attained scale with respect to dealer reach and tinting machines, similar more to quite a few of the legacy players. So how much more growth, do you foresee coming from further penetration of dealer reach and increasing tinting machine reach or will the growth largely come from improving throughput? So that's my first question?

Himanshu Kapania: Thank you Mihir. We are very confident of growth and the first and foremost industry is likely to move from a single -digit growth to a double -digit growth in FY 27 while we observe the impact of raised prices and elasticity of demand, but the all trend shows that this is going to be a double -digit growth year. With this, as far as Opus is concerned, there is a lot of growth that is possible for us and we see growth both in numerical distribution expansion and improved throughput. Let me cover the numerical distribution expansion. We are currently at presence on

Grasim Industries Limited
May 20, 2026

Page 10 of 16

large and small towns to 11,500. We are anticipating to cross this to beyond 15,000 by the end of this financial year. And the second is even the existing towns, there is a lot of scope for us on overall basis because the total number of dealers in the industry is excess of 1,00,000. But the largest component of growth will obviously come through throughput with the existing dealers having tasted success with one range of our category of products. For example, some of them have done emulsions and others have done enamel. With the confidence with the first range of product, they are likely to be able to expand to the entire range. I'll repeat we have emulsions, enamels, waterproofing, wood finish, distemper and for our franchise partners wallpapers and exclusive products. We also see expansion through expanding the retail networks. So we remain very confident that we achieved a triple -digit growth last year and we remain confident of a high double -digit growth. Sorry, Sachin I'm going to pass it on to you for incrementally on that.

Sachin Sahay: Yes, so like Himanshu said, just to reinforce the fact that numerical expansion in across the market for dealers will continue to play an extremely important role, but like Himanshu said, expanding the product range will be critical to build the throughput per

dealer.

Mihir Shah: So my second question is if you can talk a bit on the profitability front on the paint sector. You've highlighted in the PPT that there is improvement in performance of paints when you speak about building material segment, which was also led by paint on the EBITDA level. Is this largely due to getting scale or do you or given that now you've got some scale there is some reduction in rebates to dealers or there is any reduction in the discounting? How should one think about that? And one clarification, you had highlighted that 3 years after your full operation you would want to reach INR10,000 crores. So should we consider FY 26 as first full year of operation because it's only been two quarters since your sixth plant has commissioned? So FY28 would be the third year or FY 29 you would be considering as a third year? So that was my second question?

Himanshu Kapania: So FY 26 is what internally we're taking as our first full year of operation, even though the paints started or the sixth plant started in the third quarter of last financial year. So, we want to take stiffer target for ourselves, and we will take first full year operations of FY 26. So, in the sequence of profitability, we want to again repeat in the order of our priority. Our order of priority is number one, we want to become the number two decorative paints operator in India. Second sequence of priority for us is 10,000 crores and third sequence of priority is profitable. We've always used all the three words together, but we are not splitting them in the sequence that we would like to achieve. Having said that, where does the one profitability come from? Profitability for us, we have invested ahead of time on fixed cost and you can see that both in terms of largest number of sales and service force and second is ahead of time investment in brands. These are both are in the fixed cost nature and as paints goes up, they will cover and give us the EBITDA benefit.

The second profitability angle is to get better returns because of our variable cost and the variable cost will a gain come by us being able to, get better rates as we our buying ability increases so we can negotiate better prices. So, and with the six plants coming in, optimization of our plants on power, optimization of our logistics cost, all of this will result in bringing down our variable cost. There is also some optimization on products as we've, as we introduced most of our products with a single supplier, we are in the process of bringing in the second and the third

Grasim Industries Limited
May 20, 2026

Page 11 of 16

supplier which gives as we bring in competition among raw material suppliers, we will also get

both not only scale benefit, other level of cost benefits. So these are the routes for profitability, but as I mentioned, the sequence for us remains number one, number two position, then getting our revenue and finally achieving profitability.

Mihir Shah: Got it, sir. Very clear and thank you for your clear answers. Wishing you all the very best.

Himanshu Kapania: Thank you.

Moderator: Thank you. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan: Hello sir, congrats on a good set of numbers. I have couple of questions. So firstly in your early remarks you mentioned that we are within striking distance of becoming the number two player.

I think last year the number two player in India did approximately 10,000 crores of sales. So how close are we when we say we are within striking distance? What is our range that we are mentioning here?

Himanshu Kapania: I'll clarify this. I'll read from the notes that I the presentation we made. Combined revenue of Birla Opus plus Birla White putty business, which is what is measured by all the paint majors, brings us nearly to the level of the existing number

two excluding their industrial revenue. Okay, so when you quote a number, that number is annual number and that number includes industrial plus decorative. When we quote a number, we quote only the decorative part of the business which includes the putty side of the business. That is the statement that I made as a starting point, which is the current situation as far as quarter four of FY 26. Going forward, our ambition and stated ambition is on its own Birla Opus in the decorative paints business, only in the decorative paint business, not including the industrial paints businesses, would like to be number two. I hope it's clear. The numbers that are quoted, we have internal estimates, we do market research and we get firm confirmations of multiple sources and we are very confident that the numbers that we have are trending towards what we have quoted. I hope it's clear.

Pathanjali Srinivasan: Thank you. Sir, that's very comforting. Yes sir, that's that provides a lot of clarity. My second question is related to something one of the previous participants asked. So with respect to throughput per dealer, where would we stand versus the industry benchmarking and what is the leeway that is there for growth there?

Himanshu Kapania: I'm going to give it to Sachin.

Sachin Sahay: Right. So hi, this is Sachin here. When you look at dealers, dealers operate typically in a various scale of operation, whether it's a A-class, B-class, C-class, D-class dealer depending upon what kind of business they are doing. In each of these subsets, we have a fair market presence, and our throughput is in line with our fair market presence and consequently that gives us a fair bit of comfort that we are aligned to the industry throughputs in each of these dealer sets.

Himanshu Kapania: So just to add, so the obviously we are not the market leader, so the throughput is best for the market leader. They have in our assessment about between 20% to 25% additional dealers. It is

Grasim Industries Limited

May 20, 2026

Page 12 of 16

the reason why they are such a strong market leader is the throughput that they get from their dealers because as Sachin mentioned, their proportion of A-category dealers' business is A and B is significantly higher than our proportion there. In the case of number two, we have to focus on number one and number two as we are ourselves the number three, they have a different mix. They have a reverse pyramid that they have a larger proportion of A-category which constitutes their business and then disproportionately. Our business is far more democratized because we are more national presence as well as evenly distributed. That's why our effort is more to be able to through the root of distribution to expand throughput in each of the categories of business whether it is A, B, C and D far more than what we currently have. This is what I can give you at this point of time.

Pathanjali Srinivasan: I get the strategic part of what you're saying, sir, but I just wanted to know a rough indexing in terms of because we have started some time back, I would not expect a recently started dealer to have a high throughput, but some of our earlier dealers have they reached fairly like a comparable throughput to some of the established players or are we still like further away from that? I'm just trying to understand if we'll get more growth from the existing distribution because we are still like relatively new in the market in terms of the number of dealers that we have over two-three-year period. If you can give me some colour on this that would be very helpful.

Sachin Sahay: Sure. So like I was mentioning about the four different classes of dealers A, B, C, D, just to give you a rough index why each sub-segment has been growing robustly in line with our overall growth. Just to give you a perspective, from a range lens, the top dealer would be sto

cking almost

two to two and a half times the bottom dealer, as well as if I were to look at throughput per

dealer, it ranges between four to five times the bottom dealer.

So obviously our strategy of focusing on the top dealers driving business from the top industry contributing dealers is also paying rich dividend basis our market go-to-market strategy of expanding the range availability in the large dealer sets.

Himanshu Kapania : Incrementally I'll just add for your benefit so that you can absolutely clear, our older dealers who spent more than 18 months with us, our counter share is significantly higher as high as 25 % to 50% in these outlets and their throughput matches with legacy paint operators. So their throughput as the dealer becomes older and his comfort with entire range of products is there, he is tending to achieve the similar throughput as a legacy dealer is, if that's the question that's the answer that you're looking for.

Moderator: The next question is from the line of Siddharth Mehrotra from Kotak Securities. Please go ahead.

Siddharth Mehrotra: Congratulations on the good set of numbers and thank you for the opportunity. Sir, continuing on the previous participant's query, we noticed that out of the sizable dividend of around 4,000 odd crores, we are going to invest roughly 2,900 odd crores in our NBFC business. So just wanted to understand given the fact that previously we used to distribute it to our shareholders, what will be the capital allocation strategy going ahead?

Himanshu Kapania: So I don't know what's the term of capital allocation, just from a cash flow perspective you can do your math with straightforward net of tax that are we receiving from our subsidiary in the

Grasim Industries Limited

May 20, 2026

Page 13 of 16

cement. We would prefer to allocate that fund to A, dividend to our existing shareholders as well as increasing maintaining our stake in Aditya Birla Capital. The entire revenues and EBITDA generated from Grasim will be reinvested in growth of Grasim businesses. I hope that's clear.

Siddharth Mehrotra: So just to sort of clarify, sir, on this, whenever we need to increase our stake, sorry, maintain our stake, that is the only time when we will be sort of using the dividends, otherwise they will be all distributed to our shareholders?

Himanshu Kapania: No, no, we are not talking of a long-term policy. I am giving you the current allocation of fund.

We at this point of time Grasim, we have maintained for the last three years, Grasim has maintained that we are in a growth business, we have introduced two new growth businesses, and we have to stabilize these two new growth businesses and Grasim needs its support around there. So we will we are supporting the new businesses by reinvesting the surplus that is getting generated from the core businesses, as well as now the as far as this year is concerned, we have allocated the cash that we've received to be able to expand or to be able to maintain our stake in Aditya Birla Capital.

Siddharth Mehrotra: Got it, sir. So basically for other sort of growth businesses, we'll be sort of using internal accruals, this is a one-off measure. Is that understanding correct?

Himanshu Kapania: Yes, yes, this is a one-off measure. Yes, yes, absolutely.

Siddharth Mehrotra: Got it, sir. Got it. May I just ask a follow-up? What is our since we are past our peak capex phase, what sort of capex guidance should we sort of build in for the respective divisions now?

Hemant Kadel : Capex guidance for 2027 we will be able to share you next quarter. We are just working on it, give us some time.

Siddharth Mehrotra: Okay, sir. Thank you. Thank you for the opportunity.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes, good evening sir, congrats for good results. My first question is o

n the new businesses. Can

you just, I mean while you have talked about it, but can you just tell add again on profitability path for paints and Pivot business as company starts moving towards revenue target individually for these segments in terms of profitability and when can we look forward to get separate disclosures for these segments?

Himanshu Kapania: We will start with B2B.

Sandeep Komaravelly: Okay, hi Prateek, this is Sandeep here. I'll give you a little bit of background on the profitability path that Birla Pivot is on. We had mentioned this as part of our results in Q3 as well. We've been steadily of course our growth momentum has already been shared in the opening comments.

You can see that we've been, you know, our growth momentum was far ahead of the guidance that we have given. On the profitability front, even our margin and the EBITDA direction has also been very, very positive. Our goal for this financial year FY27 is to exit with EBITDA break-even and we are well ahead, well on that path. It might actually happen a little sooner as

Grasim Industries Limited

May 20, 2026

Page 14 of 16

well, but fairly confident that we will exit this financial year with EBITDA break-even. And the priorities remain very, very clear that we will continue to drive the revenue growth trajectory, we'll deepen our presence in the categories, but at the same time, we will exit this financial year with EBITDA break-even.

Himanshu Kapania: On the Paints profitability, if you there are two parts to the profitability, one is contribution and second is EBITDA. Now, we had a significant improvement in both gross and net contribution in quarter four and we expect to maintain that momentum going forward. As regards investment that we're doing, we have a fixed cost which is now currently in a position to for a much higher market share because we are investing in manpower on a PAN-India basis, both sales and service, as well as investing in brand so that we are ready for tomorrow. So as the contribution improves and scale improves, the EBITDA losses have a glide path on a quarter-on-quarter and a year-on-year basis till we reach the INR10,000 crores. And the glide path has already started. As regard final reporting, we should start that shortly.

Prateek Kumar: Sure, thank you. And another question on capital allocation again. I know you talked about investing in AB Capital, but how about like within your organic business? So, you obviously incubated two new businesses a few years earlier. Do you also evaluate investing in new businesses which can further add to your organic businesses in next few years?

Hemant Kadel: So, we have already announced expansion of our cellulosic fiber business where at Harihar we are adding capacity of Lyocell of 110,000 tons per annum. First phase is already on progress and second phase we will announce. That is the capex plan right now we are implementing, and further capex plan as we get approval in terms of capacity expansion, we will share with you.

Himanshu Kapania: Just one-line answer on this is as of now, we have enough on our plate. We want to stabilize our cash flows before we look at any further. So, there is no further business to be disclosed at this stage.

Moderator: Sorry to interrupt, may we request Mr. Kumar to please rejoin the queue. Thank you. The next question is from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Yes. So just two things. One, wanted to understand you talked about two drivers for growth, one was distribution expansion, second is throughput increase. And within that you highlighted that new product launches will also become a very important part in terms of. So just wanted to understand are we under-indexed in terms of product offerings when you compare it with the number one, number two? That was first question. Second, is you indicated the targets remain

same despite raw material prices increase and all. Is there any plans of some of the schemes and all are we re-looking that while you clearly highlighted that 10% scheme still continues, but just wanted to check if there is any business plan change that probably could be there or you may look at it maybe after a quarter or so. How do I think about it?

Sachin Sahay: So, Amit, Sachin here. Thank you very much for your question. As far as product range is concerned, like Himanshu mentioned earlier, we have a full stack of products which have already gone into the market. In fact, in our franchise stores we have a large set of exclusive products also which has been launched in the market and today we can confidently say that a dealer can

Grasim Industries Limited
May 20, 2026

Page 15 of 16

be extremely satisfied and continue to run and scale up his business with the Birla Opus range of products. Like-for-like we are at even better than with respect to competition. While we will continue to identify white spaces and continue to add more products in the future, but as things stand right now, we are full stack up. With respect to your second question on pricing and, you know, strategy in the market, while Himanshu very categorically laid down the glide path of first priority being the number two player in the decorative paints industry.

Second achieving the INR10,000 crore turnover and the third being profitability, our entire endeavor will continue to ensure that we are competitively poised in the market to ensure the priorities are achieved. So, if there is a need for being, you know, so then we will continue to act accordingly in the market.

Moderator: Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: Yes, hi, thank you for taking my question. So, two questions. First, now as you scale up both Pivot and Opus, you will see benefits of operating leverage kicking in over the next two years.

Now if I see your implied profitability numbers, you have been clocking three billion pre-tax losses every quarter for the last few quarters. Is it fair to say that this will come down materially through the year or is there a case that it may remain sticky for longer? So that's my first question.

Himanshu Kapania: Yes, it will come down.

Rahul Gupta: Got it. My second question is now that sorry for harping it again, you have not guided on the

longer -term capital allocation strategy, but given UltraTech and Aditya Birla Capital are the two subsidiaries where your shareholding is more than 50%, is it fair to say even on the longer -term perspective you'd want to maintain your 50% plus shareholding in both these businesses?

Himanshu Kapania: At this point of time the answer is yes.

Rahul Gupta: Got it. Thank you and wish you all the best.

Moderator: Thank you. The next question is from the line of Naman Parmar from Niveshaay Investments. Please go ahead.

Naman Parmar: Thank you so much for the opportunity and congratulations on great set of numbers. My question is specifically towards your other business segment, specifically mentioning towards the Insulator division. So currently if we see on that division there is a very big shortages on the transmission lines and all. So how are we planning towards the adding the capacity on the insulator division and if you can break us how was the overall sales in the insulator division in the current year and the capacity utilization?

Jayant Dhobley: You're absolutely right that the electrical segment is growing very well and there is a big order backlog versus what the market is demanding. And while we post this through others, you can imagine underlying our set of growth and numbers on insulator has been good and will continue to remain good for some time. Our insulator business is divided in three parts, so we have a

Grasim Industries Limited

May 20, 2026

Page 16 of 16

porcelain business. We are actually one of the world's largest insulator players and we are probably the world's only insulator player that operates in porcelain, polymer long rods and polymer hollow composites. As far as the porcelain business goes, we will only do productivity initiatives. We have no plans to increase our base capacity. As far as polymer long rod goes, we have recently done some capacity expansion, those are sold out and we are looking at further investing our increasing the capacity in our hollow composite business. So, we are quite bullish on the on the segment, but it's not like we are planning to suddenly double or triple our capacity. Our aim is mostly to gain operational efficiencies out of our existing assets and do incremental investments in polymer long rods and polymer hollow composites.

Naman Parmar: So currently we have a capacity of 50,000 tons, right, in insulator and you are expecting to remain at similar level, but you will be thinking more adding on the composite or the polymer which given the market is been shifting from porcelain to composite and so you will be thinking more on that ?

Jayant Dhobley: You can't , I'm sorry you can't think of these capacities in terms of ton. Depending upon the size of the insulator, the number can change. If you have if you have studied this process, if you make a larger insulator it takes a larger cycle time, right? If you make a smaller insulator, it makes a smaller cycle time and we supply this to EPC contractors. So, we supply against orders. It's not like our caustic business or our epoxy business where we are producing in tons. We do it by number of insulator and we do it make to order for very specific projects for very specific customers.

Naman Parmar: Understood. Lastly if you can provide the sales number for the insulator for the FY26 , it will be very helpful and also the EBITDA.

Jayant Dhobley: I think we have stopped disclosing this several couple of years ago. It's part of our others, I don't think it's our intent to disclose it right now.

Naman Parmar: Okay . Yes, thank you so much for answering the question .

Moderator: On behalf of Grasim Industries, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.